Eicher Motors Ltd. (EICHERMOT)

Conference call transcripts, oldest-first. 13 call(s). Generated 2026-06-08.

Call: May 2023

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May 17, 2023
Online intimation/submission

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Mumbai-400 051
Symbol: EICHERMOT

Subject: Regulation 30 of the SEBI (LODR) Regulations, 2015 – Transcript of conference call

Dear Sir/Madam,

Further to our letter dated May 4, 2023 intimating the schedule of the conference call held on Thursday, May 11, 2023, please find attached transcript of the aforesaid conference call, held inter alia to discuss financial results for the fourth quarter and financial year ended March 31, 2023, pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015. The same is also available on the website of the Company www.eichermotors.com .

The conference call started after the conclusion of the Board meeting of the Company.

You are requested to take the same on your records

Thanking you,
For Eicher Motors Limited

Atul Sharma
Company Secretary

Encl: As above

“Eicher Motors Limited

Q4 FY23 Earnings Conference Call”

May 11, 2023

MANAGEMENT : MR. SIDDHARTHA LAL – MANAGING DIRECTOR & CEO, EICHER MOTORS LIMITED
MR. VINOD AGGARWAL – MANAGING DIRECTOR & CEO, VE COMMERCIAL VEHICLES LIMITED
MR. B GOVINDARAJAN – CEO ROYAL ENFIELD AND WHOLE TIME DIRECTOR , EICHER MOTORS LIMITED
MS. VIDHYA SRINIVASAN – GROUP CFO, EICHER MOTORS LIMITED

Basudeb Banerjee : Hi, good evening, good morning and good afternoon to all of you, wherever you are in the world. Welcome to Eicher Motors Q4 & FY23 Post Results Investor Call. We have with us senior management of Eicher Motors represented by Mr. Siddhartha Lal, MD & CEO, Eicher Motors Limited; Mr. B. Govindarajan, CEO of Royal Enfield and Whole Time Director Eicher Motors Limited; Mr. Vinod Aggarwal will be joining shortly, who is the MD and CEO of Volvo Eicher Joint Venture and Whole Time Director of Eicher Motor Limited; and Ms. Vidhya Srinivasan, Group CFO, Eicher Motors Limited. So over to you, Sid.

Siddhartha Lal: Hello, everyone, and a very good evening to all of you, and thank you so much for joining this late hour in India at least, on our call for Eicher Motors Limited earnings for the quarter and the year ended March 31, 2023. So overall, the financial year has been absolutely fabulous for Eicher Motors. We made really good progress towards our long-term vision, our goals and have registered an absolutely stellar performance this year. So it's been our best ever financial and business performance as it were this year.

And I'll begin with the business highlights for Royal Enfield. We registered our best ever sales of more than 834,000 motorcycles this year, beating our previous best, which was a pre-pandemic 2018-19 year.

We also took huge strides in our international business front and for the first time, we received over 100,000 units sales in the export market. So it's a big inflection point we believe, because that's when also in the domestic market, we had enormous growth. Of course, there are different challenges, but we have also started our CKD operation in Brazil this year, which is an extremely high potential market. So overall, we have 4 CKDs. In addition to Brazil, it's Argentina, Colombia, and Thailand, all relatively large potential markets. We also had two outstanding launches last year. Again, the first physical launch after the pandemic was the Hunter 350 in Bangkok with global media, which really highly appreciated the launch, the motorcycle, the refinement of this Roadster style of motorcycle, which is a totally fit for the city roads in Bangkok and also for longer distances. So it went off super well. We had our Super Meteor 650 launch in Jaisalmer in Rajasthan with a long stretch of ride that we were on with the global media again, and it really proved itself to be the absolute best middle-weight cruiser in the world today. And that's the kind of reviews that we've gotten also if you have had a chance to look at those. Both motorcycles are doing extremely well both in India and in international markets in their segments to gain two new product successes behind us in segments that we've not necessarily been in the past.

And again, after a break of two years we returned to Goa with our new format of Rider Mania, which we call the Motoverse now. And we had 3 outstanding days of motorcycles across Goa, but also entertainment, music, talks, art, shows of all sorts of things that really got the hearts and souls and bodies of our rider community moving, and it was extremely well taken. I believe even though we had an absolute record number of 14,000 visitors, I believe this year will be a hell of a lot more based on the success that we had last year. So it's been absolutely fantastic. It's also starting to become a bit of a global event with a lot of international participants also coming in. So that's the business highlights on Royal Enfield.

Then we moved to VECV and just in time with Vinod also joining us now, Vinod Aggarwal as you can see on the screen. And we've had an absolutely tremendous year of excellent performance in VECV this year. We had a highest ever sale of Eicher trucks and buses at 77,000 units, and record performances in our other business segments in our VE Powe

rtrain where we sell engines to Volvo
Group globally at Volvo Trucks, where we distribute and sell Volvo Trucks in India, and the engineering components business as well.

We had robust profitability, improved profitability through the quarters and improved market share across the board in our light-duty, medium-duty and heavy-duty, and buses and Volvo Truck segment everywhere. We made huge strides, market share gains and had a very successful year overall. We also celebrated 15 years of the joint venture with Volvo. We had a lovely event in our state-of-the-art new manufacturing unit plant in Bhopal, where the entire Executive Board or the management team of Volvo Group, all of them came down. They spent time with us in Bhopal and reconfirmed our commitment towards modernization of commercial transportation in India and of working closely together between Volvo and Eicher in the coming years as well. So it was really a very good highlight last month in April with our 15th year anniversary of the joint-venture.

Coming to consolidated financials for Q4 and for the full-year that ended March 31, 2023; we had five quarters in a row of record revenue, which again, last quarter was record revenue for EML consolidated and our best ever annual revenue. For Q4, we had a revenue of over ■3,800 crores, up 19% and for the financial year, revenue at ■14,442 crores which is a 40% growth over last year. Our profit and EBITDA have also been growing YoY and sequentially, and we registered our highest ever PAT and EBITDA for four quarters in a row and for the financial year. So again, record numbers through. Our EBITDA for Q4 was ■934 crores, up 23% for the full-year was ■3,444 crores, up 59%, and PAT was at ■906 crores, up 48% and PAT for the year was at ■2,900 crores, up 74%. So good absolute profit growth at EML and EBITDA margin for the quarter stood at 24.5%, against 23.7%. And for the full year, a 23.8% against 21% last year. So again, big growth in profitability as well from previous year.

And overall, in the Board meeting that we held today, the Board of Directors of Eicher Motors Limited has declared a final dividend of ■37 per share for the last year, implying a payout sum of ■1,012 crores, which is around 35% of our profit after tax. And the dividend per share is the highest ever for EML and is around 76% higher than the previous year.

In addition, the Board has also approved a cash outlay towards capital expenditure for Royal Enfield business at ■1,000 crore for FY23-24, whic is the year that we're in already, which includes investment towards EV manufacturing, EV product development, and of course product development for our internal combustion engine portfolio. The large chunk of it is only for product development in both ICE and EV. So that's the overview of Eicher Motors Limited. Now we'll have Vinod Aggarwal talking to us about VECV. But before that, I'll hand over to Govindarajan, CEO of Royal Enfield to give us more detail about the business of Royal Enfield in the last quarter and in the last year. Over to you, Govind.

B Govindarajan: Thank you, Siddharth. Hi, everyone, I hope you guys are doing well. Royal Enfield has had a spectacular year. Not only we registered strong performance in the domestic market, as Siddharth was mentioning, we also crossed a very important milestone in our international journey: over 100,000 motorcycles dispatched from India.

Let me begin with the performance of this quarter and the year. For the Q4, we sold almost 214,685 motorcycles, which is up by about 18% compared to last year. Our demand is continuing to stay very resilient. It's actually further getting aided by our new motorcycle launches, which we have done, which got an excellent response from our consumers.

Our market share in the

domestic market in the motorcycle segment, especially on the 125cc and
above, it grew to almost 33.5% for Q4 FY23 compared to about 32.9% in the Q4 of FY2022. For the full-year, the total standalone motorcycle sales of Royal Enfield stood at almost about 8,34,895 motorcycles, registering a growth of 38.4% compared to last year. And in the motorcycle market

share, we gained almost 7.2%, which is a record one. And we also gained almost a 31.3% market share in more than 125cc. So every third motorcycle is now a Royal Enfield in India.

In our international markets, the momentum is continuing, and we crossed, as mentioned, about 100,000 motorcycles mark for the first time and we also registered about 23% growth over the previous year. Despite the macroeconomic backdrop, our retail growth in the international market is ranging between 27% to 45% across various regions in the FY2023. Our market share in the middle weight segment across the markets has climbed, especially in Americas, about 7%, and APAC is almost 8.9%, and EMEA is about 8.8%. We further strengthened our footprint in Americas with our fourth CKD plant in Brazil, which is very important for us to be looking at that market. And we also have plans to launch the CKD facilities, which we have signed up for Bangladesh and Nepal. In U.K., we are actually implementing a direct distribution by ourselves. We have already taken over this month, and we are aggressively working on expanding our reach in existing and a few newer international markets during this upcoming years.

Happy to share with you, Royal Enfield has achieved the fourth strongest brand globally as per the global auto report from the U.K.-based Brand Finance for 2023. Royal Enfield is the only motorcycle brand to feature amongst the top 10 global brands in this. You all know on the product front, we have introduced two new exciting motorcycles, the new Hunter 350 and the Super Meteor 650. The Hunter

350, which is a stylish very accessible roadster, which was launched in the month of August in Bangkok has received excellent response worldwide and has won numerous awards also as well. It won the India Motorcycle of the year award - IMOTY 2023, India's most prestigious automotive award. The Super Meteor, which we launched this year in January, has been performing very well. We have excellent responses from the markets outside India also. We have a very good booking in Europe, Americas, and in the APAC region. Our non-motorcycling business is continuing to grow very, very consistently. Our endeavor to deepen rider engagement with the motorcycle has resulted in an outstanding growth in spares, accessories, apparels everywhere, and we have witnessed a growth of almost 32% YoY led by the strong growth, especially in accessories business.

On the EV journey, we have been making steady progress. I can say EV journey Royal Enfield is in the top gear now. Our intention is to create uniquely differentiated electric motorcycles with strong Royal Enfield DNA. We have commissioned a very capable team and we started committing very deep investments in terms of product development, product strategy and in the product testing and development area. Currently, we have laid a robust long-term product and technology roadmap on the EV and towards developing the supplier ecosystem is what is the focus as of now. There are a lot of prototypes and testings, which are going on in. That's why I said it is in the top gear. We are very committed. It's in full blast now. In addition, you all know, we have made a strategic investment of almost €15 million in Stark Future in January 2023. Now both the teams are working well, and they are collaborating very well to learn from each other and looking at what is the co-creation and the development, which we w

ill do and how do we leverage each other's strengths.

In conclusion, at Royal Enfield, we had a very great year, but I must tell you, we have also an even better one, which is planned, which we will see in time to come. And we have a very strong lineup of motorcycles for the year 2024 and a robust plan of growth on the rebalance, which we have articulated.

Now I will request Mr. Vinod Aggarwal to walk us through the VECV performance and updates. Over to you, Vinod.

Vinod Aggarwal: Thank you, Govind, and thank you, Siddharth, and a very good evening to all of you. For VECV, last year was a record year in various respects. If you look at our overall sales, last year we closed at 79,623 units, trucks and buses, which was against our earlier peak of 72,969 in 2018-19. So we have grown by 9% as against the earlier peak in 2018-19, whereas the overall CV industry is still down as compared to the earlier peak. The 3.5 ton and above industry is down by 15% as compared to the earlier peak of 557,000 units in 2018-19 to 474,000. So industry is still lower than the earlier peak, whereas we have grown by 9%, which means that we have grown in market share in all our product lines.

For example, in light and medium-duty trucks, 5-18 ton, this year, we have a market share of 31.5%, and it is consistently improving YoY. Last year, it was 30.2%. In Buses, this year, we have a market share of 24.8%. Again, it is improving consistently year-after-year. Last year, it was 21.9%. In heavy-duty trucks, again, it's a very good steady growth YoY for both Eicher and Volvo. Last year, we had a market share of 8.3%, which was 7.3% a year before. So there has been consistent improvement in market shares all across.

We continue on our commitment towards increasing uptime to our customers. We are very, very advanced in the digitization services. We are offering 100% connected trucks. And based on that, we are able to offer various types of services like the predictive maintenance or remote diagnostics. That takes the entire customer satisfaction experience to a new level. And of course, we are continuing to improve on our network. Every year, we are adding a number of new dealers. Our penetration is improving in the country as a whole, and that is also one of the reasons for improvement in the market shares. And we also reiterated our commitment to sustainable transport by delivering 40 electric buses to the prestigious city of Chandigarh and these buses are running very successfully. And we showcased a wide range of future-ready solutions encompassing decarbonization, increasing uptime and connected solutions at the Auto Export 2023. We were also ranked number one in the dealer satisfaction survey for the second year in a row. Six of our products were ranked number one across relevant categories at the prestigious Apollo CV awards.

Now coming to the overall revenues. Last year, we closed with the total revenues of ■18,952 crores, which have grown by 48.9% over previous year, revenues of ■12,724 crores. And for Q4FY23, our revenues were ■6,200 crores, which are up by 43.9% from Q4FY22 of ■4,307 crores. As far as EBITDA is concerned, for the full-year, we have EBITDA of ■1,375 crores, which is at around 7.5%, grown by 92.1% over previous year EBITDA of ■716 crores, which was at 5.9%. And for quarter four, we have EBITDA of ■619 crores, which is at 10.4% as against the Q4FY22 of ■288 crores at 6.8%. And then as far as the PAT is concerned, for the full-year we have PAT of ■579 crores as against ■111 crores last year. And for quarter four, we have PAT of ■319 crores from ■99 crores last year.

Now, of course, I hand it over back to Siddharth for closing remarks.

Siddhartha Lal: Thank you, Vinod, and thank you, Govind. I think after a couple of really tr

icky years previously,
we've had an absolutely stellar performance in EML and VECV last year. It's been a year of consolidation in some way, because after all the different forces around the world in terms of the COVID and supply chain, it's been a settling year. It's been a year where we've all been able to settle down, get back to full focus as we do. And get back to our growth and profitability and development of the future for both RE and VECV. So, we've had a really solid year, and I'm delighted to say that the combined revenue, actually, if you look at it like that which we don't in our financials, but if you combine EML, which is RE and then VECV together, we have over ■33,000 crores revenue now and which equates to over $4 billion in revenue. So, now it's really sort of starting to crank up and become a sizable company. And it's not just that. We really set ourselves up for a very strong base now for the coming years and for the next phase of growth that we have. We see some points of inflection. We see that Royal Enfield has crossed 100,000 units internationally. And we're seeing that the interest, the demand, the virtuous cycle of dealers making good money or dealers wanting to have Royal Enfield outside of India, and then big demand for our bikes that is coming in, we're seeing the point of inflection there.

We're seeing a significant point of inflection in VECV with heavy-duty trucks, where for years and years, we haven't been selling. But it's really starting to move in its own momentum now, and it's starting to grow and heavy-duty trucks, we all understand, in revenue terms is the lion's share of the truck of the commercial vehicle market. And we've reached a threshold level, I would say of a couple of thousand units per month, nearly 1,500, 2,000, even 3,000 in some months, we've crossed in heavy-duties. So, it's been really strong, and we see that inflection coming up.

And with all of this, we're delighted about our past performance, about how things are going, about how smoothly the companies are operating and in the new normal situation where there is a bit more choppiness than there was pre-pandemic. But we are able to manage all that, because of our extremely focused approach in both Royal Enfield and VECV. We have a tremendously sharp focus and tremendously sharp leadership, and that's what I believe will be the biggest strength in the coming year. So, thank you very much for joining us. And now we can have some questions.

Basudeb Banerjee: Sure, sir. So we can start the Q&A session. First question is from Jinesh Gandhi. Jinesh, you can ask your question.

Jinesh Gandhi: Hi. Congrats on a great set of numbers. A couple of questions from my side. One is, can you talk about the driver of realizations and gross margins in this quarter for Royal Enfield, the standalone business?

Vidhya Srinivasan: Yeah. So as far as sales is concerned, I think there has been a combination. We've had ASP growth in the quarter, which is really driven by a higher share of international volumes, which has happened. We've also had a bit of pricing impact, because we've taken price increases on account of Hunter and Bullet in the past. So I think those two factors are really responsible for the increase as far as revenues are concerned.

From a margin standpoint, I think there are multiple series of factors which are coming into the picture. We had raw material savings of approximately 0.9% QoQ. And because of various initiatives that are taking place internally and also some of the commodity tailwinds, which are coming through, and that's reflecting in our raw material savings. Apart from that, the pricing is also leading to the

gross margin improvement. And a little bit of international mix improving is also obviously contri

buting to gross margins as a combination of all those factors.

Jinesh Gandhi: Got it. And commodity cost tailwinds are largely behind, or do you see further savings coming in 1Q, 2Q?

Vidhya Srinivasan: One thing I think we should say is that we're kind of watching. I think on steel, for example, there's been a bit of price increase, but we have, for example, done a price correction of about 1.5% on May 1st. So we’re kind of monitoring how the impact is playing out.

B Govindarajan: Just to add, Jinesh, it's not the point of discussion on an everyday basis, how the commodity is actually hitting. The commodity inflation cycle, our understanding is it's not the one which is facing us. There will be blips which we have to manage because of the business.

Jinesh Gandhi: Got it. And last question on expansion or the ramp-up of new models, both Hunter and Super Meteor. So how are we planning to ramp it up, both in terms of production as well as the launches in the export markets where we have not yet launched, for example, Hunter is yet to be launched in LATAM and other markets, and Super Meteor beyond Europe. So, how do we see that?

B Govindarajan: See the Super Meteor is a first thoroughbred cruiser from Royal Enfield, and we have already dispatched about 4,000+ Super Meteor across the globe. What's happening is more and more demand is coming up and the team is also now working on how to improve the productions. And we are in the process. You will see the production ramping up with the next weeks to months to come. So there will be a constant ramp-up increase, which will take place.

Jinesh Gandhi: And product launches in the global market, primarily Hunter in LATAM and Super Meteor beyond Europe?

B Govindarajan: Yes. So we started launching market-by-market, almost most of the market we have introduced. I mean, when we are talking about the last two days, even in Australia and all, our team is actually launching the Super Meteor. We have done Hunter launch in the USA. So depending upon the availability, depending upon the homologation in hand, we keep launching it.

Siddhartha Lal: Sorry, Govind let me cut you off. But just to reconfirm that all of our products are global products. They will all have a place in every market by and large. I mean there may be a small exception here and there, but certainly, for example, in the case of Hunter, in the case of Super Meteor, they will go to pretty much every single market we have. Now there is a cadence as Govind said, because of homologation, because of market situation, because of seasonality in markets, all of that, we prioritize markets over others. But other than that, you're going to see all our products in every market. And over time, you're going to see that happen quicker. I can see the background you are coming from. Okay, look, it's been many months, why isn't it globally? Yes, we understand. And in our future products, we are trying to reduce the gap from global launch to availability across the globe, right? So we are trying to do that further.

Jinesh Gandhi: Got it. Thanks and all the best.

Basudeb Banerjee: Thanks, Jinesh. Next, we have a question from Chandramouli.

Chandramouli: Yeah. Thanks for taking my questions and good evening. So the press release mentions that the Super Meteor 650 will be launched soon in the APAC and Americas markets. So just trying to understand, sort of based on your international market models, is America a larger opportunity for Super Meteor than Europe? Or is it maybe not the right understanding? And also based on sort of initial customer feedback, is the Super Meteor likely to be more of an export market-focused product than domestic for us? And are there any supply chain factors to keep in mind as you ramp up production on this model?

B Govindarajan: I will go from behind, talking about is it only for export? No, it is a global product. It is also equally being bou

ght by the consumers in India and the booking is going up. Obviously, you don't ask me what's a booking number, I'm not going to tell you. But booking is very good even in India. International market, the traction has been very good. As Siddharth was mentioning, we are opening

market-by-market with the ramp-up coming up and the homologations, which are coming up into this. So it's in the execution mode. You will see these things, which will happen in the next weeks to months to come. So everywhere, it will be available.

Chandramouli: Got it. That's helpful. My second question is on the export markets. So it appears that we are close to a 10% market share on average in the global middleweight market in the previous fiscal. So we've made a lot of progress in setting up sort of more exclusive Royal Enfield stores in the recent years. So could you share some color on what are the incremental market development activities that we are considering in the export markets? Are there any details on the current split of sort of volumes between the exclusive stores and the multi-brand outlets? And maybe what percentage of the exclusive stores are company-owned versus third-party? And sort of lastly, if you could share just export market revenue for the full-year and then non-motorcycles revenue for the full-year? Thank you.

B Govindarajan: Too many questions, maybe I lost track. Maybe I'll just go. In terms of number of outlets, there are almost 1,150 premium retail outlets outside India, which have exclusive stores and also a multi-brand outlet out of which 207 are exclusive stores outside India, I'm just talking about and almost about 950 are multi-brand outlets.

Siddhartha Lal: And just to add there, none of them are company-owned. These are all third-party stores.

B Govindarajan: So what's our focus in the international market, we almost got the market share in all the markets where we are in the middleweight between 8-10% range. That's where we are. The addressable market is very good. It's quite huge. In fact as Siddhartha, was just explaining, it's as good as about what's there in India now for the middleweight about 1 million motorcycles outside India. So there is a huge headroom for Royal Enfield to grow. What Royal Enfield have to focus on is getting the right products, and that's what we have done with our Classic 350 on the J platform, then the Hunter 350, which we brought in and the Super Meteor and very recently, we have done the refresh on our Twins platform of motorcycles on Continental GT and Interceptor. All these products are getting accepted very well. We are also working extensively on community connect because what we understand is delivering a pure motorcycling experience, and that's what we focus on even outside India, in creating a culture of motorcycling which is what we believe is Royal Enfield. So with all the spare parts issues sorted out, with the retail outlet numbers which are going up and in the products, we have a huge headway for us to grow in the international market.

Chandramouli: Got it. That's helpful. And just lastly, if you could share the export market revenues and the non-motorcycle revenues for the full-year please.

B Govindarajan: Yes. We'll come back to you on the second point when we're digging out the numbers.

Chandramouli: Sure. Thank you very much and all the best.

Basudeb Banerjee: Thanks. Next question we have from Kapil Singh. Kapil, please unmute.

Kapil Singh: Yes. Hi. Thanks, sir. Congratulations on a good set of numbers. Firstly, if you could just talk about what you're seeing on the demand outlook across these segments, there was some discussion that we had last time that on Hunter, we are also looking to expand presence across Tier 2, Tier 3 towns. So how is the reach right now? And overall, what are you seeing in the industry?

B Govindarajan: Okay. Hunter, we will talk about it. Hunter when we launched, we started looking at the main markets A, A+, B and all. Now the next focus area, which we have been talking about in Hunter, is in Tier 2, Tier 3 cities also. But for Royal Enfield last year, in all the areas, rural, urban everywhere, the growth has been very good. Now with the ramp-up, which has been a very good situation for Hunter and the booking is also going up. So the supply situation has become better, it has eased out, so now the focus is more on even the rural markets. That's on the Hunter. What's the next question, which you're asking, Kapil?

Kapil Singh: On the overall market, what are you seeing, right? So in domestic and exports both?

B Govindarajan: Look, exports, there are macro issues, which all of you know, there are inflation pressures, energy cost is high and all those things. But the mobility solution, which is required especially for the two-wheelers hasn't come down. There are no signs which are showing at this stage, it's on a high pressure point, but it has to be watched because nobody gets that particular situation on a macro level. As far as the domestic market is concerned, I think it is coming back to the overall market. The market may not come up to the pre-pandemic level completely, but it is coming up. The good sign for Royal Enfield, which we are looking at is the premium segment, the premiumization is better. The premium segment is growing, and we have grown better than that. And as that segment is growing and with the outstanding products which we have launched, especially Hunter, which is now getting, reaching into all the rural areas and Super Meteor, the Classic 350 and the new products which we have lined up for the coming year, when the market opens up, we will have a very good traction and a good growth for Royal Enfield.

Kapil Singh: Great. And sir, the second question was on electric vehicles. We have started some initial Capex there. So could you talk about how you see the salience of electric vehicles in your segment over the next few years? Is it viable as you see things right now or will it take some time? And how much Capex is going towards electric vehicles? Can we talk about what kind of capacities we are creating there and when we will start launches?

B Govindarajan: So electric, the transition will take place. It's only a question of how many years it will take. Initial adoption is not a motorcycle, it's scooters over a period of time the adoption will take place even in the motorcycle segment because the cost, the total cost of ownership, if I have to put the battery cost and all the other costs which are there for motorcycle of our nature, especially for the leisure motorcycles, it will be a bit tough because ICE will be cheaper in that way. But over a period of time, commodities like batteries and all those things when the cost comes down, the TCO will come down, which will become a compulsory reason for the consumer to buy, but it may take a few years. That's our understanding at this stage. What is important is even ICE in the premium segment that is growing, and we see at least for a few years that the growth will be continuing. So we have to invest both in ICE and in EV, and that's the Capital outlay that we have talked about. As it is mentioned about ■1,000 crores, which is involved is for ICE new products and also EV. At this stage where we are in EV, our focus is more on product development rather than just the capacity enhancement, capacity enhancement will come at a point of time, and we have done the strategy at what point of time we have to build the capacity. But we have the factory space, which is available at our Vallam facility, we will build up the line which is required for EV manufacturing also in that place.

Kapil Singh: Any time lines you can share on the launch, when is it expected?

B Govindarajan: The timing is, I think it's up and public. A lot of people have been saying that 2025-2026 and what we are working on. We have to get a product which is very disruptive when it comes at a point of time. So our focus has been, what sort of a product, what sort of an experience. What's the take for Royal Enfield when we come out with the electric motorcycles, our product strategy work and what are all the products and the number of products at what point of time you have to come up, that all has been lined up. So our focus as of now is all about getting the product right and working with the ecosystem and the suppliers to see that all the capacities are plot and get the motorcycle on. So you will see at an appropriate time when we come up, maybe at an appropriate time, we will come back to you and then say we are ready now that's the time we are going to launch.

Kapil Singh: Okay. Thank you so much. Have a good day.

Vidhya Srinivasan: So I’ll just confirm the values that you guys were asking for. So international revenue is about ■2,080 crores, and the non-motorcycle revenue for the year is about ■2,041 crores.

Basudeb Banerjee: Thanks. Next question we have from Amyn Pirani.

Amyn Pirani: Hi, thanks for the opportunity. I just had a follow-up on the exports. So we know that the seasonality of exports is slightly different from domestic. But especially in the last few months, we've seen a lot of volatility, now when I look at near-term numbers, March was very strong, but I guess that was because the Hunter exports ramped up and then April. So when I look at April, is it seasonality? Or is there some slowdown? Can you give me some sense as to what you're actually seeing, at least for

the very near-term because I think we have passed the stocking cycle for the riding season for the overseas markets, if I'm not wrong. So some color there would be helpful.

B Govindarajan: Our focus is always, as we mentioned, we don't look at the short-term every week, every month, how things are, right? But what we normally look at is for the long-term, what is that we have to do for those markets. Our international market ambition is very high because the addressable market is very good and our product is getting accepted very well. The brand is being recognized very well, everyone starts looking at the Royal Enfield products as really gorgeous looking and it's exactly what they want: simple, it has a relevant technology, which is there in the market. With all of these things, we see there's a huge potential for Royal Enfield to grow. April, one odd month, you know there are issues in some countries. There are poor transitions which are there. There are strikes going on in some countries. One thing which I have to bring to all of you is, in fact, in the U.K. we are taking over the distribution from this month onwards, so there are some stocks which have to be adjusted and all those things. So these are all the operational metrics, which is what is being there. Riding season is starting now, and retails are becoming better. We have a clear vision of how to become the leader in the international markets for which all the activities that are required, that's where the focus is.

Amyn Pirani: Thank you. That's helpful. And just one question on financing. What would be the broad retail penetration for you in India right now? And how do you see that going?

Vidhya Srinivasan: Yes. About 55% is our penetration. I think it's been pretty consistent. And I think we do obviously see that over a period of time, it will keep ramping up, but it has been steady for us.

Amyn Pirani: Great. Thank you. I'll come back in the queue. Thanks a lot.

Basudeb Banerjee: Thanks. Next, we have question from Pramod Kumar.

Pramod Kumar: Hi, thanks, Govind, Sid, Vinod, the great set of numbers. So I think I'll first ask the CV question because there's a lot discussed on RE already. On VECV, Vinod, sir, I think a great performance, and I would like to use this opportunity to ask you on the outlook for the CV industry, M&HCV industry particularly for FY2024 because there are a lot of concerns about whether the growth is slowing down, whether we are in the last lap of the CV up-cycle. So if you can share your thoughts, given your decades of experience in space, how do you look at the M&HCV volume growth for this year, sir?

Vinod Aggarwal: I think there is still a lot of room for growth because if you look at the industry position, it is still lower than the earlier peak of 2018-19. We are in the recovery cycle. First of all, if you look at the overall economy, the Indian economy is now $3.5 trillion. And we are fairly confident that this economy is going to grow year-after-year. And if you go by the government's estimates, they are saying 5 trillion economy in three to five years. And it doesn't happen in three to five years maybe it will happen in six or seven years. Therefore, growth is imminent. The economy is going to grow. And if the infrastructure investments where these are going, like this year, the allocation is ■10 lakh crores, in the fiscal budget and next few years it is going to be, I think, $1.5 trillion, so therefore, the CV industry is going to be benefited with all this traction in the economy as well as the infrastructure investment. The second major reason for growth is the replacement market is going to be very strong because the old trucks are not able to meet the productivity or efficiency requirements of the customers. So therefore, all the old trucks, which are more than five to six years old, which are there with the fleet operators or with the transporters, they would be required to replace, because it would have more improvement in infrastructure and also the expectations of customers. You have to meet the speed requirements. You have to meet the timeliness requirements. You have to meet the productivity and the cost requirements, these can only be met by the new trucks. Therefore, the pent-up replacement demand due to the COVID and real replacement which is going to happen in a very strong manner, that is going to be there. So that is the second major reason for growth happening.

The third is you were asking about the heavy-duty trucks. Heavy-duty trucks, the earlier peak, were 295,000. We are still at 247,000 last year. So heavy-duties, they are still lower than the earlier peak. Even though the light-and-medium-duty trucks, they have now reached the earlier peak. As far as the bus market is concerned, you will see a lot of growth coming in the demand from the State Transport Undertakings, because State Transport Undertakings have got a very old fleet. So there will be huge requirements coming this year itself of the bigger buses from the State Transport Undertakings. And

the school Segment is becoming very, very strong for the light and medium-duty buses, you can say up to 11 meter buses. So therefore, that demand for buses, we will see good growth in the current year. Only right now, the stress in the global markets or the exports out of the country, are down significantly. But they will also improve once the situation improves in the South Asian markets of Bangladesh and Nepal. Mostly the pain is there in Bangladesh, Nepal and Sri Lanka of course. However, the market is good in the Middle East and the African market is not that impacted. And of course, there will be go

od markets even in Southeast Asia, Indonesia or Malaysia. We are also now going to explore two Latin American countries. So therefore, I am very, very positive about the CV industry. You will see good growth at least for the next two to three years.

Pramod Kumar: So Vinod ji, is it fair that the industry could see double-digit volume growth on the M&HCV side this fiscal too, industry side?

Vinod Aggarwal: I'm expecting that. Yes.

Pramod Kumar: Okay. Thanks a lot for that sir. And the second question is on Royal Enfield, Govind. I think it was a great performance so far. But how should one look at a growth for the company or generally in terms of the industry-wide premium segment, as you look into the next two to three years Govind especially on the domestic side because for us, Hunter has definitely done very well in the domestic market and probably going to work very well in international too. But what I'm trying to understand is, when do you expect the portfolio ex- Hunter to make a stronger comeback, like the Classic, the Meteor, the Himalayan, when do you expect that portfolio to start firing for you? Because you talked about demand recovering on the domestic front, the premium category. So is it fair to assume that we could see growth on a consistent basis even for all the models ex of Hunter as well?

B Govindarajan: Pramod, that's a very big question which you have asked. The overall two-wheeler even now, at least in India, it hasn't come to that level of pre-pandemic. It is inching up there. It's slowly coming up. The sentiments are positive. It is slowly coming up. As Vinod was mentioning, the economic growth is pretty positive. Premiumisation in the two wheeler segment is better. The discretionary spend is also going up. So all the signals which are there, the market is going to grow. What we are now looking at and the market is growing, have we done our basics right and are we on top of it. Our brand positioning is strongest, the two-wheeler brand in India with unparalleled heritage. We have premiumization of the market. We are there, all the products which we have. We have fantastic new products which have been launched, especially Hunter, now we are going into the rural market also more. And we have about 2,100 premium distribution network. So India, I think with the product, with the network and the market development activities, which we are doing, with the economic things which are getting opened up, we feel there is a good potential for us to also to grow. Even now, our market share in motorcycles is only about 7%, 8%, right? So there's always a good potential for us to do this, because Royal Enfield looks at actually developing the market rather than looking at only taking a pie out of it. We always believe like that.

Internationally, the addressable market Pramod is almost one million units. There also, we have a market share of only about 8%-9% as of now. All the new products, which are global products of Royal Enfield, are all getting launched one by one. This year, you will see the traction in those areas also. We also have a huge potential in the non-motorcycle opportunity, right? We are in accessories, apparel, spares, well sorted out, and in the international market, as of now, we have to now get on to accessories business and all in a bigger way. We have the configurator, which we launched for our accessories. So even the older motorcycles, if somebody wants to change accessories, they can actually configure, see it on the configurator and then order. So what we are looking at is we are continuing to focus on what is right for the company when the market opens up, there's a possibility for Royal Enfield to really, really garner the market share. That's the confidence, which we have.

Basudeb Banerjee: Thanks. Next, we have a question from Gunjan Prithyani.

Gunjan Prithyani: Hi. Thanks, Basu, and thanks team for taking my question. Most of my questions have been answered.
I just had two follow-ups. One, I'm just trying to get some clarity on this production, which has been sort of lagging for the last two quarters. If I look at the dispatches they have been, let's say, to some extent, quite ahead of where the production level is. So is this a supply constraint that we're still facing? Is this some deliberate inventory adjustment that we are doing? And particularly, the

production is lower for Meteor 350. So I'm just trying to get colour on what's going on for the last six-seven months on the production side?

B Govindarajan: Hi, Gunjan. I don't think we have any issues in the production to be honest now. Having said that, you raised it, we'll also go through it. But I must tell you Hunter, when we're looking at a point of time, what should be the capacity, which we have to build. We built a particular capacity to a fantastic situation to be in more than what we have invested and then what we thought the Hunter has started doing very well. So we immediately started looking at the ramp-up. So Hunter ramp-up is almost done. The second new product is Super Meteor that also has come back as a positive thing to us is that it's a good number. The booking is going up. International market is doing very well. But in the month of April, we had an OBD transition. So we have to be careful about the inventory. To that extent, we also did some adjustment in the overall inventory. Otherwise, production is not a constraint, model to model when the ramp-up is taking place, maybe it will take some weeks and months, but it's all in the road-only, Gunjan, we don't need to worry about that.

Gunjan Prithyani: So I should read mostly this as a transition to OBD, that some level of inventory adjustment has played out in the last couple of months?

B Govindarajan: In the domestic market, yes.

Gunjan Prithyani: Yes, okay. And then second, a little bit on the non-motorcycle business. Now if I look at this it has gotten to 14%-15% of our revenues. Last year, of course, saw a big jump, but then motorcycle revenues last year were lower. But in a normalized year like FY23, we are at about 14%, which is quite a good number. So I mean, just trying to figure out, how should we now think about the growth in this business, does the share of revenues continue to inch up further? Or should we think this is growing in line with the bike business? And if you can just share more on what's really been driving this growth? I mean, spares is something that we all understand, but maybe on the other parts on the non-motorcycle?

B Govindarajan: Yeah. Maybe I'll just give you some colour on this. Our motorcycling accessories, we are in a very good state now. We are adding more SKUs not just because we have to add SKUs and get business. While we do this, it's all about how we get the consumer to enjoy the comfort. So some SKUs are for comfort. Some SKUs are for style, some SKUs are for safety, some SKUs are for the experience, if he has to go for a touring or something like that. So what we are looking at is in every product, what are all the SKUs which we can add in the accessories business, which gives them the experience which the consumer wants. So there's a lot of work which is happening in building the SKU for the GMA portfolio, that itself will bring in more revenue into this. We also brought in the configurator, Gunjan and for the accessories because in our purchase cycle, when new motorcycles are being purchased they can go into the Make it yours platform on our website. So that's where they normally buy it. That's where the majority of the GMA purchase also takes place. But we also found that for older motorcycles that people want, so we brought in a configurator which we are extending. There is a t

raction which is coming up. In apparel, we are once again looking at our riding gear range improvement, collaborations with leading brands like Alpinestars, TCX and all. So it's all about what sort of an experience which we will give through this product, wherein the consumer will see, wow, I have a really nice product from Royal Enfield, which we should actually buy. So that's how – it's a business which has to give and revolve around motorcycling, and that's where the focus is also, Gunjan.

Gunjan Prithyani: Okay. Got it. Sorry, just the last question, if I can pitch in here is on the Bullet. Bullet is still on the old platform, right? And now the OBD transition has happened. My guess is that it is compliant under the new norms. But if you can give us some colour as to when this moves to the new platform or anything, any timelines you can share?

B Govindarajan: Bullet you see as of now, it is available, and it is growing. And at some point of time, Gunjan, we will do the transition. The way we have done the transition on the Classic 350 seamlessly, which you yourself have asked if there is any order inventory which is left out? We are good in the transition. So we'll do the transition smoothly.

Gunjan Prithyani: Okay. Got it. Thank you so much.

Basudeb Banerjee: Thanks. Next, we have a question from Raghunandhan.

Raghunandhan: Thank you for the opportunity and congratulations on a good set of numbers. To BGR sir, for Super Meteor in domestic market, out of the order bookings that have been received, how would be the customer mix, trying to understand what would be the share of existing RE 350cc owners who would be upgrading to the 650cc Meteor, trying to understand whether this is being seen as a credible upgrade by existing owners?

B Govindarajan: Super Meteor is a thoroughbred cruiser and as of now, we have disposed of almost about 4,000 plus units across the globe. We have Meteor 350, and we also have Super Meteor 650, right? Those who enjoy an easy cruising, which gets on to that long distance also and cruising also enjoys, it's about Meteor 350. The 650 Super Meteor is also for the people who enjoy long distance, right? But that's also an easy cruising, largest booking motorcycle. So it will take some time for people to understand. And especially, when the road development activity takes place in India. I tend to become very happy about it because that's where the Super Meteor will actually find a space. And more and more new roads, which come up and people enjoy long distance riding. Super Meteor is an exact product for that because it's so simple to handle. On the upgrade cycle, whether the 650cc people will directly move there, because the people who love that Continental GT is one set of consumers. They enjoy the style, they enjoy the customization, which can be done on that. Somebody would like the Interceptor 650, which is a roadster type. So that actually caters to the set of consumers who want an experience. Super Meteor is for a long-distance ride. So, this is a fun set of consumers. So it depends on what the consumer wants. But we have all the set of products which are available and it actually answers to the needs of those consumers. So it won't be a direct replacement from one-to-one type.

Raghunandhan: Thank you, sir. My second question on the network expansion in the domestic market, how do you see that target for the number of outlets, I mean, mass market two-wheeler players have a notably higher number of outlets compared to Royal Enfield. Even car companies like Maruti have many more outlets than us. So, on an annual basis, what kind of network addition do you expect?

B Govindarajan: As of now, Raghu, we have almost about 2,100 Premium retail outlets across India, which has a mix of studio s

tores and the dealership outlets. What is more important to look at is, the market is also growing, some areas where at a point of time, the auto cluster, which has been very good, probably would have been there. And we've also gone in for stores there. In some areas with the auto clusters coming up at that area, we were not present. So now, the focus of the team is actually to look at proliferate then consolidate. That's how we should actually look at any of these strategies. We should not blindly proliferate because we are very conscious of the dealer profitability and we give utmost importance for every outlet's profitability for the dealers. So to that extent, our focus as of now is optimal reach is what is required. If we have to increase numbers in the area where the auto clusters are coming up, we will go there. In the area where the auto clusters are not okay, we will define that area because we have different formats. And we will actually adopt that format. So if I have to tell you in one sentence now, it's all about optimizing the entire retail network.

Raghunandhan: Thank you, sir. That's very helpful. That's all from my side. Have a good day.

Basudeb Banerjee: Thanks all. Due to time constraints, this was the last question. I'd like to hand over to Sid for his closing comments. Over to you, Sid.

Siddhartha Lal: Thank you all so much for joining us so late in the evening in India at least, and we are absolutely delighted about, like I said, our performance last year. I think it was absolutely fabulous. We've had good start into this year, and we have lots of exciting things, both on the RE side, on the VECV side, new products, new initiatives, and of course, a lot of work being done on the EV journey as well, so lots of interesting things in EML and in VECV. So thank you very much once again for joining us, and look forward to seeing you next quarter. Bye-bye.

Basudeb Banerjee: Thanks. I can see many follow-up questions; a few questions are answered. So I would request all of you to reach out to the IR team for all your queries. Thanks. That's all from us.

B Govindarajan: Thank you very much.

Call: Aug 2023

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MR. B GoVINDARAJAN -CHIEF EXECUTIVE OFFICER RoYAL
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Basudeb Banerjee:
Siddhartha Lal: Eicher Motors QJFY24 Earnings Call
Aug3, 2023
Good evening, good afternoon, good morning to all the participants. Welcome all to the Q 1 FY '24 Post Results Conference Call of Eicher Motors Limited. We are thankful to the management for giving us the opportunity to host the call The top management is represented by Mr. Siddhartha Lal, MD and CEO of Eicher Motors; Mr. Vmod Aggarwal, MD and CEO of VECV, Mr. B. Govindarajan, CEO of Royal Enfield and Ms. Vidhya Srinivasan, Group CFO of Eicher Motors. Without wasting any time, over to the top management. Thanks.

A very good evening to all of you and thank you for joining us this evening for Ql FY 23-24 earnings call for Eicher Motors Limited. I hope you all are well. And yeah, thanks again for joining us. As you've seen the numbers, we've had an absolutely stellar start to this new financial year. We've had a great Q1 and have registered our best ever performance for the fourth consecutive quarter now. We recorded our highest ever quarterly revenue, highest ever quarterly EBITDA, our highest ever quarterly profit after tax, and we had significant milestones as well in both Eicher Motors and in VE Commercial Vehicles last quarter.

At Royal Enfield, we had an absolutely fantastic sales performance in Q 1 with more than 2.25 lakh motorcycles sold. So that's over 225,000 motorcycles sold, which is a growth of 21% over the same quarter last year. We continue to define the middleweight segment and grow the share of the middleweight segment in the overall motorcycling space.

In international markets, despite a tough macro backdrop, where the overall market has also been down for motorcycles, we continue to hold and even gain market share across most regions in Ql. The Hunter 350 that we launched around a year ago has really matured and h

it all the right cords
with consumers in India and around the world now.

As of July, we have a 2 lakh or 200,000+ strong community for the Hunter across the world. And it's been just 11 months. We're really confident that the Hunter brand will keep growing. New customers will keep discovering this amazing motorcycle. It's also a testament to our capability at Royal Enfield of identifying sharply a new segment within our overall framework and chosen segment and going after it with very sharp, very solid, very thoughtful new products. So, it's become one of our higher selling models in just 11 months, which is tremendous.

We've also launched the Super Meteor 650 across most markets in the world and to tremendous response. We've had really, really good responses around the world again as the most refined premium middleweight cruiser. And it's really doing that job well in markets around the world. It's very exciting to see our ideas that we've had over the years come into reality, come into the market, hit the road and be successful. It takes a lot, but we're there, once again, with the Super Meteor650.

On the EV front, we've made tremendous progress on all of our electric mobility plans. We've grown the engineering team over the last few years and have a very strong capable engineering team. We've now actually also been growing the commercial side of the EV team because it's not just a good product, we need to have a solid business, brand, distribution and every other aspect in EV for Royal Enfield. So, there's a lot of work going on, on all fronts on the EV business as it were.

Coming to VB Commercial Vehicles Limited, our joint venture with Volvo Group. Q1 marks our highest ever first quarter sales for VECV and we're very proud of that. And this is across all business segments. So light, medium-duty trucks, heavy-duty trucks, buses, and components. We've had our highest ever sales in all of the segments there. It's really quite exciting times.

During the quarter, VECV also commenced delivery of the next order of 9-meter electric buses, which is the Eicher Skyline E, we call it, to the K.erala State Road Transportation. We are now really in the thick of electric buses on the road for VECV, an Eicher brand, which is, again, a new journey together and doing well.

VECV is continuing to enhance its service and network through modernization. And in particular, our entire enormous focus on uptime as we've been calling it and as we've been doing it for the

last couple of years has really paid dividends of being able to give that satisfaction of that modem uptime treatment to customers where they're not used to that level of service, that level of support where their vehicles are just running 99%+ of the time. And that's the promise we give our customers, along with amazing trucks. And that's the reason we're seeing good growth, good market share growth, good gains across the board. Yeah, so that's on VECV.

Coming to consolidated financials for the Ql FY 23-24. EML clocked its highest ever quarterly revenue actually at ~3,986 crores with a growth of 17% over the same quarter last year. Our EBITDA crossed ~1,000 crores, so that ~1,021 crores, up 23% and our EBITDA margin crossed the 25% threshold. So, it's at 25.6% against 24.5% last year. All of this resulted in a Profit After Tax oH918 crores, which is the highest ever and 50% up from last year.

So again, solid growth, solid gains, solid profitability in Eicher Motors. And last week, we also released our Annual Integrated Report for FY 22-23 that captures our performance through the last financial year and our initiatives undertaken by EML towards a commitment for our next stage of growth. And for a stronger ESG vision. I hope all of you had a chance to go through it.

Now I'll hand over to Govindarajan first to take us through the business highligh

ts for Royal
Enfield followed by Vinod Aggarwal for VE Commercial Vehicles Limited. Thank you very much, and over to you, Govind.

Thank you, Siddhartha. Good evening, everyone. Hope you guys are doing well. At Royal Enfield, after registering a stellar performance in FY23. We had a very, very positive start for FY 23-24. We have continued our growth momentum, and it's there in all the products which are growing with it.

To begin with, let me just share with you the numbers in this first quarter. We sold almost 2.25 lakh motorcycles. That's about 225,000 motorcycles in this quarter, which is 21% higher than the last year's Q 1. In India, we sold almost about 207,000, it's about 2.07 lakhs, which is about 31% higher than the previous year. As far as the network is concerned, we mentioned that we are not going into the expansion just like that. So, this is the optimization phase, we added during this quarter about 1 0 new dealerships in India and about 22 new stores in the international markets, taking the total overall network to almost about 2,034 in India and almost about 1,090 outside India.

During this quarter, we also inaugurated our new CKD facility outside India at Birgunj, Nepal to address the growing demand in Nepal and in the SAARC region. This is our fifth CKD plant along with the CKD plants which are already there in Brazil, Colombia, Argentina, and Thailand. The new CKD facility at Nepal will actually locally assemble our entire range of motorcycles for that particular market. We have already done almost 1,300 numbers out of that facility in Nepal.

As Siddharth mentioned, we have made significant progress even in our EV journey. First, the focus had been on the technical area to get the right kind of people. We have almost about 1 00+ people who are dedicated and who are working on this area. As we mentioned in the last call also, we are now into the execution phase. Now we are moving into the commercial side, where we are building up our own team. And we are also into the supply chain side, focusing on make versus buy. Which are to be made in-house, which are to be bought out and onboarding suppliers for the cells, motors, controllers, etc, that's an activity which is happening. So that's in full speed now in the EV as an implementation phase.

You all know Royal Enfield is all about community. We work with the community. So, one such thing is our Motoverse. So last year, we had almost 18,400 people who registered for that. This year, Motoverse is once again open for registration. Some of you please do join along with us. It's a 3-day festival, which you all should be there. It has been heartening to see the response after we opened the registration, in thousands, which has already started coming in.

On the ESG, there's a lot of focused effort, which has been going on in this. We have made significant progress in reducing the carbon emissions at our factories. We have almost 39% of our

Vmod Aggarwal:

total energy consumption which is now renewable energy, which is almost a 4x increase in the renewal energy consumption over the year. All our plants are zero discharge, and we also looked at water positivity. So, the water positive index for all of our manufacturing plants is 2.6. It means the water which we are consuming, we are actually percolating more into the mother Earth. That's how it is. In this year, our key focus is also zero waste to the landfill, which we are taking on in every value chain of our entire supply chain.

In conclusion, at Royal Enfield, it has been a very great beginning in this quarter and working towards sustaining and growing this momentum in the time to come in this year. Now I will hand over to Mr. Vinod Aggarwal to take you through the VECV performance. Over to you, Vinod.

Thank you, Govind, and thank you, Siddhartha. Very good evening to all of you. L

et me start with

giving you an update on the CV industry. CV industry has done reasonably well in Ql, with Bus segment and Heavy-Duty truck segment in the industry growing, Bus segments have grown, in fact, by around 35%. And agri-truck segments have grown by 10%. However, there has been some drop in the light and medium-duty trucks. At the same time, going forward, with the economy continuing to grow and good monsoons and infrastructure investments continuing, it is likely that the CV industry will continue to grow in the balance part of the year also.

Now coming to our performance highlights in brief. Our heavy-duty trucks, both combined Volvo and Eicher trucks, had the highest ever Ql sales of 5,166 units as against 4,006 units last year quarter one with a market share of 9 .4%. In light and medium-duty trucks, we had the highest ever Ql sales of 8,308 units as against 7,515 units with a market share of36.9%. As you all know, last year, our market share was 31.2%. So, the first quarter was 36.9%. In the bus division, we had again the highest ever sales of 4,907 units in the first quarter as against 4,219 units, with market share of25.1%.

Export markets have continued to drop, and they are under stress. And our sales have also dropped significantly. Our sales in Q 1 was 716 units with a drop of 58.1 %. We had the highest ever quarterly parts sales with combined both Eicher and Volvo trucks and buses of ~478 crores, registering more than 25% growth in quarter one of the current year. Then we had the highest ever quarter one turnover of ~424 crores in our components business, registering more than 18.5% growth over last year quarter one. And we had, again, the highest ever Q1 sales of 14,816 VE Powertrain engines registering more than 21% growth over previous year Ql. And we have seamlessly transitioned the entire range of trucks and buses to the Indian BS-VI OBD2 standards that came into effect from April 1, 2023. And we continue to strengthen our position in the truck segment with the introduction of new variants, which will cater to the growing e-commerce applications. And on the electric vehicles business and as well as the network and our other after sales initiative, Siddharth has already briefly mentioned, so I'm not covering that here.

Now giving the VECV's financial performance. For the first quarter, our total sales for quarter one have been 19,571 units with a growth of12% over previous year quarter one ofl7,469. As you all know, the industry 3.5 tons and above, the growth was only 0.5%. So, we have outperformed the industry, resulting in our all-round market share growth. As far as revenues are concerned, for Ql, we had a total Income from Operations of ~4,991 crores. as against ~3,934 crores in Ql of last year with 27% growth. Our EBITDA for Ql has been ~387 crores as against n18 crores last year with a growth of77% and EBITDA margin this year has been 7.9% in Ql as against 5.7% last year. Our Profit After Tax has been n80.5 crores as against f59.4 crores last year Ql. And our PAT percentage for the current year quarter one is 3.9% as against 1.5% last year. Now, I hand it over back to Siddhartha to take it further.

Thank you Govind and Vinod, for the updates on Royal Enfield and VECV. And thank you all for being on the call with us today. It's been an absolutely tremendous first quarter for us. And it's a great start for us to the year. We at EML, we are committed to constantly elevate our product offering, our business. And this year, you will see a lot more exciting things from us in terms of new products, in terms of business development, and other areas. So, lots of interesting things are going on. We are a solid focused team at EML. And on the RE front, a very motorcycling first, motorcycling oriented team. We have a robust, long-term thought process, strategic plan that we

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go after and world-class capabilities, infrastructure, and outstanding product lineup. We continue to evolve, we continue to expand our network, our capabilities, our stores, our distribution, all of that. And we truly believe that this will continue the growth for EML in the coming years both on RE Front and on the VECV front. So that's it from my side for now, and over for questions. Looking forward to hearing from you guys now.

Thanks sir. We can start the Q&A session. Requesting all to raise your hands if you have any question. And also, kindly restrict your questions to two per participant, so that we can maximize the number of people asking questions. We will start the Q&A with Jinesh. Now you can start.

Yeah, hi. So quickly, starting with Royal Enfield performance, so can you talk about the divergence in margin performance versus the mix? So, we had lower share of exports and higher share of Hunter, but still margins have improved quite substantially. What has driven this margin on a YoY or QoQ basis?

So basically, margins have gone up about 1.5%, which is the impact of price hikes that we had taken on May 1, that is flowing through the margin. Apart from that, about 0.8% is on account of the savings in sourcing costs, which we talked about last quarter as well. And of course, the international mix is therefore weighing down, so that's essentially making up the overall growth in margin.

Got it. And we have seen a very sharp increase in employee costs, any bunching up in the first quarter or this is the normal run rate now?

Well, actually, it's a combination of multiple things. One is, of course, we had increments as far as the first quarter is concerned. Apart from that, a little bit of increase in the number of employees because obviously, our production volumes and sales have also ramped up. So, I think that is also kind of adding to the employee costs, a little bit of gratuity, but yes.

Got it. So again, the last question is on the export market. So globally, we have seen some calibrations in a number of outlets on multi-brand ownership, they have come down from 950 in the fourth quarter to about 820 now. So, what are we doing there? I mean, is it just a network optimization, what we're doing? And the second part question is we have also talked about Studio stores in international markets. So, can you broadly touch upon your evolving effort strategy for the international market? That's my last question.

Yes, Jinesh. The international market, I think in one of the calls, we also discussed, we are a long-term aggressive company. We don't want to do anything in the here now or rush into this. We believe that it has to be a pull brand. That's how we are. Go to the market, develop the market, let the community enjoy motorcycling. Let them start demanding for Royal Enfield motorcycles. That's how it goes. Wherever we have entered in the last three years, we have gained a market share of almost about 8% averaging, and in a few markets, we are almost about 9.2% too. What are we doing there? As I mentioned, community building is the first activity which we are doing. A lot of new products which we are now lining up, which are all export worthy because statutorily it should match to all these things. So now Royal Enfield makes only the global product.

In terms of reach, we have as of now about 1,000 retail outlets. Most of them are multi-brand outlets, not a studio store format barring about 14 or so is our own. So, in those areas, what we are looking at is slowly increasing the reach through the multi-brand outlets. At a point oftime, Royal Enfield multi-brand outlets, we have to go and search for people. Now there are a lot of people who are showing interest because the brand is known. The products are very good. Acceptance is very well. That's where o

ur focus is. So, it is all about community building, new product launch,
taking into this market, looking at the relevance for that and reaching out to the consumers, setting up of the entire service network, which is required. The entire background activity which is required for the growth is what is the focus and that's happening.

Okay. But are we also looking at the studio store format? That's what the presentation talked about.

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Yes. Jinesh, there are different formats, right? In India, we have a dealer format. We have a studio format, and why we have it is depending upon the size of the market, depending upon the ecosystem's dealer profitability, which one is better. So, we have our own exclusive stores in the markets and the sizes vary depending upon the market sizes and all. So, the studio format per se of just having four motorcycles and all those things may not be there in the international market immediately because there multi-brand outlet is a way of life. At the multi-brand outlet, now we are getting the prime space wherever we are going. So that's how we reach the consumers in the international market.
Thanks, Jinesh. Next, we have a question from Chandramouli.
Hi, good evening and thanks for taking my questions. My first question is just on the competitive landscape. So, we've been sort of early leaders creating the middleweight market in India. And there are some other sort of credible competitors looking to compete in this space. We've always been sort of a long-term thinking company. So just wanted to hear your initial thoughts and your initial read on sort of the current situation and how you see it progressing overall?
Siddhartha, maybe.
Yeah sure. So, I mean this is an inevitable question, but also I mean competition is in itself inevitable. Over the course of the last 15 years, we have really grown the segment from sub 50,000 units, and I'm talking about the mid sized space in India, I'm talking about right now, which is 250 to 750 cc. We've grown it from sub 50,000 to nearly 1 million units to 10 lakh units. So, it's been a lot of work. And in that time, we've had lots and lots of competition. So, it's not that we haven't. This is just a new wave that we are seeing right now. But we've had lots of competition from all the Indian manufacturers, from various European, American in different forms earlier, now it's different. But also, let's not forget from the biggest Japanese companies in the world as well, right? So, we've had competition from every angle coming in, direct, indirect, head on, not head-on and we've been able to fend off the best so far, and we plan to do that again. I mean but, in our way, in the way we do things, right? So, it's not directly competing. It's not fighting directly. It's not worrying about them too much individually, but more about continuing to strengthen what we do and what Royal Enfield does really well and continue that journey, right? And we've really created a tremendous brand. We've created a really tremendous brand.
And it's not just the name Royal Enfield, it's the fact that it's on the tip of the tongues of intending buyers of motorcycles. So, it's more than just up there in the air. It's literally when you ask young people, what is the premium motorcycle in India. It's Royal Enfield, right. That's what they say, and that's what they believe. And there are so many things we do to fortify that, right. And that's the community that we do. It's the distribution, you go into a Royal Enfield store, it looks nicer. The salespeople are trained better. They are able to offer you more stuff. They're able to talk to you better. So, it's just a totally different experience from our brand, right? And it's not something you can replicate very quickly. So, We continue t

o build all the strengths that we have, the
community that we have, which is over 10 million strong, things like resale value of our bikes, which is much higher than others.
So, all of that which fortifies the premiumness of our bikes and having said that, we have over 90"/o share. So, at some point, it's possible that we could go down a bit because its the only direction we can go if you're 90% plus which is fine with us. I mean, not that we will give it on a platter. But we believe that the market is there to be grown. So, from I million, we believe that over the next couple of years, it could grow to 1.5 million in the next decade to 2 million and beyond. So, to be 80%-85% in a market which is double the current size is okay for us. I think we're quite happy with that. And so yes, that's our take, I mean I think there's certainly credible competition. But there always has been. Let's not forget that. And we've managed to fend them off more so far and we certainly have our thoughts and strategies to continue to focus on our growth cycle. And I think most importantly, what I want to leave this conversation with is our focus on customers. We are not focused on competition because we are focused on customers, right? We are seeing what's in their best interest, what gets them motivated, what gets them excited. We're

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not fixated on any one third-party who has nothing to do with us. We are fixated on our customer and our brand and our company. That's what we look at. Thank you.
Got it. Thanks. And that's very helpful. And my second question is just a related question on the product side. So about 12 months back, during the analyst meet, we had revealed plans to launch between 13-14 new products over the medium term. I think we have delivered now on the Super Meteor 650, and we also announced the Bullet J series. So just trying to understand the remaining sort of 11-12 products in the product pipeline, what sort oftime frame should we attach to that? Is it sort of3/4 years? Just trying to understand the cadence there.
Chandramouli if we have to tell you 3 years, 4 years, yes. But the only thing is we have a skew of new products, which are very differentiated, which will give you a very differentiated experience for our consumers. Some of the products are ready, and we also want the product to get matured into the market when we launch. So, we also take some time and then launch it. But today, we have almost 400 and odd guys who are working in our product development and their component development area. So now we have a slew of new products which are ready, which are going to be launched in a particular time interval. We will space it. We won't be in a hurry to do anything because we are not that sort of a company just to answer something. We will space it; we will bring it. But whenever we bring, always, we have been a very disruptive product company, and that's what you will see when we are coming out with the new products in time to come.
Got it. Thank you very much and all the best.
Thanks. Next, we have a question from Pramod Kumar.
Yeah. Thanks a lot for the opportunity. And congratulations on a good set of numbers. My first question is pertaining to the other expenditure line item. Is there anything related, which is causing the downward pressure there? It's kind of reasonably lower QoQ? What do you do with the launch cycle, given that we did not have any launch, and should we expect that?
So, I think you've answered the question. So, it's a little bit of a timing issue as well because we don't really, I think our marketing campaigns, launch expenses have really not kicked into high in this particular quarter. And we've also had a little bit of t

ravel expenses, which are a little bit
muted right now.
Fair enough. And the second question is on the spare business or the non-vehicle business. If you can just help us understand how has that kind of shaped up during the quarter? And how are we doing on the whole non-vehicle ambit, which is basically our accessories or spare parts revenue, all of that?
Non-motorcycle business, which is our apparels, accessories and soft products, spares, Pramod. In this quarter, it has almost about 25% growth compared to last year, and it has been growing very well. Our accessories, we are adding SKUs more. Our accessories actually for the existing motorcycles, anyway it is during the consumer journey, it goes through the MiY page. And then he can configure that against styling, safety, comfort, that's what the vertical which we give it in the motorcycle accessories. But also for the motorcycles which were sold about three years back, all the old motorcycles for that also we brought in a configurator where the consumer can actually build the motorcycle accessories even in his motorcycle. And to order that that is also enabled and that is also working. At our service area also, we are opening. Spare parts, we are looking at more than in a revenue stream, which is very good incidentally, we look at it from a consumer satisfaction angle, Pramod, because we always look at even the last washer, it should be available at any point of time at any place when it is required. There should be no consumer who says that the part is not available. As a result, I'm not enjoying the Royal Enfield motorcycle. That's where we wanted to drive the business, and it is doing very well. So, to give you about 25% growth overall and its continuing to grow.
And last one for Siddharth. Siddharth, your thoughts on the Classic and above category, because we've seen the category expand back 250cc and above. But the fact remains Hunter has single

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handedly pulled this category back from the slump right over the last few years. So, what are your thoughts on, by when do you expect the Classic and above category, the ~2 lakh above price point kind of a segment to kind of come back? Because that is something which is still not anywhere close to the previous peak, right? And it's been like almost five years plus now. So, your thoughts on what do you think is that play here? Is it just pure affordability or is there anything else? If you can just share your thoughts here, Siddharth. That would be my last question. Thank you.
Pramod, thank you. The way we look at it is multifold. One is at one level, when you look at it at one, if you remember many years ago, we used to say, look there's overdependence on Classic. So, we had two-thirds of our sales on Classic. So now that overdependence is not there anymore. We've got a range of products or services from different segments in the market and doing different jobs. So, I don't think we'll ever get to a position where Classic will be two-thirds of our sales again. Having said that, we certainly see headroom for Classic and others in that segment, like we said, to grow further. We've seen that already. And we have lots of exciting plans. So, we have full teams that are working on ideas on renewals, on thought process. I mean, the product is there. It's great. It does a fantastic job. And now we're looking at more branded growth. To continue to increase rekindle the love, the desire for Bullet, for Classic, for that segment of bikes. And so yeah, there's a lot of interesting things we're doing to get that back in vogue, let's say, and to bring it really up in people's eyes again. As the real benchmark or flagship in a sense, I'm not talking about a price flagship. I'm talking about a though

t flagship for Royal Enfield. So, we still
think of Classic as that, and we're continuing to put a lot of love and energy behind it, and we're seeing some results in the market already. So yes, interesting days ahead for sure.
Thanks, and good luck.
Thanks. Next question we have questions from Kapil Singh.
Hi, good evening. Thanks for the opportunity. I just wanted to understand the demand environment. How are things shaping up right now? And also with the competitive launches, have you seen any impact on the bookings so far? Or has it not really had any impact?
As far as the domestic market is concerned, Kapil, two months ago, was not so good. Now it is slightly better. That's how it's going on. Between June to July, obviously, it is seasonal. So, there will be some numbers, which will be here and there. Our retails have been very good. Our booking has been very good. In fact, I just went around all the regions to understand from the team, from the dealers and all. The festive season seems to be very bullish. Everybody is looking at quite a good number in those areas. So, I think the discrete spending is coming back. Money availability is better. Finance penetration is getting better. So, to that extent, I see the market will be growing in time to come.
International market, just to give you a flavor, we can't isolate ourselves from the macroeconomic conditions. In Europe, there is a bit of a pressure point. But what we are focusing on is to clear off the retail more and more and work with the community. And in markets like APAC and RENA, where the market is not growing, our market share has been growing. Once again, we are also looking at retail. But we have a skew of new products, which are going to come that Siddhartha was mentioning one after the other. And that's going to actually kindle the love once again and more sales volumes for us, too.
Got it. And secondly, can you also talk about the cost outlook and how much price increase we have taken in the second quarter?
Yes. So, I think we don't necessarily talk about our cost outlook per se. But I think in the first quarter, we have taken about a 1.5% price increase in certain models, the impact of which will flow into the second quarter.
Okay. This is for both domestic and international markets?

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No, we are talking only domestically. International, yes, in certain markets, we have taken, but that's just a market-specific model-specific action.
That's not a painted brush type. So, it is only a few products, a few markets, which we have depending upon the cost. You're asking about the cost outlook? If you're looking at the commodity cycles and all those things, Kapil, I think that's not a headwind as of now, but we have to wait and watch during the festive season how the consumption is going to be, and how China is going to play. So, to that extent, I don't see it to be a major problem at this stage. But when it comes, then we'll react to it accordingly. But our value engineering pipeline is very strong.
Sure. No sir, what I was trying to get at is, if there is a tailwind that is still left, like we got this quarter? Or that was where the question was coming from?
No, no, I figured as much. but we don't necessarily comment. Thank you.
Sure. Thank you.
Thanks, Kapil. Next, we have a question from Hitesh Goel.
Thanks for taking my question. Sir basically, you've taken this price increase again in May, right? And you said costs are muted. And last quarter also, we had discussed that we have taken a price increase to pass on the cost, but we have seen some benefits coming through on margins on that. So, can you talk about this price increase? Is it opportunisti

c? Or is it just a pass-through?
Pricing is not to be looked at as an opportunistic or pass-through. What we normally look at is, see there is a business model, then there is a value proposition for the consumer in relative terms, that's how the consumer looks at, and what's an EMI. So, because now the finance penetration is actually going up. So, we have to look at it. If there is a commodity pressure, which comes in, obviously, we have to look at it, how do we do that when everybody does it, because the relative price of everything goes up there. So that we will look at it as an opportunity, as you are mentioning. But we have a cadence of actually going through the cost and what is happening, what's in the market? How is it relatively positioned? Is that what our motorcycles are, how the consumers see the value proposition for us? So that's a constant exercise we keep doing. Accordingly, we calibrate the pricing.
Yeah, so it is basically that one of my questions is, it's a cost-plus pass-through, right? It's not like because the penetration there is an issue in terms of affordability, right? We've seen that in the last three, four years. So now why industry is taking price increases when there is no need to because we're not seeing costs going up. That was my question.
Yeah, it is like this. It is not that always your product is priced at a particular level, and there is a cost pressure which comes up and you have to do cost plus, and then maintain the margin. Somewhere what we have to look at is for that particular price position, which we have given it in, and the consumer sees a value. If it further goes up, will it actually have a negative impact on the product and the volume, because that's what is the rebalance, which we also said. We said we are growth focused now. And to that extent, we won't be looking at profitability. So, the cost plus is always towards the profitability. But we will look at how we grow the market and look at it in an absolute pool, and that's what is directionally, we are working on, Hitesh.
Okay. And when can we expect the next motorcycle like Bullet 350 and all, because the media reports that it is supposed to be in August end or something. So, can you give some sense on the near-term launches? At least the timeline?
Here and now Bullet we have sent you, the media invite and block the dates and all, so that launch is now planned. My mind is fully on that, how we celebrate and enjoy the Bullet's legacy and what it has brought us here. But as Siddharth was mentioning, we have a slew of new products in all the categories, which we are working on. We will come with more and more new products, and we'll give you the details when we are coming closer to the launches, Hitesh.

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Basudeb Banerjee:
Gunjan Prithyani:
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Gunjan Prithyani:
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Gunjan Prithyani:
Basudeb Banerjee:
Arvind Sharma: Thank you very much. All the best. Eicher Motors QJFY24 Earnings Call
Aug3, 2023
Thanks. Next, we have a question from Gun jan.
Hi, thanks team for the opportunity. I had two questions. Firstly, on exports, you guys talked about the macro weakness that's impacted the volumes. 1\vo-part question essentially, how we should then think of the full-year FY24 outlook for exports. And beyond the near-term also, if! have to think about exports, I mean where does the growth come from? Is it market share? Is it category expansion? How should I think about it?
Market share, it's a derivative Gunjan to be honest, because we normally don't look at only the market share. But in a market which is already existing, and our brand is getting accepted more and more, I can't give you a direct answer of where exactly the numbers of international markets will be. But I will tell you where the brand love is. I think I mentioned to you also that we were looking at a rider community in Europe. It's almost about some 17,000, 1

8,000 people signed up
for it. So that's the product love, which is coming up and the brand love coming in. And we have, mind you, we have only about 1,000 retail outlets as of now outside India and there is a huge potential, which is there for us to grow. But we are not doing just like that, because we have to take the macro conditions of the particular market now. We have to be careful about not loading the dealers. So, we wanted to do it in a systematic form, so that the ecosystem is also profitable. So, we are slowly opening up, and there are enough prospects which are cleared up for all the markets. So, the reach is going to be one major lever for the international markets in time to come. And all the new products which are going to come one after the other, because Royal Enfield nowadays are making only the global products. It is not country-specific like earlier times. All those products also will create their own category in that market.
Okay. Got it. And the second one is on Hunter. Great scale up that we've seen in the last one year. And I mean, I remember maybe the last conference call or prior when you had mentioned that there's a lot more opportunity for Hunter to still scale up, given that the volumes are now at 16k-17k units a month. Do you still see there are some gaps where this model can scale up from the current run rate to say, 20k-25k. I mean I'm not trying to get a number, but directionally trying to understand the potential of this model from where it is right now? Or you think it's matured?
Look, I think for a product, one can't send it has come to the maturity level, Gunjan. Obviously, I'm not going to give you the number exactly as you said. But I'll tell you directionally. Hunter, what is this product, once again, to give a clarity to everyone is that people love the Royal Enfield brand. They wanted a product which is a bit more different and agile, and it should be nimble, and he can relate to the product. And compared to the other products it can be slightly at a lower weight. That's where we thought that we should bring it to the younger audience. And what we wanted from that product exactly is what it landed into the hands of consumers. And that's why I mentioned when the metros started taking young guys, now the rural areas are also now started taking on the Hunter. International market, not that the Hunter is available in all the markets, even in a few markets, we are just opening up. So, the Hunter as a franchise overall is growing for Royal Enfield. We see there's a huge potential for the Hunter in time to come.
Okay. I'll join the queue. Thank you.
Next, we can take questions from Arvind Sharma.
Hi, good evening and thank you for taking my question. This is on the Bullet as and when it comes on the new J platform. So essentially, your UCE platform would not have any model. So, does that make you more efficient in terms of higher usage of the J platform? Are there any cost efficiencies associated with it? And the second would be on the new model launches. I know you're not sharing details, but could we expect a new model? Or is it a new platform that you're launching probably in fiscal year 2024? Those two questions. Thank you so much.

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So, Bullet, it is on the super refined single cylinder J platform. So that's the last transition, which we have to do from the UCE platform, which we have been using for almost a decade now in all our products. So that's what is the launch which we are talking about. J platform, now it is there in all our products in the 350cc. To this addition, the scale benefit, which will actually be there, will also be there for the Bullet, so we will look at it exactly. And what is the second

question? The
second question was about new launches. After the Bullet, we have, as I mentioned, there are a lot of new products, CTGs, variants, all those things which are lined up. We always look at what kind of an experience we wanted to give to the consumer. For example, Scram, which we brought in from a particular platform. So, because we felt that on the same platform, we can come out with one more motorcycle like that in the new platforms, new products which we are doing. We'll always be looking at it in a platform basis, and we'll give the adjacencies, which can be given as an experience to the consumer, we will continue to work on. But you will see a lot of new products which will come from Royal Enfield stable.
Thank you sir.
And just to add on the platform's bit that, of course, eventually, when we discontinue one platform, it does lead to a lot of, I mean, of course, scale leads to direct benefits in terms of unit cost reduction and all of that. I'm not sure how much more in terms of moving from UCE to J, because we already have a matured J volume. So of course, we will add to it. So, there may be some gains there. But I think the bigger gain is in the fact that one: the product is very different. It's much more modern, let's say, and refined and all that. But I think most importantly, reducing one platform helps a lot, right? Otherwise, the amount of effort and energy required by the company to continue to develop a platform, because no platform is standing still. We're always improving it, changing things. There are issues in the field, we are solving problems. All those things happen on a running platform. So, if you're able to reduce one platform that actually helps tremendously in indirect costs as well as efficiencies, let's put it that way.
Thank you so much.
Next, we have a question from Pramod Amte.
Yeah, hi. Thanks for this opportunity. Just want to check your feedback on this competitive intensity. Are you surprised by the price aggression by international brands? Second, what are your feedback from the dealer levels, which products or what are the customers doing wait and watch? And if you have to fight back, would it be pricing, or you will look more for a market promotion?
Siddharth, do you want to take or do I go on.
No. You carry on Govind. I'll add later.
So, the first is about the surprise element, which you are talking about, maybe it will be surprising to them on how exactly they will price it like this and continue to be there on that. As far as we are concerned, we don't take head on with any of the competitions. That's not what we are. Because as a company, once again, we love motorcycles, we enjoy working with the community. We start looking at what sort of an experience they want, and how can we build, because we go, work with them, and then see and ride with them, and that's how we are. All these new products which are being launched and all those things, you can't react to it then and there, because any new product, it requires almost about four years for you to bring in. Hunter, we launched it in August last year, it's almost about four years back, which we do it. So, we have our own path, which is charted, and we have a lineup of new products, which we have to come in. Because we work with the community, we understand what sort of an experience and what are all the new areas where the consumers are looking for. That's how our new products are filled in, and then we'll continue to do this. We don't directly alter anything in our strategic vision just because some competition is coming in now.
Anything on the dealer or customer feedback in case you have any?

B. Govindarajan:
Pramod Amte:
B. Govindarajan:
Basudeb Banerjee:
Raghunandhan:
B. Govindarajan:
Raghunandhan:
B. Govindarajan:
Raghunandhan:
Vidhya Srinivasan:
Raghunandhan:
Basudeb Banerjee:

Ritesh Arora:
B. Govindarajan: Eicher Motors QJFY24 Ea

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Aug3, 2023
Anything on the customer feedback about the products which they have launched?
No. On the competitive, are they waiting or are they still continuing the same vigor to compete? Where is the product? Nobody has experienced the product as of now. So, unless otherwise people experience those products, and that's how people will know, right? Royal Enfield from 50,000 motorcycles to almost a million motorcycles, we built it over the years, and we know the nuances, we get what are the issues? How do we have to do that? How to ramp up? What are all the problems which can be there? Now it's all about there is a lot of hype, which is there. Once the product comes, then only people can actually give the feedback and all those things. Now there are only a few reviews.
Thanks. Next, we have a question from Raghunandhan.
Thank you sir for the opportunity. Congratulations on strong results and thank you for the comprehensive investor presentation. Two questions. Firstly, the sale of above 250cc motorcycles has increased to 8% of industry versus 2%-3% 10 years ago. How would the share increase over the medium to long-term? And what would be the share if you take the top 10 cities or some of the urbanized states?
So, Raghu, if in case I had to talk about the middleweight. So as we mentioned in an absolute number, let us go through it. It is from 50,000 at one point of time to almost a million motorcycles. That's the growth over the decade. From here where do we see it, our understanding is that there are enough disruptions, which are taking place. But especially ICE vehicles in the premium segment, it is going to continue to grow. In that growth, the overall volume will grow and because we have enough new products, which are coming in and our own activities which we are doing and working with the community, we'll also see our numbers going up, Raghu. That's how we look at it.
Got it, sir. On exports, on the five existing assembly units, what would be the capacity? And how do you see the benefits of volumes from these facilities?
Benefits maybe, Vidhya can add up. I'll tell you what's happening in terms of capacities. In most of the areas in the CKD plant, Raghu, what we have talked about is only to start with the single-shift operations. So, there is potential for you to increase another one shift in all the areas. Once again, because it is easy for us to go and put money and put a big plant in that particular area and look at the market. No, we have cracked the code of doing it in a modular form, even our CKD is in a modular form. In all those countries now, from a market share from nowhere, we have come to almost 8%-9%. That's all being fed by our CKD plant now. And we have reached in the middleweight almost number 2 position in Thailand, and it is all being supplied by the CKD plants there. And similarly in Colombia and Argentina. So, in all those areas, if I have to double it for one more shift, if I have to open it, then I can double it. If I have to tell you about the exact number of all those things, maybe I have to get back to you, Raghu, on setting what will be the number in all the CKD plants one after the other.
Thank you sir. Wishing you all the best. And if you can just share the finance penetration in the domestic market, how has it increased over the years?
It's about 60% now. So, it's been growing quite well.
Thank you ma'am. Thank you so much.
Thanks. Next, we have a question from Ritesh Arora.
Sorry. I just wanted to check if we've launched the Super Meteor in the U.S.?
Not yet, Ritesh, it's in the cards.

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EICHER
'
Ritesh Arora:
B. Govindarajan:
Ritesh Arora:
B. Govindarajan:
Ritesh Arora:
Basudeb Banerjee:
Siddhartha Lal:
B. Govindarajan:
Vidhya Srinivasan:
Okay. And any specific on how is the U.S. market performing for us as it's been one of the largest markets? Do you see this l

owdown impacting volumes there? If you could give us some color?
As of now Ritesh, as I mentioned, our focus is on retail, that's what we are doing in those markets. And U.K., as I mentioned, we are taking on our own the entire market activity, development activities from the distributor. Directly, we are going to do that, signing up the dealers. So that's also a transition which is taking place. In all those markets, as of now, the market is not growing. It is slightly opening up, that's where it is. But the good thing which is happening is as the retails are better. Our market share, we are marginally gaining or holding on to the market share. So, we are not losing out on anything. In my understanding, some of the markets will open up in another about five, six months' time. That's where I see it will open up. It's only once again, readings and personal understanding of this. There's no signs to say that this country will open up by this particular point of time. So, we will only be looking at consciously loading into those markets.
But we have a lot of new products which are going to come and that new products are going to get us new consumer eyeballs into those. And that's how we are seeing, there is a huge growth potential which is possible for us. We have almost 1 ,000 retail outlets outside India. We are focusing on increasing those retail outlets in all the markets, but we will not rush ourselves. We will go systematically, because we always look at it, it has to be credible over a period of time that should be a pull brand. So, our focus will always be like that.
Sure. Thanks. And just one more question. See, the waiting times on all your models range from one month to six months. What is the cause for that? Are we rurming overcapacity? Or how do you see it? Is there a shortage of parts?
Not really, Ritesh. What happens is every product when we come out with a business case, vis-a-vis what is the market acceptance and numbers, all our products have positively surprised us in a way. So, we have put something as a capacity, and then we started looking at it. The market response has been very good. So, there is a lead time, which is required to come back and then give that extra need, which is there in the market. So that's the capital which we have to keep putting it in product-after-product. Most of our products are as of now, about three, four weeks times and barring a few products for which also we have already started the action. So that will take care of the supply situation for those products.
Thank you.
Thanks. That was the last question. So over to management for any closing remarks.
We just like to thank you, guys. Thank you so much for joining us late today on this call. And yeah. we've had an absolutely tremendous quarter, first quarter of the year. It gives us a good momentum into the rest of the year, both on the RE side and VECV side. So EML as a whole. So yeah. thank you very much, once again, and we look forward to catching up with you in a quarter. Bye-bye.
Thank you very much.
Thank you.

Call: Nov 2023

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November 15, 2023

Online intimation/submission

The Secretary
BSE Limited
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Dalal Street
Mumbai-400 001
Security Code: 505200
The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, 5th Floor, Plot No.C/1,
G Block, Bandra Kurla Complex, Bandra (E)
Mumbai-400 051
Symbol: EICHERMOT

Subject: Regulation 30 of the SEBI (LODR) Regulations, 2015 – Transcript of conference call

Dear Sir/Madam,

Further to our letter dated November 03, 2023 intimating the schedule of the conference call held on Friday, November 10, 2023, please find attached transcript of the aforesaid conference call, held inter alia to discuss financial results for the second quarter and half year ended September 30, 2023, pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015. The same is also available on the website of the Company www.eichermotors.com .

The conference call started after the conclusion of the Board meeting of the Company.

You are requested to take the same on your records.

Thanking you,
For Eicher Motors Limited

Atul Sharma
Company Secretary

Encl.: As above

"Eicher Motors Limited
Q2 FY24 Earnings Conference Call"

November 10, 2023

MANAGEMENT : MR. SIDDHARTHA LAL – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER – EICHER MOTORS LIMITED
MR. B GOVINDARAJAN – CHIEF EXECUTIVE OFFICER - ROYAL ENFIELD LIMITED
MS. VIDHYA SRINIVASAN – CHIEF FINANCIAL OFFICER – EICHER MOTORS LIMITED
MR. KEN TROLLE – EXECUTIVE VICE PRESIDENT & CHIEF FINANCIAL OFFICER –VE COMMERCIAL VEHICLES LIMITED

Eicher Motors
November 10, 2023

Basudeb Banerjee: Good evening and happy Dhanteras to all the participants and thanks to Eicher Motors management for giving us the opportunity to host the Q2 FY24 Post Result Con Call. We have with us the Senior Management represented by Mr. Siddhartha Lal, MD and CEO of Eicher Motors Limited; Mr. B. Govindarajan, CEO of Royal Enfield; Ms. Vidhya Srinivasan, CFO of Eicher Motors Limited; and Mr. Ken Trolle, CFO of VECV.

So over to you Siddhartha for your opening remarks.

Siddhartha Lal: Thank you so much, and welcome all of you to our Q2 FY24 earning call of Eicher Motors Limited. I hope you're all doing very well. This has been an excellent start to the new financial year for us and we continue to hit new milestones in Eicher Motors Limited.

Before delving into our quarterly updates, I'd like to thank all the shareholders for the very strong support towards the resolutions that we presented during the AGM and the postal ballot recently. We really value our long relationship with all the shareholders and look forward to a robust trust-based partnership between us and continuing our journey towards enhancing our corporate governance and working closely together.

With the new additions, the EML Board now comprises of our Chairman, Mr. Sandilya, Independent Director; Govind and myself as Executive Directors; Vinod Aggarwal, who's not here with us today, but he's being represented by Ken. Vinod Aggarwal is the Non-Executive Director and Non-Independent Director on the EML Board. And we have four other Independent Directors: Mrs. Manvi Sinha, Mr. Inder Mohan Singh, Mr. S. Madhavan and Mr. Tejpreet Chopra. So that's the new constitution of our Board with eight members.

Now let me begin by sharing a few business highlights for the quarter. We've had our highest-ever volumes, revenue, EBITDA and profit after tax for any quarter. In September, we had a spectacular launch of our new bullet, celebrating the 90-year-plus legacy that we have for a bullet brand, probably the longest-running of any automotive model, and this time in its new avatar on our super refined J-series engine. With that, we've also transitioned all our high-volume models from UCE model platform that we had developed in 2009-2010 to a J-series which has been extremely well received as is the motorcycle.

Very importantly, recently last week we included the EICMA Motor Show in Italy, which is the largest motorcycle event or trade show in the year. We showcased the all new Himalayan and received an absolutely spectacular response from global audiences. The new Himalayan is an evolution of our first adventure tourer bike that we launched in 2016, which is the Himalayan 411. As customers, markets and terrains have evolved, for us, it was important to create a motorcycle that retained the DNA of the original Himalayan, which had a lot of success, but we wanted to give it a lot more power, torque, refinement, both on and off road. So that's what the promise of the new Himalayan is. It's the first motorcycle that's based on our all new Sherpa-450 engine, which is the first liquid-cooled, dual overhead cam shaft engine from Royal Enfield.

Govind, myself and our management, also hosted the world's automotive experts in Manali just two weeks ago with presence of Journalists, content creators and others, it was a thrilling adventure and ride experience in the mountains on this new Himalayan and the response and feedback that we got from them were tremendous. I mean, people are calling it absolute best-in-class, global disruptor, the best value adventure tourer by a mile and the embargo was lifted today at noon for the reviews. The reviews have started coming out today at noon, so just a few hours ago. I encourage all of you to go and have a look at the reviews from both the Indian and the international journalists and content creators. I've been going through them as much a

s I can
in the last few hours, and its game changer, this new Himalayan. It's a very strong motorcycle from our side and has the potential to be a world beater. So, it's for markets around the world.

At the EICMA show, we also unveiled a special project, which we call the Electric Himalayan Testbed. It's a new expression of our sustainable exploration for the future, and it's a concept right now of what Royal Enfield electric adventure tourer could look like. It's a concept

motorcycle, it's not meant for production necessarily, but to get more interest, feedback, and understanding from our side. But it is a motorcycle that is in the laboratory of a sense, more than a concept, because we have actually used this motorcycle and prototypes like this in the Himalayas. We've done a lot of testing, a lot of validation, and we plan to continue to evolve it. This is not going to be the final guise of what we come out with, and if we come out with, it's to show of what an electric adventure tourer from Royal Enfield could look like.

Coming to VE Commercial Vehicles, our joint venture with Volvo Group, we have enhanced and fortified our market share across all categories in light and medium duty trucks, heavy duty trucks, buses. We've had excellent market share gains in all of these areas and we've delivered our best ever second quarter in terms of units sold across all three categories. The parts and powertrain sales clocked a strong growth in the first half. And once again VECV has been ranked number one commercial vehicle manufacturer for the third successive year in the dealer satisfaction survey conducted by FADA, which is the Federation of Auto Dealers Association.

Again showing our extreme support work with our network, channel partners, which are really important to delivering customer satisfaction to our dealers. VECV has also continued the sustainability journey by delivering electric trucks and buses to customers in various applications and we're developing long-term partnerships with leading logistics and bus operators for this area. And today, we have Ken Trolle, the CFO of VECV. He will take us later through more details about VE commercial vehicles.

Moving to the financials for quarter 2Q FY24. At a consolidated level for Eicher Motors Limited, which does not include VECV, for the seventh consecutive quarter, we've marked our highest ever revenue for EML, this time at ■4,115 crores for the quarter, up 17% YoY. It's our fourth consecutive quarter marking highest ever EBITDA for EML, crossing ■1,000 crores once again, at ■1,087 crores, up 32% from last year. It's our fifth consecutive quarter marking the highest level PAT for EML, at over ■1,000 crores this time, so ■1,016 crores, up 55% from Q2 last year. So stupendous financial performance also.

And now, I hand over to Govindarajan, who will take us through the business highlight for Royal Enfield. Over to you, Govind.

B. Govindarajan: Thank you, Siddhartha. Hi, everyone. Hope you guys are doing well. At Royal Enfield, we have been continuing our journey in the top gear and we have registered our highest ever H1 volume. The momentum is very good, it's very strong and it's an exceptional performance in the second quarter. In this quarter, we sold about 2,09,700 odd motorcycles in the domestic market, which is almost about 14.6% growth from last year same time about 1,83,067 motorcycles which we sold. We have had a very strong growth in the sales of our motorcycles during the festival period and we see the momentum continuing.

Launch of all-new Bullet 350 as Siddhartha mentioned, its marks the completion of transition to the J platform. And I'm very happy to share with all you people the traction was very good, the new bullet has received an overwhelming positive response from experts and consumers. The all-new bullet will be launched in the interna

tional markets over the coming month because
it's Euro V compliant, so it can be sold in other markets also.

In the international markets, we sold almost about 19,780 motorcycles in Q2, registering a growth of about 9% over the previous quarter. We have maintained our market share in our key markets. RE is a leading middleweight brand in the U.K., and among the top three in Europe and almost 9% market share in this region. In Americas, we have around about 7% market share and in the Asia-Pacific region, we are currently at the most about 9% market share in the middleweight segment. In the international markets, our retails have been talking very well, that's a good sign for us, which we wanted to share it with you people.

In the recently announced results of the dealer satisfaction survey by the Federation of Automobile Dealer Association, FADA, Royal Enfield emerged as the first runner up in the

two-wheeler OEM category. We moved substantially in the list, with the score increasing by about 96 points.

What Siddhartha mentioned about the all-new Himalayan, it's a global media first ride at the global unveil, which we did at EICMA. This is a motorcycle which had been built by the Himalayas. The all-new Royal Enfield is inspired also by the Himalayas. And that's how all our motorcycles are and engineered for a real-life adventure. This is with a more power, more torque, using the long stroke design to give an excellent low RPM performance, which is what is Royal Enfield addressing in the motorcycle. And that's the whole DNA of a Royal Enfield. When we were doing this closer to the launch, we also decided that it was a time for an ultimate journey, the epitome of adventure motorcycle riding. So, we took the finished motorcycle, which is there for the market and one last time, we should do a test from our factory, Oragadam, and we call it from sea to the summit, from Chennai, at about 22 feet sea level to 19,024 feet Umling-La. We tested the motorcycles and it’s a proof that this is a motorcycle which is inspired by Himalayas, built by the Himalayas. We wanted to do the final test also in the Himalayas. Now the motorcycle is fully ready and that's how we unveiled that EICMA.

We also celebrated our global marquee ride, the One Ride, where we see the participation of more than almost about 28,000 motorcycling enthusiasts from 58 countries and about 300-plus cities in India who came together for the largest cause-led ride, which India has seen so far.

Also on the sustainability side, I wanted to share a few points. We have been improving a lot. Around one-third of our manufacturing is done through green energy in all our facilities. As I earlier also shared with you people, all our plants are water positive, now it's almost 2x. So, more and more recharges are taking place into this and all our plants are at zero discharge.

We are gearing up to the next edition of Motoverse, which is in this month on the 24th. And I'm ready to share that lots of exciting updates and the entire motorcycling community will be there. Look forward to seeing you all people also in the Motoverse. With successful recent launches and the new platform launch which we did on the Himalayan, we are well on our way to ride ahead on our strategic goals. There are new launches which are in the pipeline and we are prepared for our growth journey in India and across the other global markets. We are very excited about what the future holds for us.

Now I will hand it over to Ken Trolle to take you through the VECV performance and updates. Over to you, Ken.

Ken Trolle: Thank you. Good evening, everyone. It is another solid quarter for VE Commercial Vehicles. We had the highest ever second quarter sales of 19,551 units. On the heavy-duty truck side, highest ever second quarter with the sales of 5,291 units. On light and medium duty side, hig

hest
ever second quarter with 9,571 units. On the bus division, highest ever sales of 3,214 units. Also, as Siddhartha mentioned, highest ever quarterly part sales, we grew by 29% over the same quarter last year. Also, for our powertrain unit, we sold 14,834 units, which is also the highest. And as also mentioned before, we won the FADA for the third consecutive year.

Moving over to financial highlights, revenue ended at ■5,129 crores, up almost 22% compared to last year. EBITDA of ■404 crores and EBITDA margin of 7.8% versus 5.8% for the same quarter last year. Profit after tax ■186 crores, up from ■81 crores last year.

And with that, I hand over back to you Siddhartha.
Siddhartha Lal: Thank you very much. That's all from our side. We've had really cracking quarters both at RE and VECV, so at EML combined. The festive season is on us and things are going well. So, thank you very much and wish you all a very happy Diwali and we look forward to your questions.

Basudeb Banerjee: Thanks, Siddhartha. Requesting participants to raise their hands to ask questions.

Divya Purohit: Thank you, Basu. We'll take first question from the line of Pramod Kumar. Pramod, please go ahead.

Pramod Kumar: Hey, Siddhartha. Congratulations on a good set of numbers. I think there's a beat there on the performance, but I'm more interested in Himalayan, Siddhartha and what the Sherpa-452 does for us? Because the reviews are just started dropping in today, looks really great. I can see the lot of hard work that you guys have put in. So, if you can just help us understand from where Himalayan in 410 was and where 452 is the kind of transition what you have done. What does it potentially mean for the company in terms of the kind of addressable market here, both in domestic and the international side? Because this segment is clearly doing extremely well, even in domestic, and this product looks pretty good. So, just to begin with if you can help us understand what could be the volume opportunity here? And what could be the brand opportunity more than that, because this product can take you to many new markets, many new terrains in that sense? So, yes Siddhartha, to kick it off, probably we'll start with that.

Siddhartha Lal: Sure, Pramod. I think it's very pertinent because we really do believe that this can be a huge growth driver for us, both in numbers and in stature and in many other ways. The first Himalayan, which we came out with seven years ago, was really a domestic market product. It was meant for India; it was meant to test the market. I mean, of course, we were all in on it, but segment didn't exist. So, it was really our stab at what we thought the segment would like. So it was a full on adventure bike, but it was our first attempt at it and it did really well. We've sold over 200,000 numbers globally since then. So, it's been a great run.

But we got a huge amount of confidence from what people loved about the previous Himalayan and a lot of learning. So, we have put all that into the new Himalayan. So, for example, just on the spec side, conceptually it's gone up from 410 to 450, so only 10% increase. But really for example, the power has gone up by 65%, the torque has gone up by 25-30%. It's got a water cool engine, so it revs higher. We've kept a large part of the ergonomics because that's what people loved about the bike. The accessibility, it's got the lowest seat height configuration that can be just over 800 millimetres, so 80 centimetres. So, someone who's even 5'3"-5'4", can get 1.5 feet on the floor. So, it's stable, it's good, it's accessible. The engine I told you it's super refined, gone up, it's ride by wire. So, the nature of fuelling and response is absolutely magic. The chassis is also totally on the next level. So, our previous one was good at off-road and this one is even better at off-road but has

excellent on road manners as well. We've got a showa suspension, which you can see the reviews people absolutely love it. They think it's fantastic, both off-road, on road.

Our TFT screen is a breakthrough. I mean even bikes 3x the price doesn't have that kind of technology now on the instrumentation. And we insisted we only have Google navigation on it. No third-party other navigation, because people only trust Google in navigation, and we had to have that. So, it makes life nice and simple on our screen. So, we've pulled out all the stops. It's been fantastic. Earlier we were making motorcycles with our twins and other motorcycles that were getting to and had become world-class. Previously 10 years ago, we were not but then after the twins, we were getting to world class type of bikes. We are now saying and hopefully you'll hear from the press also, this is world beater. So, this is setting the standard. It's not just better, it's head and shoulders better than everything else in the world. In the best case scenario, our ambition is that it will actually shake up the entire adventure touring segment in the world. We want people to question themselves that, should I really be buying this motorcycle, which is 3x-4x as expensive, when I get every single thing, I want out of the Himalayan? And it's better at certain things, honestly, to go off-road, it's even better. In an Autobahn in Germany, going at 160 km/jour, maybe on the margin, there'd be a bike, which is 3x more expensive, which is better. But other than that, one very peculiar scenario, which not any of our customers are really doing regularly, it is a better bike than bikes 3x its price and size. So, we're confident that we've taken all the inputs. We've done everything we can to make it really a world beater. So that's on the Himalayan. Anything you can add to it, Govind?

B. Govindarajan: The only thing which I can tell you is, with our decade experience of riding in Himalayas. From 2016 to 2023, about seven years of riding the Himalayan 410 across the globe, the extreme terrain. So, we retained some of the DNAs of that Himalayas, which is required because of the evolution, we spoke to the explorers, globetrotters and to the people who are athletes, just to get what all required to be the world beater, as Siddharth was mentioning, All those things are incorporated and which we tested. That's where the confidence is that it will create more movement in the entire adventurous for motor cycling.

Pramod Kumar: And Govind, just to push that a bit on the volume context, if you could just help us understand what are the volumes of the outgoing platform on a steady state basis? And what could be the potential here? If you can just help us there, quantify this opportunity.

B. Govindarajan: Pramod, adventure motorcycle had been heavy, intimidating, not accessible. We launched the Himalayan in 2016, we changed the game. That's why it created a moment for becoming an accessible motorcycle. Here is a new motorcycle, which we just launched about three days back and the reviews are just out today. As I mentioned, with all the bristled DNA of Himalayas, the Himalayan motorcycle, with the seven years of riding that across the globe and incorporating all the best things which are required for future. So obviously, this motorcycle will create one more wave. How much is that? What it is? Let's wait because there's a good response. The reviews are outstanding, everybody sees it. It's a very different motorcycle, which is very accessible, not at all integrating, which inspires confidence. And as Siddhartha mentioned, it has a full-blown navigation system, which is there. And the suspension is so well tuned for extreme conditions, like off-roading, and also to use it on the city rides in any traffic. So, to that extent, the motorcycle is well thought out, executed and te

sted very well in the place where it belongs. That's why we did a last test, also from 22 feet of Chennai. There are some good roads for 5,000 kilometres. And then we also took it to the Himalayas to see whether the motorcycle is really behaving the way we wanted. And it all has turned out to be very good. So, it's a winner product in hand. Over a period of time, it will certainly grow. How much? Will wait for some time.

Pramod Kumar: Yes, I'm back in the queue. Thank you.

Divya Purohit: Thank you so much. Next question is from the line of Kapil Singh. Kapil, please go ahead.

Kapil Singh: Thanks for the opportunity. I just wanted to ask about the new bullet. We had also launched that. So, what kind of response you have got for that? And also if you could share, what kind of growth are we seeing in the festive season so far?

B. Govindarajan: I think the Bullet 350, which has 90 years of legacy from 1956 in India, which we have been manufacturing, was the last transition from the UCE platform to the super refined 350 J platform. So that has been done. It got accepted very well. I can tell you with respect to the UCE, which we had the bullet to now the traction is higher than the way we were expecting. It's really got accepted very well in the market.

Kapil Singh: Okay. Overall, festive season growth so far. What kind of trends we are seeing or any numbers, if you can share so far for last 20 days?

B. Govindarajan: You would have tracked the numbers by now. But still, to just say, we also grew fairly well, almost 14% is the range compared to last year, which we grew in the same window. But this year festival is not in one month, it's in two different months. But I can tell you that the festive season was very good for us. It's a happy window for us in terms of retail.

Kapil Singh: Okay, that's great to hear. And second, on exports, if you could talk about, we have seen a bit of volatility in the numbers. So, is there something that surprised you negatively or things are going as per plan? What's happening in the markets? If you could just share about the context over there.

B. Govindarajan: On the international markets, as I mentioned last time also, with the macros, are we completely insulated? No. It is affecting to our market to a major extent. There are two things which we have to communicate to you people. On the retail, it has been clocking very well. So, to that extent we have been holding the market shares almost about in all the markets like APAC, Europe, North America and Latin America. Our market share is intact, we haven't lost market share and the new products are just coming in. For example, Super Meteor, I just launched only about two months back in the United States. So, it's all getting into the market.

On the wholesale front, as I mentioned last quarter also, we are not aggressively looking at wholesale because normally what happens is for the season, you'll go build the inventory and keep it because that's where in some of the markets where the season is have to be served. This year, because of the macro conditions, we are going cautious in building those numbers. That's why you will see a wholesale number slightly lower. But the good news in the international market is the retails are clocking very well and the new products are also coming into the international market one after the other.

Kapil Singh: So, can you share what is the average details we are doing per month? Because some months we see 9,000-10,000 also and wholesales for some months we see 3,500. So just any number you could share or growth that we should expect for full year.

B. Govindarajan: We don't give the market wise retails and all those things. Market share we will share it with you because that's what we normally share that. But when I was saying that the market share is kept intact, even though there a

re macro situations and all those things, for us on the loan motorcycles which have already gone, are all moving off. So, the floor is getting vacated. But we don't want to inventorize that place over and we are going cautious in this. So, you will see this normalizing within few months.

Kapil Singh: Okay, sir. Thank you and best wishes and a very Happy Diwali to the entire team of Royal Enfield.

Divya Purohit: Thank you. I would request all the participants to restrict their questions to two. Next question is from the line of Chandramouli. Chandramouli, please go ahead.

Chandramouli Muthiah: M y first question is on the gross margin line this quarter. It looks like quarter-on-quarter we've had relatively flat volumes and maybe slightly inferior mix in terms of export volumes this quarter versus the previous quarter. But in spite that, it looks like we have seen a pretty healthy gross margin expansion quarter-on-quarter. So just trying to understand what were the factors that might have contributed to that. Is it good mix in the domestic market? Was there any pricing opportunity that we saw?

Vidhya Srinivasan: It's combination of everything. One is, of course, there's been a material cost savings where we had an impact of about 1%. Apart from that, the remaining part of it is a combination of mix as well as the price increase which we've taken in May, which full impact of that is coming through in this quarter.

Chandramouli Muthiah: Got it. That's helpful. And my second question is on the 452 cc Sherpa engine. So, congratulations on the good reviews for the Himalayan 452. Just trying to understand over the next 12 to 18 months, when we might sort of put that engine into a roadster or a cruiser, which might potentially address much larger market opportunity set for us. And that seems to be where maybe the 350 cc engines might be heading in terms of market segment as well, over the next few years. So, trying to understand your thoughts on how you're thinking about that as well.

B. Govindarajan: See 452 cc, liquid cooled, the platform is an all-new platform which we are bringing in now. We are a company which will have that platform and we will start looking at various genres of motorcycles, which give a different experience to the consumers. It's time to come, here in now, if I have to tell you, the all-new Himalayan, which was unveiled about three days back, it's been

received very well and we have to give some space to this to get matured into the markets. So, in appropriate time, we will talk about all other products which are coming up on that platform.

Chandramouli Muthiah: Awesome. Thank you very much, and all the best.

Divya Purohit: Thank you. Next question we'll take from the line of Onkar. Onkar, please go ahead.

Onkar Ghugardare: Good evening. My question was regarding what's the yearly production capacity which you currently have?

B. Govindarajan: So, the bill capacity of both the plants together is almost about 1.2 million. And that's why we said we don't need to look at any investments here now. But all our lines are modular and we can enhance the capacity whenever it is required. So, the flexibility is built into that.

Onkar Ghugardare: Okay. So, if you look at the volumes, say from last 4-5 years or last financial year, you have just crossed the volumes that you were generating in FY19. So, in FY'23you crossed 823. So, any aspirations you have of targeting around 1 million sales.

Siddhartha Lal: Onkar, we don't give forward-looking guidance.

Onkar Ghugardare: Since you are targeting so many launches and so many upcoming products are coming up, just wanted to have a sense of that.

B. Govindarajan: So just to add, as Siddhartha was mentioning, Onkar we're a long-term ambitious company. We do not look at anything here and now, because then you tend to make a lot of mistakes

in the
very short-term window. Any product comes in, any platform comes in, we see it as a long-term. And we are not a company that will be very passive. We are long-term and we don't do anything here and now. So, you will see how we grow over the period of time. So, the numbers are, in my opinion, a by-product. But what we are doing, is it the right thing? All our products are getting accepted. That is what we have to look at and that's what we are doing.

Onkar Ghugardare: Okay. The second question is on the competition. Bajaj and Hero, both of them have launched new premium vehicles with their global tie ups. So, any primary on ground situation you can tell about the competition. What kind of competition you are facing from these products?

Siddhartha Lal: Again, as a rule, Onkar, we don't like to talk about others. Please do the assessment of others yourself. We will talk about ourselves. It's not fair for us to talk about what other people are up to and all of that. I can just say that we've been doing so well for so long that all these competitors have been trying to come into our segment. Till now, at least they've not been successful. And of course, there will be some successes, some failures. That's part of the game.

What you have to see is that we have an exceptional brand, exceptional distribution, exceptional community, exceptional new products. You've seen the reports on the new Himalayan. I mean, it's been in the works for five years, so it can't be a response to something which came out a few months ago. So, we anticipate and understand, we've got a lot going for us. At best we see that if there is a couple of competitive bikes that are not as shabby as they have been previously, then maybe they'll help us grow the market. And we are a 90% player in this 350 cc plus market. So, I think hopefully, in the positive case for us, the increase in competition will mean growth in market size, which will benefit us even if we lose a couple of points of market share. Because when you are 90%, eventually there's only one place to go. It's not that we're going to give up market share, but at 90%, you're not going to gain too much market share, let's put it that way.

So, we have got a lot of going for us and we work very hard on customer experience, on all these areas in addition to the amazing bikes that you see. So, we are not worried but in fact we are very bullish, let's put it that way.

Onkar Ghugardare: Thank you.

Divya Purohit: Thank you. Next question we'll take from the line of Raghunandhan. Raghunandhan, please go ahead.

Raghunandhan: Thank you for the opportunity and festive greetings. My first question was on the accessory side. What would be the current number in terms of accessories per vehicle? Would the blended accessory sale per unit, have gone up after the recent Bullet 350 launch? Just wanted to get your sense on the trends you are seeing.

B. Govindarajan: Looking at per motorcycle and all those things are, in my opinion, it's a metric to just see how it is going. What primarily we look in the accessories, we have almost 587 accessories which are coming up one after the other, and it is to give an experience to the people. What we look at is how many people buying our motorcycles are happy with our motorcycle accessories. What's the adoption? If I have to tell you, almost about 89% to 90% of the consumers who are buying our motorcycles, they also buy our accessories because that's what is the experience which we wanted to give you through those accessories and the business is growing.

Raghunandhan: Got it, sir. In terms of the festive season, if you can share some trends in terms of regions, which regions have done well, and if you can talk about how the urban rural markets have done?

B. Govindarajan: Overall trend during the festive time, as I mentioned, we grew almost over 13

%-13.5%
compared to last year. We look at a top 10, top 20 cities, how it is and all those things and all the areas across there has been a good growth compared to last year, barring few regions. But what happens is Diwali in some regions will be very good. Navaratri in some regions will be very good. So, there will be a slight variation compared to last year, which was both in one month. This year, Navaratri and Diwali is in two different months. To that extent, you will see other regions also coming up. But overall, during the festive seasons, the retails have been very good and it was on a happy note for all of us.

Raghunandhan: Thank you, sir. It was very helpful. And lastly, do you expect the adventure tourer category to expand, given that you pioneered the segment and now Himalayan 450 is receiving a very good response?

B. Govindarajan: Yes. Category will grow when you have new products which are coming in. When we brought in the Himalayan in 2016, that created a good moment fundamentally because it was a most successful adventure tourer at that point of time. And the new Himalayan on the 450 cc, as I mentioned, it's holding the DNA of Himalayan plus with our inputs from the globetrotters, with our inputs from athletes, our inputs from riders, communities, we as a riders. And as Siddhartha was mentioning about, higher power, torque, which is required, the consumer changing, the motorcycle is also there for that, the evolution. And there is the TFT, that is the full navigation along with Google. So, it's a good motorcycle. Obviously, the reviews are very good. So, it will grow over the period of time.

Raghunandhan: Thank you very much, sir, for the thoughts. I'll get back to the queue.

Divya Purohit: Thank you. Next question we'll take from the line of Nitij Mangal. Nitij, please go ahead.

Nitij Mangal: Hi, good evening. Thanks for taking my question and wish you all a very Happy Diwali. My first question is on your product portfolio, if you look at how you have evolved over the last five, seven years, you have clearly come a very long way, both in terms of the number of products and the quality of products. When you look at the next three to five years, what do you think are the biggest opportunities on the product portfolio? Is it more products, more use cases, more refinements? How do you think of that over the next three to five years?

B. Govindarajan: Product portfolios normally are listed for five to seven years window, Nitij Mangal. So obviously what we look at is, the platforms have to be thought through, based on the platforms, what sort of an experience we can offer to the consumer, because every consumer wants a

different kind of a motorcycle, whether the platform can lend to those sort of motorcycles which we can make and give you a differentiated experience, and that's what we know better. And our focus also will be like that. So, the core platforms are done, twin which is a 650 cc platform, which is a global product and is very successful, super refined J platform, which is a 350 cc, very well accepted. Now there is a 452 liquid-cooled new Sherpa engine platform. So, the platform selected as an engine level. You will see products which will be evolved around that.

Nitij Mangal: My second question is on VECV. The company has gained quite a bit of market share in the last few years. So, I remember about five years back when you launched the Pro series, there was an expectation of market share gains and seemed didn't happen immediately, but now, over a period of time, you have. So, what's really helping you in gain these market shares in VECV? Thank you.

Ken Trolle: Of course, over time, we have launched new products. Of course, we have put a lot of effort into our retail network and growing that and we are continuing to do. So, from the product side, having more product and driving

the larger retail network. And as you saw that, we also had been awarded for being number one for the third year when it comes to the dealer’s survey. So, this is important for us.

Nitij Mangal: Okay. Thank you very much.

Divya Purohit: Thank you. The next question is from the line of Gunjan Prithyani. Gunjan, please go ahead.

Gunjan Prithyani: Just shifting the gears to the unveil that you made in the recent EICMA. Can you talk a little bit around that? Is there a strategic change in terms of accelerating the launches on the EV front? And is it something that we're expecting that this category can probably see faster shift towards EVs than what we were calling out earlier?

Siddhartha Lal: I would say not really. I mean on the bigger motorcycle segment, it is still a while out where the curves will cross, because with the range requirements that we have, the battery size, weight and packaging is still a big issue. So, it's not a resolved issue. A motorcycle like the electric Himalayan, we call it a Testbed, because it's more than a prototype, is indeed what it is. It is a prototype, it's a testbed, it's a concept and it’s not for production. It's to understand, it is for us to work on stuff so that when the time is right, we have done all the homework and background work, but we don't think it's ready for prime time.

Because even if we were to make an excellent bike like that, which we believe we can and there is no problem, it will cost maybe 3x of what current Himalayan costs, and it's probably not going to be that much better. So why would people buy that. So, the economics don't work yet but very much, this is to give a glimpse, a flavour, a taste of what we can do, what we're working on. It's only one idea. We have many ideas that we work on. But we thought because we are showcasing the new Himalayan, we'll also showcase the electric Himalayan also just to say that guys, we're there. We have got lots of things brewing, but we'll come in the market when we think the time is right.

Gunjan Prithyani: Okay. And beside this I'm just trying to understand, if I look at the cc categories now, we've got these various platforms, 350, 450 and then the Interceptor and all. Is there anything else when you look at the entire product spread, that we think it's a white space and we would want to go up or down in terms of our product segmentation?

B. Govindarajan: We haven't moved Gunjan because all of this side, we said middleweight is the focus, and we determine middleweight also at a point of time. And our focus will be on the middleweight segment, because we see there is a huge potential in that. And when people are looking at a higher cc motorcycle, our platforms are very good and as you also mentioned and called out very nicely, super refined J engine, 350 cc is accepted across the globe very well. Now, 450 cc, which is the new platform, liquid-cooled, with a different power and torque ranges. And the 650 cc, which we came out gave us a global recognition, is the best quality product. So, we

have platforms which are very good. We will focus on the middleweight. Wherever there is a space, we will start working on.

Gunjan Prithyani: Okay. Lastly, just if I can get the capex or product development spends for this year and how we should think about it over the next two, three years?

Vidhya Srinivasan: I think roughly we spend somewhere between 2% to 3% as far as capex is concerned. And we really can't give you a guidance of how it's going to shape up for the next two three years. As our product portfolio develops and matures, we will invest what we need to.

Gunjan Prithyani: All right. Thank you so much, and apologies for the noise in the background.

Divya Purohit: Thank you. Next question we'll take from the line of Jinesh Gandhi. Jinesh, please go ahead.

Jinesh Gandhi: Congrats on great set of nu

mbers. Two questions from my side. One is, with respect to electric motorcycles. So, given that our focus is on middleweight category, which we define by cc's. How does electrification change that? In the sense, does it open up new opportunities where middleweight is, how can define it in a different way now and how do you see that as an opportunity?

B. Govindarajan: Look, the middleweight, which we talked about, is in the internal combustion engine. On an electric vehicle, today, the combination is on the motor power, range, the weight of the motorcycle, there is few combinations which are there, and there's experience which we can offer too. So, the definition of the electric vehicle portfolio can be very different. But that's not to say, will we make 100 cc equivalent in the electric vehicle? That may not be the focus. So, our focus will be there at a particular range.

Siddhartha Lal: Yes. I think what Govind is saying is that in the foreseeable future, we don't plan to be in any basic commuter or that kind of stuff. So, we're not in a game for basic mass product, none of that. We always aspire to be in premium product and product which has a lot more meaning than just commuting to an individual. So, people who want the cheapest motorcycle in a segment, there will be other chaps to go for. We will always be in a premium segment situation and that goes for electric as well.

Jinesh Gandhi: Where I was coming was from that in ICE, we were very clear that we don't want to get into 250 cc or so. But in EVs, can we look at 250 cc equivalent to bring in the cost of EV to be slightly lower than what it could have been, if we were targeting similar equivalents in terms of 350 cc. Is that the way you look at it or that is not the consideration set?

Siddhartha Lal: So, look, honestly EV, is an open book for us. We can do anything we want. I mean we can do anything we want in ICE also, but we've chosen not to. So, yes, it is an open book. We do look at everything as a clean sheet of paper where can we make a difference. After having thought through, for many years, we will be premium, we will not be mass, we will do very interesting things, bikes that have huge desire, et cetera. But we're not specifying right now whether there will be any power category, cc category. We'll find out as when things happen. But yes, it is a more open book for us with EV.

Jinesh Gandhi: Got it. And second question pertains to the number of platforms which we have now with Himalayan 452. So, it's 350, 450 and 650. And if we continue with 400, then effectively we have four platforms. Do you see gaps on the platform side, on the engine for RE or effectively, these are the three, four platforms which we work with for more products.

B. Govindarajan: On the 350, 650 cc platform itself, there are new products, and variants which as an organisation we are working. That's why we said that there is a slew of new products and pipeline is full. We are all working on it because we see a lot of potential there itself. And three days back we just unveiled 450 and it has to go to the market. I'm sure everybody will love it because the reviews are so good. A platform development takes a longer period of time, but we said middleweight

is the focus. In that middleweight, wherever there is a space and if there is a platform requirement which is there, we'll actually be doing this because we are not going into the extreme of commuting where a platform that has to be developed, that's not what we are. The middleweight, where we are committed, is what we will focus on and do.

Jinesh Gandhi: Got it. Just to clarify whether we will continue with 400 cc Himalayan or it will be replaced by 450 cc?

B. Govindarajan: One platform, the scale benefits, it helps, but there will always be a transition. But the Himalayan is moving into the 450 cc. For other pro

ducts in this 410 cc, transition will take place over the period of time. But here and now the focus is on the new Himalayan and the platform, which is liquid-cooled, well refined, fantastic power and torque curve. That's the focus as of now in the platform.

Jinesh Gandhi: Got it. Thanks, and all the best.

Divya Purohit: Thank you. We'll take one last question from Pramod Kumar. Pramod, please go ahead.

Pramod Kumar: Thanks. This is my second question. Govind on the festive demand, you talked about growth, and last year we had Hunter already in the base by this time. So, if you can just help us understand on Classic, particularly where there's a lot of focus, given what's happening in terms of the choices the customer has incrementally, how is Classic as a brand done for you? Because that's like bulk of our volumes, and we've seen somewhat of a fatigue in the Classic volumes because of the price inflation, all of that. But if you can just help us understand how is Classic on standalone basis is doing the festive retails, Govind?

B. Govindarajan: Excellent. Pramod, first and foremost, you rightly pointed out, last year during the festival season, Hunter was just new type. It's a new product which has come in. So that's the base which got set. So, this year, during festival season with that increased base, the growth has been good. So, for every one of you who were asking, how is the festival? As I mentioned, the festival has been very good. Fundamentally with that Hunter base, we really grew very well. Classic has seen highest growth during the festive season. That is what I can share with you people. When we were looking at which product will grow and all those things, the growth for Classic across India had been good during the festive time.

Siddhartha Lal: We have lots of exciting plans for Classic as well. So, stay tuned and Happy Diwali.

Pramod Kumar: Happy Diwali to all of you. Thanks a lot. Take care, guys.

Siddhartha Lal: Happy Diwali. Thank you so much. And have a lovely time with your families and talk to you next quarter. Thank you all very much.

Call: Feb 2024

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February 17, 2024

Online intimation/submission

The Secretary
BSE Limited
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Security Code: 505200
The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, 5th Floor, Plot No.C/1,
G Block, Bandra Kurla Complex, Bandra (E)
Mumbai-400 051
Symbol: EICHERMOT

Subject: Regulation 30 of the SEBI (LODR) Regulations, 2015 – Transcript of conference call

Dear Sir/Madam,

Further to our letter dated February 05, 2024 intimating the schedule of the conference call held on Tuesday, February 13, 2024, please find attached transcript of the aforesaid conference call, held inter-alia to discuss financial results for the third quarter and period ended December 31, 2023, pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015. The same is also available on the website of the Company www.eichermotors.com .

The conference call started after the conclusion of the Board meeting of the Company.

You are requested to take the same on your records.

Thanking you,
For Eicher Motors Limited

Atul Sharma
Company Secretary

Encl.: As above

“Eicher Motors Limited
Q3 FY24 Earnings Conference Call”

February 13, 2024

MANAGEMENT : MR. SIDDHARTHA LAL – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER – EICHER MOTORS LIMITED
MR. B GOVINDARAJAN – CHIEF EXECUTIVE OFFICER - ROYAL
ENFIELD LIMITED
MS. VIDHYA SRINIVASAN – CHIEF FINANCIAL OFFICER –
EICHER MOTORS LIMITED
MR. VINOD AGGRAWAL – MD & CEO, VE COMMERCIAL
VEHICLES LTD

Eicher Motors
February 13, 2024

Basudeb Banerjee: Welcome to post Q3 FY24 results Conference Call of Eicher Motors Limited. Thanks to the management for giving us the opportunity to host the call. Top management is represented by Mr. Siddhartha Lal, MD and CEO of Eicher Motors; Mr. Vinod Aggarwal, MD and CEO of Volvo Eicher Commercial Vehicles; Mr. B. Govindarajan, CEO of Royal Enfield; and Ms. Vidhya Srinivasan, Chief Financial Officer, Eicher Motors Limited. So, without wasting any time, I'd like to hand over the call to Mr. Lal, to take over. Thanks.

Siddhartha Lal: Thank you, Basudeb. Thank you for hosting this call for us. And hello, everyone, and welcome to the Q3 earnings call for Eicher Motors Limited for year 2023-'24. I hope you are well. 2023 has been a very solid year for us overall, and we've grown from strength to strength. Each quarter has been a milestone in terms of our business and our financial performance, and we've seen strong growth, both at Royal Enfield and at VECV. We've had some spectacular new and category-defining launches across both companies, and we have deepened our commitment to consumers and stakeholders in this time.

Beginning with Royal Enfield, we've had excellent last few months with two extremely special launches of two new motorcycles. And then, of course, the annual celebration that we do of all things motorcycling, which is Motoverse that we do in Goa in November every year.

We launched the all-New Himalayan 450 first and foremost, which is on the all new Sherpa 450 engine. This was done in Goa at Motoverse. The New Himalayan has set absolutely new benchmarks in the world of adventure touring across all markets. The reception from consumers, experts has been absolutely amazing, and we've won the extremely prestigious Indian Motorcycle of the Year Award for 2024, which is our fourth IMOTY win in the last six years. And we won it in 2023 for Hunter, 2024 for Himalayan. So, it's a consecutive win as well. But it's the fourth out of six and really, it's a testament to the strength of the new products that we're coming out with in the last many years.

After that, we also launched a stunning new Shotgun 650, which is a custom-inspired motorcycle. Govind will talk to you more about this. But this is really our attempt to build newer formats of motorcycling expression and introduce new niche categories within premium motorcycles. We also had interesting showcase of our collaboration with the Himalayan communities, with the Himalayan Knot, which is a tribute to the craft, culture, heritage of the Himalayas.

We had artisanal communities, renowned designers, artists and our rider community, all come together, driven by the passion for cultural exploration and the love for Himalayas, which is the main focus of our social mission at Royal Enfield, the Himalayas.

Moving on to VE Commercial Vehicles now, which is our joint venture with Volvo. We had an extremely strong quarter with market share gains across the board and across business segments. We just recently concluded our exciting participation in Bharat Mobility 2024, where we showcase a wide range of alternative engine products, including electric buses and trucks. But the highlights that Vinod had presented was the global unveiling of our electric-first small commercial vehicle platform of 2-3.5 tons. Deliveries of these new small commercial vehicles will start in Q1 of CY'25, so around a year from now.

Overall, the performance at Eicher Motors Limited has been absolutely outstanding this year, and we've registered record-breaking performances of best ever Revenue, EBITDA, and PAT. So, coming to financials, we're talking about our consolidated financials for Eicher Motors Limited that does not include the revenue from VECV, that's supported separately. But we've had our seventh consecutive quarter, marking highest ever revenue for EML at ■4,179 crores.
So that's basi

cally all Royal Enfield revenue, VECV is reported separately. So, this is up 12.3% from last year. Our EBITDA, it's our fifth consecutive quarter, marking our highest ever total EBITDA number for EML at ■1,090 crores, up 27.2% from last year. And profit after tax for EML consolidated stood at ■996 crores, up 34.4% from last year. So that's our outstanding financials for this quarter.

And now I hand over to B. Govindarajan, the CEO of Royal Enfield, who will take us through the business highlights for Royal Enfield.

B. Govindarajan: Thank you, Siddharth. Hi, everyone. Let me now walk you through about the Royal Enfield performance in Q3. We have continued the strong growth momentum with an exceptional performance in the third quarter. We sold 229,214 motorcycles in this quarter. It's up by about 4% YoY from Q3 FY23. In India, we sold 213,385 units, that's 2.13 lakh units, it's up by 2% sequentially in Q2. The Premium segment is growing at a healthy pace and now contributes to about 24% of the overall motorcycles. We had a very strong retail growth of about 13% in the sales of our motorcycles during the festive period in India. Q3 has seen the highest ever domestic retail for Royal Enfield so far.

In the international markets, we shipped around 15,829 units in Q3 FY24, which is actually 11% lower than last year. However, in the retails we have seen a middle single digit growth on a YoY basis in the international market for the first nine months of FY24. We have maintained our market share in our key markets. RE is a leading middleweight brand in the U.K. and among the Top 3 in Europe with about 8%-9% market share across the countries in that region. In Americas, we have around 8% market share. And in APAC, almost about 9% market share in the middleweight segment. In the markets which are not growing, we have been holding the market shares very steadily.

As Siddhartha was mentioning, the new launches, the all-new Himalayan 450, which we launched in November 2023 at Himalayas and Motoverse. The motorcycle is a perfect balance between the capability and usability and a superb adventure tourer. It features our newest engine platform, the Sherpa 450, which is Royal Enfield's first liquid-cooled engine and a host of new features, including the Tripper Dash which is a full navigation, and the consumer response has been very, very encouraging. And we will be launching the motorcycles in EU also in a few months now. During this quarter, we also have launched the Shotgun 650, the custom-inspired Roadster motorcycle on our globally awarded 650cc platform. We started with an exclusive drop of 25 motorcycles at Motoverse, followed by a global showcase at Los Angeles, California. We have launched the motorcycle in EU and U.K. in the month of January, and we'll be starting the retails in India also now. The initial response from the consumers has been very good. And we are confident that this motorcycle will be a perfect canvas for customizers who are looking for a motorcycle that reflects their personality and for all the consumers.

In this quarter, one of the important milestones, we also launched the Wingman with our Super Meteor 650, a connected vehicle device that enables a rider with a critical vehicle information. That's a starting point in our connected motorcycles. In an effort to bring more value-added services for our consumers. We launched the industry first assured Buyback and REOWN, which is actually, earlier it used to be the reused motorcycles, which is now presented as REOWN programme. The assured Buyback programme caters the shifting consumer needs from ownership to usership and REOWN is an industry-first omnichannel preowned motorcycle programme.

During this quarter, we also have done substantial work in our sustainability journey. We are truly delighted to update you all that we have received

the Platinum rating from CII, Indian
Green Building Council, IGBC for our global headquarters at Chennai. This is a testament to our consistent effort in driving the innovation for sustained exploration. Also, our Oragadam plant has been awarded as a Future Ready Factory of the Year 2023 by Frost & Sullivan IMEA award. This reflects our ongoing commitment towards achieving manufacturing excellence. We also commenced the usage of compressed biogas in operations at our Vallam plant in our efforts to reduce our footprints. Eicher Motors continues to feature among the leading automakers in global corporate sustainability rating, in S&P and DJSI assessment for 2023, Eicher Motors continued to be in the top 15 percentile in the global autos. We also maintained our position at number 7 out of 86 in the Global Autos in the Sustainalytics ESG Rating.

With successful recent launches and a new platform, we are well on our way to ride ahead on our strategic goals. With several launches and initiatives which are lined up, we are well prepared to our growth journey in India and the global market. I now hand over to Vinod Aggarwal to take you through the VECV performance. Over to you, Vinod.

Vinod Aggarwal: Thank you, Govind, and good afternoon, everyone. As Siddhartha mentioned, we recently announced Eicher's foray into small commercial vehicles at the Bharat Mobility Global Expo in New Delhi. While we will cover this more fully in our Q4 update, we are excited about the new range which span the GVW of 2-3.5 ton and addresses a market segment of over 300,000 units per annum. This segment will continue to grow with urbanisation, growth of e-commerce and last-mile delivery.

Coming back to Q3 FY24. I am particularly happy to note that it was a record quarter for the VE Commercial Vehicles with market share gains across the business segments. We recorded our highest ever Q3 sales of 20,706 units, and YTD sales reached 59,828 units, marking a 12.4% increase from the previous year sales of 53,247 units. During the quarter, we also began deliveries of India's first electric 5.5-ton GVW truck, the first Eicher Pro 2055 electric vehicle and continued delivering electric buses to customers across the country. Some further highlights are heavy-duty trucks, combining Volvo and Eicher achieved their best-ever Q3 FY24 sales with 6,210 units as against last year in Q3 FY23 of 5,241 units with a market share of 9.6%. Light and medium-duty trucks also hit a Q3 FY24 record with 9,800 units as against 9,239 units in Q3 FY23, capturing 34.5% market share.

The bus division reported its highest Q3 sales ever with 3,409 units compared to 2,376 units in Q3 FY23. The parts business for both Eicher and Volvo reached an all-time high quarterly sale of ■5,060 crores, growing by over 22.3% from Q3 FY23. VE Power trains saw its best Q3 sales with 13,596 units, an increase of over 8% from Q3FY23. We also inaugurated the International Parts Distribution Centre and branch office at Dubai, UAE, marking it mid-band customers in the Middle East market. VECV broadened its HP segment footprint by launching the heavy-duty Non-Stop Series Pro 6000 featuring four products: MAV Pro 6048XP, TT Pro 6055XP, 6055/1, and Tipper Pro 6019 XPT.

Now coming to financials for VE Commercial Vehicles. VECV revenues rose to ■5,483 crores, up 19% from ■4,604 crores in Q3 FY23. With this our YTD revenues this year, first nine months are ■15,592 crores from ■12,752 crores last year first nine months with a growth of 22.2%. EBITDA for the quarter is ■437 crores, up 44% from ■304 crores in Q3 FY23 and EBITDA margin is 8% as against 6.6% in Q3 FY23. Profit after tax is ■210 crores, up from ■117 crores in Q3 FY23. Now, I hand over back to Siddhartha for any last comments.

Siddhartha Lal: I was just looking at the revenue of nearly ■5,500 crores Vinod, that's outstanding. I think we have a healthy internal competition between RE and VECV for revenues. So, this time, VECV has really taken off on the revenue side, but now VECV need to catch up on the profit side. So yeah, I think it's ■5,500 crores, that's a huge quarterly revenue. Excellent. And the profit margins are all coming up now strongly. So, it's been an excellent first three quarters, and we're really confident of closing the year well at EML this year. Our thrust on keeping sharp on our priorities and objectives and working very hard towards our goals and being very sharp, strong, and ensuring that we leave no stone unturned, while getting to our goals that we've set out for ourselves. And I'm very confident with this extremely focused approach that we have at EML. We'll continue to build on our strong growth momentum and our strong base that we have and extremely strong brands that we hold in both the business.

Thank you very much, once again, for listening to us and for joining us for EML's earnings call. We'll now move on to Q&A. Thank you.

Basudeb Banerjee: Thanks. And let's start the Q&A session. We have the first question coming from Kapil Singh. Kapil, please unmute yourself and ask.

Kapil Singh: Hi, good afternoon. First of all, congratulations for the wonderful launches that we have seen. If you could talk about the launch plan going ahead, we have been talking about one new launch every quarter. So, is that kind of pace still expected to continue over the next two years? And within your portfolio, where do you see higher growth coming through. Do you expect the premium segment will gain share over the next two years within your portfolio?

B. Govindarajan: So, Kapil, in last quarter, we launched the 450cc Sherpa platform, new Himalayan with all the new things in the motorcycle. First of its kind, for us a liquid-cooled engine platform for Royal Enfield. Ride by wire, Tripper-Dash, all those things are new. When we launched, it's an outstanding response and the booking has been very good. We are quite happy about it. I'm sure you'll be looking at what's the percentage and numbers, I'm not going to talk about that. But it's a very happy situation to be in. On the 650 platform, we also launched the Shotgun. We just launched in USA, which is also very good. The response is very nice. It is actually inspired by custom, for custom Shotgun, which is also motorcycle, we always wanted to bring it to the world, and which is accepted very well. Very recently, we launched it in California. All these new motorcycles, which are launched, they are really picking up. There's a good response, acceptance is very good.

Hunter, which we launched has been doing very well. So, with the back of our new products, our growth is continuing. Bookings are very nice. You will see a line-up of new products, which will get launched one after the other. We will time it. We will give time for the products which are launched to stabilise also to some extent and get accepted within the market, and we will keep launching. Our line-up is intact, and we are bullish about it.

Siddhartha Lal: Just to add, we have an absolute, we've had a great year of launches and we have lots of new launches coming up. But I think the most important thing now with the bulk of really important products already in the market for Royal Enfield, of course, we have other very exciting ones coming is to focus on the existing products really now and how to keep improving those and getting more out of those. So, there's a huge effort on that in the coming financial year as well.

Kapil Singh: Thanks Sid, that actually leads me to my second question. Retail sales have been a little bit soft for the industry. If I see even for Royal Enfield Q3 and last one or two months. So, what is your reading of this, what is causing this softness? Any factors here? A

nd what are the steps that you are taking to drive growth from these levels?

B. Govindarajan: Are you saying the retails are soft? Is that what you're asking?

Kapil Singh: Yes. Because if you see, I mean, as per the retail data, I mean, last year, third quarter was also about 200,000 kinds of numbers, right? And in January and Feb run rates also seem to be a little bit slower. Whereas if you see the industry, we've seen much stronger growth rates in the recent times. So, when we met last time, you said festive season, the growth rate was about 13-14%. So just wanted some context from your side as to how you are seeing things.

B. Govindarajan: All our new launches have seen an outstanding response. The booking has been very good. Actually, in Q3, we have seen a healthy growth even in the retail for us. The market expansion, the premium motorcycle with the new entrants, a lot of focus on the middleweight, which is happening, which is actually helping us also. Our product propositions are very good. Customers are very happy about it. We normally look at it on MoM basis. We don't want to build the inventory, to that extent, we'll be looking at 2024 new models, which we are doing. We actually brought in new colour ways into the Hunter. So that's how we always look at it that the channel is not strained. Otherwise, we are pretty happy with the retail situation in this quarter. Also, during this quarter, the products which are launched, especially Himalayan and the Shotgun, both the bookings have been very good.

Kapil Singh: Understood. So, we'll be benefiting from the supply of these, I guess, in the coming quarter. Thanks. That's all from my side.

Basudeb Banerjee: Thanks, Kapil. Next, we have question from Pramod Kumar. Pramod, please unmute yourself.

Pramod Kumar: Hi. Thanks a lot for the opportunity. My first question is actually to Vinod Sir. We have seen that Volvo Eicher has not been participating in any e-buses orders, tenders as such, though between you and Volvo, I think you have all the global expertise on electric buses. So, if you can just help us understand what's kind of holding us back in terms of participating in these government orders, especially the SGO orders?

Vinod Aggarwal: No, we are participating. Last tender, we have filed our bit there. And of course, till now, I think there were problem with respect to the payment security mechanism, and that has been resolved now, and we have participated in the tender. Now that still the results have to come. But we have participated.

Pramod Kumar: And how do you see the profitability and the viability of this segment because you've got like a couple of new entrants who are traditionally not OEMs as such. And there's very aggressive bidding which has happened and some of the players are kind of revising the strategy as well on the bidding process. So how do you see the profitability evolving, because this is going to be a big push from the government, electrification, especially the intracity bus market. So, what could be the longer-term implication for the industry in terms of both exposing your balance sheet and the profitability of the business itself compared to the ICE portfolio?

Vinod Aggarwal: No, irrespective of push from anywhere, government or anywhere else. The profitability has to be there. We don't believe in participating just for the sake of getting the numbers. So, if there is reasonable profitability only then we participate. So therefore, we will not compromise on the basic minimum profitability. So, if we get the order at that rate, that's fine, because we will not get into losses just to participate. That's why last time also we didn't participate, when the payment security mechanism was not there, we didn't participate, because we don't want to take exposure on STUs for 12 years if we don't have the clear guarantee on t

he payment.

Pramod Kumar: So, the payment tenure is almost 12 years for these assets?

Vinod Aggarwal: 12 years, yes.

Pramod Kumar: And you also need to take a call on the residual value of the asset and that technology disruption, all of that, right, when you kind of make those bids.

Vinod Aggarwal: In 12 years, the asset will pay for itself. So therefore, the assets remain our property. It's on lease to the STUs after 12 years. If you get anything, that will be extra.

Pramod Kumar: Sounds good. Second question is on Royal Enfield side. Siddhartha and Govind, both of you can help us out here. We just launched the Himalayan 450; our expectation is that that engine will also spawn a lot of new motorcycles which will be more on-road segment. So how should one look at the potential customer base here? Will it be the potential Classic 350 customers who we will be kind of targeting or who will it appeal more to? Can it also result in somewhat of an upgrade ladder kicking in with your existing Royal Enfield 350cc customers, which is a pretty large installed base in the market. Can this bike or the new launches come across as an upgrade ladder for them because we're not seeing that play out with the new J-Series launch of the Classic 350 a couple three years back. So is the 450, how is the thinking at your end? When you look at this product and what it can do to the replacement cycle or the upgrade cycle within the Royal Enfield family?

Siddhartha Lal: Yes Pramod, absolutely. I think it's extremely well said. We've been working on this Sherpa platform for many years. And of course, like you said, the first motorcycle is Himalayan, and we will have others over time. It's difficult to say exactly because we have many different segments that this will touch. Firstly, there's the international markets where higher performance segment is more interesting. So, this is very much geared up for a lot of our international markets, where the speeds are also higher in those markets, the running highway

speeds of 120-130 kilometres in which the J-Series is not then, therefore a proper highway motorcycle. And so therefore, the Sherpa comes in.

In India, of course, there's no question at all in our minds. We have over 6 million active 350cc customers that we use UCE and now J-Series. So, this is very much catering to their upgrade cycle. Of course, we also expect that do have quite a few first-time customers. We do expect a lot more people to come from the older Himalayan into the new Himalayan, but even the bulk of Classic and Bullet customers that we've had in the last six-eight years this is very much geared for the future motorcycles. The Himalayan and the future motorcycles are very much geared for upgradation cycle for those customers, as is our Twins. So, it depends what kind of experience you want. If you want, let's say, slightly lighter, sportier style then you've got the Sherpa platform, if you want a bigger, more full style with extreme refinement, you got the Twins as well. So, we're certainly going to cater to our UCE upgraders as it were.

B. Govindarajan: So, Pramod, just to add on, Pramod just to give a clarity. What Siddhartha is talking about is in a J platform, when the platform was launched through the Meteor, which has become a very successful product for us. Then we came out with the Classic 350, then Bullet 350. And we also launched Hunter 350. So, a particular platform when we actually envisage and we think through it, how it can spin off to different motorcycles, giving a different experience to the consumers. So, the K-platform also when we are conceiving it, designing, developing it and all those things, it should help us to come out with more motorcycles with different experiences. So, this platform also will lend more motorcycles in time to come, starting the Himalayan 411, which has change

d to the Sherpa platform 450 now. Acceptance has been very good. When the platform has to get accepted, then the scale has to be brought. That's how the new motorcycles have to come in, over the period of time.

Pramod Kumar: And the last question from my side will be on the competition bit, I don't seek any comments on the competitors as such. But how have you seen the customer engagement at your end in terms of the visits to your websites or social media pages and enquiry levels and also the conversion rate. In cities where you have seen some of these recent launches from competition have been active, right? So how are the metrics which you used to track customer engagement and customer involvement or customer interest? How have they kind of shaped up in the last three to four months, if you can just shed some light on that? Because what we understand is the competition models are not seeing any great demand, the waiting periods are off. But I just want to understand, has it got to do with the overall segment seeing a bit of moderation in demand? Or are we seeing some hit to our volumes because of competition as well?

B. Govindarajan: Pramod, competition we will keep it aside, so what we are doing, what is that our metrics, I'll just talk about that. Our enquiry rate during this quarter has actually gone up by almost about 15-16% compared to the earlier thing. Our conversion percentage also has been very good. The booking has been very good. It's almost about 11-12%, which is a growth, which is there even in the booking during this quarter. And the new products which we launched, the Sherpa Platform 450 cc and the Shotgun, both the enquiries, bookings and the interests are very good, and it's in a very happy situation. That way if you look at it, there's a lot of positive vibes, which we get it from the market.

Pramod Kumar: Sounds good. Thanks a lot, and best of luck. Thank you.

Basudeb Banerjee: Thanks, Pramod. Next, we have a question from Binay Singh. Unmute please.

Binay Singh: Hi, team. Thanks for the opportunity. Two questions from my side. First, on exports. In the opening comment, we talked about exports on the retail base is growing over nine months, whereas when we see the wholesale data it’s down around 26%. So why such a wide gap? And when do you see the dispatches also sort of starting to post growth? Like is this inventory clearance?

The second question is on the assured buyback programme. I believe we started it in mid-October in 12 cities and then we started the REOWN programme also last quarter. So, what is the response to these two programmes? What percentage of sales are coming from there? And also, what are the costs associated on these? And where do they show up in the books for Royal Enfield if any. These two. Thank you.

B. Govindarajan: Yeah, so first, maybe on the international business, we will talk about, that's what we are mentioning. You guys have been tracking the macroeconomic indicators, we can't just ignore it in the international market. That's the reality. The reality is even now, there are countries in which if you send motorcycles, the payment you will receive only after about 120 days. So, you have to give a credit period, unsecured, that's not a good sign. The second is the customer sentiments in some areas are not good. The energy cost in Europe, even though there is a slight amount of positivism, the sentiment hasn't come back in that same speed. Australia, once again, if you look at the inflation and the interest rate, which has gone up at least 12x continuously. So international market, there is sentiment-wise, it's not in a good situation. But we are seeing some amount of opening up in those markets slowly, especially in Thailand, I saw some amount of opening up in the last month.

As far as we are concerned, what's happening is our focus is as of now in r

etail. We are all thinking that the market will be very good. Based on that, we envisaged international markets, the wholesale numbers because there is a season and there is also a lead time for logistics, all put together, we have to store. That's how we also held in motorcycles. Now when we saw the conditions, we also said that, okay, that's not the way we'll start focusing more on retail. That way, I've been saying that the retail has been very good. Wholesale is a question of time when the market is actually coming up to some good level in the sentiment, we will start looking at the numbers. At what point of time if you have to ask me, personally, I can tell you, maybe I see it in another about two, three quarters. You will see a growth compared to this year. But it has to be seen country by country. What we have to look at is, whether our products are accepted very well, the Sherpa platform, New Himalayan, which has been accepted very well. It will be available to Europe in another month or two. And our Shotgun which has been just launched in the U.S. that will also be available. Super Meteor, we were actually giving it in India. Now we are actually opening up into international markets slowly, the dispatches are taking place. The new products and also on GT and Interceptor, we have given in new colours, those things are also creating an excitement into the international market. We are doing what is required for the long-term. As I always say, we are a long-term aggressive company. So, to that extent in international market, we see there's a huge potential for us to grow. For that, whatever is to be done as a base to be set for that future, that's what we are doing. Once the market opens up, you will really see a growth for Royal Enfield.

Vidhya Srinivasan: On the second question, some part of it is in marketing costs and some part of it in employee cost, depending on where the component is. We of course, track it internally separately. But for this, it's grouped into multiple areas.

B. Govindarajan: Assured buyback system, buyback as a scheme. It's a first of its kind.

Vidhya Srinivasan: And assured buyback, we don't really have a cost associated to that.

B. Govindarajan: That's right. There’s no cost associated to that. That is an ease to the consumer from an ownership to the usership model whoever is in need of it. So, we are preparing for any requirement with the consumer who wants to enjoy the Royal Enfield motorcycles. So, we should be there. REOWN, as Siddhartha was mentioning, we had almost about 6.5 million motorcycles, which are there sold by us, which have got added from 2011 to 2023. And the upgrade cycle will kick in at a point of time. For that, we should be ready to give you a frictionless process for the consumer, and that's why we thought, okay, we'll bring out within assured buyback scheme. And that programme, we are launching it, not that we wanted to scale it as a separate business line immediately, we'll go slow, but we know this will help us for our consumers when they want to upgrade. That's why we are preparing ourselves well.

Binay Singh: Great team, thanks for the response.

Basudeb Banerjee: Thanks. Next, we have question from Gunjan Prithyani. Please unmute.

Gunjan Prithyani: Yeah, hi. Thanks for taking my questions. I had a couple of follow-ups. Firstly, on the P&L side, if you can just share some thoughts on what's really driving the ASP movement QoQ. Were there any price hikes taken? And there were quite a few events, new launches that happened in the last couple of months. So, is there any one-off element to the other expenses that we should bear in mind, which is not going to repeat or recur in the upcoming quarters?

Vidhya Srinivasan: I think as far as ASP increase is concerned, we've had new products which have come in, which have kind of altered the mix an

d which is really resulting in the domestic market ASP movement. And as far as international is concerned, of course, there has been a bit of a change as far as since international dispatches have been slightly lower. That's as far as that goes.

And in marketing spend, we have taken some of the launch expenses as well as the Motoverse expenses are kicking in this quarter. Having said that, I think we obviously have our launches, which will keep coming up. So, it's really difficult to guide saying that's not going to be the case at all going forward.

Gunjan Prithyani: So, we shouldn't sort of take it as one-offs. You are expecting the marketing spend?

Vidhya Srinivasan: There is a one-off element associated with it. So, I think approximately, we say about ■20 crores has increased versus previous quarter, which is on account of a larger number of launches in this particular quarter.

Gunjan Prithyani: Okay. Got it. The second follow-up I had was on Himalayan and Bullet, which you all sort of talk about how the response has been really great. If you can share a little bit more colour on, how should we think of, particularly, let's say, Himalayan 450, what are the sort of bookings that you're seeing, is there a wait period that you can talk about? Some sense, which gives us comfort that, okay, these are the new launches, which we are yet to see reflecting in terms of scale-up. Where I'm coming from is because I'm not seeing that retail trends sort of improving post the festive. It's been quite underwhelming post-festive. And maybe we are not clearly picking up the potential of the new launches. So, if you can talk about these launches, it will be great.

B. Govindarajan: Gunjan, we don't give the specific numbers on the booking and all those. But what I can add is that, the Himalayan 450 and the Sherpa platform when we launched, it's a new engine. There are new technologies which are added into this. So, we are also not a company, that will go very aggressively to say that, okay, there is so much of a motorcycle we can just take it to the market. We normally go in a slow pace. That's what we wanted to be because the consumer should enjoy the motorcycle. I can tell you these two things, I think first time I'm going to talk about, we have already sold almost 6,500 units of this motorcycle. Because for the international market, we also have to be looking at some dispatches to catch up with the season. It's in the ramp-up phase. You will see the numbers of the Himalayan coming back. The interest on the new Himalayan is really very high. As Siddhartha was mentioning, it's in a white space because in the market outside India, they also want the speed which can also be used into the main motorways. This platform actually helps for the adventure tourer, for the exploration and also for the long commute, which is also possible in this motorcycle. That's all there is a positivism which we see with the new Himalayan, little on India, even outside India.

Gunjan Prithyani: Okay. And on Bullet, any wait periods, anything that we should expect that there's further scale up to go from here?

B. Govindarajan: The Bullet, I think we did a good job of carrying that legacy to the next generation. We really did a good job, I suppose, I always tell the team because it's very tough to actually tell exactly

what it is, but I think we have landed it properly. Post-launch, I'm seeing the growth has been very good. In fact, if I'm right, I think we grew almost about 17% in the Bullet compared to last year. So, in all the markets, the acceptance has been very good.

Basudeb Banerjee: Yeah, next, we have question from Amyn Pirani. Please unmute yourself.

Amyn Pirani: Yes, hi. Thanks for the opportunity. I just wanted to dig a little deeper on the export side. You mentioned that in the U.K., you are now the top brand in the middleweight category. And I think even in some of the European and the U.S. market, I think you mentioned high single-digit market share. So given that these markets are not necessarily high-growth markets for the category. Will our ramp-up here be driven by gaining market share further? Or do you think that you will be launching products which could expand the middleweight category, if I'm thinking from a next two-three years perspective?

Siddhartha Lal: Maybe I can try and take that. When you're a smaller player, I think to try and expand the market is generally not going to be possible. So right now, it's very much a case of taking share. Of course, I mean and case and point previous example that Govind had given on Himalayan, obviously, we're all a bit coloured by our latest product, but the Himalayan is truly something that is extremely differentiated globally. Earlier our products were extremely differentiated, and

I mean, top of the line in India. But now this one even from a global perspective is extremely different. There's nothing like that in middleweight at all. So of course, to some extent, we think it will extend, it will grow the market in certain parts of the world just because it will create interest in demand where there wasn't any previously in middleweights for something like an Adventure Tourer.

And so I think the time is now coming where we will start slightly expanding the market. But largely, we're still looking at gaining share. Because all our other products that we're talking about are our Classics, our Meteors, our Hunters, our Interceptors, GTs, Super Meteors. They're all competing a bit more directly. They're all going to be, someone is going to buy one of ours, they're not going to buy somebody else's. So, it would be gaining share essentially. But we are very confident of doing that as well of gaining share, which we have been showing and we are continuing to do. We believe that one more leap with the Himalayan which has not touched the shore, outside India, it has not even arrived yet. It's still to happen in 2024.

Amyn Pirani: Thanks for that. And domestic side, one question specifically on Hunter, we have seen the volumes stabilise at a certain level. In fact, in the last three to four months, we've started to see YoY weakness also. Are there, does the market need some more variants according to you or more refreshes? Or do you think that the Hunter in its current form has this kind of addressable market, and you may have to launch different products to expand the addressable market in that ■1,70,000-■1,90,000 price point?

B. Govindarajan: So, I think Hunter we launched in August 2022. Till now, we have almost sold about 275,000 motorcycles of the Hunter in the domestic. In last month, we actually came out with the two new colour variants also, the Dapper Green and the Dapper Orange. So those two colours, which we wanted to bring into the market because we thought in a year, there's new colour addition, that's what the market wants. We felt that that's the right thing to do for the brand, because it's fairly a new brand for Royal Enfield Hunter. And the good news is we always wanted to get us the new set of consumers, the young consumers who always wanted brand Royal Enfield, but they wanted a motorcycle at a different format. And the question which the consumers were looking at, our riders were looking at, I think we have addressed it squarely. Last time also we discussed that maybe a rural push has to be there. In fact, our growth in the rural market also has been very good compared to the urban-centric states. So, it's in a good space. Because of the new variants, 2024 models, all those things, we also worked on the numbers which has to be build. So, you will see, once again, the Hunter coming back into the numbers.

Amyn Pirani: Sure. Look forward to that. Thank you.

Bas

udeb Banerjee: Thanks, Amyn. Next question is from Arvind Sharma. Please unmute.

Arvind Sharma: Yeah, hi. Good evening. Thank you for taking my question. Again, on the domestic demand side, in terms of monthly volumes, overall wholesale that you report, there has been some moderation rather plateauing at the 70,000-72,000 units when you make your annual or slightly longer-term projections, where do you see this number going? And what would be the next driver of this monthly volume? So that's my first question.

B. Govindarajan: One big question. That's not going to be the first question. 70,000, it's a very good number, guys, per month in the domestic. And what we always look at is, is there an interest for the brand Royal Enfield. And wholesale is in the way we talk to the dealers, that's not what our focus is always. Our focus is how is the enquiry? Is there enough interest on the brand Royal Enfield? Is there enough interest on the product which we have launched into the market, and it is supposed to give them a particular set of an experience to the consumers is that being delivered, how are they taking it? That's what is the focus always and get more people on to the ride, get more people on to the saddle of Royal Enfield, let them all enjoy the motorcycle that's what is the focus is. That way, Hunter has been very successful for us in the last year.

Now we have launched the all-new Sherpa platform 450 Himalayan, which is also catching up. The Shotgun, which we launched, there's a lot of interest, which is coming up. The positive side, which I'm seeing is that there is a lot of interest for brand Royal Enfield. The enquiries are going up. The booking is coming up now. And that's why we see the numbers going up in time to come. I'm sure you would be looking at the exact numbers. That's not the way we do.

Arvind Sharma: No, what you said was exactly what we're looking for in terms of how you see the numbers growing. Second question would be the electric vehicles. You did showcase a prototype. Anything that you can share in terms of the broader plans going forward? I know it's too early, but anything that you can share maybe in volumes or in size or usage.

B. Govindarajan: Too early to be talking about EV numbers and all those things. Just as investors, I'm just adding up this. Last time we said that we are working on dedicated team of about 100 people, the team size has gone to almost about 140. And there are a lot of guys who are working in a software that actually has come in now. We are just looking at what sort of an experience, which we can give it in the software side. That's also being worked on. During this time, our focus has been on supplier finalisation, the automation which is required and what are all the quality parameters, which we have to bring in. So, our focus has been on to the operationalising and the detailed design of it. So that extent of the work is going on in full swing.

Arvind Sharma: Sure. Thank you so much. That's all from my side.

Basudeb Banerjee: Thanks, Arvind. Next, we have question from Mihir Jhaveri.

Mihir Jhaveri: First on VECV. So basically, we have seen that the two largest players have sounded cautious for the next six to nine months in terms of demand, including Q4. So how do we envisage in terms of, particularly, in the CV segment for the quarter next in terms of demand as well as anything you want to guide for FY25 in terms of demand from CV perspective?

And second question would be with regards to RE and overall margins. So, have we seen the major benefits of commodity into this quarter? Or is there something else which will still come in? And on RE, if you can throw some light in terms of the inventory situation and whether there is any waiting period in any of the models?

Vinod Aggarwal: I will first comment on the VECV market outlook. So fundamentally, if you look at the commercial vehicle market, it is driven by fun

damental factors of firstly, the economy;
secondly, the replacement demand; and thirdly, the infrastructure investments. So, if you look at all these three fundamental factors, I think all three factors are very, very positive. Indian

economy is doing well and there is good outlook also that from $3.7 trillion, the market economy should go up to $5 trillion or $7 trillion in next three to five years.

The second fundamental factor is the replacement market. On the replacement market front, there is a huge need to replace the old trucks. For example, the entire population of BS-III and BS-IV old trucks that is going to come up for replacement, because the new trucks, they are much more productive, much more efficient, and they can meet the requirements of the new age customers. For example, if the delivery has to happen in certain time, it has to happened with certain speed or if you have to drive the trucks in the new roads, you need certain horsepower, and then connectivity and all the productivity things linked to the connectivity. Like, for example, we provide predictive maintenance services or uptime services. All these things are possible only with the new age trucks. So therefore, it makes a very good business case to replace all the old trucks. And old trucks, if they continue with that, they may not get the right business from the new customers. So therefore, you will see more and more replacements happening.

The third fundamental factor is the infrastructure investments. The government is continuing to have a very strong programme on the infrastructure, and you will see more and more investors coming in, which means more demand for steel and more demand for cement, more demand for construction trucks. So therefore, I think all these fundamental factors are in place.

Now if you look at MoM or QoQ, there may be short-term hiccups here and there. I think we should not worry about that. But overall, if you take a medium-term view, the commercial vehicle industry is likely to remain very good.

Vidhya Srinivasan: Yeah. As far as RE is concerned, and I think your question was around any benefits we are getting from pricing on commodities. So, I think if you see largely the major categories of commodity, steel has been pretty much stable for most of the year. Aluminium has also been range bound. And as far as precious metals, we are seeing some benefits, but they are relatively a smaller cost as far as the overall material cost is concerned.

We've been consistently talking about 0.9% benefit that we're getting in the margins on account of commodities YoY. So that is what I'd like to continue to maintain, and I'm not necessarily seeing too much of a tailwind at this point, but we are observing this situation as it moves forward. And I think one final question was there on backlog. I think the order backlog is pretty healthy. I think I would say about three to four weeks. And obviously it varies as per product.

Mihir Jhaveri: Thank you.

Basudeb Banerjee: Thanks Mihir. Next question is from Chandramouli.

Chandramouli Muthiah: Hi, good evening. And thank you for taking my questions. My first question is just trying to understand the ASP improvement a little bit better this quarter, as you mentioned, a lot of new products and refreshes in there. Just trying to understand specifically on the Himalayan 411cc versus 452cc. Going forward, do we expect a large majority of our sales to come from 452cc, and is there any residual sort of 411cc models in there that will continue to market?

B. Govindarajan: Well, I think 411cc was the Himalayan which we launched in 2016, first. Now the new Himalayan, the Sherpa platform is 450cc water-cooled, that's done in the Himalayan. As we were talking about, this platform will lend for new products at a later point of time. As of now, we have the Scram 411cc on the same

platform. That's continuing.

Chandramouli Muthiah: Got it. And of the 6,500 units that you mentioned on Himalayan 452cc, is that all just for the December quarter? Or is that sort of sales as of date?

B. Govindarajan: It's December and the first week of Jan, I suppose. That's why I said it is consolidated level from the launch, what we have actually sold.

Chandramouli Muthiah: Got it. That's helpful. My second question is just around logistics, just given some of these recent issues around the Red Sea and Europe being an important market for you. Just trying to understand, is there any delays or inflation in freight rates that you're experiencing from some of the Red Sea issue. I understand you also spoke about sort of this being a stock-up quarter ahead of the riding season in some of your key export markets. So just trying to understand some of the logistical situation a little bit better?

Vidhya Srinivasan: Yeah. I think, like you said, obviously, we are watching the Red Sea situation and there has been an impact. So, if you see some of the shipment charges have seen an increase of somewhere between 25% to 30%. But I think slowly, I mean, we'll watch how it moves. That's for specific routes, not across the board. And shipment duration has increased by about 30 days. So, I think that's essentially the impact we're seeing right now.

Chandramouli Muthiah: Got it. That's helpful. And just lastly, around the U.K. distribution. A couple of quarters back, you mentioned that you're bringing that in-house. So just trying to understand if the entire process of bringing the inventory in-house and sort of settlement with the existing distribution partner, if a follow-up that is done, and if that has any sort of positive margin implications going forward, if that process is now behind us?

Vidhya Srinivasan: Yeah. I think more or less, setting up a subsidiary, establishing the team over there, looking at local warehousing, all of that is done. There's a little bit of inventory shift over and all of that which is happening, and which would probably happen until the first or second quarter of next year. But after that, I would imagine that that would be substantially over.

B. Govindarajan: Just to add on Chandramouli, the need for actually taking over the financial comes at a later point of time, primarily it is a very important market for us. And we have to connect to the consumer directly because we are growing. That's why we went into that as an initiative, and it does find out to be, financially also it is very helpful for us. So what we wanted is taking over the inventory, signing up with all the dealers, co-funding with the financers. All those things are one by one, getting sorted. It is not an easy one. I think the team has done a good job of bringing all those things in stream. You will see in time to come, those things getting approved into the P&L.

Chandramouli Muthiah: Got it. Thank you very much. And all the best.

Basudeb Banerjee: Thank you. Due to time constraints, that was the last question. Over to you, Siddhartha for your closing comments.

Siddhartha Lal: Yeah. Just thank you all for joining us for the update. And we've had a very good first 10 months to the year, and we got two more months to go. It all seems good and on track and lots of other interesting things coming from EML. Look forward to talking to you in three months. All the very best. Thank you very much.

Call: May 2024

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"Eicher Motors Limited
Q4 & FY24 Earnings Conference Call"

May 11, 2024

MANAGEMENT : MR. SIDDHARTHA LAL – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER – EICHER MOTORS LIMITED
MR. B GOVINDARAJAN – CHIEF EXECUTIVE OFFICER - ROYAL ENFIELD LIMITED
MS. VIDHYA SRINIVASAN – CHIEF FINANCIAL OFFICER – EICHER MOTORS LIMITED
MR. VINOD AGGRAWAL – MD & CEO, VE COMMERCIAL VEHICLES LTD
Eicher Motors Limited (EICHERMOT)
Q4 FY 2024 Earnings Conference Call
May 11, 2024 01:15 PM IST

Basudeb Banerjee: Hi, all. Welcome to Eicher Motors Limited Post-Q4 FY '24 Results Conference Call. We have with us the senior management of Eicher Motors, represented by Mr. Siddhartha Lal, MD and CEO, Eicher Motors Limited; Mr. Vinod Aggarwal, MD and CEO of VECV; Mr. B. Govindarajan, CEO of Royal Enfield; Mrs. Vidhya Srinivasan, CFO, Eicher Motors Limited. Thanks again to the management for giving us the opportunity to host the call.

Without wasting any time, over to the senior management for their initial comments.

Siddhartha Lal: Thank you, Basudeb, and ICICI for hosting this for us. And hello, everyone, and welcome to the earnings call for Eicher Motors Limited for the quarter and year ended March 31, 2024. So we've had an absolutely stellar year at Eicher Motors with consistent and solid growth through the year, and we've grown from strength-to-strength each quarter, and marking new milestones in business and financial performance.

I'm going to begin with our update on Royal Enfield. Again, an absolutely fantastic year where we've maintained our lead and our dominance in the premium motorcycle segment and have closed the year with 9.12 lakh motorcycles. So that's the best performance we've ever had in a year. Had some absolute category defining launches this year. We introduced the Himalayan on our new engine platform, on the Sherpa 450. And we've seen absolutely tremendous response from consumers in India and around the world, and from critics and media and in sales as well.

So on the product development and manufacturing and quality front, we've continued to push the boundaries and are now absolutely amongst the best in the world, which is evident from the fact that we've got the world's best cruiser and possibly the world's best adventure motorcycle also, based on all the inputs and all the awards we've got, which is the Super Meteor 650 and the new Himalayan 450.

And of course, the Himalayan also won the Indian Motorcycle of the Year in 2024, which is the most important award because it involves the largest group and a very large group of motorcycle journalists who come up with this. It's a single award. And this is our fourth Indian Motorcycle of the Year in the last six years. So we've dominated that single award that's given to the best Motorcycle of the Year.

We've also made great strides in our EV journey in the last year and we have a very solid not only single product, but a range thought process. We have really built our development capabilities, our technology, our technical teams and now even our commercial teams are really being built up. And we're working on a very solid differentiated portfolio and lineup for EV, which will come in the right time, in due time.

Coming to VECV, our joint venture with Volvo for commercial vehicles, we've had our highest ever sales for the Eicher truck and bus division for Volvo trucks for VE powertrains, where we sell engines to Volvo Group around the world. And in our Components business and our Power Solutions business, these all verticals of VE commercial vehicles.

And on the EV front, at VECV, we've delivered over 230 electric buses so far, and 75 Eicher Pro 2055 EV trucks. So we are making strong progress on the EV front and deliveries and tracking how the vehicles are going, which is very good. We also showcased a new electric small commercial vehicle at the Bharat Mobility Show earlier t

his year. So
we are entering into the small commercial vehicle segment, which is the 2 to 3.5 tons. And the first vehicle in that VECV for Eicher will be an electric vehicle. So yes, the whole category is extremely new for VECV, and so is the EV first type of programme. But this is a category where Eicher brand has a lot of salience, a lot of brand equity because of our

strength in light and medium duty as well. So we're very hopeful that we'll make a big impact in this very large market of small commercial vehicles.

We also made huge progress in our sustainability journey. Our most ambitious social mission project, which is the Himalayan Hub, went live at Theog in Himachal. So we have fellowships, we have hubs for circularity, for experimentation for let's say, responsible travel. These are the kind of areas that we're looking at to develop over the years for sustainable travel and sustainability in the Himalayas. We also had another very important project called Himalayan Knot, which is about strengthening indigenous heritage textiles in the Himalayas, and along with the Himalayan artisans and communities being closer to urban designers and urban markets and brighter community. So that's gone on well. We also concluded the second edition of the great Himalayan exploration, in partners with UNESCO, which is the concept there is to document and conserve the intangible cultural heritage. In this case, we are doing it in the eight states of the Eastern Himalayas, where we've documented this year, over 45 different intangible cultural heritage elements for posterity, for future, for reference, for support. So it's a very exciting project.

Well, now coming to the financials. We've had another record-breaking performance. So we have a lot of best evers coming up in revenue and EBITDA and PAT. So the consolidated financials for Eicher Motors Limited for fourth quarter and for the full-year. We've had a highest ever revenue for eight quarters in a row now, and resulting in highest ever annual revenue in EML.

So for Q4, revenue for EML stood at ■4,256 crores, up 12% from last year. For the full-year, EML revenue stood at ■16,536 crores, up 14.5%. And if you take the ■16,536 crores for EML consolidated, and then you add VECV, which is not part of the first figure, and VECV is ■21,459 crores. So the combined revenue on both RE and VECV, so if you look at the group level, is nearly $4 billion combined revenue last year.

Our EBIT profits have grown year-on-year and sequentially, and we registered the highest ever PAT and EBITDA for the quarter as well. The EBITDA is ■829 crores, up 21% for the quarter. And for the year, it's ■4,327 crores, up 26%. So solid growth in EBITDA, both for the quarter and for the year. The EBITDA margin is at 26.5% for the quarter, that's 2 percentage points higher than last year and 26.2% for the full-year, which is against 23.8%. So it's substantially higher than the previous year now. Our PAT is at ■1,070 crores, up 18%. And for the full-year, we got ahead of of the 4,000 mark at Rs 4,001 up 37.3%. So solid numbers overall, as far as we're concerned, from EML.

And now I hand over to Govind, the CEO of Royal Enfield to you give you a little bit more insight and detail on the Royal Enfield business performance.

B. Govindarajan: Thank you, Siddhartha. Hello, everyone. Good afternoon. Thanks for joining in a Saturday. All of us at Royal Enfield are super proud of the several milestones we have achieved in the year 23-24. Not only have we seen exceptional performance for Q4, we have also sustained strong growth momentum throughout the year in all quarters, despite a lot of actions, which you would have seen in the middleweight segment.

During this quarter, we sold 2,27,925 motorcycles, which is up by 6.2% on Y-o-Y basis. For the financial ye

ar, as Siddhartha mentioned, we sold about 912,000 motorcycles, which is
compared to last year, which was only about 8,34,700 motorcycles. This is our highest ever volumes in the country, India. With this, we have surpassed our pre-COVID level and have maintained the robust growth momentum, with about 30% market share in more than 125cc

category. And our motorcycle market share is almost about 7.2% on an overall basis.

In the international markets, we recorded a sale of 77,209 units. Despite weak macro backdrop, which you all know, our retail sales in the international markets remain on a steady growth track across the regions in this year FY '24. As a result, we have maintained our market share in the middleweight segment across the market outside India, too. During this year, we forayed into some new countries like Turkey, which has a strong market relation for motorcycling.

On manufacturing, just to add, we have produced 9.2 lakh motorcycle this year, which is, once again, highest ever production with high quality fit and finish motorcycles for the globe. Our plants are continuing to create new benchmark in efficiency, automation and manufacturing excellence. Our Oragadam plant at Chennai was awarded the future-ready factory by Frost & Sullivan. And we also received the Excellence in Operations and Smart Factory of the Year in 2023.

We achieved our highest ever revenue from the non-motorcycle business, given we are expanding service reach, robust growth in accessories and widening range of apparels and adding more SKUs in the accessories business.

Throughout the year, we steadily elevated pure motorcycling experiences for our customers, with the introduction of programmes such as Assured Buyback, REOWN, and tours and rentals, which are already gaining traction now. Consumer response to these programmes has been very, very encouraging to us, and we will continue to enhance these initiatives. This year, we also introduced two connected motorcycle systems, with advanced telematics and navigation capabilities on our motorcycles. The tripper dash on our all new Himalayan Sherpa Platform motorcycle, and the WINGMAN, the rider centre connecting motorcycles in Super Meteor to start with.

Motoverse this year hosting the spirit of motorcycling in every sense of the world. Over three action packed days of music, motorcycling, art, culture, the 13th edition witnessed the participation of more than 15,000 attendees from across the globe. And during that time, we also unveiled the Shotgun 650 and announced the surprise of Himalayan, which all have fit in the market very well.

Under the sustainability initiative on the social mission, which Siddhartha mentioned about what we are doing at Himalayas at and green operation business level, I would like to share with you. We have achieved zero liquid discharge in all our operations and all our plants and our warehouses are all net water positive, with an index of almost 3.23 in Oragadam and 2.02 in Vallam. We have been constantly working on improving the renewable energy usage. And during this year, further, we enhanced that, and we have 35% of total consumption onto the renewable energy.

We were looking at constantly on reduction of carbon emissions. This year, we had to get target of achieving 20% reduction compared to last year, and it has been completely on track. On the product end of vehicle study, we wanted to do that to understand the recyclability, recoverability and reusability. And we started off with our Twins Platform and now we are doing for the rest of the products also. Happy to share with you that the reusability and the parts of our motorcycle are more than 98%. And the recoverable is also equally the same. And we are working on complete usability and recoverability parts we used in the motorcycl

e. With the successful launches last year, we are well on our way to
ride ahead on our strategic goals, with several more products, which are lined up. We have given up to continue this growth journey in India and across the globe.

In conclusion, we had a very great year and have an even better one planned in the coming year. And now I'll hand it over to Vinod Aggarwal to take you through the VECV presentation. Over to you.

Vinod Aggarwal: Thank you, Govind, and a very good afternoon to all of you. As Siddhartha mentioned, financial year '24 has been a record year for us on all fronts. Let me begin with the financial performance for the quarter as well as for the year. We had, overall quarter four sales were 25,732 units. And of course, for the full-year, we had 85,560 units as against last full-year of 79,623 units. So with a growth of 7.5% for the full-year. If you look at the industry, industry had grown by 4%. So therefore, since we have done better than the industry, we have improved in market shares in most of our segments.

As far as the revenues are concerned, our revenues rose to ■6,275 crores in quarter four. And of course, for the full-year, our revenues stand at now at ■21,868 crores over last year full-year revenue of ■18,952 crores with a full-year growth of 15.4%. As far as EBITDA margin is concerned, we had an EBITDA margin of ■486 crores for the quarter. And for the full-year, we had EBITDA margins of ■1,715 crores as against last year full-year EBITDA margins of ■1,387 crores with the growth of 23.6%. And EBITDA margin for the quarter was 7.85% and 8% for full-year as against 7.5% for financial year '23. Profit after tax, while ■242 crores for quarter four and ■823 crores for financial year '24, which is a growth of 42% from ■579 crores in the previous year, financial year '23.

And we achieved highest-ever Q4 sales for Eicher heavy-duty trucks at 6,476 for Eicher brand and 500 plus for the Volvo brand. And for the full-year, we have heavy-duty trucks sales of 23,660 as against last year of 20,675 units. So with a growth of 14.4% as against the industry growth of 4% in heavy-duty trucks. So with this 23,660 units, our market share in heavy-duty trucks has gone up to 9.2% for the full-year. And of course, if you look at the quarter four market share, quarter four market share for heavy-duty trucks was close to 10%, which indicates that we are well on our journey to become a bigger and bigger player in the heavy-duty truck market.

As far as the light and medium-duty trucks are concerned, we sold 11,033 units in the quarter achieving again our highest-ever market share of 35.8% in the light and medium-duty trucks for quarter four. For full-year, we sold 38,712 light and medium-duty trucks as against last full-year of 37,318 units with a growth of 3.7%. As against this, the market has dropped by 5.9%. So based on that, our market share in light and medium-duty trucks also, it improved to 34.7%. And of course, in almost four months in the full-year, we were the market leaders in light and medium-duty trucks, which is again, a very good development.

As far as the bus segment is concerned, we sold 6,090 units in quarter four. And of course, these were our highest-ever sales in the buses. And for the full-year, we have sold 17,620 units of buses as against 15,077 in the previous year, with a growth of 16% plus. And of course, we continue to do very well as far as the parts business is concerned, with the overall sale of ■574 crores in quarter four, with a growth of more than 24%. And of course, apart from that, our V powertrain, which is our euro 6 engine where we export these engines to Volvo Group. That unit is also doing very well. We delivered 15,717 units in quarter four, which again are the highest ever.

And of course, we achieved quite a f

ew awards last year. And of course, we also were ranked number one in dealer satisfaction survey consistently for three years in a row. And we also won customer satisfaction awards for heavy-duty trucks as number one. And in light and medium-duty trucks also as number one in the customer satisfaction survey, which was conducted by GfK, which is again a very, very credible achievement. And we were also given a CV maker of the year recognition at 2023 Apollo Tyres CV Award. And we were

also we also won six other product-related awards, again, acknowledging our efficient range of trucks and buses.

And of course, as we all know, over five years ago, VECV became the first CV manufacturer to offer connected telematics as a standard. Over these years, we have built on this connected ecosystem to deliver artificial intelligence and machine learning-based remote and predictive diagnostics to customers thereby delivering uptime to them.

On the sustainability front, as you are aware, that we are one of the strong players in the CNG fuel-based trucks. We have also entered LNG fuel-based trucks in both Volvo brand as well as Eicher brand. We are working on H2ICE technology. We are working on hydrogen fuel cells. So therefore, we are working on all these future alternate fuel technologies. And all our existing digital vehicles, they comply with all the strict current BS-VI, OBD2 standards. And then, of course, we are committed to increase the use of renewable energy and energy efficiency at our plants and operations. We have also implemented water saving measures and are aiming to reduce water usage per vehicle by 5%. I now hand over back to Siddhartha for any last remarks.

Siddhartha Lal: Yeah. Thank you very much, Govind, and thank you very much, Vinod. It's been an absolutely fantastic year for EML, for VECV. And as we step into this year, which we're already in, we are really confident that we'll continue to grow. And we have a lot of interesting things planned ahead.

Royal Enfield's performance and success last year was particularly special as we achieved all of that in the light of huge, let's say, push of new wave of competition. And it's our dedication to the motorcycling and to premium motorcycling. It's our extreme focus and of course, we believe our products are a step ahead. And we've always, even though the product cycle is four to five years in terms of conceptualising to being on the road, we've always been a step ahead of competition, even when new competitions come in. We've already anticipated consumer demand more than competition and been ahead of the curve. But then it's well beyond that. I think for us, as a lot of you know that it's the entire holistic consumer experience. That's what we are obsessed about at Royal Enfield. That's what we think about daily, more than competition, more than investors, more than anything else we think of our consumers and we, ourselves, Govindarajan, myself, we're on the motorcycles, riding, understanding, future bikes, competition bikes, EV bikes and our whole team. We're absolutely obsessed and we're focused on that consumer experience and understanding them better on understanding their pains, understanding their joys, understanding what will motivate them because we do it ourselves. And that's the difference. It's a holistic really, really detailed thoughtful experience that we provide our consumers. And we continue to remain super focused on doing just that.

So that's just an update from all three of us. Thank you very much for listening. And now we're open for some questions.

Basudeb Banerjee: Thanks, sir. For Q&A session, requesting participants to raise their hands and also requesting each to limit their questions to two per participant. So first question is from Gunjan Prithyani, requesting you to, unmu

te.

Gunjan Prithyani: Yeah, hi. Thanks for taking my questions. My first question is on the Royal Enfield side. If you can share a little bit more in terms of, what are we seeing on the demand side? April was certainly quite a strong month, where there was an element of seasonality as well. But if you can share, how should we think about the demand growth or outflow for fiscal '25? And also, just clubbing Himalayan along with that, the ramp-up had to happen in quarter four. So

now do we have a sense of what's the steady run rate for Himalayan 450cc for the domestic market?

B. Govindarajan: Hi, Gunjan, about the overall market, I'm sure you guys are following it more than us and getting the datas in different form. What we can say is the two-wheeler market is poised for a growth, and especially the middleweight. We anticipate the middleweight growth will be in double-digit. As we always say that we should be ahead of the curve, with all the new products which we launched last year and new products, which are going to come in this year, we feel that there is enough headroom for us to grow. In fact, the premiumisation as a theme is continuing in India. That's a good sign for all of us. The motorcycle industry, I think is slowly coming back to the pre-COVID level. We are seeing that month-on-month, which is slowly gaining momentum. It will actually help us with all our preparedness, which we have done over the period of time.

As far as the Himalayan is concerned, we launched and it has been a super hit for us and happy to share with you, it's beyond the expectation of the numbers, which we are talking about. You know Gunjan, that we don't give exact numbers. But having said that, we are currently clocking as good as 200-plus motorcycles a day. But we are also preparing ourselves on the higher numbers because we see there is a good potential for us across the globe. As of now, only in few international markets we've opened the model. And we are slowly opening to the rest of the market. So we see that motorcycle also will give us a better growth in coming years.

Gunjan Prithyani: So 200-plus motorcycle a day, and we are not yet seeing that in terms of dispatches. Is that a supply ramp-up, which is more gradual here?

B. Govindarajan: As of now there is also a season in international market. So we have to do that with the interactional markets also. So currently, what we are doing is depending upon the FIFO level, we are trying to match to the consumers of domestic market and also to the international markets. But we are working on increasing the supply situation, which you will see in time to come the improvements.

Gunjan Prithyani: Okay. And just second question on the platform that sort of picture that you put in the presentation. There are fair bit of white space that's clearly evident across platforms, right? And I know you will not talk about which product, which launch. But in terms of next, if you were to think about next 12, 18 months or two years, what are the key white spaces in the respective platforms that you think are priority areas to address across platforms? There is only one bike on 450cc. There's only one on the D platform. So a little bit colour on how we should think about bridging of these white spaces over the next two years?

B. Govindarajan: Quite a long answer to be given, Gunjan, but still I'll try to short slightly. We have currently three platforms. We have our super refined J-platform. Then we have our 450cc platform, which is the Sherpa Platform and the 650cc platform. We also had that 411 platform and in some of the products, we are continuing there. In all these platforms, as we always say, we are a focused company. We don't do too many things. But the platforms are grouped to bring out different motorcycle, which addresses the di

fferent set of and segment of
consumers, which we can give a differentiated experience. That's why on the J-platform, you can see we have a Bullet, we have Classic, we have Hunter, we have Meteor. And all of them have their own space and the consumer sets and experiences are very different to the people. Similarly, on that 450cc platform, as of now, we have come out with the Himalayan. And we will come out very soon. You will see a fantastic motorcycle from the same platform. And on the 650cc platform, we have our Continental GT, Interceptor, Shotgun and the Super Meteor 650. All are very different motorcycle and which gives a differentiated experience.

So to that extent, all the platform changes and the improvements which we have done, we have to give some space for that also to grow. The 411cc platform when we launched, the market wasn’t there. But over the period of time, we created a category like that for all these platforms and the products which we are bringing in, we have to give that space to actually grow because consumers also have to get accepted to that. We know that these are all outstanding products, which will grow in the market over a period of time.

We constantly look at as Siddhartha was mentioning, we ride motorcycles. We are motorcyclist first. When we ride, when we see there is a possibility for us to give you a different kind of a motorcycle in the same platform, we always keep thinking about it, but that's all thought through at the platform development stage itself. We don't do afterthought discussions of all these things. So around the platform, as we presented to you people, we have a lot of new products, which are already lined up, which will start coming one by one.

Gunjan Prithyani: Okay. Got it. I'll join back the queue. Thank you so much.

Basudeb Banerjee: Next, we have in the queue Jinesh Gandhi.

Jinesh Gandhi: Hi, congrats on good set of numbers. Quickly, two questions on the RE business. So on the export side, we have started to see some bit of pickup on the wholesale volume side. Are you seeing similar trends on the retail? Are things looking up now vis-à-vis what it was six months back?

B. Govindarajan: In the international market, Jinesh?

Jinesh Gandhi: Yes.

B. Govindarajan: No. In the last quarter also I was just telling, we don't track the wholesale. Wholesale is only a transaction number for us. We always look at retail. And as the retails were better and last year, as I mentioned, the retail focus is what is there, happy to share that the retail has been very good in all the markets across the globe, also in India too. And to that extent, you are seeing the wholesale also picking up slowly.

Jinesh Gandhi: Okay. So we should expect this run rate to improve upon given covering the retails?

B. Govindarajan: That's how the equation also works. But all of us have to be keeping only one thing in mind is the international market macro situation, it's a market-by-market situation. It's not all across. So every market, depending upon the consumer sentiment, we will actually be looking at. As I always say, for wholesale, we can go on and do more numbers, but we are not that sort of a company. We look at retail, we actually look at it as a full brand rather than a push. So it's for a long term. What is required for the international market for us to be the leader over the period of time? All the key things which have to be in place is what is the focus. The team is actually doing it. We have our own subsidiary, wherever it was required. And we have our own CKD plants. Our teams are on the ground of actually picking up the consumer sentiments. We are looking at integration of the DMS. We are looking at the CRM package integration with the central team. So all those activities are happening constantly at international

markets, because we know for sure, there is a huge market potential for us and all our products are also fully accepted in the international market very well. So that's the positive feel, which we have about international market.

Jinesh Gandhi: Got it. And second question on the RE margins, Royal Enfield margins. So clearly, we have seen a healthy evolution of margins, holding of upwards of 27%. From where we are today,

what are the push and pulls, which we are seeing on margins over the next 12 to 18 months? What are the drivers you'd be looking from a margin perspective?

Vidhya Srinivasan: First of all, revenue growth itself is something that we are actually focused on. We're looking at absolute increase as far as EBITDA is concerned. We're not necessarily so focused on percentages, as you know. So growth, I think, the revenues are obviously flow through to us in terms of the bottom line. We also had an increase in share in the international market coming back. It will also obviously have a bit of a flow through as far as profitability is concerned. And I think we are also seeing great growth happening in the non-motorcycle side of the business, which is accretive to us. I think that is something that will also kind of flow-through. So I think commodity, we are kind of keeping an eye out for them at the moment. We've not seen too much pressure coming in, but that is something that obviously we're watching out for and see how that impacts us.

Jinesh Gandhi: Got it. And, Vidhya, just one clarification on VECV. We have seen some restatement of margins. And as a result, margins have declined in fourth quarter on Y-o-Y basis. But Q-o-Q basis, margins again have declined despite seasonally strong quarter. Any one-offs there?

Vinod Aggarwal: Yeah. Basically, last year in Q4, there were some fiscal incentives, which we had accrued based on the very old, which were pending in Madhya Pradesh. So due to that, there was one-off in last year Q4. So due to that, the margin looked lower than the last year Q4. Other than that, there is no other reason.

Jinesh Gandhi: But even on Q-o-Q basis, it has declined. So despite 25% growth in volumes.

B. Govindarajan: Q-o-Q basis is not a very big thing, but that's fine. That's not it. It's one-off incentives.

Jinesh Gandhi: Got it. Thanks. I'll fall back in queue.

Basudeb Banerjee: Kapil, you can try again. Okay. Seems some issue, so we can go ahead with Raghu.

Raghunandhan NL: Good afternoon. Hope, I'm audible. So a couple of questions. Firstly, on commercial vehicle side. So on electric, ELCV, ESCV, buses, if you can talk a little bit about the volume potential going ahead. How you see that entry into ESCV to become big for the company? And also that on the e-buses, given the announcements on payment security mechanism, would you become more aggressive in future?

Vinod Aggarwal: Definitely, the e-vehicles are evolving now. Buses will be the one, I think, which will have good growth this year because government has this programme PM-eBus Sewa bus programme, under which they are going to come out with more and more tenders. But of course, we will be very careful, not putting in the bids to pursue the volumes at any cost. So therefore, we will see that what makes sense for us. But of course, as far as the products are concerned, we are all ready with the 9-meter bus product, 12-meter bus product, and we are also going to introduce 13.5-meter intercity bus product. So products wise we are ready. But of course, we will be very careful and think the government business of state transport undertaking because that business model still is very, very difficult business model where the entire payment is on per kilometre basis for next 12 years. So therefore, we have to see that if we do that business, it is done at the right prices

.

As far as the trucks are concerned, we were the first one to introduce electric truck in 5.5 tonne category. And last year, we have sold 75 electric trucks. And this year, of course, the traction is good. And we are also going to come out with more models in electric trucks. And the small commercial vehicle, which we had unveiled in Bharat Mobility Expo in February. And that product also we have now given on pilot basis to 10 customers last

month, and that will be introduced on a commercial basis from January next year. So again, that's a very high potential. And this, of course, the electric model will be followed up by diesel and CNG in the next six months. So therefore, it's an electric technology is evolving. We are very much there in all the segments. But of course, we will be very, you can say, careful where we have to get in and where we don't have to get in.

Raghunandhan NL: Thank you for that answer. And congrats on the market share gains you've been seeing. If you can talk a little bit about the demand outlook also how you are seeing the demand and how you see the prospects?

Vinod Aggarwal: As far as the demand for commercial vehicle market is concerned, I think it has got a very good potential for growth. Fundamentally, because our economy is continuing to do well, and of course, we are expecting on the back of around 6% to 8% of last year, we are expecting that this year also the economy should grow by 7% plus. So that is the first fundamental vision of growth.

Secondly, the strong infrastructure programme from government of India. And thirdly the pent-up replacement demand, which continues to be very strong because the new trucks or new technology trucks, which has a lot of electronics and a lot of telematics and a lot of new features, which enhance the productivity and efficiency of the trucks, it makes a lot of business sense to replace the old fleet. So therefore, we will see more and more fleet looking for replacement. So therefore, the CV demand will also increase because of the replacement of the old trucks. So all three fundamental factors point towards that CV industry is going to have a good future. Even though there maybe hiccups this month or that month, but overall, on a CAGR basis, we are going to see a good growth.

Raghunandhan NL: Thank you so much. Just a quick question to BGR. If you can talk about Shotgun 650, what would be the current volume and potential? And is there a case for a 350cc Bobber?

B. Govindarajan: New products, we won't talk about it. When that comes near to the new product coming up, we will talk about that. Shotgun is, once again, a product which is inspired by customs and for customs. When we launched Super Meteor 650, at that time also we were thinking. It's a stunning motorcycle. It has launched in January. There's a huge response in the international market. It's a product which has just come. We have to nurture it. But what we are doing is we are also working along with all the custom builders and how that entire ecosystem can be integrated so that the product can be taken to the next level. So there's a lot of work which is happening.

We see that product has a huge potential. It's a very planted motorcycle. And it has very different look and feel. Consumers are enjoying it. In fact, I'm at U.K. Tech Centre, and yesterday when I met a consumer who bought this, he was in love of this motorcycle and he said, "When I saw it, I thought I should have it immediately." So to that extent, there is a good response. So as I mentioned, it's just come into the market, and we have to work on it a bit more, but we see there's a huge potential for that product also.

Raghunandhan NL: Thank you so much. I'll fall back in the queue. Best wishes.

Basudeb Banerjee: Thanks. Next, we have a question from Binay Singh.

Binay Singh: Hi, team. So thanks for the opportunity. One trend that we see in Royal Enfield in the last two quarters, is that a greater than 350cc portfolio is doing well, partly driven by product launches? But just to understand the customer profile, is that changing? Because I remember the earlier the company always talked about this replacement consumer coming back. People who had a Royal Enfield, buying a Royal Enfield. And then we used to also talk

about the average age profile coming down when the 350cc portfolio was rising. So with these new launches, are you able to sort of see any changes in your customer profile? Are people now replacing? That's the first question.

B. Govindarajan: Yeah. I think the product is coming up in the 350cc and above. The numbers are also coming. Percentages are equally to be looked at what's happening in 350cc, right? But we have to grow all the platforms, all the CCs that's what the team is working on. But the new products like the Himalayan 450 on the Sherpa Platform, which we launched 650 motorcycles, Shotgun, Super Meteor, all those things are doing well. You will see more products even in that. So those are also be growing. In the 350cc, also the products, we are planning a lot of activities, which will be happening. Overall, the growth is happening in all the areas.

You touched upon the topic of the replacement cycle. In the last call, also I mentioned, it is yet to kick in. But we have to be prepared. So what we have done is to give a very frictionless experience for those consumers almost about 6 million motorcycles, which are there in the market as a vehicle park. For them at a particular point of time to give the new motorcycle, which they can exchange with, we came out of the REOWN as a platform for someone to upgrade. Having said, we don't want our customers to actually change the motorcycle just because we have a new motorcycle. We have to be actually be working with them that they enjoy the motorcycling experience. Somebody who bought a Classic at some point of time, if he wants to enjoy our Interceptor today, and then we should be there to actually help him out to enjoy the motorcycling. And that's the focus which we are doing now. The replacement cycle will kick in at some point of time, but you have to see a good traction. It will take some time, but I think it's a growth path for us in future.

Binay Singh: Thanks for that. And secondly, could you share a little bit about like finance penetration? How is it now for you? And also the three programmes that you started last year, the REOWN, the leasing programme, what sort of percentage contribution is it coming from them? I assume it will be very small.

B. Govindarajan: Our finance penetration, as of now is about 61%. It's steadily growing over the period of time. I mean because when the demography is coming down, it also is quite natural that the finance penetration will be there. So we came out with the digital finance marketplace DFM which we did. We integrated that to our website and on a journey of the consumers at the front end. We actually socialized that and say this is the finance option, which is available and very attractive finance schemes, which we are working on. Yes, It's a lever. And it has to be available. As I mentioned, frictionless experiences, it's everything. When the consumer wants it, it should be available. That's one of the focus which we are doing. You asked about the REOWN as a program. We just launched. We piloted in few cities. And in those areas, the numbers are coming in. We have to work with the entire ecosystem. We have to work with our dealership. We have to explain to them about the business model in which way it is better for them, beneficial for them and also to the consumers. So it is slowly taking traction, Binay.

It won't be overnight, but it is the thing, which we feel for an upgrade cycle is very important for us.

Binay Singh: Thanks. Lastly, any price hikes we've taken recently? Anything on that in the Royal Enfield side and in the VECV side?

B. Govindarajan: Royal Enfield side, we haven't taken the price hike very recently. VECV, Vinod?

Vinod Aggarwal: In VECV, we are focusing more and more on the discount reduction. So even though we will not see the increase in the MRPs, but we are trying to plug the gap between the MRP

and the transaction prices. So therefore, we will see more and more rationalisation happening in the discounts.

Binay Singh: Okay, thanks a lot. Best wishes for future quarters.

Basudeb Banerjee: Thanks. Next, we have a question from Arvind Sharma.

Arvind Sharma: Yeah, hi. Good afternoon, everyone. Two questions from my side. First, on the realisations. Royal Enfield, they're quite strong this quarter. Any specific reasons for sustainability there on?

Vidhya Srinivasan: I think, no. It's just that the exports so that's possibly impacting ASPs and we have taken a price increase in May last year. So I think quarter-on-quarter the full benefit is coming through this quarter. So that's also there. So that's basically what is the prime reason for ASP.

B. Govindarajan: We haven't taken any price increase there, Arvind. It's only the mix and the higher cc motorcycles, which I think the previous question also just asked. So that's what is actually helping us on the ASP.

Arvind Sharma: Thank you. Thank you for the response. The second question would be on commodity prices. Where are you seeing the trends right now? And again, would they be passed on? Or would you tend to absorb them going forward? If you could please elaborate on that?

B. Govindarajan: Commodities, it is not a headwind as of now. Is it a tailwind? May not be. So to that extent, there is some amount of stability, which is there. But always we will track it and then see what is that we have to do in this, especially the high cost, the PGMs, which goes into the motorcycles. And we are constantly working on value engineering to offset that. So passing on, not passing on is time-to-time when we do a pricing committee discussion, at that point of time, we decide. But it is also commodity going up, commodity coming down, it doesn't mean that the cost plus is actually the price. That's not the equation now we can play in the market. So it has to be the price value proposition for the consumer. And what does it mean? And what is that we are offering to the consumer? So that comes as a prime question for us always. So it's only one side of the equation, but we constantly see that what's the price value equation and depending upon that we take a decision on that.

Arvind Sharma: But for now, you're not seeing any cost pressures as of now?

B. Govindarajan: It doesn't seem to be there at this junction.

Arvind Sharma: Got it. Thanks. That's all from my side. Thank you so much.

Basudeb Banerjee: Thanks. Next question is from Chandramouli.

Chandramouli Muthiah: Hi, good afternoon. And thank you for taking my questions. My first question is on the export markets. We have been making a concerted push into growing in the export markets for the past five to six years now. So just, at this juncture in our journey, I just wanted to understand versus the Indian middleweight market, what are some of the similar factors for Royal Enfield's growth in export markets? And what are some of the factors that are slightly different, which you're having sort of navigate around to potentially replicate the growth you had in the domestic middleweight market in some of the key export markets that we presently have sort of 8% to 10% market share?

B. Govindarajan: So, Chandramouli, in any of the markets, India, as Siddhartha was mentioning earlier, the market for the middleweight is somewhere around 50,000, 55,000 in 2011. We grew the market to almost about 900,000-plus. And the addressable market outside India is also almost the same size, but that has been grown by somebody over the period of time. With the first product of our Twins, because earlier to that, our 350cc motorcycles were not an export worthy motorcycles because it can't stand the emission norms, which are required. For the J-platform, when we brought in the super refined engine, we really felt that, that motorcycle is also exportable. Then we started working on Twins. Now the all new Sherpa 450cc Platform water-cooled and the products which are coming in, they're all now global appeal products. So products are sorted. You will see more products, which we are working on.

And the international market, what's more important is, as we always say, if we have to go open up more stores and then do a wholesale, that's an easy thing because now there is an acceptance, but that's not what we are as a company. We always see that our brand has to be in full brand. People should enjoy owning our motorcycles. In a situation where the macro economics are not so good, that's not the time to go and actually look at expansion in an aggressive way. We are a long-term aggressive company. We don't do anything short term, which I always say. So what is required for the international market of actually having our own subsidiaries, our own team on the ground constantly looking at the market growth, brand building and the community building, creating rides wherein we can be part of their community and ride motorcycles. That's what is the work, which we are doing whenever the market opens. I mean, in fact, one more thing is the CKD plants, more than what the CKD plants where it is required to be near to the consumer, which also we are doing. When the market opens up, you will see Royal Enfield riding the wave in the international market. I see some good green shoots now. The retails are better for us last year. And that's why you are seeing the wholesale also slightly better. In time to come, I think the market opens up. We are there for a good success.

Siddhartha Lal: Maybe I'll just add a little bit to add some different texture to this. I think from what you're asking is that -- I mean, very simplistically, we divided in our export markets into two. One is the richer countries, such as U.S., Europe, Australia, Japan, New Zealand, Korea, where the markets are there, they're not growing, maybe even declining, but affordability is very strong. If people like something, they'll pick it up. I mean if it's $5,000, $6,000, $7,000, that's not a problem. So Royal Enfield salience is strong. The offer is great. The bike is relatively affordable to these guys, and great, great, absolutely amazing value and m=our market recall is very strong, very strong in these markets. So that's one set of markets where there's not huge growth. There is growth potential for us, but within the spectrum of the market rather than growing the market as such, beyond the point, right. So that's the Western markets, but they're very important also from a profitability angle.

Then you have, for us, what is the high potential markets, some markets in LatAm, some markets in Southeast Asia, where we see that we can make, let's say, in inverted commas, "mini Indias," right? So and we're going with that approach. After having learned in some of these markets over the last many years. We are focusing in on some of them to really penetrate deeper to make it an India like idea for us, which is on to virtuous cycle. So we're in a virtuous cycle in India, where we have strong distribution, strong demand, strong residual value, strong service network, gre

at brand recall and that promotes all of these things, again, that means the more demand comes in and it's a virtuous cycle. So that's what we're trying to do in some of the LatAm and Southeast Asian markets, where which we feel let's say, we term them ourselves as sort of new home markets, right? So where we want to be really present to our infrastructure, our market companies. We do our own distribution in some of these markets, and we will do our own distribution. We appoint the dealer ourselves. We may even have our own store once in a while, but really to get deep into a

few of these markets where we see long-term potential in the next 5, 10, 15 years of solid growth and becoming a big player in the motorcycle market in these countries, right? So that's the objective.

Chandramouli Muthiah: Got it. That's super helpful. My second question is on the upcoming sort of 450cc platform launches over the next few years. We've historically been a company that's been a very good upgrade option for users from other brands. And then over time, we've graduated into offering upgrade options for our own customers from 350 to 650, and now we have a more affordable upgrade option, which will start coming through in terms of more 450cc products. So I just wanted to understand what are some of the dynamics in 350 to 450cc upgrading strategy that we have for our customers? And any early learnings or insights from Himalayan 450 that we've launched a few months back?

B. Govindarajan: Himalayan 450 is a motorcycle, which is adventure, yet you can use it for your daily usage type of a motorcycle ride, it's indexed in that. So it's not for everyone, but anyone who likes a bit of an adventure also will enjoy that motorcycle. So that's where the positioning of the motorcycle that will continue. But on the 450cc platform, the new products, which we are planning soon, which will be launched soon, that all will actually help us in the upgrade and also getting the new customers.

Chandramouli Muthiah: Got it. That's helpful. Thank you very much and all the best.

Basudeb Banerjee: Thanks. Next question is from Mumuksh Mandlesha.

Mumuksh Mandlesha: Yeah, thank you so much for the opportunity. So firstly, one for Vinod. Industry CV demand has been muted in the recent times. So basically how is the profitability of the fleet operators? And how is it generally the discounting trend in the market?

Vinod Aggarwal: The industry in quarter four this year has been a little bit subdued. One of the strong reason is that last year, in Q4, there was some prebuying. So you can say there was some shift from this year's industry to that last year's quarter four because of OBD-II norms, which became applicable from 1st April, 2023. Because of that, this quarter looked a bit of weak as compared to the previous year quarter four. But fundamentally, there is no other reason why the industry should be lower. And the other, of course, the second fundamental reason could be the elections, which are currently going on. And a lot of government machinery is busy on the election side, therefore, no new projects or no new repayments are slow in getting the released. So that is the second reason.

As far as the transport profitability is concerned, I don't see any concern there. Transporters are doing well, and they have got good demand, and they have got good basically, the business. But right now, they are not buying because sometimes, they also have the experience that during the election time when they buy vehicles, sometimes those are also taken by the various politicians for the campaigns or for various other types of purposes. So they don't want to -- some of the first-time users, they become a little bit more cautious. So therefore, you will see a lot of action after the new government is in place.

Mumuksh Mandlesha: Understood. Very helpful. This is for Govind, on the exports market, we now have five assembly plants globally. I just want to understand what kind of capacity for these plants are there? And what would be the current volumes from these markets? Just want to understand more on how big are this middle motorcycle segment market in these five regions? And what kind of range volumes they are looking over the medium term?

B. Govindarajan: On the CKD plants, majority is local content and a vehicle assembly line. And all those areas, as of now, we have mandate for one shift. That's how it is. So there is a potential for us to run two more shifts to add to that, capacity is available. When the market opens up, we can invest a bit more into this. So that's not a major problem for us basically. Because that's not a big manufacturing plants where the capital intensive types, only in assembly line extension, which is possible for us to do within about two months time window.

Mumuksh Mandlesha: And just on the market potential in these five markets?

B. Govindarajan: I don't have an exact number to be honest, maybe we can share it with you only in these markets, what's the numbers and where are we seeing it.

Mumuksh Mandlesha: Thank you so much for opportunity.

Basudeb Banerjee: Thanks. That was the last question. So for any follow-up questions or unanswered questions, please reach out to the Investor Relations team of Eicher Motors Limited. I'd like to hand over the call to the senior management for closing comments. Over to you, Siddhartha.

Siddhartha Lal: Well, thank you all very much for attending, and we're looking forward to talking to you next quarter. Thank you very much.

B. Govindarajan: Thank you very much.

Basudeb Banerjee: Thank you, all. We can conclude the call here. Thanks.

Call: Aug 2024

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August 14, 2024

Online intimation/submission

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Symbol: EICHERMOT

Subject: Regulation 30 of the SEBI (LODR) Regulations, 2015 – Transcript of conference call

Dear Sir/Madam,

Further to our letter dated August 1, 2024 intimating the schedule of the conference call held on Thursday, August 8, 2024, please find attached transcript of the aforesaid conference call, held inter-alia to discuss financial results for the first quarter ended June 30, 2024, pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015. The same is also available on the website of the Company www.eichermotors.com .

The conference call started after the conclusion of the Board meeting of the Company.

You are requested to take the same on your records.

Thanking you,
For Eicher Motors Limited

Atul Sharma
Company Secretary

Encl.: As above
Eicher Motors Limited (EICHERMOT)
Q1 FY 2025 Earnings Conference Call
August 08, 2024 06:30 PM IST
“Eicher Motors Limited
Q1 & FY25 Earnings Conference Call”
August 08, 2024
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Eicher Motors Limited (EICHERMOT)
Q1 FY 2025 Earnings Conference Call
August 08, 2024 06:30 PM IST

Basudeb Banerjee: Welcome to Q1 FY '25 Post Result Conference Call of Eicher Motors. Thanks to the management for giving us the opportunity to host the call. We have with us the senior management represented by Mr. Vinod Aggarwal, MD and CEO of VECV ; Mr. B. Govindarajan, CEO of Royal Enfield; Ms. Vidhya Srinivasan, Chief Financial Officer at Eicher Motors Limited and the rest of Investor Relations team.

So without wasting any time over to the senior management for their initial comments.

B. Govindarajan: Hello, everyone. Welcome to the Eicher Motors Limited earnings call for the quarter ended June 30, 2024. Being slightly under the weather , Siddhartha was not able to join the call today . So I will begin with the broad-level EML summary before getting into the updates for Royal Enfield.

After an excellent FY 23-24, we have begun this financial year in a very strong note. We have registered our highest ever quarterly revenue, EBITDA and profit after tax and marked a significant milestone both at Royal Enfield and VE commercial vehicles, which we will go through in a while.

Last week, we released our annual integrated report for EML for FY 23-24. We hope all of you have had a chance to go through it. In addition to the performance and highlights, the report captures our ESG vision and our consistent work and efforts towards achieving it. This year, we have also published the Royal Enfield Sustainability Journal, showcasing a selection of stories from our sustainability journey across our social mission programs and green business operations.

Now coming to the consolidated financial first quarter FY 24-25. Our revenue, EML clocked its highest ever quarterly revenue at ■4,393 crores, marking a growth of 10.2% over ■3,986 crores from Q1 of last year. Our EBITDA was at ■1,165 crores, once again our highest ever quarterly earnings, up by 14.1% from ■1,021 crores in Q1 last year. EBITDA margin for the quarter stood at 26.5% as against 25.6% last year. PAT at ■1,101 crores, which includes ■175 crores of EML share of profit from VECV , up by 20% from ■918 crores in Q1 last year .

Now I will first talk all through the business highlights for Royal Enfield before I hand over to Mr. Vinod Aggarwal for updates from VECV . As far as Royal Enfield is concerned, after registering a stellar performance in FY24, we have had a good start to FY 24-25. To begin with, let's look at the performance for this quarter .

Eicher Motors Limited (EICHERMOT)
Q1 FY 2025 Earnings Conference Call
August 08, 2024 06:30 PM IST

Our total sales stood at about 2,27,736 motorcycles in this quarter as against 2,25,368 in Q1 FY24. In India, we sold 2,04,686 units in Q1. The retail continues to grow in April to July 2024 for Royal Enfield over last year in the domestic market, despite the dampened consumer sentiments, owing to extreme weather and general elections. Also, we completed the transition to auto replenishment model during this quarter . This helps us to enhance the motorcycle availability to the end consumer , while at the same time, lowering the inventory build-up at the dealership, which we'll also discuss.

In the international markets, our volumes stood at 23,050 units, marking a growth of 26% over last year. Our retail volumes have increased steadily in these markets. Amidst an uncertain macro backdrop,

we steadily improved our position in key international markets over the last one year and maintained our market share and position in these markets.

We are now among the top four midweight motorcycle brands in many countries around the world, such as U.K., Italy, Thailand, New

Zealand, South Korea, Australia and Continental Europe. We launched the Super Meteor and Himalayan 450 in several international markets now, and these models have garnered excellent response from all our consumers.

Last month, we also launched the Guerrilla 450, our premium Roadster on the Sherpa 450 platform. We had our first global media ride and launch at Barcelona amidst global press and experts. The motorcycle marks a bold evolution in our roadster line-up, designed and developed alongside the Himalayan, our adventure tourer on Sherpa 450 platform, the Guerrilla is an absolutely gorgeous motorcycle. It is unique in design and mechanically characterful. We have had great feedback from World Press and from riding communities across the globe. We've continued to bring engaging rides and events for our community . We have also opened registrations for Motoverse 2024 and have already received thousands of registrations from our communities across the globe.

Earlier this week, we celebrated 20 incredible editions of pure motorcycling by flagging off our most iconic ride Himalayan Odyssey . For two decades, the Royal Enfield Himalayan Odyssey has been more than just a journey . It's been a symbol of adventure and relentless human spirit.

In keeping with our sharp focus on customer centricity , we introduced first-of-its-kind service for our customers, the borderless warranty

program backed by a network of over 3,000+ Royal Enfield authorized service touch points in 70+ countries, this program offers a number of services under warranty across anywhere in the world for our adventurous riders, ensuring convenience and peace of mind.

On our sustainability , social mission and CSR journey , we launched our first green pitstop, Camp Kharu in Ladakh managed by local women. Camp Kharu will help foster local entrepreneurship, environment, sustainability and promote intangible cultural heritage protection, all in a differentiated way. This is the first of many planned in the popular riding roads up in the hills.

On our environmental, social and governance ESG vision, we have made steadfast progress. Over the years, we made significant efforts to design and develop our motorcycles in concurrence with principles of circular economy . Our motorcycles are designed for more than 97.5% of recyclability and reusability and then activities intensely continuing.

Over the years, our plants now consume 36% of electricity from renewable sources and are net water positive to the tune of 2.6x. We are also committed to send no waste to landfills from any of our operations. Looking ahead, we have an exciting year full of new launches after the Guerrilla 450 launch. We are now excited about upcoming new classic launches. We are focused on maintaining this momentum and continuing to grow as per our business plan.

Now I will hand it over to Mr. Vinod Aggarwal to take you through the VECV performance and updates. Over to you, V inod.

Vinod Aggarwal: Thank you, Govind. Good evening, everyone. I am happy to inform that at VECV , we recorded our highest e

ver first quarter sales of
19,702 units in quarter one 2025 financial year. As you have seen, the Indian economy has remained resilient through this period of geopolitical turmoil, elections and monsoons, economic growth, including government investments in infrastructure spending is supporting VECV demand across all key sectors.

VECV continues to maintain its growth momentum in the CV industry with best ever first quarter milestones across all segments. Eicher heavy-duty trucks, we had the highest ever first quarter sales of 4,689 units as against 4,662 units last year first quarter and market share of 8.4% with Eicher brand. Light and medium-duty trucks, our first quarter sales of 7,842 units. Financial year 24 quarter one was 8,308 units, and we had the market share of 34%.

Bus division, we had the highest ever sales of 5,232 units in the first quarter . And financial year quarter one was 4,842 units. Exports in quarter one grew to 1,192 units, registering a robust growth of 57.5% over Q1 of financial year 24. We continue to launch new products and variants addressing market needs. Our small commercial vehicle program showcased at the Bharat Mobility in January is on track with pre-production vehicles under going customer trials in real world operations.

During the quarter , VECV also formed a joint venture with iTriangle Infotech, which is now called VE Connected Systems to develop and commercialize next generation surround services linked to the transportation business. This joint venture will leverage our industry first 100% connected vehicle ecosystem and serve as a development factory for segment-specific embedded and digital solutions to serve Eicher customers.

Now coming to VECV' s financial performance. For the first quarter , we had the revenues of ■5,070 crores against ■4,980 crores last year quarter one. We had EBITDA of ■384 crores as against ■387.2 crores last year. Our EBITDA margin in quarter one is 7.7% against 7.9% last year. Our PAT for quarter one is ■319 crores against ■180.5 crores last year .

Our PAT has significantly increased because of the write back of deferred tax, because now we have opted for the new tax regime at 25% tax rate. Earlier , we were at 35% tax rate. So the excess tax, which was provided earlier under deferred tax, that has been reversed. Basically , we were continuing under higher tax regime, because we had the unutilized MAT credit. So that credit has been completed last year. That's why now we opted for the current tax regime of 25% tax. So due to that, our PAT for quarter one is much higher than quarter one P AT of last year .

So back to you, Govind.

Basudeb Banerjee: Thanks, V inod Sir . Can we start the Q&A session, Anubhav?

Vinod Aggarwal: Yes, please.

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Question-and-Answer Session

Basudeb Banerjee: Yeah. So participants kindly raise your hands to ask questions. So, first question is from Pramod Kumar . Pramod, please unmute yourself.

Pramod Kumar: Thanks a lot for the opportunity . So the first question is on the demand side. I think Govind and Siddhartha, would love to get your insights here. Because what we're seeing is in a very broad-based premiumisation trend across industries and sectors in India, for some reason, the premium motorcycle

category as the way you define it,
about 250 is not seeing much of a thrust as such, despite entry of Harley , Triumph and even some of your product action as well. So just want to understand, given your extensive customer engagement, what you do, the kind of interaction you guys have at the dealer level and the riding levels as well.

So if you can just help us understand what explains this phenomenon? Is it just affordability , which is kind of really broken here? Or are we seeing downtrading? Or if you can just help, what are your findings when you go check in the market as to what's happening? So that's the first question. Sorry for the long one.

B. Govindarajan: I was expecting that to be the first question, Pramod. Let me just give you the context of the whole thing. India business, what is happening as of now. Currently , the two-wheeler industry and the commuter segments are seeing some very good catch up compared to the COVID time level, because that's what was not catching up. Now it is catching up. W e could see it.

In fact, I was just going through the data, to put that straight, we have surpassed the pre-COVID levels in FY 24 itself. While many of the

segments are just seeing the growth from the base, which they are catching up. Middleweight, what is happening, the middleweight the entire motorcycle, which has seen only almost about 4 - 4.5 percentage of growth over the first quarter of FY 24.
If I have to say there's so much action, which was there in that middleweight, so many new entrants, a lot of store additions, a lot many actions which were there. In our understanding, it's a period of the whole confusion settling, sometimes the deferment can take place, because there is a bombardment of so much of information, which comes in about as an alternative. But currently , whatever is the claim, which was there I can tell you, I think Royal Enfield was able to do a very good retail. In fact, we are at a low-single-digit in retail during this window . So that's a positive sign, which we are seeing.

When the market is growing, when your retail is better , there is also on the wholesale, probably we could have done more, but we also took a conscious decision because we went in for an auto replenishment model. So the right product at the right location. So we have to do a consolidation of that. And we also have something which is going to happen, very exciting and classic. So the inventory build should not take place in those areas. W e were also cautious about it.
As I mentioned, the whole middleweight motorcycle as of now, has to pick the pace with respect to the rest of the motorcycle, which I see with all our actions, which are coming up and the too much of a noise which was there is slightly settling down. Very positive, it will start picking up in a few months' time, Pramod.
Pramod Kumar: So would we still kind of aspire to have a high single-digit growth for the said category as a whole for the year?
B. Govindarajan: I think, yes, directionally , because premiumisation is continuing. And so that's the -- there is no indicator which shows that this will not grow . I'm confident that it is going to actually grow . And our new products, as I mentioned, because the market also had to be grown, which we will be continuously working on.

Our Classic, which is
going to see a lot of actions where the focus is going to be. On Hunter , we are going to do a lot of brand building exercises. And on top of it, now we have launched the Guerrilla 450. It is just about a week, eight days old in the market, which is also getting a very good traction. That's why I see in the coming months, the growth pattern will be back.
Pramod Kumar: And Govind second question, leading into Guerrilla. So any plans for introducing Guerrilla as a trial product for a lot of your existing riding groups, what you have or which have many of them are voluntary , some of them are run by the dealers. Because there's one feedback which you get from dealers is that what helped RE connect to the customer back in the day during in say IT and other areas was the lending the bike for customers to ride for on experiential basis.
So is there a plan to introduce 450 to the existing customers and see how they respond to that product because that's a very big untapped customer base we have of several million of them, right? And is there a plan to kind of use this product to go back to them because this is something which can be used for commuting, this can be used for touring, has got all the performance is a world-class product in terms of specs. So any plans of rekindling that customer connect in terms of weekend riding and all of that? Are there any plans for that?

B. Govindarajan: Thanks. I mean I don't need to explain, I suppose. Obviously , community connect and making community to enjoy our motorcycles, we always try to find very innovative ways of reaching out to them and give them a frictionless experience of your pure motorcycling. And as you're also mentioning, one such action is also reaching out to them and trying to get them onto the saddle of Guerrilla and they will

really enjoy the Sherpa platform's potential, which is there on a
Roadster , which will actually help us to tap the market.
Pramod Kumar: And any booking numbers you're saying Govind on this or potential volumes, what you can do once ramp-up is done across domestic export?
B. Govindarajan: K platform as a whole, if I have to tell you Pramod, which is what, six months old, six months young baby , it is almost about 8,000 to 8,500 numbers per month is what we are tracking.
Pramod Kumar: This is just the Himalayan, right? Am I right?
B. Govindarajan: Because Guerrilla is on the ramp-up.
Pramod Kumar: So 8.5 is with Guerrilla, part of Guerrilla or it's excluding Guerrilla?
B. Govindarajan: Part of Guerrilla also.
Pramod Kumar: And if I were to push you on that, Govind, where would you think or at what level, if you don't hit what levels, will it kind of disappoint you?
B. Govindarajan: Look, I think if this question had been asked to us about a few years back, what would be the middleweight total number , and if I had said some numbers, I would have not been very happy because we always felt that the market can be grown.
Our fundamental belief is we can grow the market, and we feel here is -- it's a fantastic platform, which we have created. The first adventure tourer , which we have created, a category in almost about six months of its launch, we have crossed almost 32,000 motorcycle sales as of now, the Himalayan. And now Guerrilla also the same way which

we
are talking about. We do see there is a good potential for it, but we have to ramp up on the production, so that is also happening. And already we shipped almost 6,000 across India and internationally . The demand is high. It's on a positive note, Pramod.
Pramod Kumar: Thanks a lot. I'll come back in the queue. Thanks a lot.

Basudeb Banerjee: Thanks, Pramod. The next question is from Chandramouli. Please unmute.
Chandramouli Muthiah: Hi, good evening and thank you for taking my questions. My first question is on the VECV PAT number that was discussed. You said that there is a write-back in the deferred tax, which I'm assuming is one-of f. But going forward, would it mean that the tax rates on VECV will perpetually be assumed at 25% going forward versus historically , that was 35%. So is that sort of a structural 10% sort of Y-o-Y improvement in profit opportunity in VECV going forward?
Vinod Aggarwal: Yes.
Chandramouli Muthiah: Got it. That's helpful. My second question is related to Guerrilla capacity . So I think over the past couple of quarters, as the Himalayan has been getting introduced into more markets globally , you did mention that you had to keep upgrading production capacity on the Himalayan 450.
So just trying to understand when you are planning production capacity for the Guerrilla, which is slightly more affordable platform, I mean affordable price point on the same Himalayan platform, just trying to understand how you're thinking about production capacity in your current 1.2 million units annual capacity that you have just for these two parts?
B. Govindarajan: No. Overall capacity is 1.2 million Chandramouli, so 1.2 million to 1.3 million because capacity can be modularly increased. As far as the K Sherpa platform, 452cc engine platform. As I mentioned, we are almost clocking 8,000-plus units, and Guerrilla has just got launched. Whereas, in the international markets, it will get launched over the period of time. We are not a company wherein we will put the capital and then wait for it. We will always be looking at, and how they respond and how, do we actually enhance the capacity . But all the actions are there, and that's how it is slowly catching up.
I mean in case I have to tell you, even our 650cc platform from the time when we launched to now and the capacity unlock which has to happen, that also has been consistently happening, and we keep

investing on debottlenecking the specific suppliers and ramp-up of
production. So we will and we can comfortably supply the K platform
also according to the market demand in the next one or two months'
time.
Chandramouli Muthiah: Got it. That's helpful. And my last question is on exports. So this
seems to be the first quarter of wholesale growth in exports over the

past five quarters. So would you say that the export markets are now
turning a corner for us now that we are able to introduce more and
more 450 and 650cc models in a broadening range of markets.
B. Govindarajan: Look, I think exports, even still I have to tell you, the sentiments are
not the way we are expecting even in the international markets. But
what has happened is last year, we had our inventory corrections and
all those things which we have

done up. And now as I mentioned last
call also, we won't look at the wholesale as the primary key indicator
for us. We'll always be looking at if there is retail traction. In Q1 FY
'25, our retail sales have increased over Q1 FY '24, that's why our
wholesale also has been becoming better .
I do see green shoots in the international markets. It's slightly opening
up, but we are cautiously optimistic about the international growth,
which is coming in time Chandramouli.
Chandramouli Muthiah: Got it. Thank you very much and all the best.
B. Govindarajan: Thank you.
Basudeb Banerjee: Thanks , next, we have a question from Arvind Sharma. Please unmute
yourself Arvind.
Arvind Sharma: Yeah, Hi, Good evening Sir, I hope you can hear me. Thanks for
taking my questions. First on the Classic since you said the 2024
Classic is coming. Could you share some highlights with us? Is it just
cosmetic changes? Or what are the kind of changes that you expect on
the new model version?
B. Govindarajan: Look, I think Classic for us, it's a very important product that has
actually opened up for our own growth. We had a lot of love,
consumers had a lot of love. It is really , really the product which
changed the Royal Enfield in the global arena. That hasn't seen any
major changes in the model since the launch of the Classic Rebound
which we did in 2021, when we were doing the J platform transition.
For the Classic, the brand track study , which we normally do, it is
showing it is quite strong across all pockets in India. So if I have to
tell you, there are a lot many firms and clones trying to take a stab at
it. The model is very resilient and continues to lead the segment. Now
what we are looking at is, we are working on very exciting updates,
collaborations. You will see all those things getting announced within
a short span of time wherein you will see a Royal Enfield is now
getting into the Classic in a very different note. So we'll wait for
another week or so.

Arvind Sharma: Sure. Thank you. Second would be on the Hunter , had a good volume
at first launch, but over the last few quarters, the volumes have kind of
stabilised. You did allude to some action there as well. Will it be
primarily marketing and pricing driven? Or in the Hunter also, are you
planning some update to the product?
B. Govindarajan: Hunter , I think we all know it has created a big mark in the segment
and made a very good foothold in the young first-time motorcycle
buyers. That's what we were looking for. And the model has a very
strong identity of its own, and it is not impacted by the motorcycles of
any other brand.
The first time buyer market is a bit muted, as I was mentioning, and
we are trying to improve the model's spontaneous awareness because
we launched it in August '22. It's almost what? It's about 1.5 years old,
a new brand. So there will be a lot of marketing activation activities,
which we will see in time to come. But the good news is, and we are

constantly working on the product also.
You will see something or the other which is happening even on the Hunter , what sort of a collaboration, which we are doing. In fact, we did a collaboration with Huemn. We did a collaboration with Spotify . And all those collaborations are also really , really helping because it's a br

and building exercise, which we have to do to attract the younger consumers who have to come in. So the associations are also getting done in that way. So it is going to be more on brand building, market activation activities and getting the young consumers and first-time buyers to their customers. You will see those actions in the next few months, which are rolling out.
Arvind Sharma: Thanks, Govind. Just one more question, if I may, try my luck here. Apart from the product revamp in Classic, is there any other product that you plan to launch over the next, say, six months to a year? Any white space that you've identified and you want to fill that up?
B. Govindarajan: I'll come back to you, Arvind.
Arvind Sharma: Alright Sir. Thank you so much for taking the questions. That's all from my side.
Basudeb Banerjee: Thanks, Arvind. Next, we have a question from Gunjan. Please unmute yourself.
Gunjan Prithyani: Yeah, thanks for taking my question. I'm going to extend on the same topic which Arvind was getting into. In terms of a lot of actions, I

think what you spoke about Hunter and Classic is again, a lot of thought around brand building. I mean there's no doubt that this brand is very, very credible. And what you've done is it's difficult to replicate. But what I'm trying to get at is how do you get the customer to convert.
There is interest in the brand. So what is it beyond these refreshes that we're looking at over the next and my question is not six months - I'm just wondering from next two, three year perspective, how should the product portfolio change so that we can be very confident about double-digit growth?
B. Govindarajan: Well, Gunjan, I think it's a very pertinent question for a brand which has got launched, where do we see how it is growing? Probably , I have to give it with an example. Any brand or any of the genre which we develop, let me take the Himalayan as an example. In 2014, when we launched, at that point of time, the category was not there. People are not able to relate to. And when we were doing it, we took almost just about sharing the number on the Himalayan sale, right, the Sherpa platform. It took 37 months for us to cross 30,000 numbers. We were building the brand, we were trying to see.
Now when we launched the new Himalayan, we crossed the 32,000 mark in flat six months. Now you can see it takes time to build the brand. But when you're building it, then what happens is the growth comes in at a disproportionate level. Hunter , as a product, we wanted to attract the young consumers and first time people who are not the Royal Enfield regular customers who are looking for the brand Royal Enfield in a different format. That's what we brought in Hunter . I think it has given us quite a good start and a sustenance.
Now what is more important is that when we do the brand track study in all those areas, in the rural market, still the brand salience is to be improved. So we have to do a lot many activities in the brand building. Second, in the urban market, what we are trying to do is now we are working with all the colleges and having a college connect to the young people. Thereby , they can get into the motorcycle, and there are different methodologies with which we are trying to work around to get the C

ollege Connect as a major program.
And the Hunter second tier is also going to be getting over. You will see the Hunter right across the country . So thereby , more attractions have to come in and the collaboration, which is required for the

youngsters to relate to, that yes, I relate to the product. So it's a brand-building exercise one has to do.

But the belief is that this product, the way we wanted to land, has landed. It started getting us, the young consumers, first-time people. And that set is very huge. So let's continue our work in a sharper way, which eventually will get us a good number . That's the belief, and I think it is showing signs, Gunjan.

Gunjan Prithyani: That's quite helpful. I think Hunter clearly has a lot more potential. So we'll watch out for the scale up there. My second question was on the Guerrilla numbers that you mentioned and maybe I got them wrong, 8,000 - 8,500 for the Sherpa platform. Now this includes the Himalayan and a little bit of ramp up that you would have seen for Guerrilla. Is that understanding right? So my sense is 6,000 was the typical run rate that we were seeing for Himalayan. And incrementally , we are now in the ramp-up stage for Guerrilla. That's the way to think about it?

B. Govindarajan: Yes, you're right. And it is about a week to 10 days old in the market.

Gunjan Prithyani: Yes. Okay . Got it. And is there any insights to share as to how this product has landed or how you are trying to position this? Is it the mix of enquiries that you're seeing are people who are buying Royal Enfield for the first time? Or is it replacement, which is where this is landing more. So some thoughts on the positioning of the product from your perspective?

B. Govindarajan: It is a very early stage to say whether there are old timers, I mean, the existing consumers are upgrading or the new guys are coming in. But I can tell you, in the world when there are so many roadsters not having an identity , Guerrilla has brought in an identity for itself. And the start is very strong, and the reviews by all the people who rode the motorcycles, I'm sure you all would have seen it. It's all across the globe, it's very good. And it is on the Sherpa 450 potent platform. So it's a roadster and it's a take from Royal Enfield type of a roadster . You will see that positive trend, which is coming up in the Guerrilla, Gunjan.

Gunjan Prithyani: Okay , last question...

Basudeb Banerjee: Thanks, Gunjan. Please come back in the queue.

Gunjan Prithyani: No problem.

Basudeb Banerjee: So next, we have a question from Kapil Singh. Kapil, please unmute.

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Kapil Singh: Thank you sir for the opportunity . Just one question on, we saw a very good improvement in the average selling prices. So if you could share some colour there, was it driven purely by mix? Or you're seeing higher growth in spare parts and accessories? Some colour there? And also now that if you could also talk about the increase in pricing or commodity movement that you would have seen recently .

B. Govindarajan: Yes, V idhya.

Vidhya Srinivasan: So Kapil, so I think as you rightly surmised, I think the growth in selling price is a function of two, three things. One is, of course, the product mix, beca

use we have greater than 350cc that share is going up. And also, we've had an increase in the share of international markets, which also is kind of contributing. So it's a combination of these two factors, which is driving up ASP. We have not taken any price increases, as you know . As far as commodities are concerned, I think we've got an impact of about 0.6% as far as commodities are concerned. So that benefit is flowing through in the GC.

Kapil Singh: Great. And just on the spare parts and accessories, that is...

Vidhya Srinivasan: Yes. I think the share of spare parts and accessories are doing well continues to be trending at around 15%. So that also obviously , but not necessarily on an ASP level, but certainly it helps us from a GC standpoint.

Kapil Singh: Great. And the second or more broader question on the demand. There

were some factors that you mentioned in the first quarter , like
elections and heat waves that affected demand. So now that all of
these factors are over, is there some kind of improvement in demand
that you're noticing? And also, last time, we talked about double-digit
growth for the middleweight segment. This time, we were talking
about single-digits. So has there been some change in growth
expectations?
B. Govindarajan: There's no change in the growth expectation per se. As I mentioned,
the middleweight in the first quarter . You all know there are so much
of noises and actions which are there. It's all settling down. And our
new products like Guerrilla, which is going to hit the market now
festive season is catching up. We are going to do a lot many work on
Classic. We have a lot of brand building activities and market
activation activities, which are picking up in Hunter and in Meteor and
all the products are GT cup, which has happened, which has brought
in quite a good eyeball and interest on the Continental GT. So all
those, which tends to make me think and believe confidently that the

market is going to come back within a short time at a good growth
rate.
Kapil Singh: Thank you so much. Have a good evening.
Basudeb Banerjee: Thanks, Kapil. Next, we have a question from Raghunandan. Please
unmute yourself.
Raghunandhan NL: Good evening Sir. Thanks for the opportunity . Firstly , on the Bullet
volumes, there has been some decline YTD. How do you see the
improvement here in the future? New generation Bullet, how are
people accepting the product? Are there any worries relating to higher
pricing of the new generation, removal of kickstart or the design? Just
trying to understand what is restricting the acceptance here?
B. Govindarajan: Raghu, for Bullet, when we launched, there were always these
discussions, which would come and we launched. It really had a very
good start, and it had a good acceptance of the new Bullet in South,
East, Central, and West regions. There are a few regions, which used
to be the bastion market for the Bullet. There, we saw a little bit of
slowness in the growth of Bullet, because that's where the Bullet is
very important also for us.
Then we did a deep dive and we understood that there is a product
intervention, which is required for those sort of bastion markets,
which we have already started working on, and it will all be there well
before the festive season in those markets also. So yo

u will see the
Bullet also picking back to the growth, which we launched. But I must
tell you, Bullet in the market, which was not doing well, especially in
UP, Maharashtra, where we've really wanted to get acceptance. It has
really increased and acceptance has been very good.
Raghunandhan NL: And on the exports outlook, which regions are currently doing well for
you and which regions are yet to recover? And also, if you can remind
the broad breakup of exports across Europe, North America, and
Asia?
B. Govindarajan: In the international markets, especially LatAm is doing very well
because our CKD plant is also fully in operation. And Europe started
showing good signs. That's another one market. APAC is just picking
up. Individual areas, we can send you the numbers, but our market
share in those areas, as I mentioned, retails have been very good. It's
in the high-single digits, and that is continuing.
And we are seeing a green shoot in the international markets. And also
in the international market, I have to give you a bit more

understanding for everyone is what happens is, in fact, our Super
Meteor , which we launched almost about a year back, we are just
launching in a high number markets like Brazil and all, because it
takes time for the homologation, different things which are there. We

have to time the market. There is a riding season, non-riding season all together . So our products will be entering into those markets only from now on. So to that extent, the international market, I see the growth is going to be better in this year .

Raghunandhan NL: Thank you. To Vinod, if you can talk about the CV industry volume outlook, Q1 had some impact of elections. How are you seeing the demand for the rest of the year? And Eicher has been doing well on the market share part. How do you see the focus on market share gains and also your thoughts on the current level of discounts?

Vinod Aggarwal: As far as the commercial vehicle market is concerned, I think first quarter and first, you can say, July month and as well as this month also because of the monsoons, market is right now, not doing so well. Even in the first quarter , even though the growth looked good at 10% in the first quarter . But that also we have to see that. Last year in the first quarter , the numbers were very low; base was small, because we had just moved to OBD2, and there was a lot of preponement of sales to quarter four of you can say 22-23.

So due to that, the growth that you look at in quarter one also, I would not say a good growth. And July, of course, the market has dropped. However , going forward, we are very positive. The fundamental reasons are very clear that, firstly , the economy is expected to do well. We are still talking of 7% plus growth in the current year. And then huge money is allocated for capital projects, ■1 1.11 lakh crores. And we should also note that due to elections, nothing much has happened on the investments on the capital spends from the government. And of course, now it will also be a challenge that they will have to do this entire spend in the remaining part of the year. So therefore, still, nevertheless, the good spend will happen in the balance part of the year .

And then, of course, September onwards, there will be the festive season sta

rting and replacement demand is expected to remain strong.

So therefore, I'm very positive as far as the balance part of the year is concerned. Commercial vehicle industry should continue the growth. And even though the growth may not be very strong, because there are also a lot of structural changes happening. For example, in heavy-duty trucks a lot of migration is happening towards higher payload trucks. That also results in reducing the number of trucks.

But on the other hand, for all other fundamental factors which are in place, the industry should be doing well. Now as far as we are concerned, you have seen that we have been outpacing the market consistently . And even the month of July, also our light and medium duty truck market share was 38%. And in fact, we're consistently improving our market share and heavy-duty trucks also, we are continuously improving our market share.

Buses also, we are getting good growth. So therefore, I think we are expected to continue to do like that because one is that we are expanding our dealer network. We are opening more and more dealerships across the country , and that is also helping us to enter into the territories where we had been weak earlier . So therefore, that is also helping us.

And then, of course, we are also continuing to expand our product range. So we're getting into more and more applications and more and more segments. So therefore, we are expecting that we should do well.

As far as the discounts are concerned, of course, there have been improvements. We have seen the results of the other companies. They have shown better margins. Even, in fact, our margins are still low. They are continuing to be almost at the same level as we were last year.

I think the reason is that my own belief is that when the heavy-duty trucks go up, the competition improved margin because they are making better money in heavy-duty trucks. So that is the reason. Otherwise, I think the discounts also should come down. So we are

very positive that price management is going to play a very big role in
the improvement of margins in the entire industry , and we are very
optimistic.
Raghunandhan: Thanks for the comprehensive answer , wishing you all the best.
Basudeb Banerjee: Thanks, Raghu. Next, we have a question from Jinesh. Please unmute
yourself.
Jinesh Gandhi: First, clarification on Guerrilla volume. So you said “we have shipped
6,000 units so far” - This is reflecting in July or this is starting from
August?
B. Govindarajan: It will start reflecting, partial quantity in July, but it will start reflecting
more in August.

Jinesh Gandhi: More in August. Got it. And you talked about auto replenishment
model - shift to that. So can you talk about how it was earlier and what
changes and did it have any influence in our wholesales in the recent
months?
B. Govindarajan: Yes, Jinesh, I think you've got it. Auto replenishment is on a
replenishment model. So earlier normally is almost about the forecast
model. So there will be a dealer forecast. There will be a sales forecast
and everything gets aggregated for an MRP run, and that's how we
used to do the entire production. The production plan is against an
indent. So now wha

t we're doing is that all have to go away because
no one knows exactly at what model is required at what point of time
and the dealer profitability to be protected.
So what we have done is we have gone in for the theory of
constraint-based replenishment model. That is what we implemented
in spare parts as a business almost two years back, which has shown
us extensive gain as a business to us and to the dealer partners also. So
to that extent, it had some impact on the wholesale because we never
wanted anything which is left on an indent based.
Otherwise, what will happen is the motorcycles have to be moved
from one place to another place. So to avoid all those things when the
replenishment model was being cut over as a system, we were also
cautious about building the inventory there by the wholesale.
Jinesh Gandhi: Okay . And what kind of impact would it have on the recent one
wholesales?
B. Govindarajan: Percentage term, I will come back to you because we are still
assessing about the availability of the motorcycle at that place. And
because the festive season is coming. As a result, there will be always
a multiplier for festive on the inventory holding. We are just doing it.
But the intervention which we have taken that inventory build should
not happen. And we maintained our dealer inventory only within
about two, three weeks. So we haven't increased, you would have seen
in the channel check everywhere. We have actually looked at keeping
the inventory in the check during this time.
Jinesh Gandhi: Got it. And Vidhya, you talked about 60 basis point benefit of
commodity . This is on Y -o-Y basis or on a Q-o-Q basis?
Vidhya Srinivasan: Yeah, Y -o-Y basis.
Jinesh Gandhi: Q-o-Q, would it be largely stable or there would be some benefit on
Q-o-Q as well?

Vidhya Srinivasan: I think lar gely stable, I would say.
Jinesh Gandhi: Okay . And you expect this to go up given commodity prices for some
of the commodities have been changed?
Vidhya Srinivasan: I think it would take a braver person than me to predict commodity
prices right now .
B. Govindarajan: I think aluminium is showing a bit of a pressure point. But what is
happening is we have launched all the platforms. So the J platform, K
platform, P platform, all those things which are launched. So the
VAVE will start kicking in. So it will also help us over the period of
time.

Jinesh Gandhi: Got it. And given we are looking at brand activation across models, should we expect a material increase in investment in marketing and branding going forward?
B. Govindarajan: Which is actually planned, Jinesh. So that's all planned in our P&L for the whole year. So you will see our investments, which will be there, but there will be an increased spend on the marketing and brand building to build strong awareness of the products which we talked about. That's also part of our rebalance, which we mentioned, the growth is the mindset with which the organisation has to go. And that's how we will see more activities, which will be taking place in time.
Jinesh Gandhi: Thanks and all the best.
Basudeb Banerjee: Thanks, Jinesh. Next, we have a question from Amyn. Please unmute yourself.
Amyn Pirani: Yes. I just wanted to go back to the Himalayan. While you are doing -- and this is more regarding the domestic market, you are doing

close to
3,000 a month. If I see the new Himalayan is doing as much volumes as the older Himalayan was doing. So my question is, A, is this something that you were anticipating? Are there any reasons why despite a completely new Himalayan and a much improved product, the volumes are still flattish compared to the outgoing model?
B. Govindarajan: Amyn, the Himalayan as I mentioned, in the six months' time of our launch, we have almost crossed about 32,000, including domestic and international. In a new product like this, because it's a new platform for us, okay? When it is launched and the existing 411 which had been there in the market, people do get it, it's an evolution, but the market

will always be looking at initially how the product behaves. How is it getting accepted?
And consistently , the growth, as you're also mentioning reaching the older numbers. And now from there to go, initial consumers have to be very happy . That way this platform has got very good acceptance in the market.
The product got very good acceptance., and everybody could able to link and desire to ride the Himalayan at the Himalayas and it is catching up. It's a Bruce Lee in the adventure motorcycle category , which people are experiencing. So that's how the growth will take place. It's on the right track. Let me put it like that Amyn.
Amyn Pirani: Okay . Thank you. And just going back to the Hunter , I think you earlier in the call mentioned that you were getting a decent amount of first-time buyers. So I just wanted to clarify , when you say first-time buyer , are you saying like first-time two-wheeler buyer because...
B. Govindarajan: Yes.
Amyn Pirani: Okay . Because Hunter is still expensively priced. I mean it's cheaper than your Classic and Bullet, but it's still a very expensive product.
B. Govindarajan: Yeah, Amyn.
Amyn Pirani: Broadly , what proportion of Hunter would be -- I mean, first-time buyer , if you can give us a sense.
B. Govindarajan: First-time buyers, maybe about 13%. 12% - 13% roughly in the portfolio level, and Hunter may be slightly higher , maybe about 19 to 25 percentage level first-time buyers. But there are players who are actually looking at upgrading because they want to own a Royal Enfield, which is a cool brand to hang out with. And that way, it is really helping us to get the younger customers to our fold.
Amyn Pirani: Okay , that's helpful. Thank you.
B. Govindarajan: Thanks.
Basudeb Banerjee: Thanks, Amyn. Next, we have a question from Prashant.
Prashant Kothari: Just going back to the recent kind of volume trends. I kind of hear that maybe there is some confusion in the marketplace about different options that the customers have and if the volumes are low. But if I were to kind of think about what was happening in a similar time last

year when there were actually launches happening, a lot of around two new competitors coming in and that we launched even then our volumes were not kind of flat like what we have seen now. So I'm not able to fully appreciate the rationale that you are getting on these low volumes. If you can explain it.
And maybe the other reasons, other companies are talking about all reasons like elections and heat wave and whatnot, the other reasons for the lower of

ftake that you are seeing?
B. Govindarajan: Prashant, I just have to give it in a slightly elaborate way. In the middle weight, if in case, it's normally we say what? Middleweight is at a particular price point, people have inclination to upgrade, inclination to buy because the price point is something there. If you actually look at who has gained, I don't think anyone has gained. So where are the customers?
So because we have 7.5 million unique customers who actually come and visit Royal Enfield website every month. So when we start looking at the leads and then trying to figure out even in all the markets we started looking at where exactly the consumer , why is it not getting converted?
And we go back and then start checking, everybody starts saying, "Yes, I consider it. But now I think I'm clear . I want to come back to Royal Enfield. So that's the confusion which I was talking about. Everybody was actually given a lot many options directly against Royal Enfield and all those things, that is I would say it's a deterrent in decision-making, and that is where we felt is a major issue there. It is subsiding, and that's how we are seeing walk-in inquiries going up. Even though, I mean, I must tell you heat wave and elections has had its own impact. I'm not saying no to that. Our walk-in was lower during that particular point of time. But the conversion rate has gone up. That's why retail has been good. We have grown retail in a single digit. Primarily the conversion had been very good. So as I mentioned, the confusion in the consumer's mind. In the consumer's mind when the clarity is there for decision-making, especially for middleweight categories, it actually helps.
As that is settling down, it will help us to come back because whoever has climbed very high volume. No one was be able to actually garner volume and our retail has been very good.
Prashant Kothari: Okay . All right. Thank you very much.

Basudeb Banerjee: Thanks. Due to time constraints, this was the last question. So over to BGR sir and V inod sir for the last closing comments. Thanks.
B. Govindarajan: Vinod, anything from you?
Vinod Aggarwal: No, I think thank you very much.
B. Govindarajan: Thank you very much for taking time and attending our question-and-answer sessions also for this quarter one. All the best. I look forward to seeing you soon at the Motoverse.
Vinod Aggarwal: Thank you.
B. Govindarajan: Thank you.
Basudeb Banerjee: Thanks. W e can close the call.

Call: Nov 2024

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November 19, 2024

Online intimation/submission

The Secretary
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Security Code: 505200
The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, 5th Floor, Plot No.C/1,
G Block, Bandra Kurla Complex, Bandra (E)
Mumbai-400 051
Symbol: EICHERMOT

Subject: Regulation 30 of the SEBI (LODR) Regulations, 2015 – Transcript of group conference call

Dear Sir/Madam,

Further to our letter dated November 6, 2024 intimating the schedule of the group conference call held on Wednesday, November 13, 2024, please find attached transcript of the aforesaid conference call, held inter-alia to discuss financial results for the second quarter and half year ended September 30, 2024, pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015. The same is also available on the website of the Company www.eichermotors.com .

The conference call started after the conclusion of the Board meeting of the Company.

You are requested to take the same on your records.

Thanking you,
For Eicher Motors Limited

Atul Sharma
Company Secretary

Encl.: As above

“Eicher Motors Limited Q2 FY-25 Earnings Conference
Call”
November 13, 2024
M ANAGEMENT : M R . S IDDHAR THA L AL – M ANAGING D IRECT OR & C HIEF
E XECUTIVE O FFICER , E ICHER M OTORS L IMITED .
M R . B G OVINDARAJAN – C HIEF E XECUTIVE O FFICER ,
R OYAL E NFIELD .
M S . V IDHY A S RINIV ASAN – C HIEF F INANCIAL O FFICER ,
E ICHER M OTORS L IMITED .
M R . V INOD A GGRA WAL – M ANAGING D IRECT OR & C HIEF

Moderator: Ladies and gentlemen, good day and welcome to the Eicher Motors Limited Q2 FY2025 Earnings Conference Call hosted by A vendus Spark.

This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder , all participants' lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during this conference, please signal for an operator by pressing "*" followed by "0" on your touchtone telephones. Please note that this conference call is being recorded.

I now hand the conference over to Mr. Mukesh Saraf from Avendus Spark. Thank you and over to you sir .

Mukesh Saraf: Thank you, Farah. Good evening everyone. Welcome to this 2Q FY25 Post Results Conference Call of Eicher Motors Limited.

From the management team we have with us, Mr. Vinod Aggarwal – MD and CEO of VE Commercial Vehicles; Mr. B. Govindarajan – CEO of Royal Enfield; and Ms. Vidhya Srinivasan – CFO, Eicher Motors Limited.

I will now hand over the call for "Opening Remarks" from Mr. Vinod Aggarwal first and then Mr. Govindarajan. Over to you sir .

Vinod Aggarwal: Hello everyone, and welcome to the Eicher Motors Limited earnings call for the 2nd Quarter ended September 30, 2024. Before getting into the updates for the quarter , we would like to thank our shareholders for the strong support towards the resolutions presented during the AGM that was held in August.

During Q2 we have seen continued momentum both at Royal Enfield as well as at VECV , and we will talk you through that in a while. I will first begin with a broad summary of the overall financials.

Coming to Eicher Motors consolidated financials for 2nd Quarter Financial Year 2024-25, our revenue, Eicher Motors clocked its best ever quarter two revenues at Rs.4,263 crores, marking a growth of 3.6% over Rs.4,1 15 crores from Q2 of last year. EBITDA margins Rs.1,088 crores versus Rs.1,087 crores in Q2 of last year. EBITDA margin percentage for the quarter stood at 25.5% as against 26.4% last year. Profit after tax Rs.1,100 crores, which includes 114 crores, as Eicher Motors' share of profits from VECV up 8.3% from 1,016 crores, which includes Rs.102 crores as EML 's share of profits from VECV in quarter two of last year .

I will now hand over to Govindarajan to take us through the business highlights for Royal Enfield. Over to you Govind.

B. Govindarajan: Thank you, Vinod. Hello everyone. At Royal Enfield we had a very busy and an exciting Q2 with several significant launches and announcements. During the quarter , we sold almost 225,000 motorcycles, as against 229,496 motorcycles in Q2 FY24. Out of this, in India, we sold almost 206,199 units. In the international markets, our volumes stood at 19,118 units. In the backdrop of the uncertain macroeconomic scenario, our retail volumes maintained the growth momentum in the international markets, 12% retail growth over the last year. This is the strong legwork that we put in Q2 of this year. We were able to achieve a very special milestone for Royal Enfield in terms of our festive sales performance this year, last month, that is in the month of October , we recorded our best ever sales performance in a month with more than about 100,000 plus 1 lakh units. This is a testament that our existing and the new motorcycles continued to perform very well.

We had a very busy quarter with a slew of product launches across multiple platforms. We launched the Guerrilla 450 Roadster on the Sherpa 450 platform. It's an amazing motorcycle, and we believe it's the best in the category . We have received great reception from the riding enthusiasts across the world. Earlier in August, we launched the 2024 Classic 350 in new colorways, and with upgraded features. The response has been overwhelming, really , and the new Classic is doing very well across India. With this, we also announced a very unique factory custom program, which is a bespoke, first of its kind motorcycle personalization program done at our factory in Thiruvottriyur .

Recently , you all would have seen at EICMA 2024, we launched two new motorcycles on our globally renowned 650 CC twin platform, the Bear 650 and the Classic 650. The Bear 650 is our new Scrambler , a motorcycle that perfectly combines authentic scrambler styling with versatility and agility . It is based on our Interceptor 650 platform and has been launched in America and India and Europe as of now. We also launched the new Classic 650 our newest addition in the classic family offers riders a powerful new blend of old school aesthetics and effortless power delivery . We have launched the motorcycle in the UK and Europe. Retails in India will commence in January 2025.

EICMA this year saw a very special presentation from Royal Enfield as we showcased our all new electric motorcycle brand, the Flying Flea and our first electric motorcycle, the FF C6. We are approaching EV with the same singularity , focus and unconventionality with which we have grown the global mid-size market in the ICE world. We have made huge investments in growing our capabilities and capacities in the EV world. We have almost 200+ strong, competent EV team, dedicatedly working for design, engineering and dedicated commercial teams. We have already filed almost 28 patents in the EV world. Flying Flea by Royal Enfield is our new brand that will house our electric mobility ideas and is a blend of heritage and

modern tech, which makes urban mobility effortless, exciting and fun. Under this we currently have two models, the Classic Styled FF C6 and the Scrambler style FF S6 which will be coming later . We are gearing up for the launch in early 2026.

Strengthening our global footprint, a new CKD in Bangladesh and Brazil has been established. We expanded our international presence and strengthened SAARC commitments by launching our first manufacturing and flagship showroom in Bangladesh. There is an incredible response from the riding community in Bangladesh and that has surpassed our expectations, in fact. With a growing interest in the brand, and as a reiteration of a resilient commitment to the market, we are happy to announce the establishment of our second CKD facility in Brazil starting January 2025. We continue to bring engaging rides and events for our community . We concluded the 13th edition of one ride, which has witnessed record participation of more than 41,000 riders from 66 countries. And as we are gearing up for the next edition of Motoverse later this month, on the 22th to 24th of November , I am very happy to share with you all that we have lots of exciting updates for the motorcycling community . We also have a very special motorcycle launch planned during this Motoverse time. I take this opportunity to invite you all to join us at Motoverse in Goa.

To conclude, we are halfway through the tremendously exciting year full of new launches. Started with the Guerrilla 450 launch, we are now excited about the customer response to our diverse portfolio, and we are focused on sustaining and further growing this momentum. Now I will hand over to Mr. Aggarwal to talk you through an update on the VE commercial vehicles. Over to you, V inod.

Vinod Aggarwal: Thank you, Govind. I am very happy to share that at VECV , we recorded our highest ever 2nd Quarter sales of 20,774 units, exceeding our previous record of 19,551 units in Q2 of 2023-24 with a growth of 6.2%. This was even more commendable given the context of the relevant commercial vehicle market that shrunk by 10.8%. So, as against the CV industry dropping by 10.8% we grew by 6.2% in quarter two. At the overall level, the Indian economy has remained resilient through this period of geopolitical turmoil and delays in projects and tenders during the elections and uneven monsoons. With the pro-growth budget prioritizing investments in infrastructure, we expect commercial vehicle demand to rebound in the second half of this fiscal year. We recorded several best ever 2nd Quarter milestones across segments. We are at number one position now in light and medium duty trucks, which is 5 ton to 18 ton segment with the sale of 9,565 units in Q2 and a market share of 36.5% in the segment. Our heavy-duty sales grew 8% in quarter two versus the same quarter last year. Our market share in this segment now is at 10.2%. We made sales of 3,984 units in our bus division and against 3,214 units in the same quarter last year .

In our parts business, both Eicher and Volvo combined, we recorded a robust growth of 27% over Q2 of 2024. Exports in Q2 were 1,130 units up 12.2% over Q2 of 23-24 despite

disruptions in traditional markets. Margins remain under pressure in a competitive market as we successfully continued to invest in growing our heavy-duty truck presence. During this quarter , we also entered into an MOU with Baidyanath LNG Private Limited for the deployment of 500 Eicher pro 6355 LNG trucks. So, this is alternate fuel with LNG as a fuel, which we have introduced in the market. Deliveries have already started, and we will ramp up during the coming quarters. The MOU aims to facilitate the development of the LNG station network across various locations, to fast track the development of the overall supply side ecosystem, thereby aiding the long haul transport segment to switch to cleaner fuel.

Coming to VECV financial performance, for the 2nd Quarter the revenues for quarter two are

5,538 crores, against 5,126 crores in last year of quarter two with 8% growth. EBITDA for Q2 are 395 crores as against 402 crores last year, with margins at 7.1% in Q2 as against 7.8% last year. Profit after tax for Q2 is 209 crores as against 187 crores last year. So, thank you all for being with us on this call today . We can now move to the question-answers. So, back to the anchors.

Moderator: Thank you very much sir. We will now begin with the question-and-answer session. Anyone who wishes to ask a question may enter "*" followed by "1" on their touchtone telephones. If you wish to remove yourself from the queue, you may enter "*" followed by "2". Participants are requested to use only handsets while asking a question. Ladies and Gentlemen, we will wait for a moment while the queue assembles. The first question is from the line of Chandramouli Muthiah from Goldman Sachs. Please go ahead.

Chandramouli Muthiah: Hi Good evening and thank you for taking my question. My first question is just around the average selling price on the Royal Enfield side this quarter . We've had a relatively stable mix in terms of domestic versus export quarter -on-quarter also, relatively stable mix in terms of 350 cc quarter -on-quarter . 450 has improved slightly quarter -on-quarter , but there seems to be moderation in ASP quarter -on-quarter . So, just trying to understand what were the factors that might have driven it?

Vidhya Srinivasan: So, ASP as you know , we haven't taken any price increases from last year to this year. However , our product mix and some share in the higher than 350 cc has come in, all of that is reflecting as far as ASP is concerned. So, lar gely it's all connected to product mix.

Chandramouli Muthiah: Got it, that's helpful. Second question is just around some of the launch related costs that we might have had around the Guerrilla during this quarter , just want to understand, there has been a visible pickup in other expenses quarter -on-quarter . Next quarter we have Motoverse as well. So, how should we think about sort of the run rate on the other expenses line item for Royal Enfield heading into the back half of the year?

Vidhya Srinivasan: You are right. We have had new product launches wherein Guerrilla came in, we had the new classic 350. So, some of those expenses are booked in this quarter . And next quarter , we would be having some amount of festive season spending as well. Having said that, we have had about 12 crores, which is one off expenses related to warehousing costs which we built up as we move towards the festive quarter .

Chandramouli Muthiah: Got it, that's helpful. And my last question is just around the monthly trajectory . I think for a long time, Royal Enfield has been between that 70 to 85,000 units per month sort of trajectory . Festive season this year, we were able to exceed, sort of the 100,000 monthly trajectory . So, just want to understand the factors involved there, was there some tail wind from the ability to stock up ahead of the festive season on some of the new launches, and going forward into the back half of the year , how we think about channel inventory and potential monthly run rates?

B. Govindarajan: Too many things which we really bundled up to go to the market. First, let me talk about the product. We brought the new Classic with the fantastic new colorways, with features getting added into that, like USB chargers, LED lamps and all those things, which has a very good response from the consumer . Second in the heartland of the Bullet market, especially Punjab, Chandigarh, UP, Haryana areas, the Bullet sale was slightly coming down when we launched the Bullet with the J platform engine. And with the market feedback which we got, we also brought one more product which is Battalion Black. So, that also helped, so there are product interventions we brought in, and as Vidhya was mentioning, we built up inventory , we hired extra space, and we really thought that there is going to be a lot of traction this year. In the last call also I was mentioning that we will amp up the marketing initiatives in the coming months. So, we actually went ahead with full blown market activation which we called it as a "360 degree market activation" now, that has helped. We also worked on inventory funding for the dealers, the floor funding was also taken up. So, all these things have really helped in bringing in an excitement into the market. The Classic has started having very good response. The Bullet has actually surpassed some models, and that's also having a very good response. So, the new product and marketing activations, floor funding, all those things came together , and that's why the excitement got rekindled in the market.

Chandramouli Muthiah: Got it, that's helpful. Thank you very much and all the best.

Moderator: Thank you. The next question is from the line of Kumar Rakesh from BNP . Please go ahead.

Kumar Rakesh: Hi, Good evening and thank you for taking my question. My first question was on your international business, has there been any inventory built up during the quarter because changes in inventory have gone up in your P&L?

B. Govindarajan: Changes in the inventory is predominantly on the domestic side, we have been always looking at not to build inventory in the international markets, we are very cautious about it. We are not that sort of a company . Which we will always stand up and say, we won't build inventory . You will see the wholesale retail difference also, even in the domestic market we have the lowest inventory built in the entire system. We never do that. In the international market, retail is picking up, and our growth also has been in the high single digit. We are not building up too much of an inventory . I must also tell you why we are also going very cautious about it, is that there is a OBD2B transition which is going to come in from 1st of January of 2025. So, we also have to keep that in mind when we are building that inventory . So, it's not too much of an inventory on the international side.

Vidhya Srinivasan: Yes, it' s just a little bit of launch inventory .

B. Govindarajan: Yes.

Kumar Rakesh: Understood, got it. My second question was on your accessories, merchandise and spare part business. I understand that you don't give specific numbers, but directionally can you give a sense that, has the mix changed from last quarter to this quarter for the better or worse?

Vidhya Srinivasan: It's more or less steady .

B. Govindarajan: Yes, it's a steady business, we should understand one thing, I have explained earlier also. Our motorcycle accessories is directly proportional to the motorcycle sales, because most of - 98% of the conversion takes place only when the motorcycles are being bought. It is not during the life cycle. So, that goes along with that, when more SKUs are getting added, probably non motorcycles will keep going. Spare parts we work on a fundamental principle is that, parts availability even if it is a washer in the remotest corner , it should be available when it is required. So, customer satisfaction is the driving point for us in the spare parts business. But incidentally , the business is also in a very stable run, so both spares and GMAs are in a good run. In the apparel business, we took one more strategic review of the whole business, and we see the growth which is bouncing back even in this. In fact, some of you would have seen we also opened up an exclusive apparel store in Pune. As a pilot, we wanted to see the retail outlet, because people do want the brand to be experienced. So, we are also looking at an apparel retail strategy . How do we reach out to the consumer? They actually get us a business also but first is, how will we make our people to be the brand carriers of Royal Enfield and enjoy the brand motorcycling. That's what is the thought, so in a nutshell, all the business are stable, and it is growing.

Kumar Rakesh: Great. Thanks a lot for the detailed answer , just one clarification so you spoke about the one-of f cost of about 12 crore for warehousing. Can you just explain what that cost was and what's the strategy behind that?

Vidhya Srinivasan: So, basically , the cost is on account of additional warehouse space. Obviously , while we might need it for a month or two, they will obviously give a contract for three months or four months. So, it's basically an account of that.

Kumar Rakesh: And this is for Northern India, for the festival period?

Vidhya Srinivasan: Wherever required, it's spread across India.

B. Govindarajan: The warehouses cannot be built for a peak capacity . So, it is normally done through the entire C&F area sign off. As Vidhya was explaining wherever it is required, where there is a peak demand which will come up. So, you have to keep it on a variable basis. So, that's what she mentioned that we will actually have where the locations are, and we add it for three months time..

Kumar Rakesh: Understood and the units being kept here would be the dealer inventory , is that right?

Management: What, sorry , we didn' t get that?

Kumar Rakesh: So, you would be keeping the vehicles here. That would be on the dealer 's book, or our books for whatever period this would be?

Vidhya Srinivasan: So, this would be, the way we do this is we move from our warehouse to depot and depot to dealer . So, typically this would be some portion of it where we are just waiting for dispatch to dealer locations and we mix a bit, but lar gely our inventory .

Kumar Rakesh: Understood, Got it. Thanks a lot for that.

Moderator: Thank you. The next question is from the line of Pramod Kumar from UBS. Please go ahead.

Pramod Kumar: Thanks a lot for the opportunity . Vidhya, before I start with my questions, just a clarification on this warehousing cost. It should be an annual phenomenon in that sense, because you will have to anyway have to pay it, say, every year or this time it was very different because you are calling it a one of f. So, just wanted to understand ?

B. Govindarajan: Pramod maybe, Vidhya you would like to clarify , then maybe I can even add, probably it is an every year phenomena. So, what we normally do is, we look at inventory overall and we always look that inventory should not be built. So, warehouse sizing, we would look at, how do we reduce. Every year when we are picking up the market momentum, the size of the variable warehouse which we are talking about as an add on for the festive season or marriage season, we size it slightly differently every year depending upon the market pool. So, this year, we really wanted to build more inventory , so we have gone in for slightly higher space in terms of warehousing.

Pramod Kumar: Okay . So, ideally would we expect this will continue next season as well or? I am just trying to understand?

B. Govindarajan: Ideally , sorry Pramod you are asking? Pramod, the highest sales season, "season-season" sale is one this, that's what is the Diwali, Dhanteras.

Vidhya Srinivasan: Diwali, Dussehra, Ganesh.

B. Govindarajan: And we normally do. We also mark the marriage season and the good times season across all the locations and wherever it is required we do that. For example, if I have to tell you at Onam, if in case we have to have a warehousing extra capacity required around the Kerala area we do that. So, it's a round the year phenomena, but whenever it is required, we will do that, we don't take it and then keep it idle.

Pramod Kumar: Yes, fair enough. And going back to the demand questions, basically the demand that came in for Royal Enfield was actually very, very surprising and we could see the marketing efforts, what you had with the full page ads and all. But I am just trying to understand how is the momentum after that, because is it like just they were customers on the sidelines who and with your marketing input, they came and made that purchase, and now we go back to the normal run rate or are you seeing the demand trajectory changing, or in terms of the walk-ins, the inquiries and conversion rates picking up even after the season and will you kind of sustain this marketing efforts, given the fact that once inventory rebuilds. Because what we understand from dealers is, many of the dealer locations had total stock outs of vehicles and I believe we have a very strong order backlog even for the marriage season in the up north market. So, I just want to understand how big was the marketing impulse on its own, and whether you will sustain it, and also on the financing schemes which are offered by the banks. Do you expect some of these to kind of continue as standard practice going forward, because I believe even that was a kind of a demand catalyst for the season.

B. Govindarajan: Yes. So, Pramod, I will go one-by-one. Question number one which you asked, how is the demand even now, was it only a festive time. Very certainly , from festive to post festive, there will be a change, but if we have to compare pre festive to post festive, how is the demand, pre festive to post festive now, the demand has gone up. So, the marketing interventions and the product intervention has really worked, and it is sustaining. Obviously , if you are looking at, will it be the same as the festive time, will not be. But pre festive time with the old Classic, old Bullet and not having enough stock in the respective areas. Floor funding not fully signed up, and the marketing activity is not there. With all those activities I am seeing now, in the month of November , in the last 10 days, the traction is very good, inquiries have been very good, walk-ins are also very good. So, that's a very positive sign which we are seeing, that's on the demand side. Second, you talked about the funding.

Vidhya Srinivasan: Bank offers and the bank schemes, Pramod as you know a lot of our financing is basically through the retail financing options, not so much the bank financing option. So, we really didn't have anything specific which is bank of fers or something like that for the festive season.

B. Govindarajan: And the third Pramod, you are asking about the sustenance program of the marketing initiatives. Even in the first quarter call, which I was mentioning, we will be doing "mother brand" level marketing campaign and a "product" level. During festive, you would have seen the first time we came with the range advertisement, because we wanted the consumers to see the full range of motorcycles of 350 cc and 450 cc platform, this has really worked. And we also have the cadence which is done up now for this quarter and coming quarter on all the products which we have launched already , and some of the products which are just getting launched, or almost launched about a week back, for all those things the marketing and market activation will continue in time to come.

Pramod Kumar: Okay , and Govind just want to elaborate a bit more on the demand response, because it was surprising to see that in a city like Mumbai or Bangalore or Pune, which are mature market, pretty mature market, dealers had the best ever Diwali in terms of the kind of run rate they had, the kind of order books they had. So, I am just trying to understand, what is the read from you guys in terms of whatever analysis you did or feedback you got from dealers, as to what is driving this kind of comeback, and is it like and the certainty or sustenance of this, because this is something which is not expected by even many Royal Enfield dealers, the older dealers. So, I am just trying to understand what has worked, just the marketing on its own or I am just trying to understand, because we understand this better we have better visibility on future demands. So, please.

B. Govindarajan: Pramod, during this time, the middle weight segment had a lot of activities and actions and noise. So, last time also I was mentioning that any amount of marketing effort which we would have done would have been an over emphasis on the same point, it would have gone into, saturated place. So, we held back market activations and all those things, but we wanted to enter into proper market activation activities around September time onwards. We also clubbed it because we had to go to the market with the good news. That's why we launched our Classic, with all the new fresh colors, with the additional features added into the motorcycle in Classic, we launched the Bullet in the market where we were losing market share because of the Bullet dominant areas. Floor funding was not available at some places, and the market activations, including what we have not done, like radios and print ads and whatnot, all those things have rekindled the interest in the brand Royal Enfield, which predominantly for us the proxy is Classic. So, the Classic interest has brought back the consumer more and more into the showroom, and that has helped us to the conversion. It is supported by the funding and supported by the finance available, all those things. We also came out with an incentive program of the retail for our front end staff, not Royal Enfield, through the dealer princ

ipals
and that also has worked. So, we packaged everything and we really thought that let's go all

out and see how the interest can be kindled and the desire is brought back. The demand is only an outcome. So, the desire is back, there is an interest which I am just seeing once again with a lot of positivism, and that's why the brand is actually now vibrant once again.
Vidhya Srinivasan: Just to add to that, if you remember Pramod, let me just add, last call BGR has pointed out that while retail may not necessarily be showing it, but the inquiries have been up, and they have been consistently up, so there is always curiosity but there's a little bit of wait and watch type situation that was happening as we believe as far as consumers were concerned, and all the launches came in and we are looking at all the options available. But during the festive season, when they have to, essentially or, want to buy, at that point in time, there was enough call to action which came together and which kind of, culminated in the numbers.
Pramod Kumar: And Vidhya related to that, how do you see the margin outlook given the volumes are back, hopefully we will continue, there's a bit of shipping mix, but exports will come back as well, and there's marketing effort. So, as a blend of all of that, how do you see the margin trajectory from here on because this quarter , there has been a bit of a waiver on, there has been a flavor of margin, but not a big one, but if you can just help us understand how should one look at, think about the volume versus profitability?
Vidhya Srinivasan: There are two, three parameters to margin. Of course, I have heard plenty from all of you on how you know absolute margin is what we should look at, and that's what we are looking at, but the two, three parameters to that is, from a product mix standpoint we are seeing the international mix doing quite well, which would be helpful as far as margin is concerned, commodity prices, we are not seeing any major pressures, what we are doing is that, wherever we are doing specific interventions at a product level, we are not necessarily reflecting that in the margin. We are just making sure that we are passing on benefits to customers where we can and that is also kind of showing up in some of the traction that we are getting with customers. So, frankly , I am not chasing positive margin, but absolute margin. We are happy , and the trajectory is quite okay .
B. Govindarajan: The key takeaway , which has to be as Vidhya was mentioning, is growth is the focus and what we are looking at as she was mentioning is, add value back to the product, to the consumer , and get the value proposition better more and more, and use all the levers which are available for getting the growth is what we are looking at, scale, value engineering, anything which is required we will continue to do that, as the commodity is not at the head width, which is also helping us in keeping it in mar gin also.
Moderator: Thank you. The next question is from the line of Amyn Pirani, from JP Morgan. Please go ahead.

Amyn Pirani: Hi, Thanks for the opportunity . Actually , my first question is on VECV , we have seen a strong market share growth in the business, but margins have remained a bit under pressure especially in this quarter . It's down both Y-o-Y and quarter -on-quarter whereas most of your peers are actually showing, improving margin. Now , obviously every company has a different strategy , but how should we think about margins going forward in this business and what cost line items are impacting the margins here, is it gross margin which is impacting it, or are there some fixed costs or other expenses, which we are investing in, which are leading to this decline in margin despite the revenue growth?

B. Govindarajan: No, we are gearing up for a larger growth. If you look at first six months, the industry has dropped in 3.5 ton and above industry , It had dropped by around 2%, even though we have grown by 3.5% and quarter two of course, our growth is much better than the industry dropped by almost 10.2% or 10.3% and we grew by 6.2%. So, we are doing much better than the industry , but still there is more leveraging that we are looking forward to and we are very sure that the industry has more potential to grow , because the first half has not been so good for the industry because of government's over spending on CAPEX and uneven monsoon and few other factors, but the second half we are very confident that the industry should do better . So, therefore, there is no concern as far as the gross margins are concerned, but the expenditures we have to leverage more, and I am sure we should be able to do better , and we should also see that we are more of consistent performers on the margin even when the industry had not been doing so well in past, during COVID period or otherwise, we were the only one who were making it. So, therefore the sight that the competition has improved margins in a better manner . But of course, we should also have better impact in the future period with more leverage. That's what it should be.

Amin Pirani: That's helpful, sir. And, if I can, maybe ask a follow up. Is there a broad target for margins that you can share with us, are you looking at 8% as a level, are you looking at double digit maybe going into next year any broad idea tar gets would be helpful.

B. Govindarajan: No, we don't give any targets on the margins. But of course, fundamentally the margins have to be better , so there's no doubt on that.

Amin Pirani: Okay , understood. And just going back on the Royal Enfield bit, I am just wanting to get back to that pricing and margin question. So, if I look at the mix, quarter -on-quarter , it is largely stable to slightly improving. The Himalayan mix is definitely improving. So, as you think of margins going forward, I know you are now focusing on growth and on the per vehicle EBITDA. Is there a kind of a mix that we are seeing, within the Classic lower variants or are we, how should we think about the variants within Himalayan and Classic, which are driving the growth at least right now and what is the initial response to the Bear and the Shotgun and the Classic 650 as well?

B. Govindarajan: I'll go from the reverse, Bear 650 cc I'm sure all of you would have read, what is that, it is a 1960 inspiration from Eddie Mulder race at California that's an inspiration on a 500 cc of Royal Enfield. And that's an inspiration so we thought that we should get that momentum back into the motorcycling world. So, we launched Bear 650. Just launched, so I don't even know how many days now, from EICMA to now, maybe about a week's time. It's an outstanding product, so people who want to have his own path, and he wants to ride in his own space, and there is a lot of social media buzz around that product. Classic 650 is another thing, it is in high demand, which has been there for quite some time, from all the consumers, even from international markets, that we need a Classic 650. So, both the products have come in and are answering that call. As far as the model mix which you are talking about, in every product we have varianting, so our varianting strategy is always depending upon the CTG, depending upon the features which are there. And we have always seen our higher variants sell better . So, when it is not that we are saying the lower variant is bad or something like that, but always we have found in all the models, the higher variants sell better . So, to that extent, the margin we do see a betterment because of the higher variant selling.

Amin Pirani: Okay , Thanks for that.

Moderator: Thank you. The next question is from the line of Kapil Singh from Nomura. Please go ahead.

Kapil Singh: Good evening sir, congrats on a strong festive performance. My question was on, when we look at demand, you do sense that industry demand is also good or showing signs of revival, or most of the improvement is more attributable to the actions you have taken, and also between rural and urban what would be your rural and urban mix currently and are you noticing any different trends over there?

B. Govindarajan: So, two questions which you have asked, am I seeing the market growth, if I have to tell you about the market growth, the market has grown for during this festive time, maybe about 6%, 7% that's the market growth in the ICE during the festive time, and our retail has been almost 26% growth. So, that's the kind of traction which we had in our retail. The second, which you asked us, on urban and rural. Rural, the demands are going up and you all know , let alone the two wheeler or overall also, the urban growth rate is slightly lower that we are seeing it even in all including our motorcycles. But now, there are some products which are urban centric too like say, Guerrilla 450, now we are picking up those areas where it has a higher traction, and we are going to work on it during these two quarters on that product, because it is being a new brand, new product. We have to work on that product, and we are seeing it, especially in an urban context. It has a higher traction and a higher interest, and that's where our focus is also going to be there, on the market activations.

Kapil Singh: And may I know your mix also, how much is the rural and urban mix?

Vidhya Srinivasan: It’s very dif ficult to comment specifically , I would say that about, one third I would say is.
B. Govindarajan: It's a rural one.
Vidhya Srinivasan: Yes.
B. Govindarajan: And also it varies from product-to-product.
Vidhya Srinivasan: Geography-to-geography , because for example we have got pretty good traction in the East.
B. Govindarajan: For example, Himalayan might be having a higher traction in the urban market, and Bullets and Classic has some good traction in the rural market. Hunter used to be very high in the urban market, now I am seeing there is a traction which is coming up in the rural market. So, product-to-product it varies.
Vidhya Srinivasan: Some of our top 10 cities are continuing to do quite stable. Bangalore, Pune and all that.
B. Govindarajan: We don't cut it as an urban rural and then see how it is working. Rather , we will start looking at which product has what sort of a traction on the interest in which area, depending upon that, what is that the market activation to be done is, what is the focus which we are bringing in from September onwards.
Kapil Singh: Okay , great to hear that. Just a small one, if you could just share what is the current inventory level that you have?
B. Govindarajan: It's about three weeks max, that would be two and half to three weeks as an inventory . It has actually , some of you have raised now, there is some stock out situation which has happened. So, now we are actually going back to building some inventory in locations. So, because our retail during the festive season has been very, very good, we are positively surprised to be honest, and that has really made us to do an MRP run and at faster pace, which we did it slightly ahead during this time, and seeing the momentum of retail, which was taking place now, the production is getting amped up an inventory build will take place at a faster pace where it is required. Having said that, we are not a company , we will build excess inventory , we have what is called as a replenishment model, what is taken out has to be replenished. So, now wherever it is below the replenishment norm level, that's where the focus is, there to build back that norm quantity .
Kapil Singh: Okay , great. Thank you very much and best wishes.
Moderator: Thank you. The next question is from the line of Binay from Mor gan Stanley . Please go ahead.

Binay: Hi team, Thanks for the opportunity . My first question is, a few things that we talked about on the Royal Enfield side, our market intervention, some support for retail staff. Are these costs already reflected in Q2 or will they come more in Q3 because Q3 is the more retail heavy quarter?
B. Govindarajan: It is mostly flooded into Q2, some amount will flow into Q3 too, because some of the, for example, the incentive payout has to be calculated only after the incentive is completely there, the retail is squared off, and the reconciliation is done. So, probably some payment will go in this, and some areas which we have closed the entire billing on the 30th or something like that, few areas which we have already closed, so some amount may flow into the Q3.
Binay: Right. And the second is more an observation, it does seem that the company’ s and it's a right strategy it is pivoting a little bit away from margin to growth, because when we look at some of the margin drivers which is increasing export, rising 350 cc share on a Y-o-Y basis, we have seen them move up quite sharply , but yet the EBITDA per unit is flat. So, is it fair that now you guys are in a way focusing more on absolute volume growth, and that's why these initiatives have come in, then just tar geting something on mar gins?
B. Govindarajan: Bang on, we are an absolute growth and absolute EBITDA value, not on the percentages.
Binay: No, I think that's the right strategy to sort of make the brand more affordable, accessible.
Thanks team. Our best wishes for the future.
Moderator: Thank you. The next question is from the line of Jinesh Gandhi from Ambit Capital. Please go ahead.
Jinesh Gandhi: Hi. My question pertains to this marketing step up which we have done during the 2nd Quarter and beyond, any sense on what could be the impact of that in our 2nd Quarter performance, and how should we see sustenance of that?
B. Govindarajan: So, marketing activations are two, one is the total launch. During a launch, what happens is, you create an interest, so there will always be a spike on the general inquiries. The second is about sustenance. So, what do I sustain over the period of time thereby the call to action is becoming better . So, the funnel is becoming better , the conversion is becoming better . September was a step up time. That's what, even in the last quarter , I was just telling, that we will step up the marketing activities in the next quarter , and we bundled everything during the festive, which has really worked. What does it mean, any desirability is created, It's not an

overnight phenomenon. So, the actual top to box of their brand recall is becoming better , and the consideration is becoming better . And now I am going to actually support it with the sustenance activity , more product level. That's how I am seeing even in the first 10 days of November , pre-festive time to now, I am seeing a good growth. So, that's the positivism I am

seeing for the kind of an activity which we have done, and it will be supported with the sustenance activities to time to come.

Jinesh Gandhi: Okay . And this sustenance of growth post festive, would it be also attributable to the marriage season, which is expected to be fairly large in November this time, is marriage season a big catalyst for growth, retail demand for Royal Enfield as well. We know it's a very large contributor to the commuting segment, but for Royal Enfield is that very large, does it lead to a spike in demand?

B. Govindarajan: Yes, motorcyclists also get married, isn’t it?. So, it's not that we are married to only motorcycles.

Jinesh Gandhi: Yes, fair point. And lastly , with respect to, there is stability in mix – both in domestic product mix and export contribution as well, but we have seen decline in ASPs and gross margins. So, what are we missing there, why is this diver gence in terms of mix and gross margin, commodities also should have been stable on Q-on-Q basis. What are we missing over here?

B. Govindarajan: Vidhya explained that our ASP is actually controlled by two things. One is about the model mix and the higher share of 350 cc in the Q2. That's predominantly the ASP drivers, there is somewhere it is an increase, somewhere it is a decrease. Better product mix, more than 350 has increased something and international market has, it’ s predominantly a model mix.

Jinesh Gandhi: Okay , got it. And on exports are we seeing you mentioned 12% retail growth in broader exports is what we have indicated in 2Q?

B. Govindarajan: Yes.

Jinesh Gandhi: And any market share ?

B. Govindarajan: The retail in the international market has been better , which is almost about retail is actually growing, which is higher than the wholesale by about 12%, inventory stocking is not taking place too much. But as I mentioned, for everybody the market internationally , especially in Europe, is going to be very different because of the OBD2B situation. There will be a lot of pre-bookings and pre-registrations, all those things which will take place. So, we are very cautious about those inventory buildup, because that's what has happened in one year. We don't want to repeat that, so there should be no inventory , it should be a pull. The way we are looking at a market activation in India, even in the international market, market level, product level, the mix which we are trying to do, and then see what sort of a marketing initiative which has to happen. And we are picking up one by one. EICMA is a starting point, every year which takes place. Now we have some areas where there won't be any riding season, so we will slightly lower it. Some areas where there are a lot of international trade shows, which will

continue there, we are going to have our set up in a bigger way. For example, in EICMA this year, we have actually taken almost about 7,500 square feet of area because we really felt that it's an important marketing activity for us as a brand, and it has got accepted very well. In the month of November , we have a big Thailand show which is coming up. That's an important thing for us. So, like that, country wise we are picking up and then start working on the market activations, even for the international markets.

Jinesh Gandhi: Got it. Great. Thanks and all the best.

Moderator: Thank you. The next question is from the line of Arvind Sharma from Citi. Please go ahead.

Arvind Sharma: Hi, Good evening sir and thank you for taking my question. Just one clarification in the inventory part, where you did say the current inventory , is it possible to share the inventory going into the festive season. Say September end versus where we are now?

B. Govindarajan: You want the exact number , I can tell you.

Vidhya Srinivasan: Obviously , we built up before the festive season, and now we are down to two, three weeks for those dealer inventory . So, we have liquidated quite a bit.

B. Govindarajan: We have to accept that, if I remember right Pramod was raising, there is a stock out situation in some of the dealer points which we are filling the inventory back. That's an inventory situation. W e have drastically reduced inventory .

Vidhya Srinivasan: But having said that, even when we went up to the festive season, we didn't do too much of an inventory build-up, at max our wholesale to retail inventory was very limited. So, we did what was right, and we kind of maxed out our inventory completely .

B. Govindarajan: If the question is to figure out, if the inventory is so low, will the wholesale be like that, and how is that and all, I can tell you very straight, because December is coming, because OBD2B

is going to come, so we have to be very cautious about inventory . We will not actually build inventory anticipating anything. And now that our system, which we explained to you even in the third quarter last year, about the replenishment model, the replenishment model has also taken routes, and now it will be actually on a replenishment basis, so that we will hold the inventory and the dealer will pull the inventory whenever it is required, within almost about 48 to 72 hours. That's a SLA which we are signing with all of them. So, 48 is what we are driving for more and more.
Arvind Sharma: Got it, sir. Thank you so much for this. And this thing has been referred to in the previous part of discussion as well. But if you see the other expenses on a quarter -on-quarter basis, they have gone up. You said, part of it is for warehousing, but going forward, taking into consideration

the various programs this quarter including the Motoverse, how much of this increase on a quarter -on-quarter basis is something that will sustain?
B. Govindarajan: In the second quarter , maybe Vidhya can add more, 2nd Quarter obviously we had launches, and there are expenses around that, and some amount of EICMA expenses which were booked on that. Quarter three once again, as I mentioned we will continue to have sustenance expenses for the marketing, may not be very high like the launch expenses, but there will be marketing expenses more and more. Somebody asked a question about the calculation and payout, whether it has been done for the entire incentive scheme, which will happen in this quarter . So, it may not be spiking like what has happened in the previous quarters, but there will be expenses on the marketing related thing continue, because we want to continue the sustenance of market activations for the product and the brand in time to come. But if that's what we say - growth.
Arvind Sharma: Got it, sir . That' s all from my side. Thank you for taking my question.
Moderator: Thank you. The next question is from the line of Raghunandan NL from Nuvama. Please go ahead.
Raghunandan NL: Thank you sir and congratulations on the strong festive season. My question is on the Bullet model. Bullet had a decline in H1 but in the festive period there was a growth, dealers indicate Punjab, Haryana, UP, Rajasthan, the launch of battalion black, which highlights vintage design, supported sales. So, can you talk about the importance of launching this product and do you see the pent-up demand which was coming back?
B. Govindarajan: Two things, first is as an organization, we were quick to accept the fact that maybe the product intervention is required. Normally , our product intervention takes a longer period of time. But the Bullet dependency on a few markets was very high. One is to the consumer second is to the dealer viability . When the dealer spoke to me, in fact we all sent a team there to understand more what is it they want, then we have understood that, there are some things on the Bullet, few features which they really felt is what they can relate to as a Bullet, like a bench seat and a rear shrouded tail lamp holder , these two are the major things for them. In the absence of it is not reflecting like a Bullet. I am not buying. In those areas did we lose the market share, may not be, did we lose the business, Yes, we started losing business because the consumers were not taking a decision to buy. So, the dealers were also having a huge pressure on their profitability . When we launched in those markets, and the Bullet 350 got a very good response from all of them, which you are also mentioning, was there a pent-up demand which has helped us during the festive season? Yes, undoubtedly , yes it has helped because, as I mentioned we have not lost the market share, the people are not taking a decision. Those people took a decision during their festive season and the availability of Bullet, but in the month of November , which is hardly about say about 8, 10 days in this time also, the inquiry

of the Bullet in those markets continued to be positive. So, it does mean the product got accepted, the peak would have been because of the pent up but now earlier to the Bullet decline, now the decline will not be there the decline is arrested let me put it like that, with the introduction of the battalion black.
Raghunandan NL: And dealers indicate they hardly have one week of inventory here. So, is it fair to assume that going forward with the battalion black plus low inventory , the outlook seems to be good.
B. Govindarajan: Yes, that's why I said. We run the MRP normally , we do it around the 25th to 26th. So, this time around the 20th and 21st we found that the traction had been very good, so we started running it. So, we also started working with the vendor base, and our plan to build up production numbers higher and the team is working on it to build the minimum norm quantity of the inventory in all the locations, and we are on top of it.
Raghunandan NL: Thank you, sir. My second question was on the financing ratio, has there been any increase in that and financing schemes like 5.99% interest rate, would the cost of the scheme be borne by

the financiers?
B. Govindarajan: Finance penetration is somewhere around 61.5% to 62%, around 62% is the finance penetration. What is the second question you are asking whether we will bear, we don't bear any costs.
Raghunandan NL: Yes, that was the clarification. So, it is borne by the financiers?
B. Govindarajan: Yes, we don't subvent, we don't do all those things, we don't bear any expenses.
Raghunandan NL: Got it sir , thank you very much and wishing you all the best.
Moderator: Thank you. The next question is from the line of Priya Ranjan from HDFC AMC. Please go ahead.
Priya Ranjan: Just a couple of questions. One is on the international side, so we are seeing some kind of pickup. And some of the geographies we have been doing exceptionally well, particularly Latin America, et cetera and you have entered, probably Turkey , last year sometime, earlier this year probably and Mexico, these two are very large two-wheeler markets. So, if you can throw some light on the ramp up potential in these markets, and these are, since, large two-wheeler markets. So, can we see the new peak in the export market very quickly , or it will take some time, it will grow at its own pace. And secondly , on the dividend policy , now we have a substantial chunk of the cash pile up and every year we are probably throwing up more than say (+5000) crore, in terms of broadly in free cash flow, et cetera. So, can we expect better dividend policy going forward?

B. Govindarajan: So, maybe you can go from the rear, dividend policy Vidhya can add, then I will come to the wholesale India market.
Vidhya Srinivasan: Our board has been very receptive to whatever investors are looking at, et cetera and we have kind of revisited our divided policy , and I am sure the board will continue to keep looking at it and seeing wherever steps need to be taken and now to the next question.
B. Govindarajan: So, on the international market, if I have to tell you, we have almost retailed around 59,000, 59,500 motorcycles in this year compared to last year, it is almost about 12% growth, which is also there, in fact 20% growth. What is happening, market-by-market once again, because if I paint the picture for all the international markets there is a problem, first let us go with Latin America, Argentina, Colombia you all know , still there are some weaknesses in the market, because there are issues which are going around in that area. We are also consciously looking at it. We have our CKD plant, our team is there, products are there, local developments have done up. But the market is not so positive, or I don't see it as a very jubilant market. So, it has to stabilize. So, when it stabilizes, we are there with the full thing. Thailand, you all know the banks are slightly tightening so more and more. So, we have started working with a bank, in fact we are going there to talk to them and figure out what is that we have to do and all. You talked about Brazil, Brazil to overcome the quota issue, we have come out with the second CKD plant also, which is required for us to get a higher quota. Because the quota was not available, I have actually asked the team not to go for a further retail outlet increase. Now that our CKD plant is coming into operation by December time frame. We are opening up the retail outlet also. So, that's going to give growth, because as a company we are very touchy about our ecosystem' s profitability for the long term. So, now, we will go for expansion of the retail outlets in the Brazil market. So, that's going to be a growth which is going to come. And the products are also very well accepted. Himalayan, just got launched, and it's getting accepted, it is a market for those sorts of products. In the outside market, New Zealand and other markets are not very high, but Australia is a very good market for us. Australia had all the interesting issues and all those things now, I am seeing the green shoot. So, the acceptance and the product, there is a bit of a velocity which is taking place in the market which is a good sign, in the SAARC our focus had been, how do we enter into the market. How do we grow the market, we entered Nepal, which has been stabilized now and this quarter , we went into Bangladesh, and all these unrest issues and all those things, I can happily say that there is a huge booking backlog at Bangladesh, which is a very good situation, which it is very positive surprise for us, also that in terms of number of bookings of motorcycles out of Bangladesh for Royal Enfield. Europe, still it has a bit of an issue. But now what is happening is, because the inventory corrections are done in all those areas now, their vehicles are getting filled, there is a retail momentum which is taking place. So, time to come. I

don't see a major jerk in the international market, but the growth will be gradually going up. It won't be that there will be a blip in one few quarters to say, wow it has doubled, that's not the case. But will it have a

positive trend, Yes it will have a positive trend in time to come, because all the activities are

actually aligned to that, and the market is also showing like that.
Priya Ranjahan: And just specific on Mexico and Turkey , because these are two large two-wheeler markets where the potential is there, you have also entered. So do you think those markets can become much bigger than probably Brazil itself is right now?
B. Govindarajan: Possible, you are absolutely right. Mexico, we have been managing it from our North America subsidiary . And now what we are looking at is, looking at the growth pattern in Mexico and the potential which is there in Mexico. Now we are moving a team exclusively to focus on the Mexico market. It's just a few months back activity in that particular market. You will see the results which are coming out of it in time to come.
Priya Ranjahan: Sure. And just on the Guerrilla, it looks like more of an international product also, apart from the up mark the bigger city product in India. So, now we have a number of the name plates in various motorcycle segments, and the end customer is very, very different, the classic customer is very different. The classic customer is very different than the Bullet customer and the Guerrilla customer will be very different. Similarly the Himalayan customer will be very, very different. So, how do we try to tackle the marketing because, now we have a plethora of products the moment anybody enters your showroom, you have around 10 to 12 name plates, or maybe nine to 10 at this point of time, but eventually it will keep growing. So, how do you want to tackle the marketing of dif ferent segments, dif ferent sub segments, of consumers?
B. Govindarajan: It’s a lengthier point to be honest, maybe we can have a chat when we meet up also, but for everybody's understanding, because you asked specifically about Guerrilla. Guerrilla is a roadster on a 450 cc Sherpa Engine platform, and this is we said, a real roadster without any flashy frills and not very plastic and it should look like a good bike to ride, and those who want a motorcycle with a bit more power , bit more speed and a different kind of an authority to ride this. So, we brought in this, and the consumers who are actually looking at this are not the Classic consumers, Classic and Bullet consumers are very different consumer set. They are looking at a particular form factor and particular riding stance. And those consumers are not considering Guerrilla. Guerrilla is being considered by young guys who have a thought process of comparing it with the rest of the motorcycles which are also available in the market, where Guerrilla stands up as the best motorcycle. So, when somebody walks into the showroom, first and foremost is, on a digital level we also are on a customer 360 platform. So, someone who comes in and then gives his phone number , we actually know what is his interest, and our conversation starts from his interest, from the cookies which he left with us at different locations and where he has visited, what he has actually worked and talked to us on, and all those things, with all those things only we are actually talking to them and then making them to take purchase decisions. So, it's a very different product, every product I can explain to you, that will be a huge discussion point. Maybe we can pick tha

t up whenever we meet.

Priya Ranjahan: Sure, great and thank you all the best. Just lastly , just to try to squeeze one so, now we are probably close to a million odd sales and annually our annual capacity is 1.2 so when can we see the next review of the annual capacity?
B. Govindarajan: Every year during the budget cycle, I am sure Vidhya will be asking how much money you guys want to enhance capacity , which she will also say, don't put too much money into productivity . So, that's a continuous discussion, which happens in the company . In the coming year also, it will happen. But as I mentioned, it is about 1.2 build capacity in most of the areas. In some areas, we have gone up to 1.4 also. So, it is possible for us to enhance that capacity with a short notice, with an investment.
Priya Ranjahan: Sure, Thank you and all the best.
Moderator: Thank you very much. Ladies and gentlemen, that was the last question. I now hand the conference over to the management for closing comments.
B. Govindarajan: Over to you V inod.
Vinod Aggarwal: Thank you very much for very good participation. And of course, we look forward to Q3 now. Thank you very much. W e sign of f with that.
B. Govindarajan: Thank you all.
Moderator: Thank you everyone. On behalf of Eicher Motors Limited and Avendus Spark that concludes this conference call. Thank you all for joining us and you may now disconnect your lines.
Thank you.

Call: Feb 2025

February 15, 2025 Online intimation/submission The Secretary BSE Limited Phiroze Jeejeebhoy Towers Dalal Street Mumbai-400 001 Security Code: 505200 The Secretary National Stock Exchange of India Ltd
Exchange

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G Block, Bandra Kurla Complex, Bandra (E) Mumbai-400 051 Symbol: EICHERMOT
Subject: Regulation 30 of the SEBI (LODR) Regulations, 2015 – Transcript of group conference call Dear Sir/Madam, Further to our letter dated February 03, 2025 intimating the schedule of the group conference call
held

on

Monday,

February

10,

2025,

please

find

attached

transcript

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2024,

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Regulations,

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website of the Company w w w . e i c h e r m o t o r s . c o m. The conference call started after the conclusion of the Board meeting of the Company. You are requested to take the same on your records. Thanking you, For Eicher Motors Limited Atul Sharma Company Secretary Encl.: As above

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Eicher Motors Limited
“Q3 FY '25 Earnings Conference Call”
February 10, 2025
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Moderator: Ladies and gentlemen, good day, and welcome to Eicher Motors Limited Q3 FY '25 Earnings Conference Call. As a reminder , all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mukesh Saraf from Avendus Spark. Thank you, and over to you, sir .

Mukesh Saraf: Thank you, Darwin. Good evening, everyone. Mukesh Saraf here from Avendus Spark. Appreciate everybody logging in. From the management team, I'm pleased to host Mr. Siddhartha Lal, Executive Chairman, Eicher Motors Limited; Mr. Vinod Aggarwal, Vice Chairman, Eicher Motors Limited and MD and CEO of VECV ; Mr. B. Govindarajan, M.D., Eicher Motors Limited and CEO, Royal Enfield; and Ms. Vidhya Srinivasan, CFO, Eicher Motors Limited.

I'll now hand over the call to the management for opening remarks, post which we'll begin the Q&A. Over to you, sir .

Siddhartha Lal: Hi. Good evening, everyone. This is Siddhartha Lal here, and welcome everyone to Eicher Motors Limited earnings call for the third quarter ending December 31st, 2024. This has been a landmark quarter for us at Eicher Motors with significant milestones and strong performance across both Royal Enfield and our joint venture with Volvo VE Commercial Vehicles Limited. We've recorded our highest ever quarterly revenue EBITDA and profit after tax in this quarter .

Starting with Royal Enfield. We've had an incredible few months. And our commitment to pure motorcycling has translated into strong domestic growth, making this our best ever quarter . We launched 2 very special motorcycles, the Goan Classic and the Scram 440, both rooted in authenticity and purpose-built design.

The Goan Classic introduced at Motoverse, which is our annual event in Goa, is inspired by the free spirited motor culture of Goa and a place that's long been a haven for riders and for Royal Enfield as well. The upgraded Scram 440, first unveiled at Motoverse 2024, was launched now and is an adventure tourer crossover , built for those who want a motorcycle that's fun in the city as well as on the trails. So it's multipurpose that way .

This quarter also marked a defining moment in our journey towards the future of mobility . We took our first steps into electric mobility with the debut of our EV brand - Flying Flea and the progress in delivering our promise. Beyond our product launches, one of the highlights was the 14th edition of Motoverse, where we had nearly 10,000 riders that came together to celebrate the spirit of motorcycling. It was a powerful reminder of the vibrant community that we have at Royal Enfield, and that fuels our journey towards a way forward.

And as part of our social mission to support 100 Himalayan communities, we concluded our first ever edition of Journeying Across the Himalayas, which is celebrating the region's natural beauty , culture and traditions through artwork, photography , installations, highlighting the deep connections between its ecology and people.

Moving to VECV now. We had a strong quarter as well with market share gains across the board, across business segments. We just concluded our exciting participation in Bharat Mobility 2025 at VECV , where we showcased a wide range of alternate energy products, including electric buses and trucks and new small commercial vehicle platform, Eicher Pro X. Overall, the performance at Eicher Motors Limited has been superlative, and we've registered record-breaking performances of best ever across revenue, EBITDA and P AT.

So coming to the financials, our consolidated financials for Eicher Motors Limited for third quarter FY 24-25. EML clocked its best ever Q3 revenue at INR4,973 crores, marking a growth of 19% over Q3 last year. Our EBITDA is at INR1,201 crores versus INR1,090 crores last year same quarter . And EBITDA margin stood at 24.2% against 26.1% last year. Profit after tax is at INR1,171 crores, which includes INR164 crores of share of profit from VECV for EML, up 17.6% from INR 996 crores last year .

I'd also like to take a moment to briefly tell you about some key leadership transitions that were approved at the Board meeting today . The Board has appointed me, Siddhartha Lal, as the Executive Chairman of Eicher Motors Limited. Vinod Aggarwal has been appointed as Vice Chairman, Non-Executive of EML, and that's of course, in addition to his continuing role of Managing Director and CEO of VE Commercial Vehicles Limited, our joint venture with Volvo.

B. Govindarajan has been appointed as Managing Director of Eicher Motors Limited, while, of course, continuing as CEO of Royal Enfield. Additionally , we have appointed Ira Gupta and Arun Vasu, they have been inducted on Eicher Motors Limited Board as Independent Directors.

We're also bidding farewell to our Chairman of 25 years, S. Sandilya, who steps into retirement. He has been with Eicher Group for 50 years, so over around 5 decades and has really been a guiding force at Eicher , shaping the company to what it is right now. And he's had a huge influence on our culture and our performance.

On behalf of all of us at Royal Enfield and VECV and Eicher Group, I express my gratitude to Mr. Sandilya and wish him all the very best for his new chapter in his life. We also like to thank Manvi Sinha, who retires as Independent Director after the completion of her tenure of 10 years. Manvi has also had a great impact on the EML Board, and we wish her all the very best.

And yeah, I'd like to heartly congratulate the next 2 speakers, both Govindarajan and Vinod Aggarwal, on their expanded roles at Eicher Motors Limited, and look forward to their leadership, their support, their experience in driving EML forward to the next phase of growth. I now hand over to Govindarajan to take us through the business highlights for Royal Enfield. Thanks. Govind, over to you.

B. Govindarajan: Thank you, Siddhartha. At Royal Enfield, we continued our strong growth momentum with exceptional performance in the third quarter . During this quarter , we sold 2,69,039 motorcycles, which is up by 17% on Y-o-Y from Q3FY24 basis. And in India, we sold

2,41,971 units, up 13% from Q3 of last year. While our volumes are steadily improving, the premium more than 125cc segment itself is also showing witness of healthy growth. We have had a strong retail growth of 7% in the sales of motorcycles in FY25 (Apr-Dec); (12% during the festive period) in India. And Q3 has seen the highest ever domestic retail for Royal Enfield.

In the international markets, we shipped 27,068 units in Q3, an increase of 71% over the last year. Based on the strong groundwork we laid in the first half of 2024, and detailing and planning our launches, strengthening our operations, refining our market approach, ensured we're all well positioned for the months ahead. With the right products, promotion, pricing and presence, we created the perfect momentum, leading to our best ever festive season and a historic milestone for Royal Enfield.

Even as the industry volumes slowed down, we recorded positive growth. It's a testament that our existing and the new motorcycles, which we launched, is continuing to perform very well. Some of the recent launches like Bear 650, Goan Classic 350, Bullet Battalion Black has done very well, very well accepted by the community . And each motorcycle that represents what Royal Enfield stands for , pure purpose-built motorcycling.

The Hunter 350 crossed a milestone of 500,000 sales, cementing its place as one of the fastest-growing motorcycle globally . That reflects its versatility appeal across the diverse markets. I'm also excited about the progress we are making in electric mobility that Sid spoke about. At CES in L.A., we announced our collaboration with Qualcomm Technologies, a key partnership in delivering advanced connectivity to our customers. There's an incredible response for that.

We are also preparing to launch the limited edition Shotgun 650 in collaboration with ICON Motorsports. It will be only 100 motorcycles, which will be available worldwide. It's a true collector's edition. It's a step forward in nurturing the global custom build community . Beyond motorcycles, we have expanded our retail presence with 2 exclusive apparel brand stores, one in Pune and other one in Gurgaon. These stores offer a premium range of riding gears, helmets and lifestyle apparel that combine safety , function and style.

At an operation, we inaugurated our first fully-owned CKD plant in Thailand, a milestone that further strengthens our commitment to the Asia Pacific region. Globally , we have maintained our market share in the key markets. Royal Enfield is a leading middleweight brand in the UK, Number 1 there and among top 3 in Europe, holding 8.5% of market share across several countries in the region. In the Americas, we hold an 8% market share. And in APAC, we have reached 9% market share in the middleweight.

This quarter , we also had Motoverse 2024. We had nearly about 10,000 attendees, of which 69% of the people are first-time riders into the motorcycle festival. We took the REOWN, which is the second-hand motorcycle, used motorcycles of Royal Enfield to the next level by expanding to almost 256 cities across India, making pre-owned motorcycle transaction smoother and more accessible for our consumers.

We have a great start at awards and our motorcycles have received great recognition. Guerrilla 450 got the Premium Motorcycle award from Motoring Awards and Apparel Brand of the Year. We also got the Manufacturer of the Year and Viewers' Choice, the Goan Classic. Classic 350 is the most Googled bike by Acko Drive. Internationally , Royal Enfield's Bullet 350 won the Gold A ward in the Foreign category at the 2024 Japan Bike of the Y ear A ward.

On our environmental, social and ESG journey , we have made tremendous progress. Our Vallam plant has been awarded as the Sustainable Factory of the Year by Frost & Sullivan IMEA Manufacturing Excellence Award. Eicher Motors continues to feature among the leading automakers in the Global Corporate Sustainability Rating in S&P and DJSI assessment for 2024. Eicher Motors is among the top 30th percentile in the global autos.

We also maintained our position as #8 out of the 90 in global autos in the Sustainalytics ESG ratings. With several launches and initiatives which are lined up, we are well prepared for our growth journey in India and global markets. With that, now I'll hand it over to Mr. Vinod Aggarwal, MD and CEO of VECV , to take you through the VECV performance and updates. Over to you, V inod.

Vinod Aggarwal: Thank you, Govind. I will start with the industry updates. In quarter 3 financial year 2025, total commercial vehicle industry in the relevant market segment declined by 1.7% year-on-year to 1,17,161 units. This was primarily due to softer HD trucks and LMD truck segments, which contracted by 5.4% and 4.4%, respectively , and a 1.4% dip in the 3.5 to 5-ton range. The drop in truck sales is attributed to lingering softness post Union Elections and the uneven monsoon in many parts of the country .

In contrast, bus demand remained very strong with HD bus surging 30.8% and LMD bus rising 10.7%, lifting the overall bus volumes by 17.3%. Exports total industry volume grew a modest 0.3%, reflecting geopolitical challenges impacting many markets.

Now moving to the VECV performance in quarter 3, in this context, VECV delivered a strong performance, recording its highest ever quarterly and YTD sales with 21,012 units in quarter 3 of financial year 2025, surpassing the previous record of 20,706 units in quarter 3 of financial year 2024. This performance was driven by strong performance across key segments. Eicher performed strongly in the LMD truck market with a 36% market share. Q3 sales, 9,702 units despite a mar ginal volume mar gin drop.

In the heavy-duty truck segment, Eicher sold 5,428 units, 8.9% market share, while combined, the heavy-duty sales market share of Eicher and Volvo stood at 5,964 units at 9.7% market share, reflecting competitive resilience despite sectoral challenges. VECV's bus business performed very well, posting its highest ever Q3 sales of 3,749 units, up 10% year-on-year , with a 20.7% market share, supported by robust demand for LMD buses, 3,151 units plus 12.3% growth year -on-year .

Reflecting our growing service and parts network, VECV parts business also hit a quarterly record with sales of INR708 crores with a growth of 25.6% year-on-year . Exports surged 44.5% to 1,192 units despite disruptions in South Asia. YTD VECV total volumes grew 2.8%

to 61,488 units with market share in more than 3.5-ton segment, including exports growing to

18% vs 17.2% in financial year 2024.
EBITDA margin, excluding OCI onetime income for the quarter grew to 8.8%, growing 0.8% over the same quarter last year, reflecting better cost management and pricing discipline. At the recent Bharat Mobility Global Expo 2025, we launched our small commercial vehicle in the 2 to 3.5 ton segment, the Eicher Pro X. The Eicher Pro X is launched electric first. Deliveries to the customers will begin shortly .
Coming to the financials for VE Commercial Vehicles, third quarter financial year 24-25, VECV revenues rose to INR5,801 crores, up 5.8% from INR5,483 crores. EBITDA margin at INR509 crores, up 16.6% from INR437 crores of Q3 of financial year '24. EBITDA margin as a percentage to net sales is at 8.8% as against 8% in Q3 of 2024. Profit after tax (Non OCI) at INR301 crores, up 44% from INR209 crores of Q3 financial year '24.
I now hand over back to Siddhartha for any last remarks.
Siddhartha Lal: Yes. So we've had a great performance in quarter 3, and that's put Eicher back on a really strong growth trajectory . And I'm sure we'll carry this forward momentum into quarter 4 as well. Our trust on priorities and objectives continues to be in line with our overall strategic vision, and we're confident that we'll build on this strong growth momentum.
So thank you all for joining the EML's earnings call, and we now move over to the question-and-answer session. Thank you.
Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press “*” and “1” on their touch tone telephones. If you wish to remove yourself from the question queue, you may press “*” and “2”. Participants are requested to please use handsets while asking a question. Ladies and Gentlemen, we request you to please restrict your questions to 2 per participant. You may rejoin the queue for follow-up questions. W e will now wait for a moment while the question queue assembles.
Moderator: The first question is from the line of Kapil Singh from Nomura. Please go ahead. Kapil Singh.
Kapil Singh: Hello, Can you hear me
Moderator: You are audible, sir .
Kapil Singh: Ok yeah thanks for the opportunity and congratulations on a strong set of numbers. Sir, I first wanted to understand if you look at the quarterly performance, it looks like the strategy that we outlined seems to be playing out well. We had come out with some new variants and there seems to be a pretty big response from the customer .
So is this -- I just wanted to understand how you are thinking about this? Is this something that you intend to continue? Was this a temporary action? And then we've seen some sharp increase in other expenses in particular . So if you could just help us understand, are there any nonrecurring items or these are normalized business expenses?

B. Govindarajan: Yes, Kapil, Is this question for Royal Enfield I suppose
Kapil Singh: Yes yes
B. Govindarajan: So , Royal Enfield during the festive season, we really did very well. And in this quarter , we - our retail has grown by almost about 19%. Our product actions, which we have taken on the Classic 350, Bullet Battalion Black and all the new launches with, as mentioned in the last call also, about the elevated marketing campaigns and our inventory build-up preparatory for the festive season, everything worked very well.
As I mentioned, it is ours is a growth focus. So all our actions in the company will be aligned around the growth. We have to, all the new products which are launched, all the brands which are to be supported, so that activity will continue. Even in the month of January , it has been very good. Wholesale growth for the middleweight motorcycle industry was almost about 7% in April to December '25 despite all the noises and the new entrants.
We will be continuing to focus on expanding the middleweight segment and strengthening our product positioning in the markets. We will ramp up our brand awareness for Classic 650, Goan Classic and Bear 650 and Guerrilla 450, which are all in our focus. Yeah, we are also building and scaling up our initiatives like REOWN, assured buyback, which are all gaining traction.
The motorcycle industry , as such, has seen a muted growth after the festive period, but the middleweight segment has been sustaining the growth. And we believe we can outgrow the motorcycle industry in the long term, and that's where our actions are all aligned. About the onetime expenses, maybe, V idhya?
Vidhya Srinivasan: Yeah. I think other expenses, to your question, we had 5 major launches in Q3 of this year. We had Bear 650, new Classic 350, Bullet Battalion Black that BGR talked about, the Classic 650, Goan Classic, against one major launch in last year's Q3. Apart from that, we also had an EV brand launch. We unveiled the Flying Flea brand in EICMA this year and also several regional activities in Europe against building the brand.
So approximately , we've had about INR70 crores incremental spend in Q3 for launches as compared to the previous year. Out of that, almost INR20 crores is towards the EV brand

launch and events. I think apart from that, we also spent a little bit additionally on on-ground marketing activation of about 0.9% this quarter versus last year. So I think that basically explains the mix of our big swing in our other expenses. I guess your question is, yes.
B. Govindarajan: Around that cost. So it's one time, yes.
Vidhya Srinivasan: Some of it is onetime, yeah.
B. Govindarajan: I hope that answers, Kapil.

Kapil Singh: Yes, sir. Understood. And just the second one is on VECV . We've seen pretty strong margin expansion over there. So very strong growth in EBITDA. So any more details you can share like what was the driver for mar gin expansion over here and if it's sustainable?
Vinod Aggarwal: No, it's fundamentally better cost management and better price management. There is no specific reason otherwise.
Kapil Singh: Ok ok thank you, sir . That's all. I will come back in the queue.
Moderator: Thank you.W e have the next question from the line of Amyn Pirani from JPMor gan.
Amyn Pirani: Yes. Thank you for the opportunity . I had a question on exports. Obviously , you have seen a very strong recovery in exports, but partially , the last year's base was also impacted because of a lot of headwinds in the individual markets. Can you give us some context of how the markets are doing? Because we had a phase in which Europe was going through a tough time for the market itself. US was having its own issues. Also, if you have some views on this tariff-related concerns, which are building up. So how are the individual export markets doing, if you can give some context?
B. Govindarajan: Hi Amyn, you know last year, you all know we talked about the inventory corrections and all those things. This year, for us, the international market performance has been very good. We have sold around 70,000 units in international markets from April to December '24. That's almost about 35.5% growth for the last year. More importantly is the retail growth has been very good. It is tracking ahead of the wholesale throughout the year .
Now the focus is more and more on retails. It's almost about 8%, 9% higher than the wholesale. Markets which are leading the growth are UK, Brazil, Italy, Europe and North America. We have seen, we have also started Bangladesh, and we have also done the CKD, and we opened one of the largest flagship store in Dhaka. So we are also entering into the new markets.
As I always mentioned, international markets, we are cautiously optimistic. Though there are - the sentiments are slightly weaker , we see our positions are getting cemented over the period of time. In the coming year, our focus will be more on the brand building. And in some markets, we are taking over direct entry through our subsidiaries and all those things because we see it as a good market for us in the long term.
So as of now, the international market is, it is doing well. Not that the macros are behind, but we are going slowly and steadily , and our progress has been very good, Amyn.
Amyn Pirani: That's good to know . Just on the Thailand CKD plant, any broad sense as to what kind of capacity we're looking at? And what is the kind of annual potential for you in that market? And also an update on what's the CKD capacity in Brazil? I think you were going to expand that as well. So some recap there would be helpful.
B. Govindarajan: Yes. So Thailand, CKD is - I mean, we signed up with a third party almost 3 years back. Now we have understood that the market is good. And for future, we have to have our own set up

because the depth of manufacturing also has to increase. So we have gone ahead with our own manufacturing facility .
That facility is scalable. As of now, we are operating only in one shift, which can deliver almost about 5,000 to 7,000 motorcycles a month because we are also looking at that base from there, what are all the other markets which have an FT A, which can be made use of. So it's under exploration. There are finer details which are being worked out. But as I mentioned, it is scalable because the depth of manufacturing is not very high in Thailand. So to that extent, speed at which we wanted to do to scale up will be higher . That's about Thailand. And Brazil, which you have asked, so we actually gone in for the second CKD plant, and that is almost in the final stages. The market is good. So at some point of time, because of the quota non available, we put the expansion on hold.
Now with our CKD facility , which are coming up, and now we are looking at slowly opening the retail outlets also. So we are bullish about that market in time to come.
Amyn Pirani: Ok thanks for that. I will come back in the queue.
Moderator: The next question is from the line of Pramod Kumar: from UBS. Please go ahead.
Pramod Kumar: My first question is regarding the growth versus profitability pivot. So we clearly have made a

transition focusing our pivot towards growth. And I think we've seen the benefits of that in the festive season. But just trying to understand, have we found the right balance in terms of the value proposition to the customers and the marketing effort? Or is there more to this as we kind of go forward?
I'm just trying to understand where will the marketing efforts and the other market-driven activities will kind of settle? I'm just trying to get a directional trend, are we kind of satisfied with the balance between volume growth and margins what we have currently seen in the quarter adjusted for the one-of fs, of course? So just any thoughts on that, Govind, Vidhya, you would say , please, that would be very helpful.
B. Govindarajan: So Pramod, as an organization, as we have been saying, we are a growth-focused company . And all the products which we are launching, we are actually adding value back to the products. We haven't increased the pricing. We were ramping up our brand building activities and the market activations during this time because that's where we felt we have to do more work on all the new products which are launched.
Like Classic 650, Goan Classic, Bear 650 and the 450cc Sherpa engine platform Roadster , the Guerrilla, which is an outstanding motorcycle, all those motorcycles, we have to do the brand building activities and the market activation. So that will continue. So it's -- as we are adding value back to the product and the marketing activation and support, which we have to do and brand building activities, growth is the focus.

So now specific to the profitability , we always have been mentioning “profit absolute pool” is what we have to look at.
Pramod Kumar: Okay , so yeah. Okay , Govind, but I'm just trying to understand, have we found the right balance is what I'm trying to get at. Are we satisfied with the kind of efforts we've put in and the result of what we got in terms of the market response or the consumer response?
B. Govindarajan: Yes. We have to constantly keep looking at how the market dynamics is and which are all the areas, which product has to be looked at and support has to be done. So the balance is not that we have one answer for it. As growth focus requires, from time to time, we'll keep doing that.
Pramod Kumar: And the second question is on the demand response, Govind, because we've been kind of seeing weak demand for the last few years, of course, outperformed in the motorcycle category . But yes, generally , there's been a bit of a sluggish demand going into the season and all of a sudden, the demand came in.
So I'm just trying to understand what you were trying to do: a bridge of where demand was on a monthly basis before the festive or the market share before monthly -- before festive and where it is today , could you just help us understand how much of this is led by existing inquiry converting to actual purchase?
And how much of this is kind of win back from competition? What was there in terms of some bit of confusion in the minds of the consumer with so many brand launches, right? So if you can just help us break down the components, and also how many of them are new customers, which are helped by your additional reach on the semi-urban, rural side?
And any color on the regional performance? At different regions, how they have responded during the festive season? And also, any final thoughts on how you're seeing demand post festive because January was very strong.
There could be a year-end phenomenon there. But how are you seeing demand as you stand today based on all the inputs what you have on walk-in inquiries to all those inputs what you have?
Moderator: Thanks, Pramod.
B. Govindarajan: Yes. Too many questions you put it in one thing Pramod, but let me just try to address. First is across the funnel from inquiry till up to the conversion, through this inquiry , bookings and then wholesale and retail, everything, we have been consistently growing during the last quarter . In fact, in the last quarter , we reached a market share of almost about 10.5% in the 2-wheeler industry in motorcycles.
What is happening, as I mentioned in the last call also, is that we will start looking at product by product, which requires a market support on our brand-building activities. We will up the game in that area. That's what exactly we did. We also found in the markets during the festive season what sort of an inventory which we have to keep, that we activated.

Our Classic, Battalion Black, all those products, whatever the market activities which are to be done, that also has been supported. So all put together , it has actually really worked. And now there is a positive momentum, which I'm seeing, and that's why you also mentioned January also has been the growth. That's continuing.

In time to come, there will be more market activation work, which we will continue because some of the brands like Guerrilla and all, we have to do a bit more work in the brand awareness itself. And Hunter , we will be doing some activities. There are some new products which we have lined up. So we are positive about the growth continuing as of now .
Pramod Kumar: Thanks a lot, Govind. I will join back in the queue.
Moderator: Thank you. The next question is from the line of Gunjan Prithyani from Bank of America. Before you go ahead and ask your question. Let me remind participants that they may press "*" and "1" to ask questions. Gunjan, you may proceed.
Gunjan Prithyani: Thank you for taking my questions. I just wanted to clarify the onetime impact, Vidhya, that you called out. It's INR70 crores, which is to do with the launches in EV, and you mentioned 90 basis points additional. Is that understanding correct, both your 90 basis points and 1.4 percentage points, which is INR70 crores, both of these are nonrecurring as we look into the next couple of quarters? Is that understanding correct?
Vidhya Srinivasan: Let me just clarify . INR20 crores out of the INR70 crores is on account to EV, okay . And obviously , this is based on the launch intensity , and if we have more launches, there will be some launch spend. I mean, but yes, broadly , that is the way to look at it.
0.9% is what we've spent on on-the-ground marketing activation. During the festive, again, like I think BGR has pointed out earlier , there could be, depending on, our focus is on growth, and therefore, we keep looking at our marketing intensity from time to time, yes?
Gunjan Prithyani: Okay . That's clear now. And the other follow-up around this I had was that, of course, you've done a lot of value addition in terms of your Battalion Bullet and Classic also. And there were no price hikes taken on those. So is there any pricing intervention that we took towards the end of the quarter or something that is due as you see the response to these interventions quite positive?
And while you cover the price hikes, if you can also talk a little bit about OBD related impact that you may see in the next couple of months?
Vidhya Srinivasan: I think as far as Bullet Black or we haven't taken any pricing interventions towards the end of the quarter . As you know , we don't really comment on any pricing actions that we might take in the future. But I think one thing I would want to say is that given the growth that we have seen in Bullet, in spite of the fact that we were muted in terms of , I mean, we've invested in the product, overall our GC has grown as far as across the Bullet family .
B. Govindarajan: And we'll continue to add value back to the consumers on the product. That's the focus.

Gunjan Prithyani: Okay . Okay , got it. And just going back now to the growth question. Bullet and Classic clearly has seen a pretty good momentum over the last couple of months. If I see Bullet, we are going back to the FY'18 numbers that we used to see. Now in terms of the brand potential, that is with Bullet and Classic, if you can talk a little bit more how do we or do we see more upside to the bullet run rate than we're seeing right now?
And secondly , on Classic again, we are way off from where the peak volumes used to be back in fiscal 18. So just trying to understand, do the interventions that you're making right now give us confidence that there is a huge potential left with these brands, both of these?
B. Govindarajan: I think, Gunjan, you referred 2018. In 2018 time, the product which we had, Bullet 350 and Classic 350, we moved on to the J-platform. That is one action which we have done. And Battalion Black, you all have seen we have launched it. The response has been very good. Primarily , where the market, where the bullet was very strong, in that market, the Battalion Black got accepted very well. Now we are also opening to the other parts of India.
Classic, it's a year of classicism, which we want to celebrate. We are doing a lot of activities around Classic. If you remember , we did the factory customs on the Classic as a special. So a lot of activities and the Goan Classic, which we launched. So the Classic whole family , there's a lot of activities which are happening.
And the love of Classic is also back. Consumers started really liking the new Classic and the colorways, which we have launched. So I do see in the future also the love is continuing. But we have to support it, which we will continue to do through market activations.
Gunjan Prithyani: And Govind, on the inventory side, this last question is, is that sorted now? We were in a stock out situation. Where would the inventory levels stand now at an overall level, channel inventory?
B. Govindarajan: Go ahead.
Vidhya Srinivasan: So Gunjan, I think the stock out situation only because during the festive season, we had such a strong sale during October that there were a few areas where some of the colorways and some of the models kind of got out of stock. We have stocked back up. I think we are back to our regular inventory levels.
B. Govindarajan: We have 2 to 3 weeks...
Vidhya Srinivasan: Yes, 2 to 3 weeks, yeah.
B. Govindarajan: Some colors and SKUs, which we have to match because as Vidhya was mentioning, during

the festive time, I mean it was positive. So some stock-out situations of a few SKUs has taken place. Now the plant team is gearing up to fill that back because we have gone with the replenishment model to extract the full efficiency and support the dealer community also. It is working really well.
Gunjan Prithyani: Thank you so much.

Moderator: Thank you. The next question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities. Please go ahead.
Mumuksh Mandlesha: Yeah, Thank you for the opportunity . Sir, firstly , to Vinod sir, on the CV industry outlook. So how do you see the Q4 quarter? And just on next 6- to 12-month perspective, can you share how do you see the industry growth?
Vinod Aggarwal: If you look at the overall industry , first 9 months have been sort of a stagnant and a little bit marginal drop around, I think, 2% to 3% drop. However , going forward, we are very optimistic. The reason being that if you look at the capital expenditure trends of Government of India, first 9 months, they have spent around, on an average, every month, INR72,000 crores. And based on the current plan, this last quarter , I think the expected spend is going to be around INR92,000 crores, INR95,000 crores per month. And that will be a similar spend in the next year as well.
So therefore, based on this increased spend, we are expecting that there will be good demand in quarter 4. And otherwise also with all the better money , which is going to be available in the hands of middle income groups with the better taxation, with the taxation relief, I think there will be some better consumer spends, which will have a clear circular impact on the entire economy , leading to more consumption and then more movement of goods and services. So therefore, we are very positive that the commercial vehicle industry next year should do better .
And of course, our overall expectation on the GDP growth continues to be more than 6%, around 6.3% or 6.5%. And replacement demand is also going to remain very strong. Interest rates, which have been cut recently by the Reserve Bank of India, 0.25%, that will also have a positive impact on the overall financing rates. So therefore, I think commercial vehicle industry , based on all these fundamental factors, should do better .
Mumuksh Mandlesha: Got it, sir. And just on how is the inventory situation in the CV industry , and how is the discounting going, sir?
Vinod Aggarwal: As far as the inventory situation is concerned, inventory is quite healthy . I can't talk of the inventory in the industry . But of course, as well as our inventory is concerned, we are quite healthy , and we are within our norms on the inventory . As far as the discounting is concerned, this is steadily improving only. So price management are getting better . More and more realization is there with everyone that the discounts are not good.
So therefore, the discounts are also not sustainable in the long run. So therefore, we are expecting that the discount levels should continue to drop.
Moderator: Got it, sir. Sir, the next question is to Govindarajan sir. On the EV launch pipeline, sir, we have this Flying Flea and the Stark collaboration. Just want to understand what's our time line for the launches for these brands?
B. Govindarajan: So on the Flying Flea, which is the City Plus electric motorcycle, that's a brand from Royal Enfield, we unveiled the FF-C6 and the scrambler FF-S6, both the versions. There's a lot of

activities which are happening. Around the first quarter of 2026 will be the time wherein we will be hitting the market.
Mumuksh Mandlesha: Got it. And for Stark partnership, any plan to launch the product?
B. Govindarajan: Stark is actually a strategic investment from Eicher Motors. Primarily , it is all about helping each other and understanding. We get the help from Stark in terms of lightweighting, modularity design and pushing the envelope of the innovations which we can bring in into the motor controller , battery controller and the integration in the whole vehicle. That's what we are actually learning from them.
And also, for Stark, because we are good in the scale, supply chain operations, we support them in that. So that's the kind of a collaboration which we do. There is no such product which we are working around to bring it to the market immediately .
Mumuksh Mandlesha: Got it. And for Flying Flea, sir , what kind of production capacity initially we would have, sir?
B. Govindarajan: I think, we are currently our Flying Flea will be manufactured out of our Vallam plant. So we are building a capacity which, we have mentioned, is almost about 1.5 lakh per annum. But that's all scalable because that's a vehicle assembly line, and we will go modular . And we always have looked at that we won't put a heavy capex onto this.
We will go modular and that's what we are good at. Even for Flying Flea, depending upon the

market situation, we will keep improving whenever it is required.
Mumuksh Mandlesha: Got it, sir. Sir, next question is to Vidhya Ma'am. Just on the gross margin, this quarter sequentially , there was a fall in the gross mar gin. Is it due to mainly the mix of the products?
Vidhya Srinivasan: I think you've kind of answered my question. But basically , I think there are two things essentially because of product mix. We've talked about some of the opportunities that we've done from a Battalion Black standpoint or even in Classic 350 where we've tried to make it not to impact on customers, and we've also not increased our prices. So I think that's what and the product mix, that's what is resulting in the gross margin. But on an absolute level, gross margin has increased obviously .
Mumuksh Mandlesha: Got it, got it. Understood. And just lastly , on the capex side, how was the 9-month capex for the Royal Enfield and VECV? And what is the guidance for the full year?
Vinod Aggarwal: I think in the beginning of the year, we announced that we will have the capex of around INR1,000 crores for the full year. So we are on track. And we are likely to be around INR1,000 crores for the full year .
Moderator: Sorry to interrupt, we request you to please re-join the queue. You may ask your questions once you're asked again, sir .
Mumuksh Mandlesha: Sure, Thank you.
Moderator: Thank you.W e have the next question from the line of Jinesh Gandhi from Ambit Capital.

Jinesh Gandhi: My question pertains to exports. So in export market of all the new product launches which we have done in the last 12 months, which models are yet to be launched in some of our new export markets?
B. Govindarajan: Well, product in an export market, there will always be a lag, Jinesh. So for example, Himalayan, we are just launching in Brazil. Guerrilla we have just launched at an APAC region. So it's all the products in this quarter , most probably will be launch completion in all the international markets.
Jinesh Gandhi: Including the Classic 650s and Goan 650?
B. Govindarajan: Yes, all the products.
Jinesh Gandhi: Got it. And secondly , this Thailand CKD, which we are putting up, this will be also from export to European market as well given the FTA Thailand has and in that context what kind of advantage does Thailand offer to us from that perspective? What is the that yes, sorry , go ahead.
B. Govindarajan: But first is that particular market have to be taken care. So we have to get that right. So we have established the base there and the FTA is being studied by our team, whatever the ASIAN markets first, then we'll parallelly look at on a TCO basis, what makes a sense, whether to send the full container from India to Europe or from Thailand to that place, that study is on and maybe coming year, we will see. If there is a merit to that, we will review it. Otherwise, currently , Europe will be going only from Chennai plant.
Jinesh Gandhi: Okay . But any sense of what would be import duties on our bikes in Europe?
B. Govindarajan: Sorry?
Jinesh Gandhi: What would be import duties on our bikes in Europe?
B. Govindarajan: 5%. It's about 5%.
Vidhya Srinivasan: Yes.
Jinesh Gandhi: Hello?
B. Govindarajan: It's about 5%.
Jinesh Gandhi: 5%, okay . And lastly , Vidhya, the tax rate for the quarter was below 22%. Is that a normalized rate? Or we should see going back to 23%, 24%?
Vidhya Srinivasan: 24% to 25% is the rate.
Jinesh Gandhi: 24% to 25%, got it, got it. Thanks and All the best.
Moderator: Thank you. The next question is from the line of Sanjaya Satapathy from Ampersand. Please go ahead.

Sanjaya Satapathy: Sir, my question is can you give us some indication of what is the sustainable margin from hereon?
Vidhya Srinivasan: What is the sustainable mar gin from here?
B. Govindarajan: No, we don't give.
Vidhya Srinivasan: We really don't give guidance. You know that.
Sanjaya Satapathy: I'm just trying to understand in the context of the numbers that you have called out in terms of the recurring and nonrecurring, if you can give us something?
B. Govindarajan: As Vidhya mentioned, some of the expenses because of the hump in the launches, that's one-time. And going forward, that's sort of a hump may not be so much. But we continue to

have to spend on brand building and the mother brand Royal Enfield build an aspiration. So there will be marketing activation expenses, which will continue.

But the hump may not be so much because these are all some of the products due to the COVID, which came up for the launches one after the other . So that sort of an expense will not be there. But marketing support activities and activation expenses will continue.

Sanjaya Satapathy: Thank you sir .

Moderator: Thank you.The next question is from the line of Omkar Rane from Emkay Global Financial Services. The current participant seems to have dropped from the queue. We will proceed to the next question, which will be from the line of Jay Kale from Elara Capital. Please go ahead.

Jay Kale: Yeah, thanks for taking my question. So my first question is, again harping on the earlier question, what would you see in your endeavor of balancing profitability versus growth? If I look at the EBITDA per vehicle also, it is kind of a 7-quarter low. So I'm just thinking from a management perspective going forward, are you looking at sustainable margins when you balance profitability versus growth? Are you looking at EBITDA per vehicle growing from here?

Because despite the high volumes, we've not really gotten the absolute operating leverage benefits, which were expected when you have a very high volume growth. I understand the bulky expenses, but the marketing expenses, like you mentioned, are going to go ongoing. So how do you -- what is your target in the sense that to grow EBITDA per vehicle sustainably or margins or how should one look at it?

B. Govindarajan: See, if growth is a focus, what does it mean when you grow is that, as we mentioned, we haven't increased the pricing because we have to be an accessible motorcycle. And we also wanted to add value back to the product, which also our consumers have been looking at from Royal Enfield. We are conscious of it. And we are the market leaders and we have the responsibility of continuing to grow , which is what we have done for the last one decade in India.

And now we are trying to do it outside India also, the middleweight. So we have to do more activities around that in promoting the motorcycling as a culture and around that surround systems of the motorcycling. So there will be expenses which will continue. What one have to look at is not to look at an absolute percentage.

The growth has to be looked at on an absolute value, which we will actually get out of the overall revenue and also on the EBITDA overall. That's how we should look at it, not on the percentage alone.

Jay Kale: Understood. Yes. Just one more on your gross margin. So you mentioned that this is mainly because of mix. So how would have commodities moved in Q3 versus Q2? And going forward, how are you seeing the commodity projected?

B. Govindarajan: Commodity has been largely stable. It was not a headwind, though steel and aluminum had some uptick here and there, but our value engineering has been offsetting all those things. We are studying how it does with the entire situation across the market on the commodity movement and all those things.

We will know in this quarter because we are into an SBP cycle. So during this cycle, we'll once again be looking at how the inflation is, how the commodity is moving and accordingly what actions to be taken.

But as I mentioned, all these platform changes activities which are done, first is we have to land the value to the consumer . That's what we have done. Now the focus on all these products on the value engineering also will start.

Jay Kale: Understood. And just one last question. With this intervention of Battalion Black pricing, et cetera, how have you seen your customer profile change? Has there been an increased proportion of first-time buyers coming into RE or the upgrader's contribution has increased? And in that context, how has your RE to RE replacement growth panned out?

B. Govindarajan: Look, I think Battalion Black, we launched it into the market because when we launched Bullet on the J series, which was the last transition on the J-platform, the market came back, especially on the area where the Bullet was loved and looked at it in a different context. And they were looking at a few changes which are required.

As an organization, we quickly went back and then we brought the Battalion Black. In those markets, especially Delhi, Punjab, Chandigarh, Haryana, and part of UP, the market has come back, dealers are happy , consumers are happy . And now we are also opening up to the rest of India.

As far as the first-time buyers which you were talking about, our first-time buyers is almost, what, about 18%, 19% now. So that's what is the share of first-time buyers. Upgrading cycle, as I've been always saying that we are waiting for that moment to click in. And that's why REOWN brought in. And we are almost there at about 234 towns now .

We are slowly bringing in awareness about the upgrade to our consumers. So we are setting the base when the moment clicks in, at least we can start getting into that journey faster so that the base is being set as of now , Jay.

Jay Kale: Thanks and All the best.

Moderator: Thank you. The next question is from the line of Amyn Pirani from JPMor gan. Please go ahead

Amyn Pirani: Thanks for the opportunity . Most of my questions have been answered. I just wanted to ask regarding this OBD2B. Obviously , we'll wait for your price hikes and all. But any broad context as to what is the kind of cost inflation that we might see because of this? And should we be prepared for any wholesale corrections that you might do as you are ramping up or ramping down the older vehicles and the newer vehicles?

B. Govindarajan: So Amyn, maybe I'll answer the second one first. For every transition be it from BS-IV to BS-VI, we are a company , we were not started with any of the hold inventories. We haven't gone in that. We'll always be conscious in transition. And so as even OBD2B, the transition is well planned, and we have tested, kept everything ready .

Yes, you all know there will be some amount of cost increase due to OBD2B, which will be there, but we haven't decided what the price increase should be or shouldn't be because that's future looking, that we have to wait for some time.

Amyn Pirani: Ok. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as a last question for today . I would now like to hand the conference over to the management for closing remarks. Over to you, sir .

Siddhartha Lal: All right. Thank you so much for joining the call and look forward to talking to you next quarter . Thank you. Bye-bye.

Moderator: Thank you. On behalf of Eicher Motors Limited that concludes this conference. Thank you all for joining us. Y ou may now disconnect your lines.

Call: May 2025

May 20, 2025 Online intimation/submission The Secretary BSE Limited Phiroze Jeejeebhoy Towers Dalal Street Mumbai-400 001 Security Code: 505200 The Secretary National Stock Exchange of India Ltd
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Plaza,

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No.C/1,

G Block, Bandra Kurla Complex, Bandra (E) Mumbai-400 051 Symbol: EICHERMOT
Ref: Regulation 30 of the SEBI (LODR) Regulations, 2015 - Transcript of group conference call Dear Sir/Madam, Further to our letter dated May 08, 2025 intimating the schedule of the group conference call held
on

Wednesday,

May

14,

2025,

please

find

attached

transcript

of

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aforesaid

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and financial year ended March 31, 2025, pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015. The same is also available on the website of the Company w w w . e i c h e r m o t o r s . c o m. The conference call started after the conclusion of the Board meeting of the Company. You are requested to take the same on your records.

Thanking you, For Eicher Motors Limited Atul Sharma Company Secretary

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Moderator: Ladies and gentlemen, good day and welcome to Eicher Motors Limited Q4 FY '25 Earnings Conference Call hosted by Avendus Spark. This conference

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CEO
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VECV ;
Mr.

B. Govindarajan - MD, Eicher Motors and CEO of Royal Enfield and Ms. Vidhya Srinivasan – CFO of Eicher Motors. I would now request the management to make their opening remarks. Please go

ahead,
sir.
B.
Govindarajan:
Thank
you,
Ram.
Hello,
everyone.
Hope
all
of
you
guys
are
doing
well.
Thank
you
for
joining
Eicher
Motors
Limited
Earnings
Call
for
the
quarter
and
Financial
Year
ended

March 31st, 2025. It has been a very strong year at Eicher Motors. We have seen consistent growth, quarter after quarter and both Royal Enfield and VECV have delivered solid performances. We have stayed focused on building long-term value and these results reflect that. Starting with numbers for the 4th Quarter: Eicher posted a record performance with consolidated revenue of Rs. 5,241 crores INR and EBITDA

of
Rs.
1,258
crores
and
profit
after
tax
stood
at
Rs.
1,362
crores.
Not
just
the
past
quarter ,
our
growth
momentum
continued
to
show
great
results
in
the
Financial
Year
ended
March
31st

as
well
with
revenue
growing
to
Rs.
18,870
crores
with
an
EBITDA
of
Rs.
4,712
crores.
PAT
for
the
year
stood
at
Rs.
4,734
crores.
The
strong
performance
was
the
result
of
an

all-round growth at both Royal Enfield and VECV .

Now , let me start with Royal Enfield first: We had one of our best

years

ever

and

maintained

our

leadership

in

the

premium

motorcycle

segment

with

the

motorcycle

sales

crossing

1

million

plus

units

for

the

first

time

in

our

history .

We

introduced

6

new

motorcycles

in

the
past
year,
which
strengthened
our
product
portfolio
to
meet
the
diverse
needs
of
our
customers’
right
here
in
India
and
across
the
globe.
We
launched
the
Bear
650,
which
is
a
bold

new
expression
of
our
new
twin
cylinder
lineup.
The
Guerrilla
450,
powered
by
our
Sherpa
engine,
is
a
whole
new
take
on
urban
agility ,
mobility
and
adventure.
We
also
celebrated
the
year
of

Classic

with

the

3

motorcycles

that

really

showcased

our

design

and

craftsmanship,

Classic

650,

which

we

launched

recently

and

Goan

Classic

350

and

of

course,

the

Classic

350

itself.

Our

motorcycles

continue

to

do

well

in

the

past

quarter

and

in

the

financial

year

with

the

sales

of

about

2,80,801

motorcycles

in

the

4th

Quarter

up

by

almost

about

23.2%

year-on-year .

And

in

the

past

financial

year, we sold about 1 million plus motorcycles. It is almost 1,002,893 motorcycles to be precise marking a 10% increase over the previous year. Our domestic sales stood at 9,02,757 units, which is

up
by
about
8%
on
a
year-on-year
basis.
Our
international
volume
stood
at
about
30,900
units
for
the
4th
Quarter
and
in
the
year-on-year ,
it
grew
by
almost
about
29.7%,
touching
1,00,136
units.

This

year

was

very

meaningful

progress

which

we

made

on

many

other

fronts

also.

We

made

our

big

move

into

our

electric

with

the

Flying

Flea

in-house

brand

of

Royal

Enfield.

We

began

with
the
showcase
of
Flying
Flea
at
EICMA,
followed
by
the
unveiling
of
the
two
models
FF
C6
and
FF
S6,
which
has
received
very
strong
interest
from
customers
all
over
the
globe.

We
are
on
track
to
officially
launch
this.
Our
motorcycles
continued
to
win
a
lot
of
recognition
during
the
year.
We
received
about
a
dozen
plus
awards
for
the
design,
innovation
and
performance

of

motorcycles

this

year.

Most

importantly ,

I

wanted

to

share

with

you

the

J.D.

Power

has

ranked

us

as

the

highest

in

the

overall

Two-Wheeler

Initial

Quality

Study

and

is

a

direct

reflection

of
our
focus
on
customer
satisfaction.
Beyond
our
motorcycle,
the
Royal
Enfield
ecosystem
also
has
grown
stronger
than
ever.
We
inaugurated
a
new
spare
parts
warehouse
in
Mumbai
in
the
past
year.
We

now

have

4

regional

warehouses,

including

in

Chandigarh,

Mumbai

and

Calcutta.

In

addition

to

the

business

achievements,

we

also

worked

hard

to

bring

riders

together

in

the

Motoverse.

Normally ,

we

have

it

in

the
month
of
November .
This
year,
we
saw
a
gathering
of
10,000
plus
customers
riding
into
Goa
to
participate
in
the
Motoverse
and
art
of
motorcycling
saw
a
very
successful
season
4
with

an increased participation during this time.

Globally , our expansion strategy gained significant momentum this year. We inaugurated our first fully owned CKD assembly plant

outside

India

and

Thailand.

We

also

began

operations

of

a

manufacturing

facility

and

flagship

showroom

in

Bangladesh

enhancing

our

ability

to

meet

local

demand

while

maintaining

our

quality

standards.

Today ,

Royal

Enfield

ranks among the top mid segment motorcycle brands in the market such as UK, Korea, Australia, New Zealand and all the markets wherever we are entering, our market share is steadily going up.

As we said earlier also, we are looking at all these things for a long-term ambition. Equally important, less is our commitment to social and environmental responsibility . Sustainability remains at the heart of

what
we
do.
Our
motorcycles
are
designed
for
more
than
97%
recyclability
and
reusability .
Our
plants
now
consume
about
86%
of
electricity
from
renewable
sources,
and
our
net
water
is
positive
to
the

tune of 2.6x. We are also committed to send no waste to the landfills from our operations. We launched several green initiatives in Himachal Pradesh, Spiti in Kullu district. This includes Camp Kharu,

our
first
Green
Pit
Stop
along
the
Leh-Manali
Highway .
We
also
launched
journeying
across
the
Himalayas
as
a
first
of
its
kind
10-day
festival
in
Delhi
that
celebrated
the
region's
natural
beauty
and

culture.
Now ,
moving
on
to
VECV ,
our
performance
has
continued
to
beat
the
industry
trends.
Now ,
I
will
request
Mr.
Vinod
Aggarwal
to
talk
about
the
commercial
vehicles
performance.
Over
to
you,
Vinod.

Vinod Aggarwal: Thank you, Govind. The Financial Year '25 has been a record year for us as we delivered more than 90,000 trucks and buses and crossed Rs. 23,500 crores in topline. I will begin with the financial performance for the 4th Quarter and the Financial Year '24-25. We had a robust sales performance of 28,675 units in Quarter 4 of FY25 and 90,161 units in

Financial Year ’25, our best ever performance. VECV revenues rose to Rs. 7,139 crores in Quarter 4, up 13.8% from Rs. 6,275 crores in Quarter 4 of Financial Year ’24. For Financial Year

'25, VECV revenue from operations was Rs. 23,548 crores, which is up 7.7% from the previous year. EBITDA stood at Rs. 732 crores for the quarter and Rs. 2,030 crores for the full year up 18.4% from Rs. 1,715 crores in the previous financial year. The EBITDA margin for the quarter was at 10.5% and at 8.8% for the Financial Year ‘25. And as you can see,

the

EBITDA

margin

has

significantly

improved

from

7.8%

last

year

Quarter

4

to

10.5%

in

this

current

Quarter

4.

Profit

after

tax

for

the

quarter

was

Rs.

457

crores

and

Rs.

1,284

crores in Financial Year ‘25 up 56.8%. Now , we had record performance on many parameters, such as the highest sales units with the growth of 5.4% against the market, which was flat at

just
around
0.3%
growth.
We
became
#1
in
Light
&
Medium
Duty
trucks
market
share.
We
have
now
36%
market
share
in
Light
&
Medium
Duty
trucks,
which
is
5-18
tons,
and
we

are #1 in the market now. And we had record sales of Heavy-Duty Trucks, Buses and Spare Parts, Engineering Components and Power

Solutions
which
include
gensets
as
well
as
industrial
engines.
We
entered
the
small
commercial
vehicle
segment
with
the
electric
first
Eicher
Pro
X
which
is
3-3.5
ton
gross
vehicle
weight.
And
we
had

highest
ever
Quarter
4
sales
for
Eicher
Heavy
Duty
Trucks
at
6765
units
with
the
market
share
of
9.1%
in
Eicher
site
and
including
Volvo,
the
market
share
is.
9.7%
for
the
Full

Year. In the Light & Medium Duty Truck segment, we sold 11,591 units in the quarter , achieving our highest ever market share of 37.1% in the market in Light & Medium Duty in

Quarter

4

and

we

sold

7568

units

in

the

Buses

segment

making

it

our

highest

ever

sales

in

the

quarter

and

we

received

5

Apollo

CV

award

including

prestigious

Transport

Solutions

Provider

of

the year. As the Indian economy grows and the logistics industry transforms, VECV continues to drive modernization and remain at the forefront. During the past year, we have launched 92 new production variants.

These include Eicher LMD powered HD Trucks for long haul application. We also delivered over 50 Volvo FM Tractors for Road train applications. We continue to develop electric and alternate fuel waste solutions

on
our
existing
product
mix
during
Financial
Year
‘25.
We
successfully
launched
the
Eicher
Pro
X
Small
Truck
specifically
designed
for
2-3.5
tons
segment.
Deliveries
started
with
the
electric
first,
reflecting
our
commitment

to deliver sustainable solutions to the last mile and delivery operations. On the sustainability front, the Financial Year ’25, we made significant progress by addressing various elements. Driving inclusivity in the CV industry ,

the
Eicher
Pro
X
is
assembled
on
an
All-W oman
line
at
our
state-of-the-art
industry
4.0
compliant
factory
in
Bhopal.
And
this
is
the
first
time
that
we
see
the
All-W oman
assembling
the
trucks

on
the
assembly
line
in
a
truck
plant.
Our
renewable
energy
capacity
with
a
4.5
MW
rooftop
solar
project
is
expected
to
reduce
emissions
by
25%.
We
also
recycled
52
million
liters
of

water
at
our
Bhopal
plant
through
an
artificial
water
reservoir
that
also
supports
local
birds
and
fish.
Furthermore,
our
carbon
offsetting
efforts
continued
with
the
planting
of
66,000
trees
anticipated
to
offset
660

tons
of
CO_2
emissions.
Now ,
I
will
hand
over
back
to
Govind
for
further
updates.
B.
Govindarajan:
Thank
you,
Vinod.
Before
we
move
on,
I
would
like
to
briefly
touch
on
some
key

changes. I am sure you all would have followed in on our Board. Siddhartha was the MD & CEO of Eicher Motors, has taken over as an Executive Chairman of Eicher Motors and

Vinod

-

MD

and

CEO

of

VECV

Commercial

Vehicle

business

is

now,

apart

from

the

MD

&

CEO

of

Commercial

Vehicle,

he

is

the

Vice

Chairman

of

Eicher

Motors

Board,

and

I

took

a larger role as a Managing Director of Eicher Motors. And we also welcomed new Directors who bring in diverse experience from different sectors to Eicher . Their combined insights are already adding meaningful

val
ue as we plan for the future and navigate an increasingly dynamic environment. At Eicher Motors, this year has been phenomenal growth for both Royal Enfield and VECV

with all the steps into the New Year which we are confident we will continue to build on success with many more exciting things ahead. Thank you

all

for

being

with

us

on

this

call

today .

We

can

now

move

on

to

Q&A.

Over

to

you,

Ram.

Moderator:

Thank

you

very

much.

We

will

now

begin

the

question-and-answer

session.

The

first
question
is
from
the
line
of
Binay
from
Morgan
Stanley .
Please
go
ahead.
Binay:
Hi,
team,
thanks
for
the
opportunity .
My
question
is
related
to
the
margins.
Could
you
comment
on
two-three

things

on

that?

First

is

that

we

have

seen

a

raw

material

to

sales

trend

up

in

this

quarter .

Secondly ,

in

the

earlier

conference

call,

we

had

highlighted

that

Q3

had

a

lot

of

one-of fs

in

the

other

expense

line

item.

What

are

your

take

on

the

Q4

other

expense

number

because

it

is

almost

flat

quarter -over -quarter?

And

thirdly ,

the

cost

relating

to

OBD2B,

have

you

passed that on fully to the consumer , what was the price hike? That is the question from my side. Thanks.

Vidhya Srinivasan: Yes, I think there are a number of questions over there.

So

if

I

can

address

as

far

as

gross

profit

is

concerned,

I

think

if

you

are

talking

quarter

versus

last

quarter

or

I

am

not

quite

sure

whether

you

are

talking

--

Binay:

Quarter -over -quarter .

Vidhya

Srinivasan:

Yes.

So

basically

we

are

saying

versus

last

quarter

we

are

talking

about

the

30

bps

on

account

of

model

and

variant

mix,

which

is

a

really

higher

share

of
some
of
the
models,
like
Battalion
Black
where
we
are
seeing
very
good
traction
and
growth
in
terms
of
absolute
sales.
I
think
if
you
take
back,
I
think
the
big
message

that

we

kind

of

talked

about

several

quarters

now,

including

last

quarter

is

that

our

focus

is

on

absolute

growth

and

absolute

gross

profit

growth,

not

necessarily

on

percentages.

So

I

think

as

part
of
that
as
far
as
both
the
new
Classic
as
well
as
the
new
Battalion
Black,
we
have
made
a
lot
of
additions
to
the
product
in
terms
of
features
etc.,
and

we
have
effectively
kept,
while
we
shared
the
cost,
we
have
not
changed
it
on
a
percentage
basis.
So
I
think
about
30
bps
is
accounted
for
in
the
model
and
variant
mix.

We have about a 20 bps impact of higher commodity prices in Steel and Aluminum and about 20 bps which is on account of some inventory provisions for a few old bikes. So effectively

that

is

what

is

causing

the

impact

of,

I

think

approximately

19

bps

versus

Q3

of

this

year.

As

far

as

other

expenses

are

concerned,

which

is

I

think

your

next

question,

I
think
I
had
not
necessarily
talked
about
any
specific
quantum
of
one-of f,
but
let
me
address
that
as
well
versus
Q3,
we
have
had
an
increase
of
about
Rs.
9
Cr
as

far
as
other
expenses
are
concerned.
Out
of
that,
we
have
had
Rs.
30
crores
reduction
of
marketing
expenses
versus
Q3.
We
have
had
while
launch
and
event
expenses
have
reduced
versus
Q3,

we have increased investments in sustenance and the Classi c volume growth is reflecting that for example, we have had a growth of 15% in the

May 14, 2025

last 6 months. In addition to that, we have also had about Rs. 20 crores increase on account of volume related expenses because we have had a significant increase in

volumes
versus
Q3
as
well.
So
there
are
about
Rs.
20
crores
in
account
of
that,
Rs.
19
Cr
is
an
impact
of
expenses
that
we
have
incurred
in
Europe
where
a
few

distributors
are
under
liquidation.
So
this
is
something
that
is
an
impact
that
has
happened,
yes,
that
is
essentially
what
is
happening.
Binay:
So
largely,
both
are
in
a
way,
there
is
no

one-of f

in

the

other

expenses?

Vidhya

Srinivasan:

There

is

no

one-of fs

because

you

guys

then

come

back

and

tell

me,

so

I

think

18

and

19

because

of

the

Europe

we

can

say.

Binay: And now, with the recent Hunter launch that we have done, do you think that the gross margin trend will trajectory wise remain the same or have you passed on all the

costs
that
you
have
added
to
the
vehicle
in
the
relaunch?
B.
Govindarajan:
Yes,
that
is
a
leading
question,
Binay .
As
Vidhya
was
mentioning,
it
is
a
balance
between
the
growth
and
the

profitability

percentages.

We

have

been

saying

that

we

have

to

grow

in

a

market

that

is

what

it

is.

The

initial

belief

which

we

had

is

that

when

more

and

more

competition

is

coming,
the
whole
segment
will
grow
and
in
the
process,
we
will
also
grow
in
that.
The
whole
segment,
I
think
others
are
not
able
to
grow
the
market.
So
that
it
is

the
leadership
of
Royal
Enfield,
we
continue
to
hold
that
responsibility
of
growing
the
market,
which
we
are
doing.
And
second,
which
you
had
talked
about
the
gross
margins
and
the
absolute
percentages,

more
and
more,
we
will
add
value
to
the
product,
to
the
consumers.
That
is
what
is
the
requirement
now
in
the
market,
as
Battalion
Black
when
we
launched
we
launched
it
at

an
accessible
price
point
because
we
really
felt
that
is
required
for
us
to
take
the
market
which
was
not
growing,
which
has
really
helped
in
the
way
we
thought.
And
it
has

really
grown
almost
about
22%
over
the
previous
year,
because
the
product
was
conceived
right,
it
was
positioned
right.
The
pricing
was
right
for
it
and
it
has
really
helped
us.
And
similarly

Classic

350

when

we

came

out

with

the

refreshers,

we

passed

on

only

the

cost,

but

we

added

value

more

into

the

product,

not

the

absolute

profit

percentage,

which

we

are

not

looking

at.

And

as

of

now

with

the

refreshers,

we

have

taken

a

price

increase

but

may

not

be

to

that

level

of

profitability .

But

what

is

more

important,

which

we

have

to

look

at

is,

now

value

engineering

will

start

kicking

in

for

all

these

platforms

and

that

is

the

direction

which

we

are

working

on

improving

even

profitability .

That

is

a

directional

thing.

Binay:

No

team,
I
think
volume
focus
is
the
right
strategy .
And
just
on
OBD,
if
you
could
give
the
cost,
that
is
it
from
my
side.
Thank
you
so
much.
B.
Govindarajan:
OBD2B,
the

cost

increases

for

all

these

products.

First

of

all

OBD2B,

we

have

transitioned

seamlessly ,

not

that

we

had

excessive

motorcycles

of

previous

versions

and

all

those

things.

We

all

know ,

every-time

when

there is a statutory thing comes because we are a retail focused

company . We don't build inventory into the system. So to that

extent,
we
didn't
have
much
of
an
issue
in
the
transition
and
whatever
the
cost
increase
which
had
come
up
and
that
we
have
added
into
the
product
and
we
passed
on.
Binay:

Great.
Thanks
team.
Thanks
for
that.
Moderator:
Thank
you.
The
next
question
is
from
the
line
of
Chandramouli
Muthiah
from
Goldman
Sachs.
Please
go
ahead.
Chandramouli
Muthiah:
Hi,
good
evening
and
thank
you

for taking my questions. My first question is just on your outlook for FY '26 in the domestic Royal Enfield, exports Royal Enfield as well as the VECV businesses. I think last year

we

had

started

the

fiscal

year

with

expectations

of

10%

volume

growth

for

the

premium

motorcycle

category

and

I

think

we

were

able

to

deliver

slightly

higher

than

that

on

the

full

year.

So
I
just
want
to
understand
how
you
are
thinking
about
your
motorcycle
category
for
FY
'26
and
with
your
product
launches,
Hunter
350
plus,
looks
like
there
are
a
few
more
on

the way. How you think about Royal Enfield's prospects in this space and VECV as well? B. Govindarajan: Yes. Let me just close on the two-wheeler , then Vinod will talk about VECV . Financial

Year

‘25

has

been

good

for

us

in

the

growth.

We

have

crossed

1

million

motorcycles,

which

is

in

the

history

of

Royal

Enfield

and

a

company

which

was

almost

about

a

decade

back
was
looking
at
only
about
100,000
motorcycles
in
one
year.
We
have
crossed
1
million.
We
grew
the
market
and
the
growth
primarily
came
from
the
focus
of
delivering
the
pure
motorcycling

experience

to

the

customers

with

the

motorcycles,

which

are

very

differentiated

and

look

wise

and

fit

and

feel

wise,

it

has

to

be

very

differentiated

and

that

is

what

we

have

been

consistently

working

on,

which

has

really

helped

us

to

grow

the

market

where

we

are

almost

about

88%

market

share

in

the

middleweight

and

our

focus

is

also

continued

to

be

in

the

middleweight

and
that
is
where
more
and
more
product
we
launched
and
we
will
continue
to
have
products
coming
up,
refreshes
coming
up
even
in
the
year.
What
is
happening
in
India
which
we

would

like

to

talk

very

openly

about

is

that,

last

year

also,

the

rural

market

has

been

very

good,

and

the

urban

market

growth

has

not

been

so

good.

It

was

slightly

muted.

This year, with the tax cut, especially on the income tax cut, we expect the urban growth will start coming up back. We are seeing the positive sentiments at least now even in

the
month
of
April
in
the
urban
market.
Rural
market
has
continued
to
grow ,
so
that
way
premiumization
is
continuing,
mid-size
we
have
been
growing
with
the
motorcycles
which
are
going
to
come,

and
which
has
already
been
launched
and
our
expenses
which
we
have
been
putting
behind
in
the
marketing
activation,
we
do
see
even
in
the
coming
year,
the
growth
will
be
good
for

us. That is on the domestic. On the international, you also asked, Chandramouli.

Chandramouli Muthiah:

International and then VECV side?

B.

Govindarajan:

International,

this

is

the

first

year

we

also

crossed

about

100,000

motorcycles.

It

is

backed

by

solid

retail

in

all

the

markets.

We

are

#1

in

UK

in

the

middleweight,

#2

in

Argentina
market
and
#3
in
Brazil
market.
Brazil
market
is
opening
up.
During
this
year,
we
also
entered
into
the
new
market
in
Bangladesh,
which
is
showing
very
good
sign
for
us.
Over

the
years,
we
have
been
developing
the
brand
building,
driving
community
and
events
and
of
course
with
the
motorcycles,
we
are
actually
the
top
4
mid-weight
motorcycle
brands
in
many
countries
across
the

world.

Even

now,

the

international

markets,

whether

the

sentiment

is

so

strong,

it

is

not

that

way.

As

I

mentioned

in

the

last

call

also,

we

are

cautiously

optimistic

about

the

international

market,

but
our
retail
has
been
good,
our
interest
in
products
has
been
good.
In
fact,
we
launched
the
Himalayan
in
Brazil
very
recently
because
it
takes
time
for
the
entire
homologation
cycle.
There

is

a

huge

resumption

for

that

product

in

the

Brazil

market,

so

when

the

product

hitting

in

to

the

market,

the

market

is

ripe,

and

we

are

going

to

work

on

brand

building

in

a

very

different

way.

That

is

how

we

feel

the

growth

is

going

to

be

very

good.

With

the

tariff

situations,

I

am

sure

some

of

you

will

be

looking

at

what

is

that

scenario

or

how

we

are

handling

it.

In

some

of

the

markets,

especially

USA,

we

do

have

a

stock

to

overcome

the

riding

season

at

the

pre-tax

level

itself,

pre-tarif f

level

itself

and

we

are

continuing

the

exports

as

of

now.

So

we

do

see

even

in

the

export

markets,

the

growth

will

be

very

good.

But

what

we

are

doing

at

the

back

end
to
get
the
export
market
growing
in
the
long
term,
I
think
that
is
where
the
focus
is
more
and
more.
Now ,
probably
VECV ,
Vinod
can
add.
Vinod
Aggarwal:
As
far
as

VECV is concerned, as we have seen, last year, we have grown by 5.3% as against the flattish market. If you see all the segments, we have grown in all the segments, our market shares have grown in all the segments and of course, this is based on our continuous expansion of our distribution network. We are present in more and more territories, so we are

penetrating
more
and
more
into
the
distant
markets
of
the
Eastern
sector
as
well,
and
of
course
we
are
also
opening
more
of
the
company
owned
dealerships
in
some
of
the
difficult
locations.

So
therefore
all
these
steps
are
helping
us
to
improve
our
market
share.
Going
forward,
we
are
expecting
that
the
market
will
continue
to
do
better
because
the
economy
is
growing
and
it

is
expected
to
grow
this
year
also,
6.5%.
The
replacement
market
is
expected
to
remain
strong.
Infrastructure
investments
are
expected
to
remain
strong.
Therefore,
the
fundamental
factors
are
all
in
place.
Now ,
of

course,

there

are

always

some

hiccups

here

and

there

because

of

sentiments

or

because

of,

for

example,

if

this

recent

war,

which

was

there,

this

would

have

dro
pped

down

the

sentiments.

Similarly ,

if

there are some other factors which drop the sentiments, that brings down the demand only temporarily . On the fundamental factors, the market will continue to remain strong and will continue to grow in

the
short
to
medium
term.
Chandramouli
Muthiah:
That
is
helpful.
My
second
question
is,
on
couple
of
data
points,
if
you
could
share
the
full
year
export
revenues
as
well
as
the
non-motorcycle

revenues, please?

B. Govindarajan: Full year what?

Chandramouli Muthiah: Export revenue?

Vidhya Srinivasan: Yes, 13.5% is our share of international markets and non-motorcycle full year is close to 15%, will take for both domestic and international sale.

Chandramouli Muthiah: So you said 15% for non-motorcycle?

Vidhya Srinivasan: 14.8% for both domestic and international together for non-motorcycles.

Chandramouli Muthiah: Got it. That is helpful. Thank you very much and all the best.

Moderator: Thank you. The next question is from the line of Gunjan Prithyani from Bank of America.

Please
go
ahead.
Gunjan
Prithyani:
Hi,
thanks
for
taking
my
question.
I
just
wanted
to
go
back
to
the
margin
question.
There
were
two
things
that
we
spoke
about
last
quarter .
One
was

this,
EV
unveil
and
a
lot
of
events
that
we
had
bunched
up
last
quarter ,
right.
If
I
roughly
remember
the
number
was
some
Rs.60
-
Rs.70
crores.
So
I
am
just
trying

to

understand,

was

there

anything

specific

such

sort

of

events

which

were

there

in

this

quarter

that

we

didn't

see

any

reduction

quarter -on-quarter

on

that

front?

And

also

if

you

can

talk

about

this
Rs.
19
crores
liquidation
expense
that
you
spoke
about,
what
does
that
pertain
to?
Vidhya
Srinivasan:
So
Gunjan,
if
you
recall
my
last
quarter ,
what
I
said
was
that
we
had
the

increase

of

70,

some

part

of

it

is

because

of

one-of f.

So

this

time

when

I

mentioned

it

earlier

in

this

call,

what

I

said

is

there

is

the

Rs.

30

crores

reduction

of
marketing
spends
versus
Q3,
which
is
really
the
expense
that
we
had,
the
event
and
launch
related
expenses
which
we
had
in
Q3,
which
we
did
not
have
in
this
particular
quarter .

The
Rs.
19
crores
is
because
of
there
are
some
distributor
liquidation
that
settlement
expenses,
etc.,
pertaining
to
that.
Gunjan
Prithyani:
And
yes,
I
am
just
directionally
trying
to
understand
like
there
is

clearly ,

it

is

good

to

have

the

growth

back,

but

I

am

just

trying

to

understand

how

we

should

think

about

this

line

item

because

there

has

been

a

pretty

big

step

up.

Is
it
that
we
do
need
to
do
a
lot
more
in
terms
of
the
marketing
interventions
or
do
you
think
now
we
are
at
that
steady
state
of
marketing
interventions
that
it

is
more
about
bringing
refreshes,
etc.,
just
some
color ,
how
do
we
think
about
this
line
item?
B.
Govindarajan:
Gunjan,
it
can't
be
static,
first
of
all,
because
we
always
have
to
look

at

the

funnel.

What

we

look

at

is

every

month

we

will

start

looking

at

what

is

the

kind

of

inquiry ,

what

is

the

booking,

what

is

the

conversion

and

also

on

the

brand

track

study ,

we

have

to

triangulate

it

and

then

see

where

we

need

to

spend

money .

And

all

the

new

brands

like

Guerilla

and

now

the

new

Hunter

with

the

new

colorways

which

we

launched,

all

those

areas

has

to

be

continuously

on

the

brand

building

exercise

in

the

market

activation.

Will

we

do

like

what

we

did

last

year?

may

not

be.

Will
we
not
do
like
last
year?
we
may
have
to
do
it
depending
upon
how
the
brand
pack
is
actually
showing
us,
is
that

yes,

some

area

you

have

to

do

a

marketing

activation

to

grow

because

growth

is

the

one

driver

and

everything

have

to

actually

work

around

that

and

that

is

why

we

always

say

that
don't
look
at
the
percentages,
look
at
an
absolute
value,
because
that
is
how
the
growth
in
an
organization
can
get
propelled.
Gunjan
Prithyani:
Got
it.
And
just
on
the
Hunter ,
the

refresh

that

you

have

made,

can

you

just

talk

a

little

bit

about

what

is

it

that

we

are

trying

to

target

there?

There

were

clearly

an

agenda

set

with

Battalion

Bullet

bring

the
retro
look
back.
What
is
it
that
we
are
trying
to
do
with
this
and
our
expectation
in
terms
of
what
it
does
to
the
brand,
given
that
it
has
been
at

15,000-16,000
units
per
month
run
rate,
are
there
white
spaces
that
in
terms
of
geography ,
we
are
trying
to
plug,
some
thoughts
around
what
are
we
trying
to
get
with
this
refresh?
B.

Govindarajan:

So within Hunter , we launched in August 2022, the thought process at that point of time was when we launched this product, it has to get us a new set of customers.

There
should
not
be
cannibalization
into
the
Classic.
That
is
the
primary
thing
which
we
went
in
and
it
has
really
helped
us
to
get
almost
about
15,000
numbers,
an
average
of
about

14,600 numbers. But over the years, we have crossed, you all know over half a million Hunter sales from August 2022. What we set out, it has done well, but we also saw,

as

I

mentioned

in

our

studies,

we

saw

that

the

growth

is

a

bit

muted

and

it

has

a

very

good

potential

and

we

went

to

the

market

and

trying

to

understand

what

is it required for doing more and we could see that we have to do a bit more brand activation, sustenance activities for the product and also product intervention. That is why on

the
product,
if
you
look
at,
it
is
for
city
condition
usage,
tight
traffic
conditions.
So
we
wanted
to
bring
in
an
assistant
clutch
which
we
offered
into
this
right
comfort,
which
we

have

increased

and

ground

clearance,

slightly

we

have

increased

in

this

motorcycle.

We

have

brought

in

LED

headlight

into

this,

a

tripper

part

is

added,

USB

charger

is

added

and

new

color

variants

are
added.
Why
are
we
doing
all
these
things
is
primarily
because
there
are
young
consumers
who
are
looking
at.
Now ,
the
marketing
activation
for
Hunter
should
be
towards
the
younger
audience
to

make
it
cool
and
vibrant
and
youth
focused
brand,
Hunter
and
that
is
where
the
focus
which
is
going
to
be
for
the
coming
year
and
that
is
why
we
came
out
with

the
refreshes
with
all
the
feature
additions,
the
next
growth
phase,
which
has
to
kick
in
after
that
activation
starts
in,
Gunjan.
Gunjan
Prithyani:
Got
it.
And
just
last
clarification
on
the
tariff,

did you mention anything, how does it affect our North America exposure, any sense that we have, how should we be thinking about that?

B. Govindarajan: Two things. First is because of the

tariff,
initially
there
was
a
higher
than
90
days
break
and
there
is
something
which
is
going
back
and
forth.
As
I
mentioned
for
the
riding
season,
first
of
all,
we
have
protected

with

an

inventory

which

we

were

having

there

in

our

warehouse

at

Dallas.

So

to

that

extent,

the

season

was

not

missed.

It

is

also

pre-tarif f

rate.

So

we

are

not

changing

the

MSRP in North America. Now that tariff situations are being discussed, we are

watching it and correcting the FOBs and all those

things
to
be.
The
MSRP
is
not
altered
much
for
our
consumers.
Gunjan
Prithyani:
Got
it.
I
will
join
back
in
the
queue.
Thank
you.
Moderator:
Thank
you.
The
next
question
is
from

the
line
of
Kapil
Singh
from
Nomura.
Please
go
ahead.
Kapil
Singh:
Good
evening,
sir.
Sir,
just
wanted
to
understand
your
thoughts
on
the
growth
profile
of
the
market
if
we
make
2

broad
buckets,
350CC
and
the
portfolio
of
that,
when
you
look
at
growth,
there
is
some
increase
in
mix
for
the
350CC.
So
when
you
are
looking
at
things
going
ahead
for
next,

let

us

say,

2-3

years,

how

do

you

see

that

and

any

factors

here

that

you

would

like

to

share

that

why

the

350CC

mix

has

gone

up?

Because

650

also

we

had

or
450
also
we
had
good
launches
and
the
base
is
low,
so
the
growth
could
have
been
higher
there
as
well,
so
any
thoughts
there?
B.
Govindarajan:
But
I
think
our
350CC,

we

came

out

with

a

lot

of

products

during

this

year.

So

even

in

650CC

and

in

the

450CC

is

the

Guerilla

which

we

launched.

So

everywhere

we

have

been

looking

at

products

which
have
to
come
in
which
gives
a
differentiated
experience
to
the
consumers
in
the
white
space.
We
constantly
look
at
where
the
space
and
what
is
that
we
can
do
and
every

product
I
have
to
give
you
different
experiences.
If
I
have
to
tell
you
about
the
350CC
segment
and
that
is
the
segment
which
is
almost
growing
and
it
has
given
a
growth

for

us

in

the

last

year

and

in

the

500CC

plus

segment,

we

are

almost

95%

plus.

That

is

where

our

strong

position

is.

But

we

do

have

products

which

are

there

in

all

those

CC

segments.

With

the

activities

which

we

are

doing

around

the

community ,

marketing

and

with

the

refreshers

which

are

going

to

come

even

in

this

year

and

finance

availability ,

all

those

activities

are

what

we

feel

that

the

growth

is

going

to

continue,

and

the

fundamentals

hasn't

changed,

right.

The

premiumization

is

continuing,

the

money

availability

in

the

urban

market

is

going

to

be

better ,

rural

is

growing.

So

when

the

whole

two-wheeler

market

has

the

positive

sentiment,

normally ,

the

premium

motorcycle

sales

also

go

up

and

that

is

the

trend

which

we

have

always

seen

and

that
is
the
positive
trend
which
I
am
seeing
even
now.
Kapil
Singh:
Do
you
see
the
mix
shifting
towards
650
or
450
over
next
4-5
years
or,
you
don't
see
any
significant

change? B. Govindarajan: Look, I think the percentages as such they are actually at the stage, so the percentage of growth may be very different because the base is so low. But I

don't

see

that

the

650

to

350

there

is

going

to

be

a

complete

switch

and

flip

which

is

going

to

happen

in

the

next

2-3

years,

but

wherever

the

growth

is

happening,

our

products

are

there

and

we

will

continue

to

have

more

products

in

those

areas.

So

that

at

least

we

are

there

in

the

consumer's

mind

that

when

they

see

that

I

need

a product at a particular CC level, Royal Enfield product is readily their type.

Kapil Singh: And sir, one question was on

the
CAPEX
plan,
if
you
can
just
give
us
an
update
on
how
many
new
launches
we
are
planning
next
year?
We
had
I
think
6
last
year
for
Royal
Enfield
and
in

what

areas

will

the

CAPEX

go

towards?

And

one

housekeeping

question,

just

on

the

commodities,

if

you

have

any

outlook

to

share

and

any

pricing

changes

that

we

have

done?

That

is

all

from my side?

Vidhya Srinivasan: So I take the CAPEX to be between Rs. 1,200-Rs. 1,300 crores next year, which is largely towards investment in EV manufacturing facility , product development, and new things.

I
think
as
far
as
the
launches
are
concerned,
we
will
get
into
specific
items
about
the
launches
closer
to
the
date
of
the
launches,
though
of
course
we
said
that
as
far

as
EV
is
concerned,
we
have
talked
about
the
timelines
publicly .
I
think
the
other
question
you
had
was
about.
Kapil
Singh:
Commodities.
Vidhya
Srinivasan:
Commodity
prices,
I
think
we
are
seeing
volatility ,

and

I

think

we

have

talked

about

0.2%

that

we

have

got

impacted

because

of

steel

and

aluminum

prices

as

far

as

the

current

quarter

is

concerned

versus

last

quarter .

But

we

are

waiting

and

watching

to

see

how

it

kind

of

plays

out.

So

at

the

moment

there

is

a

lot

of

volatility

happening

as

you

know .

So

it

is

difficult

for

us

to

comment,

but
we
will
keep
you
updated
in
terms
of
impact
in
the
coming
quarter .
Kapil
Singh:
So
far
there
is
no
pricing
change?
Vidhya
Srinivasan:
Pricing
change,
as
we
said,
we
have
taken

about

1.15%

increase

in

some

select

models

in

April.

B.

Govindarajan:

April

itself,

coming

when

the

OBD2B

transition

which

was

coming

up

and

then

the

New

Year

was

starting,

so

we

have

taken

that

and

if

you

remember

last

year

full

year

we

said

no

price

increase

because

we

wanted

to

add

value

to

the

consumers

and

that

continues,

but

this

year,

as

Vidhya

is

mentioning,

we
have
taken
1.15%
in
select
models
in
month
of
April
itself.
Kapil
Singh:
Thank
you
so
much,
sir.
Have
a
good
day.
Moderator:
Thank
you.
The
next
question
is
from
the
line

of

Raghu

Nandan

from

Nuvama

Research.

Please

go

ahead.

Raghu

Nandan:

Thank

you,

sir

for

the

opportunity .

Congrats

on

the

strong

volume

performance.

One

clarification,

within

the

gross

margin

on

a

Q-o-Q

basis,

Vidhya

ma'am,

you

indicated

a

20-bps

provision

relating

to

a

few

old

bikes.

So

if

you

can

just

expand

on

that?

And

that

is

the

one-of f,

right?

Vidhya

Srinivasan:

Yes,

that

is

one-of f.

Raghu Nandan: Understood. My first question was on Classic 650. Given the strong umbrella brand of Classic and how do you see

the
potential
for
that
model
going
forward
and
how
has
been
the
response
so
far?
B.
Govindarajan:
Raghu,
the
response
is
too
good.
We
are
very
happy
with
the
way
consumers
are
looking

at

it.

Honestly ,

we

are

looking

at

the

will

that

be

the

trigger

for

our

upgrade

cycle

because

the

initial

responses,

the

consumers

who

have

been

having

Royal

Enfield,

who

bought

the

Royal

Enfield

350,

maybe

about

8

years

back,

10

years

back,

they

all

started

looking

at

Classic

650

as

an

upgrade

model,

so

to

that

extent

the

interest

is

very

good.

And

it

is

just
2
months.
It
is
in
the
ramp
up
stage.
So
we
will
wait
for
another
2-3
months
to
see
how
this
is
really
performing,
but
it
has
a
huge
traction
even
in

the
international
markets.
Raghu
Nandan:
Got
it,
sir.
And
considering
the
strong
volume
performance,
what
are
the
plans
to
expand
capacity
like
currently
our
capacity
is
1.2
million
units
and
there
are
months

where

we

are

very

close

to

hitting

the

full

capacity .

So

how

do

you

see

the

expansion?

How

much

expansion

are

we

planning?

B.

Govindarajan:

As

we

always

mentioned,

Raghu,

our

capacity

as

you

mentioned

is

about

1.2

million

with

the

plants

and

we

also

have

Cheyyar

where

we

protect

the

land

and

we

also

have

the

sheds

ready .

And

all

our

manufacturing

facilities

are

done

in

a

modular

way,

so

what

we

are

looking

at

even

in

this

year,

as

Vidhya

was

mentioning

about

like

CAPEX,

some

CAPEX

goes

in

and

wherever

there

is

capacity

enhancement

which

has

to
be
done,
so
that
we
will
be
using
it
and
we
will
take
the
capacity
up
for
the
new
models
which
we
launched.
Raghu
Nandan:
So
what
would
be
the
capacity
at

Cheyyar ,
sir?
B.
Govindarajan:
Cheyyar
is
actually
a
plant
which
will
support
the
back-end
operations
like
Chrome
plating,
powder
coatings
and
all
those,
surface
finishing
for
all
Vallam
and
Oragadam
plants.
That
is

how
it
is
envisaged
as
of
now.
Raghu
Nandan:
Understood,
sir.
And
on
the
export
side,
what
would
be
the
share
of
global
CKD
plants
in
overall
exports
and
how
are
you
looking

at capacity addition in these global plants like, for instance, in Brazil you were actually increasing capacity because of the strong demand, so if you can talk about that?

B. Govindarajan: Yes. So,

Brazil,

you

all

know

because

of

the

tax

structure,

unless

we

have

a

CKD

operation,

we

can't

enter

into

the

market.

As

a

CBU,

we

will

only

be

losing

money .

We

also

put

our

expansion

on

hold

because

the

CKD

facility

has

to

be

ready .

Having

said

that,

CKD

facility

with

third

party

also

has

a

particular

quota,

they

also

don't

have

unlimited

numbers

which

they

can
produce.
So
initially
we
worked
with
a
third
party .
Now ,
we
have
added
one
more
party
also
so
that
the
year's
requirement
is
done
and
parallelly
we
are
also
evaluating
what
does

it

mean for us to be of our own and what is the kind of an investment and what is the capacity which

we
have
to
build
because
Brazil
is
a
very
good
market
which
Royal
Enfield
products
are
getting
accepted
very
well.
We
are
already
#3
in
the
Brazil
market
and
last
year
we
made

almost

about

22,000

and

odd

numbers

in

the

Brazil

market.

So

that

market

is

receiving

products

from

Royal

Enfield

very

well.

As

I

mentioned,

we

launched

the

Himalayan

just

about

a

month

back

and
the
reception
had
been
outstanding.
So
it
is
an
important
market
for
us,
and
we
are
committed
to
invest
and
build
that
market.
Raghu
Nandan:
Got
it,
sir.
And
just
lastly
on

the dividend payout, the payout has increased, and we are closer to a payout ratio of 40%, but compared to a couple of other two-wheeler mass market companies, our payout ratio is still on the lower side. How do you see that increasing over the next few years?

B. Govindarajan: Sir would you like to?

Vinod Aggarwal: So I think, if you look at the past track

records,

so

we

had

been

consistently

paying

out

around

33%-35%

sort

of

the

dividend

payout

and

this

year,

we

have

improved

it

depending

on

our

better

performance

and

going

forward

also

I

think
we
will
be
open
at
looking
at,
but
the
right
payout
ratio
based
on
the
performance
and
the
cash
situation.
So
I
think
this
is
a
good
improvement
over
the
previous
year,

which the Board has considered and given that payout.

Raghu Nandan: Got it, sir. Thank you very much and wishing you all the best.

B. Govindarajan: Thank you.

Moderator: Thank you. The next

question
is
from
the
line
of
Amyn
Pirani
from
JP
Morgan.
Please
go
ahead.
Amyn
Pirani:
Hi,
sir.
Thanks
for
the
opportunity .
Sir,
on
VECV ,
a
request
as
well
as
a
question,
given

the
increasing
importance
of
this
business
and
the
way
it
has
been
improving
its
financials,
it
would
help
if
we
can,
also
get
some
broad
cost
heads
like
raw
material,
employee
and
other

expenses
instead
of
just
revenue
and
EBITDA
and
PAT
because
the
kind
of
improvement
that
it
is
showing,
it
will
help
us
to
get
a
better
sense
as
to
how
things
are
going

there. And hence the question is that after having flattish margins for a while, in the last 2 quarters, we have actually seen significant improvement in margins. So any broad sense as to whether it is driven by gross margins, whether there is some operating leverage playing out in other expenses? Is your pricing momentum vis-a-vis competition improving, some color there will be very helpful? Vinod

Aggarwal:

No.

First

of

all,

I

think

our

financial

statements

are

part

of

our

accounts.

So

you

get

the

full

details

there

on

the

material

cost

and

our

part

of

the

accounts,

annual

accounts.

Amyn Pirani: Annually , yes, sir. Quarterly , we don't get. Annually , we definitely get that. You are right.

Vinod Aggarwal: It can

be

given

if

you

want,

but

I

think

that

is

right,

let

us

say.

It

can

be

given;

I

think

Anubhav

can

share.

We

can

share

that.

That

is

not

a

problem.

As

far
as
the
margins
are
concerned,
this
is
I
think
the
combined
result
of
better
price
management,
operating
leverage
as
well
as
cost
management.
So
there
is
a
consistent
focus
on
improving
the

transaction

prices

and

reducing

the

discounts

and

also

taking

the

price

increases

wherever ,

if

possible

and

also

getting

to

a

better

product

mix

focusing

on

those

products

there,

of

course,

the

margins

are

better .
So
I
think,
this
is
the
result
of
the
consistent
focus,
and
we
would
like
to
continue
that
same
focus
and
let
us
hope
that
we
are
able
to
maintain
or
improve

these

margins

further .

Amyn

Pirani:

That

is

good

to

know .

And

sir,

just

to

follow

up,

obviously

4Q

is

a

seasonally

strong

quarter

for

the

industry .

So

I

am

guessing

that

maybe

we

should

not

extrapolate

the

4Q

number

into

a

full

year,

but

any

broad

indication

like

do

you

have

a

target

of

like

when

should

we

see

like

a

double

digit

EBITDA

margin

for

the business on a full year basis. Is it something that you are expecting in the near term or is it something that could take some more time?

Vinod Aggarwal: I think it

will
be
difficult
to
give
actual
guidance
on
that.
But
of
course,
you
have
the
quarterly
results
for
all
the
quarters.
You
can
see
things
are
improving
and
let
us
see.
I
think

that

will

be

the

effort.

I

can't

give

you

the

exact

numbers.

That

is

how

it

will

go

on.

It

is

very

difficult

to

predict.

Amyn

Pirani:

Sure,

sir.

Thanks

for

that,

sir,

I
will
come
back
in
the
queue.
Moderator:
Thank
you.
The
next
question
is
from
the
line
of
Sanjay
Saetati
from
Ampersand.
Please
go
ahead.
Sanjay
Saetati:
Yes,
I
couldn't
understand
whether
this

gross
margin
that
you
are
talking
about,
the
20
basis
points
negative
impact.
Can
you
just
explain
what
exactly
it
is?
Vidhya
Srinivasan:
Which
one?
What
are
you
referring
to,in
the
fees?
Is

that

what

you

are

talking

about?

Sanjay

Saetati:

The

gross

margin,

it

seems

like

there

was

some

20

basis

points

negative

one-of f.

I

couldn't

understand

that

part

clearly .

Vidhya

Srinivasan:

So

it

was

etc.,

essentially
some
inventory
provisions
that
we
created
against
old
bikes,
etc.,
so
that
is
what
it
was
around.
If
you
want,
I
can
give
further
data
separately .
Sanjay
Saetati:
No,
is
it
like

a regular yearend activity or it was something special for this year?

Vidhya Srinivasan: Bikes,, etc., where we cleared up some of the old stock.

14,
2025

Sanjay
Saetati:
Understood.
Thank
you
so
much.
Moderator:
Thank
you.
The
next
question
is
from
the
line
of
Sonal
Gupta
from
HSBC
Mutual
Fund.
Please
go
ahead.
Sonal
Gupta:
Good
evening,

sir. Thanks for taking my question. So just like, versus, say, the last peak in FY '18-19 to now, we have crossed to a new peak in the domestic market. But I was

just
trying
to
understand
like,
versus,
over
the
last
6-7
years,
how
would
the
customer
profile
have
shifted,
right,
like
at
that
time
Classic
used
to
be
really
the
dominant
part
of
the

portfolio.

Now ,

it

is

more

diversified

as

well

and

in

terms

of,

just

trying

to

understand,

like

whichever

ways

you

want

to

segment

the

customers

and

how

are

you

looking

at

the

profile

now
or
really
speaking
in
terms
of
age
mix,
income
mix,
anything
that
you
can
give?
B.
Govindarajan:
Yes.
At
the
point
of
time,
when
Classic
was
there
were
products,
which
were
pulling

the
full
company ,
at
that
point
of
time,
the
people
who
were
looking
at
average
age
would
have
been
almost
about
38-40
types.
Over
the
period,
we
have
added
products
which
have
actually

in,

brought

the

average

age

of

Royal

Enfield

customers

lower .

Hunter ,

when

we

launched,

it

actually

brought

in

at

about

24-26

years

as

the

average

age.

Meteor

when

we

brought

in,

that

also

brought

in

the

younger

audience,

so

more

and

more

what

is

happening

is

the

younger

audience

are

coming

in,

so

the

average

age

of

the

customer

profile

of

Royal

Enfield

has

drastically

come

down.

This

is

a

good

sign.

That

is

where

the

growth

is

happening

and

our

first

time

buyers

have

also

increased

almost

close

to

19%,

all

those

young

guys

who

are

looking

at.

So

all

our

products

which

are

now

targeted

towards

more

and

more,

younger ,

youth,

cool

thats

where

the

products

are

coming,

that

is

where

the

traction

is,

that

is

how

the

average

age

is

also

coming

down.

Some

products

may

be

Classic

650,

if

I

have

to

talk

about

that,

that

won't

be

at

a

very

young

age.

Obviously ,

the

average

age

will

be

higher

because

that

is
a
product,
which
is
pitched
for,
in
a
way,
as
an
upgrade
product
for
people.
There
the
average
is
slightly
higher .
If
I
have
to
give
you
some
numbers,
around
30
plus

percentage

of

the

consumers

are

below

25

years

as

of

now

overall

aggregated

level,

but

there

is

product

level

we

have

to

see

and

another

about

60%-65%

will

be

about

below

35

years

of age. Sonal Gupta: Got it, sir. And Sir, would you give us a sense of what sort of medium income level would be there for the customer? B. Govindarajan: Very difficult because

we
always
believe
the
product
and
the
brand
has
to
be,
The
guy
who
was
actually
sitting
in
the
car
and
the
guy
who
is
driving
the
car,
both
should
aspire
to
own

a
Royal
Enfield,
so
it
has
to
be
at
an
accessible
price
point.
I
can
tell
you
in
the
other
way,
maybe
we
will
do
a
bit
more
cut
and
then
send
it

to
you,
that
our
finance
penetration
is
also
going

up.
So
it
is
almost
now
what
61%
is
our
finance
penetration,
which
is
also
showing
there
is
a
good
traction
for
even

the younger audience.

Sonal Gupta: And just lastly , how much would top 20 cities be of our volumes now?

B. Govindarajan: Around the

top
20
cities
will
be
about
18%-20%,
22%.
That
is
the
range.
Sonal
Gupta:
Great,
sir.
Thank
you
so
much
for
answering
my
questions.
Thank
you.
Moderator:
Thank
you.
Ladies
and
gentlemen,
that

was
the
last
question
for
today .
I
would
now
like
to
hand
the
conference
over
to
the
management
for
closing
comments.
B.
Govindarajan:
Thank
you
very
much.
It
has
been
wonderful
talking
to

all
of
you
guys.
As
I
mentioned
Royal
Enfield
both
at
VECV
and
at
Royal
Enfield
at
Eicher
level,
we
are
focused
on
what
we
need
to
do
for
building
future
growth
and

we
are
confident
with
the
current
market
situation
and
the
kind
of
product
which
we
are
having
at
Royal
Enfield
and
from
VECV ,
our
growth
is
in
the
right
track.
Thank
you
very

much
for
joining
this
call.
Vinod
Aggarwal:
Thank
you.
Vidhya
Srinivasan:
Thank
you.
Moderator:
On
behalf
of
Avendus
Spark,
that
concludes
this
conference.
Thank
you
for
joining
us
and
you
may
now
disconnect

your

lines.

Call: Aug 2025

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Plot No. 24, Barakhamba Road
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August 06, 2025

Online intimation/submission

The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai-400 001
Security Code: 505200
The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, 5th Floor, Plot No.C/1,
G Block, Bandra Kurla Complex, Bandra (E)
Mumbai-400 051
Symbol: EICHERMOT

Ref: Disclosure under Regulation 30 of SEBI (LODR) Regulations, 2015 - Transcript of conference call

Dear Sir/Madam,

Further to our letter dated July 23, 2025 intimating the schedule of the conference call, held on Thursday, July 31, 2025, please find attached transcript of the aforesaid conference call, held inter-alia to discuss financial results for the first quarter ended June 30, 2025, pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015. The same is also available on the website of the Company www.eichermotors.com .

The conference call started after the conclusion of the Board meeting of the Company.

You are requested to take the same on your records.

Thanking you,
For Eicher Motors Limited

Atul Sharma
Company Secretary

Encl.: As above

“Eicher

Motors

Limited

Q1

FY26

Post

Results

Conference

Call"

July

31,

2025

M
ANAGEMENT
:

M
R
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B.

G
OVINDARAJAN

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A
VENDUS

S
PARK

Moderator:

Ladies

and

gentlemen,

good

day,

and

welcome

to

Eicher

Motors

Q1

FY

'26

Post

Results

Conference

Call.

As

a

reminder ,

all

participant

lines

will

be

in

the

listen-only

mode

and

there

will

be

an

opportunity

for

you

to

ask

questions

after

the

presentation

concludes.

Should

you

need

assistance

during

the

conference

call,

please

signal

an

operator

by

pressing

star

then

zero

on

your

touch

tone

phone.

I

now

hand

the

conference

over

to

Mr.

Mukesh

Saraf

from

Avendus

Spark.

Thank

you

and

over

to

you,

sir.

Mukesh

Saraf:

Thank

you,

Bhavya.

Good

evening,

everyone.

Mukesh

Saraf

here

from Avendus Spark. Appreciate everybody logging in to this first quarter FY '26 Earnings Call of Eicher Motors. From the management team, I'm pleased to host Mr. B. Govindarajan, MD, Eicher Motors Limited and CEO Royal Enfield; Ms. Vidhya Srinivasan, Chief Financial Officer, Eicher Motors and Mr. Anubhav Bajpai who leads Investor Relations.

I'll now hand over this call to Mr. Govindarajan for his opening

remarks,
post
which
we'll
open
it
up
for
Q&A.
Over
to
you,
sir.
B.
Govindarajan:
Thank
you.
Hello,
everyone.
Thank
you
for
joining
Eicher
Motors
Limited
Earnings
Call
for
the
quarter
ended
June

30th, 2025. After a strong finish of FY '24-'25, we began the new financial year on an equally promising note, delivering strong volumes and healthy growth. It has been a quarter of meaningful progress across both Royal Enfield and VE Commercial Vehicles and we'll walk you through the highlights shortly .

Earlier this week, we also released EML's annual integrated report for FY '24-'25. We hope you

had
a
chance
to
go
through
it.
Along
with
our
performance
highlights,
the
report
outlines
our
ESG
vision
and
the
steady
progress
we
are
making
towards
it.
I'll
first
begin
with
a
broad

summary of the overall financials coming to EML consolidated financials for the first quarter FY '25-'26.

Our revenue, EML, clocked best ever Q1 revenue at INR5,042 crores, marking a growth of 14.8%

over INR4,393 crores from Q1 last year. Our EBITDA is about INR1,203 crores versus INR1,165 crores in Q1 last year. PAT at INR1,205 crores, up by 9.4% from INR1,101 crores in Q1 last year. Please note PAT includes the share of profit of VECV , which for Q1 stood at INR157 crores.

The strong performance was a result of an all-round growth at both Royal Enfield and

VECV . I'll first begin with the business highlights of Royal Enfield and then followed by the updates from VECV . At Royal Enfield, the new financial year for Royal Enfield has started on a

solid
ground,
building
on
an
exceptional
performance
last
year.

Let's
look
at
the
performance
of
the
quarter .
During
this
quarter ,
we
sold
2,61,326
motorcycles
with
a
growth
of
14.7%
as
against
2,27,736

in Q1 of FY2025, out of which in India, we sold

2,28,779 motorcycles with 11.8% growth from last year. We continue to gain market share across both, particularly in the middle-sized motorcycle segment where Royal Enfield has been able to continue its dominance at 87.3% exit market share.

Our focused strategy , combined with a strong product portfolio, marketing activations have helped us deepen our presence in the markets. Now about our international markets. Our volumes stood at about 32,547 units, marking a growth of 41.2% over the last year. In the backdrop of an uncertain macroeconomic scenario, we were able to maintain the growth momentum for our retail volumes in the international market specifically .

We also continue to strengthen our

international footprints by deepening our presence in key global markets and responding swiftly to the evolving consumer needs. In the LATAM region, demand for Royal Enfield motorcycles continued to rise, particularly in Brazil where we have set up a second CKD, enhancing product availability and responsiveness in that region.

In the SAARC region, the markets like Nepal and Bangladesh continued to perform very well for us.

In both these markets, we have received an exceptional response for our motorcycles. This quarter we introduced a new Classic 350, which has been produced exclusively at our CKD facility in Nepal.

Together ,

these

expansions

are

the

key

part

of

our

broader

strategy

to

build

Royal

Enfield

as

a

truly

global

motorcycle

brand

with

deeply

local

relevance.

Now

I'll

just

give

you

some

updates

on

the
products
during
this
Q1.
This
quarter ,
we
launched
2025
new
Hunter
350,
a
refreshed
and
future
pack
upgrade
of
our
hugely
popular
urban
Roadster
with
the
new
color
ways
and
enhanced
features,

the updated Hunter 350 has already witnessed a healthy traction across markets and it is bringing in a wave of new and young riders into the global community .

The new Hunter was launched

at
the
HunterHood,
our
first
street
culture
festival,
which
was
hosted
in
two
cities
across
India,
which
blends
the
culture
and
the
community ,
bringing
together
about
5,000-plus
attendees
to
these
functions,
celebrating
the

Hunter 350 in true Royal Enfield spirit.

We are now gearing up for the upcoming Chennai edition of the festival part in the month of August. After making a global debut at

EICMA,
we
also
brought
our
Flying
Flea
to
India,
a
series
of
immersive
showcases
in
Delhi,
Mumbai
and
Bangalore.
The
showcases
have
generated
quite
an
excitement
among
our
communities,
and
we
are
super

excited about the launch of our very first electric motorcycle under the Flying Flea brand for City and City+.

We continue to create memorable riding experiences for our community . We concluded the 21st

edition
of
the
Himalayan
Odyssey ,
one
of
our
most
iconic
and
enduring
rides.
For
over
20
years,
the
Himalayan
Odyssey
has
been
a
symbol
of
adventure
and
discovery ,
taking
riders
through
the
stunning

landscapes

of

the

Himalayas.

This

year,

77

riders

set

out

on

a

journey

through

the

world's

highest

motorable

pass

celebrating

endurance,

exploration

and

spirit

of

the

motorcycling

community .

Equally

important

to

us,

as

you

all

know ,

is

our

commitment

to

social

and

environmental

responsibility .

We

are

also

proud

to

share

that

today ,

84%

of

our

operational

electricity

is

sourced

from

renewable

sources

at

Page

3

2.4x leap from the previous year, which is a clear marker of our progress towards a sustainable future.

We have brought down our emission

intensity
by
51%
from
0.06
metric
tons
of
CO_2
equivalent
for
motorcycles
to
0.03
metric
tons
of
CO_2
equivalent
per
motorcycle
over
the
last
1
year.
We
also
sustained
our
benchmark
of
water

positivity ,
replenishing
our
4x
the
water
we
consume
with
a
water
positivity
index
of
4.3.

This
approach
where
energy
emissions
and
resources
are
viewed
as
one
interconnected
system
has
helped
us
to

build
future-ready
operations
in
the
true
sense.
Now
I
will
take
you
through
the
business
highlights
of
VECV .
VECV
sustained
volume
growth
with
a
focus
on
future-ready ,
efficient
mobility ,
reinforcing
our
commitment
to

shape the next chapter of commercial transportation in India.

We remain sharply focused on long-term value creation through product excellence, global ambition and deep customer engagement. I'm happy to share that the VECV ,

we
recorded
a
quarter
sales
of
21,610
units,
exceeding
our
previous
record
of
19,702
units
in
Q1
of
FY
'25.
VECV
continues
to
maintain
its
growth
momentum
in
the
CV
industry
with
its

first quarter milestone across all segments.

Eicher HD Trucks, the first quarter sales of 4,580 units and FY '25 Q1 was 4,689 units with a market share of about 8.8%. LMD Trucks,

first

quarter

sale

of

8,610

units

against

7,842

units

of

Q1

with

a

leading

market

share

of

about

34.45%.

Our

Bus

division,

our

sales

stood

at

about

6,000

units

in

the

first

quarter

against last quarter -- last first quarter of 5,232 units with 21.5% market share.

Exports in Q1 grew to about 1,436 units, registering a robust growth of 20% over Q1 of FY '25.

Now coming to VECV financial performance in the first quarter of FY '25-'26. Our revenue from operations for Q1 FY '26 is INR5,671 crores against INR5,070 crores last year. EBITDA for VECV Q1

FY

'26

is

INR51 1

crores,

33%

higher

versus

INR385

crores

last

year.

Our

EBITDA

margin

for

Q1

is

about

9%

against

7.6%

last

year

same

quarter

and

PAT

for

Q1

is

at

INR289

crores

as

against

INR321

crores

last

year

same

time.

Thank

you

all

for

being

with

us

on

this

call

today .

Now

we

can

open

to

Q&A.

Moderator:

Thank

you

very

much.

We

will

now

begin

the

question

and

answer

session.

Anyone

who

wishes

to

ask

a

question

may

press

“*”

and

“1”

on

their

touch

tone

telephones.

If

you

wish

to

remove

yourself

from

the

question

queue,

you

may

press

“*”

and

“2”.

Participants

are

requested

to

please

use

handsets

while

asking

a

question.

Ladies

and

Gentlemen,

we

will

now

wait

for

a

moment

while

the

question

queue

assembles.
The
first
question
is
from
the
line
of
Chandramouli
Muthiah
from
Goldman
Sachs.
Please
go
ahead.
Chandramouli
Muthiah:
My
first
question
is
just
on
capacity .
So
it
looks
like
now
we
are

heading

towards

sort

of

early

to

mid-80%

capacity

utilization

on

our

operations

as

we

sort

of

head

into

north

of

1

million

kind

of

territory

in

annual

volumes.

So

just

want

to

understand

how you're thinking about capacity as you look to grow the business over the next three to five years?

B. Govindarajan: Chandramouli,

it

is

--

our

capacity

stated

is

with

both

the

plants,

which

is

Oragadam

and

Vallam,

which

is

where

we

are

manufacturing

all

our

motorcycles

for

across

the

globe.

We

have

stated

a

capacity of almost about 1.2 million. And currently , you are right, we are operating at almost about 90% of that.

We also mentioned during the last quarter call about our capex, which

is
actually
going
in
terms
of
fulfilling
some
of
the
gap
in
taking
the
capacity
further
up,
which
is
required.
As
we
mentioned,
our
capacity
build
up
will
take
place
in
modules.
We

don't need to actually go in for a heavy capacity enhancement. Focus on the capex is more on the new products. And we have cracked the code of the modular capacity enhancement, and

we
will
go
in
that
way
for
any
capacity
enhancement
in
future.
Chandramouli
Muthiah:
Got
it.
That's
helpful.
My
second
question
is
just
around
the
Hunter
350
refresh,
which
happened
in
the
month

of
May.
So
if
I
were
to
just
contrast
versus
the
bullet,
which
was
refreshed
last
year
in
September ,
of
course,
maybe
different
products
and
different
segments.
I
think
the
bullet
had
between

sort

of

10,000

to

15,000

units

of

growth

Y-o-Y

on

a

quarterly

basis

for

the

past

three

quarters.

Hunter ,

maybe

still

early

days,

but

it

looks

like

it's

relatively

flat

quarter -on-quarter

even

post

the
college
buying
season.
So
I
just
want
to
understand,
are
there
any
capacity
constraints
around
the
Hunter
because
of
rare
earth
and
so
on
or
how
do
you
think
about
the
outlook

for
the
Hunter
as
you
get
in
potentially
to
festive
season?
B.
Govindarajan:
Well,
look,
the
new
Hunter
350,
we
launched
it
around
the
27th
April,
which
is
with
a
full
refresh
and

with

USB

added

and

flashy

colors,

which

are

added

into

this,

and

it

is

targeted

towards

the

youngsters.

That's

what

is

the

positioning

which

we

brought

in

when

we

launched

even

in

August

'22.

So

these

new

colors

and

the

features

addition,

including

the

suspension

improvement,

which

we

have

done.

We

launched

it

in

the

HunterHood,

the

street

culture

festival

to

celebrate

the

music,

art,

dance

and

lifestyle

of

urban

cities.

So

far,

we

have

seen

very

good

traction

and

the

market

pickup

is

good.

There

is

a

good

inquiry ,

and

it's

off

to

a

very

good

strong

start

with

an

inquiry

and

as

I

mentioned,

and

the

booking.

And

Hunter ,

as

of

now,

if

I

have

to

tell

you,

it

is

coming

around

17,000

to

17,500

numbers

per

month,

which

is
slightly
lower
and
especially
the
new
colors,
which
is
actually
gaining
a
very
good
traction.
So
it's
very
early
days,
but
we
are
committed
to
build
this
brand
further ,
and
HunterHood
will

be
the
platform
through
which
Hunter
will
be
further
marketed,
positioned
and
the
positioning
will
be
cemented.
Chandramouli
Muthiah:
Got
it.
That's
helpful.
And
my
last
question
is
just
around
as
some
of

your

new

models

and

refreshes

cost

maybe

one

year

post

launch,

there

might

be

opportunities

to

take

cost

out

as

you

have

much

more

stable

supply

chains

from

your

suppliers

on

committed

volumes.

So

I

just

want

to

understand

how

you

think

about

the

Bullet

refresh

and

the

Classic

refresh

from

last

September ,

October

time

frame,

which

have

done

very

well

for

the

company .

In the back half of this year, do you see opportunities for margin to pick up as a result of cost takeout initiatives there, just given that our strategy now seems to have shifted to volume over margin. Does that reverse a little bit in terms of cost opportunities in the back half of the year?

B. Govindarajan: Thanks for, Chandramouli, you are iterating the point that growth is important that the margin, glad that you guys are also seeing it as the right strategy . I think you rightly

asked
what
it
means
in
terms
of
the
cost
reductions
and
all.
As
I
mentioned,
value
engineering,
the
pipeline
has
been
set.

But
you
all
know
there
is
a
commodity
inflation
pressures,

availability

of

steel

pressures.

So

our

supply

chain

team

is

also

quite

busy

in

solving

all

those

things,

including

the

rare

earth

which

we'll

talk

about.

But,

yes,

value

engineering

has

started

coming

in,

which

will

help

in

the

future.

Chandramouli

Muthiah:

Got

it,

Thank

you

very

much,

and

all

the

best.

Moderator:

The

next

question

is

from

the

line

of

Kapil

Singh

from

Nomura.

Kapil

Singh:
Good
evening
Sir,
Congratulations
on
the
strong
performance
and
the
strategy
of
volumes
seems
to
be
working
well.
Just
want
to
understand
that
since
we
changed
this
strategy
last
year,
have
you

--
the
new
buyers
who
are
coming,
have
you
seen
--
is
there
any
change
in
profile?
What
is
attracting
them?
Any
color
on
maybe
age
profile
or
rural
urban
profile,
that
would

be

really

helpful?

B.

Govindarajan:

Look,

I

think

Hunter ,

as

I

mentioned,

the

age

profile

is

about

24

to

26,

so

young

audiences

are

actually

liking

motorcycles.

And

that

is

why

we

also

brought

the

motorcycle,

the

silhouette,

the

color

combinations,

the

CTGs,

all

those

things.

And

the

positioning

itself,

as

I

mentioned,

it

is

through

the

Hunter ,

which

is

the

street

festival,

which

is

a

platform
where
the
community ,
artists,
young
hustle
guys
who
all
want
to
come
together
and
express
themselves.

And
that
is
the
platform,
which
will
get
extended
across
all
cities
and
some
of
the

rural
markets,
too.
So
that's
what
the
young
customers
are
looking
at.
Second,
our
Continental
GT,
which
has
been
growing
at
a
very
good
rate
is
also
now
the
demography
is
actually
coming

down. Even that is almost about 26 to 27 is an age for Continental GT. So some of our products are attracting young customers, and that is what we want.

And all

other products, it has a specific experience and demography is slightly different for different products. But our endeavor has always been how do we get the young audience more and more into the

Royal Enfield brand through the various products and the marketing initiatives, which we are doing. Kapil Singh: Sir, my question was more on Bullet where we have seen a large increase in volumes,

almost

10,000

to

15,000

a

month,

right?

So

there,

what

are

you

noticing

on

the

profile

as

these

new

customers

are

coming

in?

B.

Govindarajan:

Well,

Bullet

last

year,

actually ,

first,

we

opened

up in the bastion market. In fact, in Q1, we sold about 50,000 units of the Bullet. That's what -- that's the number . It has received a very

Limited

July

31,

2025

solid

response

from

the

customers.

This

product

was

done

based

on

the

customer

feedback

and

because

as

a

company ,

we

had

a

deep

connection

with

the

community

and
with
our
riders.

So
they
said
that
the
product
had
to
have
some
changes.
Can
you
make
it?
We
made
it.
We
went
to
the
market.
The
acceptance
was
very
good.
And

last
year,
festive
period,
it
actually
helped
us
in
Punjab,
Haryana,
UP,
et
cetera.
Post
that,
when
we
started
opening
to
the
other
markets,
where
also
people
started
enjoying
the
Battalion
Black.

In
terms
of
demography ,
if
I
have
to
tell
you,
yes,
Bullet
has
an
age
group
of
somewhere
around
30
to
34.
But
in
some
markets
in
the
South,
we
are
seeing
even

the young audience are also enjoying the Battalion Black. Kapil Singh: Great, sir. And the second question was on exports. Again, seeing strong growth in numbers there, particularly some key markets like Brazil, for example. Any insights you could share like what is working well in those markets? What are the learnings you are taking from there as you enter other markets?

B. Govindarajan: Look, I

think

international

markets,

as

I

mentioned

last

time

also,

we

are

cautiously

optimistic.

We

are

putting

our

bets

on

some

key

markets

where

the

macroeconomics

are

good,

especially

a

market

like

Brazil

where

we
feel
that
there
is
a
huge
potential
for
us
to
grow
because
it's
a
good
2-wheeler
market.
CKD
facilities
have
to
be
in
place.
So
we
have
two
assemblers.
Now
we
are

also thinking of how do we expand in that area of having a control on that.

There in the Brazil market, we wanted to have a product which is at a very accessible price point. In fact, Vidhya and team are actually working on the finance scheme in those markets. What do we have to do tying up with the bank so that the customer experience is seamlessly given to them to acquire Royal Enfield Motorcycles. That's in Brazil. So there's a good market.

We are slowly opening up the retail outlets. CKD facilities are getting in place

for
the
volume.
And
our
brand
building
exercise
has
also
started
yielding
results.
In
fact,
I
was
also
there
during
the
Interlogos
and
almost
1,500
riders
came
together
to
ride
on
the
circuit

for about half an hour ride, but everybody came, and that's allowed the brand is getting in the Brazil market. So we are very bullish about that market.

As far as U.K. is

concerned,
there,
as
I
mentioned
last
time,
there
will
be
preregistered
motorcycles.
It
is
still
there.
So
there,
the
growth
is
slightly
muted.
Europe
is
doing
well.
We
have
taken
our
distribution
of

our
own
and
all
the
back
ends
which
are
to
be
fixed
are
getting
fixed.
The
floor
funding
is
being
fixed
in
that
area.

So
operationally ,
whatever
is
required
for
the
rest

of
Europe,
those
operations
are
done.
So
we'll
once
again
see
good
growth
there.
Australia
is
doing
well
for
us.
The
Thailand
market
has
its
own
pressure
point,
but
Indonesia
is
doing
well.

So
that's
on
the
other
side
of
the
markets.
In
SAARC,
both
in
Bangladesh
and
in
Nepal,
we
have
been
doing
very
well
and
our
products
are
accepted
very
well,
and
both
our

CKD plants are fully in operation.

So what is required for future growth in the international markets, I think last 1.5, 2 years, we have been spending time fixing the basics and preparing ourselves for growth in those markets.

And once the market opens up, as I mentioned last quarter also, we are ready to take on that growth wave.

Kapil Singh: Thank you so much, for the detailed answer .

Moderator: The next question is from the line of Amyn Pirani from JPMor gan. Please go ahead.

Amyn Pirani:

Hi,

thanks

for

the

opportunity

.

First,

just

a

follow-up

on

the

export

breakup

that

you

just

gave.

Currently ,

ASEAN

as

a

market

would

be

approximately

what

percentage

of

your

exports?

And

potentially ,

how
big
can
that
market
become?
Because
you
mentioned
that
Indonesia
is
doing
well.
And
as
a
2-wheeler
market,
it
is
one
of
the
largest
markets
in
the
world
after
China
and
India.

So
what
can
be
a
potential
volume,
say,
two,
three
years
down
the
line
there?
B.
Govindarajan:
Amyn,
there
is
--
for
our
brand
and
our
kind
of
a
motorcycle,
especially
in
the

ASEAN

market,

which

you

are

asking,

there

is

acceptance

because

if

you

remember ,

our

strategy

had

been

one

store

and

in

a

key

city,

let

the

brand

get

pulled

and

we

will

not

do
a
push-operations.
That
is
what
is
fundamental
with
which
we
went
into
the
market.

And
now
all
the
products
which
are
relevant
to
the
markets,
we
are
ready .
Because
as
I
mentioned,

the
macros
are
not
so,
so
good,
we
also
have
been
going
cautious
in
opening
up
further
distributions
and
all
those
things.
Wherever
the
market,
there
is
a
confidence
that,
yes,
we
can

open

because

we

are

very

sensitive

to

our

channel

partners'

profitability .

And

wherever

the

market

is

okay ,

now

the

product

acceptance

is

there,

that

is

where

our

focus

is.

ASEAN

is

also

an
important
market
for
us,
and
we
are
focusing
on
developing
that
market
over
a
period
of
time.
Amyn
Pirani:
Okay .
And
just
a
question
on
Himalayan
and
the
entire
models
on
that

platform. While in the export market, this product has done extremely well. And even in the first quarter , I think it has almost doubled on a Y-o-Y basis. On the domestic side, it seems that the volumes have actually stagnated at that 3,000 per month or kind of a number for the last several quarters.

So any color you can give as to what is happening

on
the
domestic
differently
from
exports?
And
are
there
any
interventions
or
anything
that
we
can
do
to
increase
that
in
the
domestic
market
as
well?
B.
Govindarajan:
First
and
foremost,
I
think

I
just
have
to
bring
in
the
rare
earth
materials
color
now
because
in
the
first
quarter ,
we
had
that
issue
in
those
products.
So
there
is
a
bit
of
a
problem
on

production

because

those

are

all

performance

platforms.

In

the

performance

platform,

rare

earth

materials

were

used

in

gear

sensors,

in

alternators

and

other

areas.

So

we

had

a

bit

of

a

pressure

point,

and

we

have

to

stop

it,

then

we

have

to

start

with

alternative

materials.

So

the

team

had

done

a

very

good

job

of

bringing

it

back.

Having

said,

our

Scram

was

not
available
for
some
point
of
time.
So
that
also
now
it
is
available.
And
you
would
have
seen
on
the
450
Guerrilla
platform,
once
again,
there
are
activities
which
we
are
doing

it on the market, on the ground. And now we are bringing the focus back on to the Sherpa engine platform, where the Himalayan and Guerrilla products are there.

Eicher Motors Limited

July 31, 2025

Amyn Pirani: Okay . That's helpful. But since you mentioned the rare earth thing, so broadly at a company level, where are we in terms of mitigating

that?
And
is
there
a
risk
that
this
rare
earth
thing
impacts
other
models
in
the
coming
quarters,
especially
your
EV
launch,
which
is
also,
I
think,
two
or
three
quarters
down
the

line. Where are we in terms of managing this risk? B. Govindarajan: So it is a risk which we anticipated some time ago. So we started working on the alternative material for that

at
least
about
three,
four
months
back.
That's
why
I
mentioned
that
currently ,
we
are
back
on
production
with
the
alternative
material,
which
we
have
protected.
Now
that
alternative
material
import
is
not

a
major
issue
for
us.
We
are
out
of
that
situation
of
that
challenge.
Amyn
Pirani:
Thank
you,
I
will
come
back
in
the
queue.
Moderator:
Thank
you.
The
next
question
is
from

the line of Gunjan from Bank of America.

Gunjan: Hi, Thanks for taking my question. I just wanted to shift the conversation a little bit to the margins again. Good to see the stabilization

coming

through

of

some

sorts

in

this

quarter .

I'm

just

specifically

looking

to

understand

how

should

we

think

about

various

levers

now?

Are

we

at

a

level

where

marketing

spend

activation

is

a point where it remains more or less stable. There's no further big change in terms of percentage of revenues that we sort of intend to spend.

Some thoughts on value engineering,

pricing
interventions
because
it's
been
almost,
I
think,
now
almost
a
year
back
we
made
this
pivot.
Are
we
getting
to
a
level
where
we
can
say,
okay ,
that
reset
is
now
in

the
base
and
some
of
those
investments
should
stabilize
now?
Some
color
around
that?
B.
Govindarajan:
I
will
also
shift
the
conversation
towards
the
growth,
Gunjan.
Growth
is
the
focus.
I
think
percentages,

in

fact,

I

don't

want

to

even

process

it

because

that's

not

the

way

the

organization

should

think.

Absolute

profit,

absolute

growth

number ,

absolute

EBITDA,

that's

what

is

the

understanding

and

all

of

us

are

driving

and

that

too

also

retail

focus.

So

let's

pivot

the

whole

organization

around

that,

what

is

right,

that

is

what

we

will

do.

That

is

what

is

right

for

us

for
the
long
term.
Having
said
some
of
the
things
which
you
actually
specifically
mentioned
about
the
marketing
activation,
growth
--
if
it
is
coming,
every
brand,
especially
Hunter ,
which
is
new,
we

have

to

support.

Guerrilla,

it's

just

a

1-year

brand,

we

have

to

support

it

extensively .

We

have

some

new

products

which

are

going

to

come

or

refreshes

which

are

going

to

come,

we
have
to
support.
So
the
marketing
activations
through
like
the
HunterHood
and
all
those
things,
which
will
continue.
But
there
is
no
big,
big
launch
expenses
which
are
there
in
this
year.

That's one.

Second is pricing intervention. We have taken a pricing increase in the month of April and now because of the inflationary pressure, to some extent in the first month of

July. But having said, once again, the pivoting is we want to add value on the product. So it may not be exactly we'll

2025

pass
on
and
then
take
the
cream
out
of
it.
We
will
continue
to
keep
our
product
at
an
accessible
price
point,
and
we
wanted
to
grow .
Gunjan:
Okay .
Got
it.

And
the
second
question
is
on
the
festive
in
second
half.
Now
clearly ,
the
market
setup
has
been
a
bit
soft.
How
are
you
thinking
about
the
growth
into
the
festive?
Of
course,

last

year,

we

did

have

the

Bullet

and

the

base

effect,

which

is

quite

favorable.

But

do

we

feel

confident

that

there

should

be

--

that

growth

outperformance

sort

of

sustains

going

into

the
second
half
as
well
when
some
of
the
bullet
numbers
are
in
the
base
for
last
year?
B.
Govindarajan:
Festive,
all
of
us
are
very
bullish
about
festive.
We
are
building
ourselves

for

the

festive

season.

And

honestly ,

a

few

things

are

going

to

work

in

favor ,

I'm

expecting,

and

I'm

very

positive

about

it.

Hunter

is

new,

it

has

just

come

in.

And

we

are

going

to

have

something

around

the

Meteor .

So

that

is

coming

in.

And

we

have

some

colors

which

are

also

going

to

come

in

around

that

time.

So

some

of

the

launches,

some
of
the
CTGs,
we
are
trying
to
actually
align
it
to
the
auspicious
times
and
the
festivities,
which
really
helps
to
bring
a
momentum
into
this.
That
is
also
being
planned
Gunjan

in
this.
That's
why
I'm
saying
I'm
positive
about
the
festive
outlook.
Gunjan:
Okay .
And
lastly ,
can
you
share
the
rural
salience
in
the
mix?
Like
is
there
a
big
change
with
the

sort

of

launches

or

changes

we

are

making

with

the

product

interventions

we

are

making

on

the

product

side?

Has

the

rural

salience

changed

in

the

last

few

years?

And

what

is

it

now?
B.
Govindarajan:
Saying
something,
you
Vidhya?
Vidhya
Srinivasan:
No,
no.
I'm
just
saying
that
I
think
rural
has
done
very
well
for
us
in
the
last
few
quarters.
And
one
way
you

could

think

about

it

is

we

don't

specifically

classify

a

town

or

a

city

as

a

rural

town

or

a

city,

but

we

looked

at

rural

states

and

urban

states.

And

one

way

to

look

at

it

is

that

potentially

the

mix

of

rural

states

used

to

be

about

30%

of

our

sales,

and

now

it's

closer

to

50%

of

our

sales.

So

even

therefore,

there
is
increased
sales,
which
is
happening
predominantly
on
the
back
of
some
of
our
more
accessible
products
which
are
coming.
B.
Govindarajan:
I'm
sure
you
guys
are
better .
You
can
also
guide

us

because

the

rural

market

in

India

has

been

growing

and

urban

has

been

slightly

tepid.

In

the

first

quarter ,

at

least,

I'm

seeing

for

our

kind

of

a

product,

even

the

urban

market

has

shown

a

growth.

There

is

a

green

shoot.

First

time

I'm

seeing

after

a

long

time

that

the

urban

markets

are

also

growing

for

us.

Gunjan:

Okay

got

it.

Thank

you

so much, this is helpful.

Moderator: The next question is from the line of Pramod Kumar from UBS Securities.

Pramod Kumar: Hi, Govind, My question is linked to what Gunjan asked the rural salience.

I'm

just

trying

to

understand

because

rural

is

typically

not

kind

of,

what

do

you

say,

linked

to

premium

demand,

premium

motorcycle

demand

as

generally

seen

as

a

more

committed

market.

So

if you can just help us understand a bit in more detail the kind of growth you're seeing in the rural markets.

Any
geographical
spread
north
versus
south
and
within
particular
states
like
UP,
which
have
become
very
large
for
you,
what
are
the
trends
you're
seeing?
What
is
the
kind
of
customer
profile
who's

walking

in?

How

many

of

them

are

led

by

financing

penetration

improving

or

how

many

of

them

are

just

skipping

categories

altogether

and

coming

from

100

cc

to

you.

So

if

you

can
just
help
us
understand
this
trend
on
rural
customers
gravitating
towards
premium
motorcycles
because
at
the
same
time,
we
are
also
seeing
scooters
taking
off
in
rural
India.
And
if
you
look

at the Vahan data, the three big winners on market share this year is Hero, TVS and Suzuki, either scooter or premium franchises.

So if you help us understand the nuances a bit

better ,
Govind.
And
whether
as
you
look
at
festive
and
rural
coming
back
or
rural
getting
stronger ,
is
it
premium
will
again
outperform
the
broader
categories
in
rural?
B.
Govindarajan:
Yes.
So
it's

a
very
strategic
question
which
you
have
asked
from
most.
So
let
me
try
to
answer
it
one
by
one.
First
and
foremost,
for
us,
to
have
a
bit
more
focus
--
last

year,

we

have

actually

added

one

more

zone,

which

is

the

central

zone.

So

that

has

helped

us

to

go

very

close

to

the

market.

We

have

put

the

structure

around

that.

The

central
market
includes
the
UP
areas,
some
areas.
So
the
team
is
working
on
--
continue
to
focus
on
growing
that.

In
the
first
quarter ,
our
retail
has
been
very
good.
So

that
helps
in
creating
a
momentum.
Especially
in
the
rural
market,
Bullet
Battalion
Black
is
available,
number
one.
And
on
a
product
level,
I'm
just
saying.
The
second
single-channel
Classics,
which
we
are

bringing

in

with

the

color ,

which

is

available.

As

I

mentioned,

some

market

which

was

actually

giving

traction

even

in

Meteor ,

and

that

is

going

to

be

a

new

thing

which

will

be

there.

Hunter

is

a

new

refresh

colors,

the

young

audience

in

the

rural

markets,

they

were

really ,

really

liking

it.

Now

the

HunterHood,

which

we

are

focusing

only

on

the

major

urban

towns.

Now we are also looking at some of the smaller towns in the rural markets, we should go and do.

So that activation is going to take place. That's from a product angle.

The

second

for

the

rural

market,

especially

finance

availability

for

the

dealers

at

last

year,

we

have

understood

that

if

in

case

we

give

support

to

them,

it

will

really

help

them

during

the

festive

time.

So

we

started

working

on

and

the

floor

financing

help.

No

recourse

to

such

as

a

company .

It

will

be

completely

between

the

bank

and

the

dealers.

However ,

we

took
the
responsibility
of
talking
to
them
and
floor
financing,
which
has
been
made
available
for
all.
I
think
almost
about
some
575
dealers
already
have
signed
up
for
floor
financing.
And
majority

is the rural customers -- I mean, sorry , rural dealers more because that is where the finance availability was a bit tough for them.

So they also ha ve come on board, and

now
they
are
seeing
traction.
So
it
will
help
us
for
them
also
to
churn
during
the
festive
season.
So
the
focus
is
going
to
be
more
on
those
sorts
of
markets
where

there is growth. Having said, as I mentioned, even the urban centers are showing some amount of a green shoot for us.

So
some
of
the
products
like
Guerrilla,
as
Amyn
was
asking
about
the
Himalayan
and
some
new
products
which
we
will
be
coming
up
with
and
some
colors,
we
will
equally
focus

on
the
urban
market
also.
Once
again,
the
marketing
and
the
marketing
activations
will
be
aggressive
even
in
the
coming
quarters.
Pramod
Kumar:
Second
question,
forgive
me
if
it
was
not
expected,
but

the
market
has
been
expecting
a
250
cc
foray
by
Royal
Enfield.
So
what
are
your
thoughts
there?
Because
you
always
call
yourself
as
a
middleweight
motorcycle
there,
which
is
250
to
750,

we've
kind
of
straddled
the
upper
end
of
the
segment
quite
well
of
that
bank.
So
what
are
your
thoughts
on
a
potential
250cc
foray
by
Royal
Enfield?
B.
Govindarajan:
So
I
think

we

have

been

maintaining

the

middle

weight

is

the

focus.

We

are

a

very

focused

company ,

less

is

more

as

a

fundamental

philosophy .

We

don't

want

to

do

too

many

things.

And

currently ,

our

J-Series,

which

is

there

in

350

cc,

Sherpa,

which

is

on

a

450

cc

and

the

twins

on

a

650cc,

all

the

products

which

we

have

launched,

these

are

all

showing

growth

for

us,

and

there

is

a

huge

potential

which

is

there.

I'm

very

confident

that

with

the

kind

of

a

premiumization,

which

is

continuing

and

our

support

on

the

marketing

activations

and

the

floor

financing,

which

we

are

doing,

even

the

products

which

are

already

there

has

a

potential

for

us

to

grow .

we

have

been

always

maintaining

the

middle

weight

is

250

cc

to

750

cc.
That's
where
our
focus
is
going
to
be
there,
Pramod.
Pramod
Kumar:
Fair
enough
Govind,
thanks
a
lot.
Wishing
you
all
the
best.
Thank
you
Moderator:
The
next
question
is
from
the

line
of
Raghu
Nandhan
from
Nuvama
Research.
Raghu
Nandhan:
Thank
you
Sir,
and
Congratulations
on
strong
volume
performance.
Sir,
firstly ,
on
Classic
650,
how
has
been
the
acceptance
so
far?
Would
you
be

increasing
your
marketing
efforts
going
ahead?
And
can
you
share
the
volumes
for
Q1?
B.
Govindarajan:
Classic
650,
I
mean,
honestly ,
it
is
a
product
which
we
all
have
been
looking
forward
that

it
should
go
to
the
market.
The
acceptance
is
really
good,
really ,
really
good.
I'm
not
saying
because
it
has
come
into
the
market
or
something
of
that.
It
is
also
showing
a

traction

on

the

upgrade

cycle

slightly .

It

is

too,

too,

too

early

for

us

to

conclude

anything,

but

it

is

showing

some

good

traction,

which

I'm

just

seeing

it.

People

are

loving

the

product.

They're all saying it is very authentic. It is classic. It is on 650cc. So it is definitely going to add more volume in India, and it has a huge reception

in
the
U.K.,
Europe,
in
all
those
areas
also.
So
I'm
just
seeing
these
three
variants
and
the
four
colors
which
we
have
brought
in,
in
the
Classic
650
it
is
going
to

give
us
some
good
traction
in
the
volume
in
time
to
come.
Raghu
Nandhan:
And
would
you
have
the
Q1
volume
handy
in
the
domestic
export
market?
B.
Govindarajan:
Maybe
I
can
sha

re

it

with

you

later,

Raghu.

Raghu

Nandhan:

No

problem,

sir.

Sir,

secondly ,

on

commodity

cost,

how

was

the

impact

in

Q1?

And

what

is

the

impact

expected

for

Q2?

Steel

prices,

precious

metals

have been trending higher?

Vidhya Srinivasan: Yes. I think for us, I think steel has kind of hit a little earlier . And therefore,

we've

got

impacted

by

steel

as

well

as

aluminium.

I

think

the

way

I'd

like

to

say

is

that

this

quarter ,

we've

had

an

impact

of

about

50

bps.

Out

of

that,

we've got an offset because of VAVE, which was mentioned earlier of about 20 bps. So net impact is about 30 bps -- and to some extent, the price increase obviously helped offset

that
impact
overall.
B.
Govindarajan:
Raghu,
there
is
a
slight
headwind
on
the
commodity .
I'm
just
seeing
it.
But
I
think
currently ,
we
are
all
looking
at
availability
has
to
be
seen.
So

that

is

what

we

are

ensuring.

We

are

happy

that

the

rare

earth

material,

at

least

we

don't

have

a

pressure

point.

We

have

come

out

of

it,

and

we

will

also

manage

with

different

interventions

and

all

those

things.

That's

where

we

are.

It

will

take

another

about

a

month

or

so

for

us

to

clearly

understand

where

it

is

heading

and

what

is

that

we
have
to
do.
Raghu
Nandhan:
Thank
you
Sir,
In
terms
of
VAVE
benefit
of
20
bps
and
you
are
working
on
projects
for
material
cost
reduction.
So
how
much
can
be
the

benefit
in
coming
quarters?
Vidhya
Srinivasan:
We
don't
give
guidance.
Raghu
Nandhan:
Fair
point.
Sir,
recently ,
Volvo
that
is
about
two
weeks
ago,
Volvo
cut
India
growth
estimate
for
MHCV
to
3%
in

CY '25 versus 8% in the previous quarter . Any comments on why growth expectations are being lowered for the MHCV space? Of course, you are doing much better than the market, but generally

for
the
industry?
B.
Govindarajan:
We
don't
see
it
like
that.
And
we
see
that
there
is
a
strong
growth
possibility
which
is
there.
Higher
payload
tracks,
mining
operations,
all
those
things
are

continuing. So there is nothing which we are seeing that there is some correction which is taking place in the market.

Raghu Nandhan: Got it sir, thank you very much.

Moderator: The next

question is from the line of Kumar Rakesh from BNP Paribas. Kumar Rakesh: Hi good evening, Thank you for taking my question. Govind, my first question was around growth, which you are prioritizing

now

since

late

last

year

when

we

started

focusing

on

it.

Our

domestic

monthly

volume

has

been

around

80,000

monthly

volume.

Now

post

September

quarter ,

we'll

be

lapping

over

that

volume.

So

what

do
you
think
will
help
you
to
push
or
inflect
the
volume
higher
from
here
to
keep
the
growth
focus
ahead?

I
understand
that
you
have
highlighted
multiple
initiatives
that
you
guys

are
taking,
but
a
couple
of
them
which
you
think
can
materially
help
in
pushing
your
volume
higher
from
here
on?
B.
Govindarajan:
Well,
Kumar ,
it's
this.
First
of
all,
what
is
happening

is
this
has
to
be
seen
from
the
context
of
the
whole
industry .
The
Indian
2-wheeler
industry
per
se,
it's
not
in
the
growth
path.
It
is
--
in
fact,
in
the
first

quarter ,
it
is
lower
than
what
it
was
actually
envisaged.
And
even
the
125
cc
market
also
hasn't
grown
much.
Only
the
middle
weight,
which
has
grown,
and
that's
where
we
are.
So

the focus, which is there, the middle weight, that is what we are growing.

Our assumption had been when the market opens

up

and

the

overall

pool

increases,

we

have

to

be

focused

on

growth,

our

volume

also

increases.

But

on

the

contrary ,

the

market

is

not

growing,

but

we

are

growing.

It

does

mean

the
products
acceptances
are
very
good.
The
brand
is
being
recognized
very
well
and
the
brand
track
study
says
we
are
way
ahead
of
the
rest
of
the
brands.

So
if
buoyancy

comes
in,
in
the
market
and
the
kind
of
an
activities
which
I
was
mentioning
with
the
new
products,
our
floor
funding,
which
we
are
doing
and
doing
a
correction
in
the
retail

outlets
and
optimizing
it
because
some
places,
the
geography
has
changed.

So
we
are
now
focusing
on
changing
those
where
there
is
a
potential.
And
all
those
things
are
the
point
which
are

showing
that,
yes,
our
growth
trajectory ,
which
we
wanted
to
work
on
is
working,
and
we
will
continue
to
push
and
support
through
the
aggressive
marketing
activations.
That's
what
I
feel
that
will

help
us
to
grow ,
Kumar .
Kumar
Rakesh:
Great
that
you
brought
in
the
industry
context.
Historically ,
we
have
seen
that
the
middleweight
segment,
especially
the
customers
that
you
cater
to,
has
a
significant

overlap

with

the

passenger

vehicle

industry .

And

over

there,

we

don't

have

a

lot

of

optimism

or

growth

expectation.

However ,

you

have

been

seeing

pretty

strong

growth,

at

least

in

the

recent

months.

So

do

you

see

there

is

some

segregation

which

has

happened

in

terms

of

the

addressable

market

or

there

is

a

risk

that

eventually

these

two

growths

will

again

conver ge

the

way

it used to be earlier?

B. Govindarajan: Good angle, Kumar , because I haven't brought it into that angle. Maybe I'll also study and we'll see. Because as far as -- because I always

look

at

it

how

the

middle

SUVs

are

growing,

the

middle

size

and

the

higher -end

cars

and

SUVs

are

growing.

If

that

premiumization

is

continuing,

where

we

are,

that's

what

it

is

because

we

are

a

premium

product.

I

haven't

seen

that

entry-level

car

and

how

it

is

and

where

it

is.

I

have

to

study

a

bit

more.

Honestly ,

that's

what

I

have

it

as

an answer for you.

Kumar Rakesh: Thanks a lot.

Moderator: The next question is from the line of Devender Wadhwa from Value prolific Investment Advisory .

Devender Wadhwa: Can you please walk us through

the
company's
pipeline
of
new
LNG
projects
and
development?
Hello?
Am
I
audible?
Moderator:
Yes,
sir.
Devender
Wadhwa:
Sir,
can
you
walk
us
through
the
company's
pipeline
of
new
LNG
truck
projects
and

development?
B.
Govindarajan:
Yes.
VECV
is
actually
working
on
LNG
and
CNG,
which
is
in
that.
Just
give
me
a
second,
maybe.
See,
currently ,
we
have
a
full
range
of
products
on
ICE,

electric,
CNG
and
LNG.
And

in
all
the
segments
wherever
there
is
a
requirement
for
an
LNG
specific
to
the
usages
or

to
the
geography ,
our
platform
is
good
enough
to
adopt
all
those
things.
So
it's
not
a
new,
new
development
wherein
it
is
going
to
take
a
longer
period
of
time.
It
will

be

faster

for

us

to

adopt

to

any

products

which

are

required.

Devender

Wadhwa:

Okay ,

Thank

you

Sir.

Moderator:

Ladies

and

gentlemen,

this

was

the

last

question.

I

now

hand

the

conference

over

to the management for the closing comments. Thank you, and over to you, sir. B. Govindarajan: Thank you very much. It's been wonderful having you all in the Q1 call of Eicher Motors

Limited.
See
you
all
in
the
next
quarter .
Thank
you.
Good
night.
Vidhya
Srinivasan:
Thank
you.
Moderator:
Thank
you.
On
behalf
of
Eicher
Motors
Limited,
we
conclude
this
conference.
Thank
you
for
joining

us

and

you

may

now

disconnect

your

lines.

Call: Nov 2025

November 19, 2025 Online intimation/submission The Secretary BSE Limited Phiroze Jeejeebhoy Towers Dalal Street Mumbai-400 001 Security Code: 505200 The Secretary National Stock Exchange of India Ltd
Exchange

Plaza,

5th

Floor,

Plot

No.C/1,

G Block, Bandra Kurla Complex, Bandra (E) Mumbai-400 051 Symbol: EICHERMOT
Ref: Disclosure under Regulation 30 of SEBI (LODR) Regulations, 2015 - Transcript of conference call Dear Sir/Madam,
Further to our letter dated November 06, 2025 intimating the schedule of the conference call, held
on

Thursday,

November

13,

2025,

please

find

attached

transcript

of

the

aforesaid

conference

call,

held

inter-alia

to

discuss

financial

results

for

the

second

quarter

and

half

year

ended

September

30,

2025,

pursuant

to

Regulation

30

of

the

SEBI

(LODR)

Regulations,

2015.

The

same

is

also

available

on
the website of the Company w w w . e i c h e r m o t o r s . c o m. The conference call started after the conclusion of the Board meeting of the Company. You are requested to take the same on your records.
Thanking you, For Eicher Motors Limited Atul Sharma Company Secretary Encl.: As above

Eicher

Motors

Limited

Corporate

Office:

#96,

Sector

–

32

Gurugram

–

122001

Haryana,

India

Tel

+91

124

4415600

Registered

Office

CIN:

L34102DL1982PLC129877

Office

No.1 111,

11th

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Delhi-1 10001,

India

Tel

+91-1 1-41095173,

Email:

info@eichermotors.com

“Eicher Motors Limited Q2 FY '26 Earnings Conference Call”

November 13, 2025

MANAGEMENT:

MR. B. GOVINDARAJAN – MANAGING DIRECTOR – EICHER MOTORS

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A
VENDUS

S
PARK

Eicher

Motors

Limited

November

13,

2025

Moderator:

Ladies

and

gentlemen,

good

day,

and

welcome

to

the

Eicher

Motors

Limited

Q2

FY '26 Conference Call. As a reminder , all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you

need
assistance
during
the
conference
call,
please
signal
an
operator
by
pressing
star
then
zero
on
your
touchtone
phone.
Please
note
that
this
conference
is
being
recorded.

I
now
hand
the
conference
over

to
Mr.
Mukesh
Saraf
from
Avendus
Spark.
Thank
you,
and
over
to
you,
sir.
Mukesh
Saraf:
Yes.
Thank
you,
Slok.
Good
evening,
everyone.
Mukesh
Saraf
here
from
Avendus
Spark.
Appreciate
everybody
logging
into

this
2Q
FY
'26
earnings
call
of
Eicher
Motors.
From
the
management
team,
I'm
pleased
to
host
Mr.
Vinod
Aggarwal,
Vice
Chairman,
Eicher
Motors
Limited,
MD
and
CEO,
VE
Commercial
Vehicles
Limited;
Mr.

B.

Govindarajan,

MD,

Eicher

Motors

Limited

and

CEO,

Royal

Enfield;

Ms.

Vidhya

Srinivasan,

CFO,

Eicher

Motors

Limited.

I'll

now

hand

over

the

call

to

B.

Govindarajan

for

his

opening

remarks,

post

which

we'll
begin
the
Q&A.
Over
to
you,
sir.
B.
Govindarajan:
Thank
you,
Mukesh.
Hello,
and
good
evening,
everyone.
I
hope
you
all
had
a
joyful
and
refreshing
festive
season.
It's
wonderful
to
have

all of you join us today for the Eicher Motors Limited earnings call for the quarter ended September 30, 2025.

We have had a very busy and exciting few months with the new

launches
and
some
truly
proud
milestones.
We
continued
the
growth
momentum
forward
in
the
second
quarter
with
a
solid
performance.
The
festive
season
has
been
particularly
very
encouraging
for
us,
driven
by
robust

demand, record bookings and the sustained consumer confidence and a clear reflection of brand strength and the market trust we have built over the period of time.

Before we move on to

the
detailed
business
updates
for
Royal
Enfield
and
VECV ,
I'll
begin
with
a
broad
summary
of
the
overall
financials.
Coming
to
the
EML
consolidated
financials
for
the
second
quarter
of
the
financial
year

2025-26. EML revenue, clocked its best ever revenue at INR6,172 crores, marking a growth of 45% over INR4,263 crores from Q2 of last year.

On EBITDA, highest ever EBITDA for the quarter at

INR1,512 crores versus INR1,088 crores in Q2 last year, marking a growth of 39%. Our PAT has been the highest ever at INR1,369 crores, which includes INR135 crores of EML share of profits from VECV , which is up 25% from INR1,100 crores, which included about INR1 14 crores EML share of profit in Q2 last year.

The strong performance was a result of an all-around growth across both for Royal Enfield and VECV . I'll first begin with the business highlights for Royal Enfield. This quarter at Royal Enfield

was
marked
by
a
lot
of
product
actions
and
refreshes
that
strengthened
our
lineup.

To
make
sure
that
our
customers
take
home
their
favorite
Royal
Enfield
motorcycle
this
festive
season,
we
have
put

in considerable effort building a strong foundation and network laid in Q1. We launched 3 product refreshes, an expansive dealer network of more than 2,000 stores, which are in operation, and maximized our production capacity during this quarter .

The GST reforms by the Government of India have made motorcycles under 350cc more accessible and the customer's response is a clear testament to this during this

window .
During
this
quarter ,
we
launched
a
refreshed
Meteor
350
in
India,
which
is
now
available
in
4
variants
and
7
stunning
colorways.
We
also
added
some
fresh
energy
to
our
lineup
with

a new Graphite Gray Hunter 350 and a Shadow Ash Guerrilla 450.

This festive season was truly an outstanding one for Royal Enfield. And with over about 2.49 lakh motorcycles we sold during

the
festive
months
of
September
and
October ,
our
best
ever
festive
performance,
we
have
achieved
a
milestone
that
speaks
volume
about
our
momentum
and
unwavering
love
riders
have
for
the
brand.
From
refreshed

favorites like Hunter 350 and Meteor 350 to timeless icons like Bullet and Classic, our motorcycles continue to inspire and bring riders closer to the joy of motorcycling.

During this quarter , we

sold 3,27,067 motorcycles as against 2,25,317 in Q2 FY '25. Out of this, in India alone, we sold 2,92,703 units. We continue to gain market share across board, particularly in the midsize motorcycle segment, where Royal Enfield has been able to continue its dominance at about 84% market share. Our focused strategy , combined with a strong product portfolio, marketing activations have helped us deepen our presence in this market during this window .

In our international markets, our volumes stood at 34,364 units during this quarter . We continue to maintain a strong growth momentum in retail volumes across international markets

like
Brazil,
Nepal,
Bangladesh.
We
maintained
the
leadership
in
SAARC
markets
ranked
number
2
in
midsize
in
U.K.,
number
2
in
Argentina,
Thailand,
Korea
and
Brazil
and
number
3
in
Australia,
and
number

4 in Italy and France.

This year at EICMA, we marked a significant milestone in Royal Enfield's legacy as we entered our 125th year of pure motorcycling, showcasing a glimpse of our

vision
and
journey
that
beautifully
represents
the
past,
present
and
future.

We
showcased
some
of
our
most
exciting
motorcycles
yet,
the
special
addition
of
Classic
650,
the
bigger
and
bolder
Bullet
650,
the

Himalayan

450

Mana

Black

and

Flying

Flea

S6,

one

of

the

lightest

and

the

most

advanced

scramblers

in

the

EV

world.

On

the

customs

front,

we

also

showed

the

Shotgun

and

Rough

Crafts, a limited edition collaboration that celebrates the spirit of custom building, something that's always been very dear to Royal Enfield. The response from the global motorcycling community has been truly,

truly overwhelming, and it's been wonderful to see how our blend of heritage and innovation continues to strike a chord with our riders everywhere.

A new Off-Road Collection, a purpose-built range of premium riding gear designed for off-road and trial motorcycling, has been unveiled. We launched Get In-Streets, a collection that blends Royal Enfield's iconic legacy with

contemporary
everyday
wear
inspired
by
travel,
exploration
and
the
spirit
of
motorcycling
culture
in
our
lifestyle
and
apparel
space.

During
this
quarter ,
our
Flying
Flea,
the
City+
mobility
brand
endorsed
by
Royal

Enfield, won the Red Dot Award 2025 in the Design Concept category for the Flying Flea C6. It's a proud moment that underscores our growing strength in design and future-ready mobility .

In the

recently announced results of the Dealer Satisfaction Survey 2025, the Federation of Automobile Dealers Association called as FADA, Royal Enfield has been ranked number 1 in the 2-wheeler OEM category .

We continued

our
course
to
create
a
memorable
riding
experience
for
our
community .
We
concluded
the
14th
edition
of
One
Ride
2025,
our
marquee
global
ride.
It
was
truly
an
incredible
experience.
Over
50,000
riders

came together in more than 65 plus countries.

We announced the return of Motoverse 2025, our annual celebration of motorcycling culture in Goa scheduled from 21st to 23rd November 2025. This year's edition

promises
to
be
bigger
and
better .
We
invite
all
of
you
to
join
us
in
Goa.

Our
commitment
to
responsible
growth
has
always
been
rooted
in
strong
governance,
transparency
and
ethical
leadership,

and

as

a

testament

to

this,

I'm

proud

to

share

that

Eicher

Motors

has

won

the

Golden

Peacock

Award

for

Excellence

in

Corporate

Governance

2025.

This

recognition

reflects

the

culture

of

integrity

and

accountability we uphold across the organization.

We also won two awards at the Manufacturing Today for Excellence in Supply Chain and Excellence in Sustainability and Circular Economy . And currently , 98% of the energy

used
at
plants
has
been
from
renewable
sources.
And
these
are
all
the
updates
from
Royal
Enfield.

Now
I
will
hand
it
over
to
Mr.
Vinod
Aggarwal
to
talk
you
through
the

updates

for

VE

Commercial

Vehicles.

Over

to

you,

Vinod.

Vinod

Aggarwal:

Thank

you

very

much,

Govind.

I'm

very

happy

to

share

that

at

VECV ,

we

recorded

our

highest

ever

second

quarter

sales

of

21,901
units
exceeding
our
previous
record
of
20,774
units
in
Q2
of
financial
year
2025
with
a
growth
of
5.4%.
With
this,
our
first
half
sales
are
now
43,51 1
against
the
earlier
year's

first half of 40,476 and we have achieved a growth of 7.5% in the first half.

And our revenue from operations on a standalone basis stood at INR6,106 crores versus INR5,538 crores. And our revenues for the first half are INR1 1,777 crores against INR10,608 crores in the first half of previous year with a growth of 11% in the top line.

Motors
Limited

November
13,
2025

We
remain
sharply
focused
on
long-term
value
creation
through
product
excellence,
global
ambition,
and
deep
customer
engagement.
During
the
quarter ,
we
launched
Eicher
Pro
Plus
light

and

medium-duty

range

with

air

conditioned

cabins

and

upgrades

to

load

more

carrying

capacity

that

addresses

both

driver

environment

and

operator ’s

economy ,

a

win-win

for

both

drivers

and

operators.

We

also

signed

MoU

with
large
charge
point
operators
like
Jio-bp
pulse
and
Tata
Power
to
provide
Eicher
trucks
and
buses
customers
access
to
6,000-plus
public
charges,
easing
customer
anxiety
on
range
and
access
to
charging
infrastructure.

Digital & Services grew very well with My Eicher now supporting 1,62,000 customers with 3,75,000 vehicles, while VE Connected Solutions progressed on solutions for customers with mixed fleets.

I'm happy to note

that
we
are
having
steady
development
across
our
businesses
with
VECV
recording
several
best
ever
second
quarter
milestones.
We
are
now
at
number
1
position
in
light
and
medium
duty
trucks
with
sales

of 10,096 units in Q2 and a market share of 34.8% in this segment. With this, our first half deliveries stand at 18,706 in light and medium duty trucks versus 17,407 units during

H1 of last year.

Our heavy-duty truck volumes grew 3.5% in Q2 in the same quarter of previous year. Our market share in this segment in Q2 stood at 10.5%. And our deliveries now stand for the first half at 9,961 units versus 9,844 units for the previous period in the financial year '25.

We made sales of 3,217 units in our bus division. And with this, our first half sales are 9,222 units with a growth of 1.9% against 9,053 units in first half '25. In our parts business, both Eicher and Volvo combined, we recorded a robust growth of 11.8% over the previous quarter .

Sales of Eicher Pro X electric trucks continued to gain traction, even though the overall electric vehicle market has continued to be very small.

It
is
just
1.5%
of
the
2
to
3.5
tonne
market.
And
within
that,
we
have
delivered
244
units
in
Q2
and
436
units
in
H1.
In
some
of
the
months,
our
market

share in this small market has been 24%.

Eicher tractor and buses exported 1,823 units in Q2, up 61.3% over Q2 of previous year. Despite political disruptions in Southeast Asian markets, YTD exports stand at 3,259 units against 2,322 units in H1 of previous year.

While the market continues to remain highly competitive, VECV improved both our PAT as well as EBITDA margins. For Q2,

our
EBITDA
stands
at
INR479
crores
at
8%
as
against
INR395
crores
at
7.3%.
Our
PAT
stands
at
INR249
crores
at
4.2%
against
INR208
crores
in
the
previous
first
half
at
3.8%.
On

a YTD basis, our EBITDA in H1 was INR989.4 crores at 8.6% versus INR780.4 crores at 7.5% in the previous year.

And of course, on October 8, VECV announced an investment of INR544 crores

for

the

production

and

final

assembly

of

Volvo

Group's

globally

state-of-the-art

12-speed

autom
ated

manual

transmission.

This

greenfield

factory

will

be

established

at

Vikram

Udyogpuri

Integrated

Industrial

Township

near

the

historic

city

of Ujjain, Madhya Pradesh. The

investment in automotive manual transmission production is yet another milestone in the 17-year plus successful VECV joint

venture
with
Volvo
Group
and
Eicher
Motors.

As
the
global
manufacturing
hub
for
Volvo
Group's
5-
and
8-liter
medium-duty
engines
since
2013,
VECV's
Pithampur
factory
has
been
a
pioneer
in
making
in
India

for
the
world.
Now
this
will
be
the
second
similar
initiative
in
making
in
India
for
the
world
for
the
automotive
manual
transmission
because
most
of
this
production
will
be
exported
to
Asia

and
Oceana
requirements
of
Volvo
Group.

India's
economy
has
remained
resilient,
supported
by
strong
fundamentals
and
policy
support,
capex
in
roads
and
infrastructure
and
Make
in
India
incentives
supported
manufacturing
and
demand

for freight movement with inflation contained at 4% and financing conditions stable, and of course, the GST rates rationalization, EV demand held firm through the extended monsoon period and is poised to improve further in H2 as projected executions pick up.

As we all know that the industry has done very well in 2-wheelers and passenger cars. Now the consequent positive impact comes on the commercial

vehicle
because
as
we
have
to
move
more
goods
and
services,
you
need
more
trucks.
So
therefore,
we
are
in
a
very
good
position,
you
can
say,
for
the
second
half
for
the

commercial vehicle industry as well as for us. And of course, we are looking forward to a good year.

Now of course, thank you all for being with us on this call,

and
we
can
now
move
to
question
answers.
Moderator:
Thank
you
very
much.
We
will
now
begin
the
question
and
answer
session.
Anyone
who
wishes
to
ask
a
question
may
press
“*”
and

"1"
on
their
touch
tone
phones.
If
you
wish
to
remove
yourself
from
the
question
queue,
you
may
press
"*"
and
"2".
Participants
are
requested
to
please
use
handsets
while
asking
a
question.

We
will
now
wait
for
a
moment
while
the
question
queue
assembles.
The
first
question
comes
from
the
line
of
Chandramouli
from
Goldman
Sachs.
Please
go
ahead.
Chandramouli:
My
first
question
is
just

on

the

Classic

and

the

Bullet,

especially

post

the

GST

cuts.

We

continue

to

see

pretty

good

volume

growth

on

both

those

key

models,

even

off

a

pretty

high

base

when

you

refresh

both

those

products

at

this

time

last

year.

I

just

want

to

understand

some

of

these

core

products,

the

Classic,

the

Bullet,

the

Hunter ,

the

Meteor ,

if

you're

able

to

give

us

some

sense of what the potential benefits in demand you're seeing, just exclusive from the GST cuts alone?

B. Govindarajan: Well, Chandramouli, first is the Classic 350 has actually grown very well during this time

because

we

kickstarted

the

campaign

on

the

Classic

that

has

really

worked

well.

People

really

liked

it.

That

is

one

on

the

Classic.

If

I

have

to

tell

you

what

kind

of

a
growth,
I
think
we
grew
almost
about
24.5%
compared
to
last
year
during
this
quarter
in
the
Classic
350.

The
next
Meteor ,
which
you
asked
about,
the
Meteor
350,
we
came
out

with
new
color
ways,
and
we
launched
it
during
the
September
month.
Once
again,
that
also
has
shown
us
very
good
growth.
If
I'm
right,
I
think
we
have
grown
almost
about
30%

there.

Hunter , we launched one more color during this festive time. And we also did the HunterHood as a platform for

all
the
young
audience
to
come
together
and
then
celebrate
the
HunterHood.
And
even
Hunter
has
grown
almost
about
41%
over
the
last
year.

So
all
the
products,
which
were
on
focus
during

this
quarter ,
have
really ,
really
grown
very
well.
Bullet
350
Battalion
Black
which
has
really ,
really
grown,
I
think,
almost
about
70%
during
this
quarter .
Chandramouli:
Got
it.
That's
helpful.
The
second
question

is
just
around
the
second
half.
I
think
some
of
your
peers
have
indicated
the
motorcycle
industry
in
India
should
grow
around
that
8%
run
rate
in
the
back
half
of
this
year.

I think Royal Enfield in the first half, domestic market growth has been higher than that run rate?

But I just want to understand how you're planning for and thinking about the

second
half
and
how
you're
thinking
about
premium
motorcycling
growth
in
relation
to
that
sort
of
high
single-digit
growth
run
rate
potentially
for
the
rest
of
the
industry?
B.
Govindarajan:
In
terms
of

percentages,

we

don't

give

the

forward

guidance,

Chandramouli,

but

I

can

tell

you,

post

the

GST,

the

demand

and

the

inquiry

and

the

demand

is

holding

up

really

very

well

for

us.

Even

October

has

been

very

good.

As

I

mentioned,

all

the

product

interventions,

inventory

buildup,

everything

has

worked.

And

currently ,

even

in

the

month

of

November ,

I'm

seeing

the

run

rates

are

very

good.

So
we
are
bullish
that
our
growth
rate
continues.
Chandramouli:
Got
it.
And
just
lastly ,
in
terms
of
channel
inventory
and
production
run
rates,
if
I
just
look
at
your
first
half
wholesale

growth
in
the
domestic
market,
you've
grown
about
27%
versus
retail,
at
least
on
my
end,
seems
to
be
close
to
24%.
And
in
the
month
of
October ,
it
seems
to
be
--

retail has grown closer to 50%, but wholesale only 15%.

So are you thinking about sort of staking up the channel? What is the current channel inventory you have? And are there any

near-term
risks
of
potential
stock
out
just
given
retail
so
far
this
third
quarter
seems
to
have
grown
much
faster
than
wholesale?
B.
Govindarajan:
Yes.
So
normally ,
as
you
all
know ,
during
the

festive
season,
the
inventory
build
takes
place
and
the
retail
will
be
higher
than
the
wholesale
numbers.
That
is
what
the
season,
which
has
been
really ,
really
good
during
this
window
of
31

days
festive
compared
to
last
year,
we
actually
grew
by
almost
50%.
So
the
growth
has
been
very
good.
Retail
has
been
holding
off
very
well.

And
we
don't
build
inventory ,
you

all

know .

We

would

like

to

actually

have

a

correct

inventory ,

and

we

have

a

replenishment

model

back

in

the

system.

So

that

will

actually

help

us

to

get

the

velocity

in

that.

Production at the back end is also churning out good numbers.

So once again, you will see some amount of inventory fill up, which has to take place, which will happen through the wholesale. There's nothing which is alarming to be saying that there is a gross mismatch, Chandramouli. Chandramouli: Got it. Got it. Thank you very much and all the best.

B. Govindarajan: Thank you.

Moderator: Thank you. In order to ensure that management is enabled to take questions from all the participants. Participants are requested to restrict

their

questions

to

2

per

participant.

The

next

question

comes

from

the

line

of

Binay

Singh

from

Morgan

Stanley .

Please

go

ahead

Binay

Singh:

Hi

team,

thanks

for

the

opportunity .

In

your

opening
remarks,
you
talked
about
maximizing
capacity .
Could
you
share
your
thoughts
on
what
you
are
thinking
on
capacity
addition
incrementally
because
you're
running
almost
at
full
capacity?
B.
Govindarajan:
Yes.
So
Binay ,

in

the

beginning

of

the

year

also

said,

we

have

our

state-of-art

manufacturing

facilities

at

Oragadam

and

Vallam

and

we

have

the

Cheyyar

plant,

which

is

about

60

acres,

which

is

supporting

these

plants
with
the
plating
facility .
So
that's
the
lay.

And
we
said
about
1.2
million
is
the
capacity ,
after
build
capacity ,
now
it's
peaking
and
it
is
delivering
very
well.
We
also
did

debottlenecking operations during this quarter for festive inventory buildup. So we have ramped up the capacity to almost about 1.3 million to 1.35 million motorcycles.

But looking at the demand, looking at

the
inquiry
and
the
interest
and
what
we
have
done
is
in
between,
we
also
kickstarted
additional
module
capacity ,
which
will
also
start
kicking
in
from
the
first
quarter
of
the
coming
year.

So
we'll
go
in
modules.
And
the
next
module
is
also
kick-stated.
Because
we
have
space
in
Cheyyar ,
we
don't
anticipate
any
major
issues.
Binay
Singh:
Right,
right.
And
the
second
question
is

on

the

margin

side.

While

we've

seen

--

like

if

you

see

revenues

have

grown

by

around

45%,

but

the

EBITDA

growth

is

around

39%

because

the

operating

expenses

have

risen

quite

sharply .

So
do
you
see
any
scope
to
reduce
marketing
or
financing
or
other
interventions
to
sort
of
have
a
margin
expansion?
How
would
you
see
that?
B.
Govindarajan:
Once
again,
if
I
had

to

tell

you,

maybe

I'm

repeating

the

percentages,

please

don't

see

that

because

that

is

not

what

we

are

driving

in

aligning

the

organization.

We

are

looking

at

an

absolute

profit,

and

that's

the focus. We want to continue to grow . Growth has to come in from absolute profitability , not on the percentage.

As far as marketing expenses, which we are talking about, in fact, this

year,

the

integrated

planning,

which

was

done

by

our

marketing

team

has

really

helped

us

to

get

a

good

efficiency

out

of

it.

But

you

will

continue

to

see

our

market

activations,

brand-building
activities
and
launch
expenses
that
will
continue,
including
expenses
like
community
building
like
Motoverse
HunterHood,
our
drag
races
of
Guerrilla
and
Classic
campaign
that
all
will
continue.
So
there
will
be
expenses

which

will

be

there

in

the

marketing

area.

Binay

Singh:

Ok,

thanks.

I

will

come

back

in

the

queue.

Moderator:

Thank

you.

The

next

question

comes

from

the

line

of

Amyn

Pirani

from

JP Morgan. Please go ahead.

Amyn Pirani: Hi, thanks for the opportunity . Actually , my first question is also on the profitability . It

looks
like
this
quarter ,
there
has
been
a
big
gap
in
the
movement
in
consolidated
and
standalone.
And
it
looks
like
your
subsidiaries
may
have
turned
close
to
INR40
crores
EBITDA
profit,
which

is generally a negative number .

So I just wanted to understand if something is happening there? Are some of the subsidiaries turning profitable? Is some of this to do with Brazil where you've

been
ramping
up?
Some
color
there
would
be
helpful?
Vidhya
Srinivasan:
Yeah
so
I
mean,
to
some
extent,
there
is
a
bit
of
a
mix
change
which
is
happening
between
Q1
and
Q2.

Typically ,

the

way

it

works

out

for

us

is

Q1

and

Q4,

we

are

ramping

up,

and

we

are

spending.

We

are

exporting

to

essentially

the

developed

markets.

And

in

Q2,

Q3,

it's

largely
around
CKD
and
things
like
that.

So
I
wouldn't
say
that
there
is
any
big
jump
up,
which
takes
place
between
subsidiaries
and
there's
no
major
dramatic
development.
It's
essentially
the

timing

and

it's

the

mix

of

markets,

etc.,

which

is

showing

it,

yeah.

So

nothing,

it's

really

that

there

will

be

more

sales

happening

in

the

subsidiaries

because

typically ,

we

take

the

reversal

of profits, as you know , from India.

B. Govindarajan: Amyn, as Vidhya was mentioning, all our subsidiaries in the last 1, 1.5 years, what we have been doing is we have been trying

to
stabilize
all
the
subsidiary
markets.
We
have
been
investing
into
this.
And
the
CKDs
are
ramping
up.
There
is
an
efficiency
which
is
coming
in.
This
is
also
flowing
into
the
subsidiary

profitability .

But

you

will

see

it

over

the

period

of

time

when

the

volume

goes

up

further .

Amyn

Pirani:

Okay ,

okay .

That's

helpful.

Secondly ,

on

VECV ,

first

of

all,

thank

you

for

giving

the
detailed
financials
at
this
time
in
the
PPT.
I
think
that
will
be
very
helpful
for
us
going
forward.
So
just
on
VECV ,
I
wanted
to
get
a
sense
as
to
how

the
volume
outlook
looked.
You
did
mention
some
improvement,
but
we've
seen
in
the
industry
that
while
margins
have
improved
for
almost
all
the
players,
the
volume
growth
has
been
sideways
just
in

low
single
digits?

So
as
we
look
into
the
next
2
to
3
quarters,
are
there
any
specific
areas
where
we
could
see
signs
of
volume
recovery?
And
how
should
we
think
about

margins
going
forward
after
the
improvement
that
we've
seen
in
1H?
Vinod
Aggarwal:
Like
you
rightly
said,
the
volumes
have
been
a
little
bit
lower
than
the
expectations
in
the
first
half.
However ,

I think that was also due to the extended monsoon period. And of course, infrastructure investments are happening very well.

And as I mentioned in my address, you will see the lag impact

of

the

GST

rates

rationalization

because

definitely ,

it

has

improved

the

consumption

levels

and

Indian

economy

driven

by

domestic

consumption.

Therefore,

we

will

see

a

good

impact

on

the

economy ,

and

interest

rates ar e also doing very well.

Inflation is down, replacements are strong. So therefore, there is no reason why the volumes should not pick up. But at the same time, we should also note that in the heavy-duty trucks,

more and more migration keeps on happening to higher tonnage trucks. That also reflects in our numbers.

And then the second thing which pulls down the numbers is the productivity levels. If you look at the current running of trucks, if earlier , the trucks were running only, say,

10,000,
12,000
kilometers,
currently ,
the
trucks
are
running
20,000,
25,000
kilometers
in
some
of
the
applications.

So
therefore,
with
the
extended
running,
of
course,
the
numbers
come
down.
But
at
the
same

time,
these
trucks
will
need
to
be
replaced
more
often
because
if
you're
running
3,00,000
kilometers,
then
of
course,
the
heavy
replacement
period
will
come
down.
So
that
will
reflect
in
the
future

demand.

And the third thing, which has pulled down some of the heavy-duty trucks demand is also some migration towards the rail freight corridors. For example, Maruti is now moving almost 25% of

its
cars
through
rail.
So
there
is
some
impact
coming
off
that.
But
in
spite
of
that,
we
had
0.2%
growth
in
the
first
half,
in
fact,
YTD
too
for
the
heavy-duty
trucks.

So
therefore,
you
will
not
see
very
large
growth
numbers
in
heavy-duty
trucks.
But
of
course,
I
feel
that
the
second
half
will
be
much
better
than
the
first
half.
As
it

is, the second half is around 55% of the total year. Therefore, you will see better growth rates in the second half.

But if you look at light and medium duty trucks, the growth has been good. Growth has been 9% in light and medium-duty trucks. Exports have grown by 40% in first half. Buses are growing by 7% to 8%. Small commercial vehicles have grown

by
around
6%
to
7%.
So
other
than
the
heavy-duty
trucks,
all
other
segments
are
growing.
And
I'm
very
positive
that
overall,
we
will
see
good
growth
in
the
second
half.
Amyn
Pirani:

Thank
you
sir.
Thank
you
for
the
detailed
response.
I
will
come
back
in
the
queue.
Moderator:
Thank
you.
The
next
question
comes
from
the
line
of
Kapil
Singh
from
Nomura.
Please
go

ahead.

Kapil

Singh:

Good

evening

sir

.

Just

firstly ,

on

the

GST

changes,

I

wanted

to

understand

from

a

consumer

behavior

point

of

view ,

any

changes

you

have

noticed

in

either

rural

or

urban
growth,
if
you
could
give
those
numbers?
And
also
for
the
more
than
350cc
portfolio,
is
there
any
impact
on
demand
that
you've
noticed
or
the
impact
is
not
much
despite
the

GST going up?

B. Govindarajan: Yeah. So I think it's a fantastic move by the government. It has really , really propelled the entire inquiry in the market. The market is buoyant post the

GST
reduction.
For
us,
when
the
announcement
came
in,
there
was
a
very
good
pre-buy
taking
place
in
the
450
and
650cc.
And
now
with
the
reduction
to
18%,
350cc
motorcycles
are
really ,

really doing well. Festive plus GST and all our actions, it has helped us to get the inquiries.

As far as our 450cc and 650cc products. And of course, the rate of recovery

we

are

just

seeing

in

our

650cc

is

better

and

450cc

is

slowly

inching

up.

So

it's

a

matter

of

time.

We

can't

make

any

decisions

immediately .

We

may

have

to

wait

for

some time. But we are cognizant of what

is happening and what actions to be done. Nothing will be short term. It

will
be
only
long-term
activities.

So
we
have
also
appealed
to
the
authorities
even
for
our
450cc
and
650cc,
whether
that
can
also
be
brought
down
to
18%,
so
that
there's
a

uniform

tax

rate

which

will

really

help

because

in

India,

if

we

lower

these

two

products

I

mean

if

we

lower

the

GST

rate

of

more

than

350cc,

there

is

a

good

chance

of
higher
volume,
and
thereby ,
we'll
get
a
scale.

So
even
in
the
international
market,
it
is
a
true
story
for
a
Make
in
India.
So
we
have
been
appealing
to
the
government.

We will continue to engage with the agencies for lowering the GST rate. In a nutshell, if I had to tell you, 450cc and 650cc are bouncing back in terms of the volume.

650cc
is
better ,
and
450cc,
it's
a
bit
slower
in
bouncing
back.
Kapil
Singh:
Sure,
sir.
And
on
the
rural
and
urban
growth,
anything?
B.
Govindarajan:
I
think
it
has
been
growing
across,

to
be
honest,
Kapil.
During
the
festive
time,
the
rural
had
been
slightly
higher
than
the
urban.
But
once
again,
we
have
to
wait
for
some
more
time.
But
for
us,
one
good

thing
which
has
happened
during
this
time
is
that
the
South
has
not
been
doing
very
well
for
us.
Now
South
also
has
picked
up.
We
have
seen
very
good
growth.
And
East

has
done
really ,
really
well
for
us
during
this
time.
That's
at
a
regional
level.
Also
rural
retail
growth
has
been
very
good
during
this
period.
Kapil
Singh:
Okay .
That's
great
to
hear.

And
sir,
one
question
was
on
the
raw
material
cost
to
sales
ratio,
we've
seen
an
increase.
So
if
you
could
just
help
us
understand,
is
this
just
reflecting
the
mix
or
there

was
some
commodity
cost
pressure
as
well
for
the
quarter?
And
anything
further
that
you
are
expecting
on
the
cost
side
because
we've
seen
some
impact
in
precious
metals,
for
example?
Vidhya
Srinivasan:

Yes.
So
I
think
overall,
from
a
margin
standpoint
and
from
a
commodity
standpoint,
we're
expecting
about
40
basis
points.
I
mean,
we
have
had
a
40
basis
point
impact
as
far
as

commodity

prices,

mainly

led

by

both

precious

metals

and

aluminum

alloys

and

all

that.

And

overall,

I

think

it's

been

offset.

We've

also

had

a

bit

of

price

increase,

which

has

also

given

us a positive impact of about 50 basis points. The rest is really a product price mix kind of a thing that comes in.

B. Govindarajan: So Kapil, Inflation pressure is there. So

there
is
a
headwind,
and
we
are
looking
at
even
the
precious
metal,
how
do
we
mitigate
it,
how
do
we
speed
up
the
value
engineering
activities,
and
as
Vidhya
mentioned
on
the

model
mix.
So
all
the
levers
have
to
be
used
because
of
the
inflation
pressure.
That's
the
current
scenario
now.
Kapil
Singh:
Thank
you
sir,
that’s
all.
Moderator:
Thank
you.The
next
question
comes

from

the

line

of

Gunjan

Prithyani

from

Bank

of

America.

Please

go

ahead

Gunjan

Prithyani:

Hi,

thanks

for

taking

my

question.

First
ly ,

on

just

the

new

module

capacity

that

you

said

will

sort of kick in from 1Q, what sort of debottlenecking or expansion are we looking at? And also

the comments on the

post

GST

customer

demand

seeing

a

boost.

Is

there

a

little

bit

more

color

that

you

can

share

as

to

what

sort

of

new

set

of

customers

are

coming

into

the

showrooms?

I'm

just
trying
to
gauge
if
there
are
these
first-time
buyers?
Or
are
these
people
who
were
fence-sitters
and
with
GST,
the
conversion
has
just
happened
much
quicker .
A
little
bit
more
thoughts
on

the customer buying behavior post GST change?

B. Govindarajan: So first, I'll address the second question, Gunjan. In terms of the customer demographic cut, first time, repeat, I think we were all very

busy
in
fulfilling
the
peak
demand
which
came
up
during
the
festive
time,
and
we
were
having
a
Board
meeting.
So
we
were
all,
I
think,
not
having
enough
bandwidth
to
do
the

analysis.

But

anyway ,

the

team

is

doing,

we

will

go

through

that.

We

will

come

back

maybe

after

a

fortnight

time

window .

I

must

tell

you,

our

walk-in

conversion

has

gone

up,

our
tele
conversion
has
gone
up,
our
online
conversion
has
gone
up.

So
the
E2B,
we
normally
say
enquiry
to
the
booking
conversion
has
actually
seen
a
10
percentage
point
growth
during
this

point

of

time.

It

used

to

be

about

20%,

21%.

It

has

gone

to

about

29%,

30%.

So

the

efficiency

also

has

been

very

good.

But

to

tell

you

about

the

whole

analysis,

we

need

some

more

time.

November

also

is

holding

up.

So

we

will

do

it

in

another

fortnight.

The

second

one,

which

you

asked

about

the

capacity .

As

we

mentioned,

we

had

built
a
capacity
of
about
1.2
million
with
a
particular
mix
of
our
350cc,
450cc
and
650cc.
Now
what
is
happening
is
post
GST,
the
350cc
demand
is
slightly
higher
than
the
450

and
650.
As
I
mentioned,
650
is
catching
up
faster
than
the
450,
but
the
demand
of
350
is
higher
than
what
we
were
looking
at.

So
the
debottlenecking,
which
we
were
talking

about,

is

how

do

we

do

some

operations

whereby

the

350cc

can

be

produced

in

the

lines.

So

that's

what

is

the

focus

which

we

did

as

in

the

interim.

Thereby ,

we

have

increased the capacity . And we have added some machineries and equipment and all.

Looking at the current scenario of the growth, about 2 months back, we also kickstarted another one module investment,

which
I
said,
which
will
kick
in
from
the
first
quarter
because
we
have
to
be
prepared
for
the
next
festive
demand
inventory
buildup.

But
normally ,
what
happens
nowadays
is
the
plant
will

run
at
a
particular
efficiency
during
H1
and
at
a
particular
efficiency
during
H2.
Now
we
may
have
to
do
it,
depending
upon
the
inventory ,
we
may
have
to
run
the
plant
continuously

to
build
some
inventories
till
the
new
capacity
kicks
in,
so
that
next
year
growth
also
is
taken
care.
Gunjan
Prithyani:
But
how
much
will
this
module
add,
which
you
just
referred
to

in terms of capacity? Does 1.35 go up? That's what I'm trying to get at.

B. Govindarajan: Yes, Gunjan, it is being looked at. It should be higher than 1.35 lakh.

Gunjan Prithyani: Okay . Sorry , 1.35 million per annum or you are referring to a monthly number?

B. Govindarajan: Sorry , sorry , it is 1.35 million.

Gunjan Prithyani: Okay . Got it. That's clear . The second question, sir, I had was on the exports business. How should we now think of growth here? There was a period where we were

sort
of
managing
the
retail,
wholesale,
trying
to
keep
the
gap
to
the
minimum.
That
sort
of
exercise
of
inventory
cleanup
to
me
seems
like
it
is
behind.
So
how
do
we
think

about
the
demand
growth
on
the
export
side?
And
any
market
color
if
you
can
give?
B.
Govindarajan:
So
our
international
volume
for
this
year
till
date
in
H1,
we
have
grown
almost

about 49% compared to last year, which is about 78,548 motorcycles. The retail is higher than the wholesale once again, and it's holding up.

Brazil is a country where, once again, it

is

really

showing

it's

a

big

market

outside

India

for

us.

Our

CKD

facilities

are

in

operation.

We

are

also

looking

at

establishing

our

own.

And

the

growth

rate

is

very

good.

Our

products
are
getting
accepted
very
well.

Both
in
Argentina,
Latin
America,Ar gentina
and
Colombia
also,
it
is
doing
very
well.
U.S.A.
tariff
situations,
we
are
waiting
and
watching.
Europe's
retail
is
holding,
it
is

catching
up
now.
And
the
APAC
market
is
yet
to
bounce
back.
APAC
is
going
slow
only.
Still
Thailand
is
not
fully,
fully
sorted
in
a
way
as
a
country .

SAARC
has

been
doing
outstandingly
well
for
us.
During
this
H1,
if
I
have
to
tell
you
where
we
are
in
terms
of
market
share,
we
have
moved
to
number
1
position
in
SAARC.
Bangladesh

and

Nepal,

both

the

countries.

We

just

entered

into

this

market

effectively

in

the

last

1

year.

And

we

retained

our

position

in

the

U.K.,

Brazil,

Argentina,

Thailand

at

number

2,

and

we

retained

our

position

in

number

3

in

Australia

and

4

in

Italy

and

France.

And

in

the

EU

and

Germany ,

we

are

in

fifth

position.

And

now

Germany ,

we

are

taking

our

own

subsidiary ,
which
is
going
to
come
in
full
zone
operations.
So
exports,
if
I
have
to
tell
you
in
one
liner,
it's
in
the
recovery
path,
it's
in
the
growth
and
recovery
path.

Gunjan Prithyani: Okay . Got it, thank you so much. I will join the queue.

Moderator: Thank you. The next question comes from the line of Pramod Kumar from UBS Securities. Please go ahead.

Pramod Kumar: Yeah. Thanks a lot for the opportunity and Govind just wanted to continue the demand trend. If you can just help us understand with the GST cut, what's the kind of

customer

profile

walking

in?

I

mean,

have

you

seen

customers

who

had

inquired

earlier ,

who

were

not

converting,

coming

in

and

finally

making

the

purchase?

Or

have

you

seen

a

fresh

wave

of

customers coming in, fresh walk-ins or first time walk-ins into Royal Enfield dealerships?

Just trying to understand how much of this is upgrade demand which is coming in from customers after the

GST cut and how mu ch of this was like kind of a pent-up one, given that

you always share that your,

what

do

you

say,

mind

share

of

a

consumer

is

much,

much

more

higher

than

where

your

motorcycle

market

share

is?

So

just

trying

to

understand

what

are

the

kind

of

qualitative

differences

you

have

seen

after

the

GST

cut?

And

also

I

don't

know

if

you

kind

of

hit

this

number ,

where

exactly

is

the

channel

inventory

ex

of

transit,

the

latest

data,

whatever

you

can
share?
B.
Govindarajan:
So
first
is
Pramod,
about
the
inquiry
and
booking.
If
I
have
to
tell
you,
not
that
pre-festive,
we
were
having
a
host
of
booking
and
we
were
waiting

for
delivery
because
our
production
has
been
very
good.
So
our
inquiry
to
booking
ratio,
we
have
been
monitoring.
Post
GST,
inquiry
to
booking
the
conversion
percentage
has
gone
up.

So
booking

was

better

because

obviously ,

with

the

GST

reduction,

some

purchases

decisions

were

taken

by

the

customers

and

it

has

happened.

But

currently ,

if

I

have

to

look

at

just

to

give

you

some

color

of

what

is

happening

to

the

earlier

booking

to

the

current

booking

and

how

it

is

moving,

the

inquiry

levels

are

continuing

and

the

booking

levels

are

continuing

even

in

the

month

of
November
when
we
are
talking.

So
the
GST
effect
and
the
new
products
and
our
campaign
effect
is
actually
there.
And
the
good
thing
is
even
in
the
rural
markets,
as
the

question….
Anubhav
Bajpai:
There
is
some
background
noise.
B.
Govindarajan:
Yes.
So
the
funnel,
which
you're
talking
about
an
inquiry
to
booking
to
conversion,
as
of
now,
it
is
very
healthy .
The
top

of

the

funnel

inquiry

is

continuing.

So

that's

the

sign

which

we

are

seeing

that

everything

what

we

were

working

on

as

a

lever

plus

the

GST

has

really

helped

for

350cc

motorcycles.

Above

350,

both

450cc

and

650cc,

during

the

GST

announcement

before

September

22,

the

prebuy

has

actually

been

very

high.

So

we

stopped

it

also

very

well

because

we

were

anticipating

it.

So we stopped the 450cc and 650cc, which helped us to retail very well, and that's why we could see a 50% overall retail growth for us during the festive season.

In fact,

the

September

to

October

window ,

our

450cc

has

grown

by

almost

30%

and

650cc

has

grown

by

almost

11%

compared

to

the

previous

time,

primarily

because

of

the

pre-buy

which

has

taken

place.

Post that, there was a slight dip.

Up to 650 is showing better and 450 is slowly recovering. It takes some time, but we don't see it to be a major problem.

As
far
as
first
time
buyers,
age
of
that,
as
Gunjan
was
also
asking,
just
give
some
more
time.
We
are
doing
an
analysis.
Probably
in
the
next
call,
we
will
have
a

detailed chart on that.

Pramod Kumar: And Govind, the reason why I'm asking that is basically there have been talks about Royal Enfield evaluating a 250cc motorcycle. I'm just wondering given the kind

of

demand

lift

what

you're

seeing

and

given

that

you're

saying

even

after

a

record

50%

retail

growth,

you're

still

seeing

sustained

momentum

i

n

November ,

even

as

the

industry

sees

moderation

otherwise.

Page

Does it mean that you probably as a company need to think hard on the 250cc strategy because the GST cut makes

the
350cc
more
affordable?
So
how
should
one
think
about
this?
Because
you're
already
talking
about
a
capacity
expansion
on
the
350cc
side.
So
what
will
be
the
kind
of
numbers
we'll
be

looking at in terms of volume ramp-up or capacity expansion if you have to commit to a 250cc foray?

B. Govindarajan: So it's like this. Our focus as a company will be in the middle weight. We always say the middle weight definition is 250 to 750cc. Currently , we have products in 350cc and the Sherpa platform 450cc and twin 650cc. Of this 350cc with all

the

products

which

we

have

launched

now,

especially

the

Hunter ,

the

new

color

which

we

launched

and

the

Guerrilla

new

color

which

we

have

launched,

the

Meteor

new

variants

which

we

have

launched

and

the

Classic

campaign

which

we

did.

And

on

top

of

it,

the

GST

reduction,

it

all

has

helped

us

to

grow

further ,

and

we

have

been

always

maintaining

that

still

there

is

a

scope

for

our

350cc

products

to

continue

to

grow .

And

the

current

scenario

is

it

is

growing.

The

task

in

hand,

which

we

have

now

is

on

the

450cc

and

650cc

where

there is a higher GST rate, which has gone to almost 40%, which as I mentioned, we are working with the agencies and the government to reduce it.

That is what we

are

working.

Our

continue

to

focus

on

the

middle

weight

currently ,

the

focus

is

on

350cc,

how

do

we

get

the

capacity

fulfilling

the

demand

which

is

higher .

So

work

on

the

back

end
so
that
the
350cc
can
be
more
and
more
because
that's
the
split,
which
is
required
to
be
a
higher
number
due
to
the
GST.
So
the
current
focus
is
only
there,

Pramod.
Pramod
Kumar:
And
Govind,
when
you
talk
about
350cc
capacity
getting
rejigged
to
a
higher
number ,
that
ideally
should
come
with
benefits
from
sourcing
and
scale
and
everything,
right?
Because
it's
the

same

as

the

existing

product,

which

you'll

be

able

to

manufacture

more.

So

ideally

that

should

bring

down

your

unit

economics

on

that

particular

line

up,

right?

And

also

any

comment

on

potential

price
hikes
which
you
can
take
in
the
medium
term
because
we've
been
quite
disciplined
on
the
pricing
side
to
make
the
product
more
affordable.
So
but
with
the
kind
of
demand
you're

seeing

and

the

kind

of

traction,

should

one

expect

that

there

could

be

some

pricing

action

starting

with

next

calendar

year?

B.

Govindarajan:

So

first

is

about

the

capacity

extraction,

which

you

mentioned,

Pramod.

Yes,

we

have

to

use

all

the

levers

now.

Though

the

build

capacity

can

be

higher ,

but

the

model

level

350

needs

more.

So

we

have

to

do

all

the

levers

to

be

used,

including

the

value

engineering

activity ,

including

the

productivity ,

including

sourcing,

make

versus

by

discussions

and

some

investments

here

and

there

as

a

low-cost

automation,

everything

have

to

play

in

now

immediately

because

it's

here

and

n
ow.

So

that

activity ,

which

is

taking

place.

As

far

as

price

increase

which

you

talked

about,

just

because

the

demand

is

higher ,

that

doesn't

mean

we

should

go

in

for

a

price

increase

because

that

is

not

what

we

are

as

an

organization.

But

there

is

inflation

and

there

are

costs.

So

we

will

normally

review

it

once

a

quarter

and which will also, we will be reviewing it.

In the month of April, we took a price increase in a

few
models
and
then
also
in
a
few
models
in
July,
we
took
a
price
increase
as
per
the
plan.
So
we
don't
do
anything
in
the
short
term.
We
will
review
the

price value equation, how is the market, how is the inflation, what's the potential which is there and from time to time and quarterly , we will review it.

Pramod Kumar: Thanks a lot.

Wish you all the best sir.

B. Govindarajan: Thank you.

Moderator: Thank you. The last question comes from the line of Yash Agrawal from Nirmal Bang Securities. Please go ahead.

Yash Agrawal: Good

evening

sir.

Thank

you

for

the

opportunity .

I

just

wanted

to

know

more

about

the

online

strategy

that

the

company

opted

for

by

selling

its

2-wheelers

on

the

Flipkart.

How

is

the

response?

What percentage of booking is coming from the online digital channel?

B. Govindarajan: Go ahead, Vidhya.

Vidhya Srinivasan: Yes. So basically , we have essentially kick-started an early pilot as it were in a

limited

number

of

outlets

during

the

festive

season

just

to

see

how

the

whole

price

journey ,

discovery ,

our

traction,

etc.,

is

coming.

So

it's

still

early

days

for

us

to

comment,

but

maybe

you
want
to
add
to
that.
B.
Govindarajan:
So
first
of
all,
as
an
organization,
you
have
to
be
there
in
omnichannel.
So
we
thought
that
we
should
also
be
there
in
the

e-commerce
websites.
So
that's
why
we
signed
up
with
both
of
them.
And
both
of
them,
we
are
working
on
an
exclusive
basis
because
we
have
to
understand
more
who
the
customers
are,

what

are

they

looking

for,

what

frictionless

experience

which

we

can

give

to

them,

what

additional

benefits

they

will

get,

which

normally

they

won't

get

in

our

stores.

So

those

are

all

the

learnings
which
we
have
to
get.
It
is
not
that
we
wanted
to
venture
in
and
then
immediately
get
a
huge
volume.
You
know
us,
as
an
organization,
we
don't
do
like
that.

Even
in
the
international
market,
the
storyline
is
what,
the
storyline
is
we
go
to
the
country ,
we
will
open
up
only
one
store
and
let
it
be
a
pull.

Even
in

e-commerce

work,

it

is

only

like

that

that

we

have

to

learn.

It

is

a

pilot

for

us,

not

in

any

tearing

rush

that

we

have

to

make

it

happen

always.

But

once

we
understand
what
it
is,
then
we
will
come
out
with
our
own
playbook.

But
what
it
was
very
important
to
see
that
you
would
have
noticed
is
that
the
brand
page
of

Royal

Enfield,

even

in

those

e-commerce

websites,

are

completely

managed

by

us

along

with

the

e-commerce

companies.

The

entire

brand

language,

the

way

it

has

to

be

presented,

the

way

no

discounts,

strike-throughs,

nothing should be there in the typical way, which will be there on an e-commerce site.

We were very, very particular that it has to be represented in a particular way. And that's why I said it is a pilot. It's not in a tearing rush. The pilot is showing some good results. We are studying

a

bit

more.

We

are

analyzing

it

to

see

how

we

scale

it,

should

we

scale

it

and

where

do

we

scale

it.

That's

the

discussion

which

is

ongoing

currently .

Yash

Agrawal:
Thank
you
sir.
The
second
question
is
for
VECV .
What's
the
product
road
map
in
CNG,
LNG
and
electric
CVs?
And
how
do
you
expect
them
to
contribute
over
the
next
3

to 5 years?

Vinod Aggarwal: If you look at CNG, we are already one of the market leaders. Our CNG trucks and buses, both are there in the light and medium-duty range. As far as electric is concerned, we have now 2 to 3.5 tonne, where we started this Pro X range with the electric trucks.

And we also have some units sold in 5.5 tonne,

but
there,
the
cost
of
ownership
basis,
viability
is
a
bit
of
a
challenge.
And
then
of
course,
we
are
working
on
electric
models
for
the
tippers
and
for
the
tractor
trailers.
So

those
will
come
in
future.

For
electric
buses,
we
are
there
in
9-meter
bus,
we
are
there
in
12-meter
bus
and
we
are
going
to
participate
in
the
new
tender ,
which
is

going

to

be

opening

shortly .

And

as

far

as

LNG

is

concerned,

we

are

already

there

in

LNG

trucks.

We

have

sold,

I

think,

good

numbers

in

the

55

ton,

again,

tractor

trailer

segment.
So
we
are
there
in
all
the
alternate
fuels.
And
of
course,
slowly
and
steadily ,
these
alternate
fuels
will
become
more
popular ,
especially
LNG
is
expected
to
become
more
popular .

CNG

is already very popular for the metro cities and distances up to 400, 500 kilometers. Like for example, some of the cities, the diesel sales are not allowed. Therefore, like in a city

like

Delhi,

it's

only

CNG

which

sells.

So

it's

going

to

be,

I

think,

slow

and

steady

migration

to

the

better

fuels.

Yash

Agrawal:

And

what

are

the

key

hurdles

you

see

in

their
penetration
going
forward?
Vinod
Aggarwal:
Key
hurdles
in
the
penetration?
Yash
Agrawal:
Yes,
like...
Vinod
Aggarwal:
For
the
long
haul
trucks,
the
key
hurdle
is
definitely
the
one
is
charging
infrastructure.
And

the
other
is
in
the
long
haul
trucks,
when
you
put
more
weight
of
batteries,
the
payload
also
comes
down.
So
therefore,
in
long
haul,
the
popular
models
are
going
to
be
the

tipper category where the vehicles operate in the localized environment so that you can do with the lesser capacity and you can do with more charging.

And then, of course, the tractor trailers

from
the
port
to
warehouse
movement
where
the
movement
is
only
200
kilometers.
So
those
are
some
of
the
routes
which
are
becoming
more
popular .
Otherwise,
the
smaller
trucks,
of
course,
will
be

more popular . But there again, the migration has been very slow.

And the other major hurdle comes from the financier side because financiers are also still not fully open to finance these electric trucks or electric buses. And for the electric buses, of course, it is the government buying largely. There, of course, the government has now given

November 13, 2025

the payment security mechanism based on which the banks and financiers are giving loans to the operators. So I think things are evolving, and we have to be patient

in
this.
Yash
Agrawal:
Thank
you
sir,
that’s
very
helpful.
Moderator:
Thank
you.
I
now
hand
the
conference
over
to
the
management
of
Eicher
Motors
Limited
for
closing
comments.
Over
to
you,
sir.

B.
Govindarajan:
Thank
you
very
much
everyone
for
attending
this
and
look
forward
to
having
a
chat
with
you
soon.
See
you
all.
Cheers.
Vinod
Aggarwal:
Thank
you.
Moderator:
Thank
you.
On
behalf

of Eicher Motors Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Feb 2026

February 16, 2026 Online intimation/submission The Secretary BSE Limited Phiroze Jeejeebhoy Towers Dalal Street Mumbai-400 001 Security Code: 505200 The Secretary National Stock Exchange of India Ltd
Exchange

Plaza,

5th

Floor,

Plot

No.C/1,

G Block, Bandra Kurla Complex, Bandra (E) Mumbai-400 051 Symbol: EICHERMOT
Ref: Disclosure under Regulation 30 of SEBI (LODR) Regulations, 2015 - Transcript of conference call Dear Sir/Madam, Further to our letter dated February 03, 2026 intimating the schedule of the conference call, held on
Tuesday,

February

10,

2026,

please

find

attached

transcript

of

the

aforesaid

conference

call,

held

inter-alia

to

discuss

financial

results

for

the

third

quarter

and

period ended December 31, 2025, pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015. The same is also available on the website of the Company www.eichermotors.com. The conference call started after the conclusion of the Board meeting of the Company. You are requested to take the same on your records.

Thanking you, For Eicher Motors Limited Atul Sharma Company Secretary Encl.: As above

32

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–

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info@eichermotors.com

“Eicher

Motors

Limited

Q3

FY

'26

Earnings

Conference

Call”

February

10,

2026

M
ANAGEMENT
:

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B.

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R

Eicher Motors Limited
February 10, 2026

Moderator: Ladies and gentlemen, good day, and welcome to Eicher Motors'

Q3
FY
'26
Earnings
Conference
Call
hosted
by
HDFC
Securities
Limited.
As
a
reminder ,
all
participant
lines
will
be
in
the
listen-only
mode
and
there
will
be
an
opportunity
for
you
to
ask

questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Hitesh Thakurani from HDFC Securities Limited. Thank you, and over to you, sir.

Hitesh Thakurani: Yes. Thank you, Iqra. Good evening, everyone. This is

Hitesh Thakurani from HDFC Securities. Appreciate everyone logging into this 3Q FY '26 earnings call of Eicher Motors. From the management team, I'm pleased to host Mr. Vinod Aggarwal, Vice Chairman, Eicher Motors

Limited,
MD
and
CEO,
VE
Commercial
Vehicles
Limited;
Mr.
B.
Govindarajan,
MD,
Eicher
Motors
Limited
and
CEO,
Royal
Enfield;
and
Ms.
Vidhya
Srinivasan,
CFO,
Eicher
Motors
Limited.

I'll
now
hand
over
the

call
to
Mr.
B.
Govindarajan
for
his
opening
remarks
and
post
which
we
will
begin
the
Q&A.
Over
to
you,
sir.
B.
Govindarajan:
Thank
you,
Hitesh.
Hello,
and
good
evening,
everyone.
Happy
New

Year.

I

hope

it

has

been

a

good

start

to

2026.

Thank

you

for

joining

us

today

at

Eicher

Motors

Limited

earnings

call

for

the

quarter

ended

December

31st,

2025.

December

marked

the

close of a significant year for Eicher , one that saw consistent performance across our businesses.

Important milestones for Royal Enfield and continuous progress at VE Commercial Vehicles, too. The third quarter was shaped

by

launches,

events

and

community-led

initiatives,

and

we

continue

to

witness

high

customer

confidence

and

trust

in

our

brands.

Before

we

move

into

the

detailed

business

updates

for

Royal

Enfield

and

VECV ,

I'll

begin with a broad summary of the overall financials. EML consolidated financials for the third quarter FY 25-26. Our revenue for Q3 is at about INR 6,114 crores, marking a growth of 23%

over INR 4,973 crores from Q3 last year. EBITDA stands at about INR 1,557 crores, marking a growth of 30% over INR 1,201 crores in Q3 last year. PAT at INR 1,421 crores, up by 21% from INR 1,171 crores in Q3 last year.

Please note that PAT includes the share of profits of VECV , which for Q3 stood at about INR 183 crores. This

strong
performance
was
a
result
of
an
all-round
growth,
both
at
Royal
Enfield
and
VECV .

Let
me
begin
with
the
business
highlights
for
Royal
Enfield.
This
quarter
was
yet
another
robust
one
for

Royal Enfield, continuing our steady growth journey of the past 6 quarters. The third quarter of this fiscal year saw robust volume growth, strong festive demand and meaningful progress across our products and community-led

initiatives.

What

made

it

even

more

special

was

the

commencement

of

our

125th

year

celebration,

a

milestone

that

reflects

the
strength
of
our
legacy
while
reinforcing
our
commitment
to
shaping
the
future
of
pure
motorcycling.
At
the
core,
it's
our
community
that
continues
to
be
part
and
heart
of
everything
that
we

do. Motoverse this year was bigger and bolder than ever, welcoming a record of 40,000-plus people over the 3 days event.

We also took another step in expanding our cultural footprint beyond the motorcycling community with the second edition of Journeying Across the Himalayas, which grew in scale, depth and impact. Across both domestic and international markets, we saw a very healthy momentum driven by our

refreshed
products,
global
showcases
and
continued
engagement
with
our
riders.
This
collective
effort
helped
us
cross
the
milestone
of
1
million
motorcycles
year-to-date
much
before
the
close
of
this
financial
year,
a
moment

that truly belongs to our teams, partners and our riding community across the globe.

Coming to the volumes during this quarter , we sold 3,25,773 motorcycles with a growth of 21% as against

2,69,039 motorcycles in Q3 FY 2025. Out of this, in India, we sold about 3,00,426 motorcycles with a 24% growth from the last year.

We continue to gain market share across the board,

particularly
in
the
middle-sized
motorcycle
segment,
where
Royal
Enfield
has
been
able
to
continue
its
dominance
at
88.9%
exit
market
share.
Domestic
sales
remained
healthy
across
all
3
months
with
a
double-digit
growth,

supporting strong year-to-date growth, driven by sustained retail traction.

The festive season was a strong one for Royal Enfield with customer enthusiasm translating into a robust demand across markets. We delivered our

best
ever
festive
performance,
selling
over
2.49
lakh
motorcycles
during
September
and
October .
Our
focused
strategy ,
combined
with
a
strong
product
portfolio,
and
marketing
activations
have
really
helped
us
deepen
our
presence
in

the
market
in
this
quarter .

Coming
to
the
international
markets,
our
volumes
stood
at
about
25,347
units
versus
27,068
units
in
Q3
last
year.
We
continue
to
maintain
a
strong
growth
momentum
in

retail
volume
across
international
markets
like
Brazil,
Argentina
and
Thailand.
Product
momentum
was
further
strengthened
with
the
launch
of
the
refreshed
Hunter
350
and
the
Scram
440
in
Nepal,
Bear
650
in
Argentina

and
Guerilla
450
in
Brazil
to
resonate
with
the
young
urban
riders.

The
first
Royal
Enfield
exclusive
store
opened
in
Lima,
Peru
in
December
2025.
At
EICMA
this
year,
Royal
Enfield
marked

an
important
milestone
as
we
entered
our
125th
year
of
pure
motorcycling.
The
showcase
reflected
our
journey
and
vision,
bringing
together
our
heritage
with
a
clear
view
of
the
future.

We
presented
several

key motorcycles, including the special edition of Classic 650, the new Bullet 650, the Himalayan 450 Mana Black, Shotgun with Rough Crafts collaboration, a limited edition and the Flying Flea S6 on our electric platform, which together highlight our approach to design, capability and innovation.

The response from the riders and enthusiasts globally has

been
encouraging
and
deeply
motivating
for
the
team.
At
Motoverse,
we
launched
the
Meteor
350
Sundowner
Special
Edition,
celebrating
a
global
Meteor
community
that
now
exceeds
half
a
million
riders.
Beyond
motorcycles,
we

continue

to

strengthen

our

pure

motorcycling

ecosystem

with

meaningful

cultural

collaborations.

This

included

a

unique

partnership

with

Royal

Albert

Hall

in

London

and

a

composer ,

Rushil

Ranjan,

for

the

Ballad

of

the

Bullet.

The official campaign film marking the launch of the new Royal Enfield Bullet 650. We also expanded our lifestyle and apparel offering with Royal Enfield Vallon, Moto Aviators collaborations in new lifestyle eyewear

range,
which
is
a
premium
add-on
for
riders
who
see
their
glasses
as
part
of
their
motorcycling
kits
in
everyday
life.

We
continue
to
create
memorable
riding
experiences
for
our
community .
We

concluded the 2025 edition of Motoverse in Goa with, as I mentioned, 40,000-plus riders over the 3 days with builders, artists, musicians and explorers coming together from across the globe in celebration of a pure motorcycling culture.

We also concluded the Season 5 of Continental GT Cup, strengthening our presence in grassroots racing and performance-led motorcycling. The edition grew over 6,000 registrations, marking a sharp increase since last year. And this year, we went to 8 cities to have this Continental GT Cup celebration. Alongside competitive motorsport, rider-led journeys and community rides continued across regions, including Bhutan and Sikkim, reinforcing our belief that shared experiences and camaraderie are the heart of pure motorcycling.

To improve ease of purchase, we announced a partnership with Amazon India, enabling customers in select cities to

buy
Royal
Enfield
Motorcycles
online
through
seamless
end-to-end
digital
journey
for
the
350cc
range.
This
comes
after
the
successful
tie-up
with
Flipkart.
We
continue
to
be
one
of
the
top
automakers
across
the

leading ESG rating. Currently , 93% of our electricity consumed across our facilities is green electricity . We achieved 80% reduction in emissions intensity in our operations, Scope 1 and 2.

Our net water positivity

continued

to

be

strong

at

4.6

on

the

Water

Balance

Index.

Through

the

Royal

Enfield

social

mission,

we

have

recently

concluded

the

second

edition

of

Journeying

Across

the

Himalayas,

a

week-long

multidisciplinary

festival

focused on celebrating and safeguarding the cultural and the natural heritage of that region, launched the Great Himalayan exploration with UNESCO, reaffirming our long-term commitment to cultural preservations, responsible tourism and community-led engagement.

Now
on
capex
Lastly ,
as
you
would
have
seen
in
our
results,
EML
Board
has
just
approved
a
proposal
for
capacity
expansion
at
Royal
Enfield.
This
will
be
achieved
through
a
brownfield

expansion at Cheyyar manufacturing facility at Tamil Nadu, taking our annual production capacity to 20 lakh units per year from the current 1.4 million to meet the rapidly expanding existing and the projected future demand.

The project is aligned with our consistent growth focus and underscores our commitment to the evolving needs of our

global
community .
For
this
expansion,
we
will
invest
an
estimate
of
almost
INR
958
crores
over
a
period
of
2
years,
reaching
the
target
capacity
by
FY
27-28.
By
scaling
our
existing
Cheyyar

plant, we are ensuring a faster capacity ramp-up and cost-ef ficient operations.

Now I will hand over to Mr. Aggarwal to talk you through the updates of the VE Commercial Vehicles. Over to you.

Vinod

Aggarwal:

Thank

you,

Govind.

I'm

pleased

to

share

that

VECV

has

delivered

its

best

ever

third

quarter

performance,

reinforcing

our

position

as

a

resilient

and

future-ready

CV

player .

India's

macroeconomic

environment

remained supportive through Q3. Strong government capex in roads and infrastructure, GST and income tax reforms and contained inflation helped improve customer confidence.

With fiscal stability and continued policy support for domestic manufacturing,

the
commercial
vehicle
industry
saw
healthy
momentum
heading
into
the
second
half
of
the
year.
Against
this
backdrop,
VECV
recorded
Q3
volumes
of
26,086
units,
a
24.2%
growth
year-on-year ,
taking
our
YTD
performance

to 69,597 units, a growth of 13.2%. This marks our strongest ever quarter 3.

We maintained Number 1 position in LMD trucks with Q3 sales of 12,447 units, which is 28.3% growth year-on-year and market share of 34.5%. The pro plus upgrades and uptime promise continue to drive preference. Our heavy-duty trucks sales grew 14.9%, reaching 6,850 units in Q3, the best ever third quarter supported by infrastructure execution and improved route economics.

Bus sales were at 3,624 units, which were down 3.3% year-on-year on tender timing, underlying market sentiment remains positive for buses as well.

In

our parts business, both Eicher and Volvo combined, we recorded a robust growth of INR 810 crores, which is 14.4% year-on-year growth, aided by higher vehicle utilization and deeper service penetration. Exports in

Q3 were 2,056 units, which is 72.5% year-on-year growth on better traction in select markets.

During the quarter , we advanced our strategy on portfolio readiness. We complemented our SCV entry with the launch

of
Eicher
Pro
X
diesel,
powered
by
the
new
E449X2
engine
focused
on
best-in-class
efficiency ,
comfort
and
uptime
for
city
near
city
logistics
and
key
applications
in
e-commerce,
FMCG,
cold
chain,
fresh
produce

and
couriers.

Our
network
footprint
crossed
1,150+
touchpoints
with
continued
East
market
focus,
container
support
across
14
highways,
13
new
service
sites
in
Q3
and
20
operational
Pro
X
setups
and
whereas

letter of intents, we have given for another 21 setups, now servicing 21,500+ vehicles nationwide.

Throughout the quarter , pricing discipline, operating leverage and cost reductions supported margin growth. Coming to VECV financial performance. We continue to improve financial strength with profitable growth. Our revenues for Q3 are INR 7,019 crores against INR 5,801 crores

last
year.
EBITDA
margin
for
Q3
is
INR
652
crores
as
against
INR
517
crores
last
year.
EBITDA
margin
for
Q3
9.5%
against
9.2%
last
year.
PAT
for
Q3
INR
338
crores
against

INR 299 crores last year.

The medium-term CV outlook remains constructive, supported by infrastructure development, stable financing and domestic manufacturing push. With future-ready products, expanding alternative energy portfolio, strengthened service coverage, VECV

is
well
poised
for
resilient
growth.

Thank
you
for
being
with
us
on
the
call
today .
We
can
now
move
to
a
question-and-answer
session.
Moderator:
The
first
question
is
from
the
line
of

Chandramouli Muthiah from Goldman Sachs.

Chandramouli Muthiah: My first question is just around the margin performance. So this appears to be the first time in almost 5 to 6 quarters where we've seen sequential

improvement

in

gross

margin

and

sequential

reduction

in

other

expenses.

So

I

just

want

to

understand

what

drove

this?

And

also,

if

you

could

elaborate

a

little

bit

on

whether

this

could

be
a
potential
inflection
point
in
your
margin
journey ,
given
that
over
the
past
5
to
6
quarters.
We've
built
up
a
critical
scale
and
volume
now
potentially
comfortably
above
1
million
units

per
annum
and
what
that
means
for
value
engineering
and
sourcing
syner gies?
B.
Govindarajan:
Vidhya?
Vidhya
Srinivasan:
I
think,
Chandramouli,
I've
been
kind
of
consistently
talking
about
the
same
message
from
a
margin

standpoint,
okay?
In
2022,
as
you
know ,
on
the
sidelines
of
the
Hunter
launch,
we
had
pivoted
to
rebalance.
And
there,
we
had
talked
about
our
focus
on
growing
absolute
volumes,
absolute
margins,

and that's essentially what we've delivered. Since then, if I take the 12-quarter period, our volumes have grown by a CAGR of 14%.

Our revenues have grown by 18%, our gross profit

by
20%
and
our
EBITDA
by
22%,
okay?
And
therefore,
consistently ,
we've
kind
of
looked
at
growth.
And
that's
what
the
management
is
focused
on
delivering
even
as
we
go
forward.
So
I

think

that

is

broadly

the

point

that

we

wanted

to

leave.

Specifically ,

if

you

look

at

some

of

the

impact,

obviously ,

we've

had

a

great

quarter

from

a

volume

standpoint.

So

I

think

--
I
mean,
we
can
get
into
the
details,
but
I
think
this
is
the
larger
message
that
I
wanted
to
leave
you
with.
Chandramouli
Muthiah:
Got
it.
Can
you
specifically
comment
on

what
drove
the
margin
improvement
at
a
gross
margin
level?
And
then
also
what
drove
some
of
the
other
expenses
control
in
this
quarter?
Vidhya
Srinivasan:
Yes.
I
think
versus
--
if
you

take other income from a -- I mean, it's literally a bit of timing also, which is coming through because we've had timing of spend in different quarters. So --

but we can get into more detail separately . There is an operating leverage which is also kicking in, right? And I think some marketing

spends;
we've
had
more
spend
in
the
second
quarter
versus
third
quarter .
So
some
of
that
is
a
timing
piece.
We've
also
had
operating
leverage
as
far
as
overheads
are
concerned.
So
all

that
is
kicking
in
as
far
as
other
expenses
are
concerned.
B.
Govindarajan:
So
primarily
number
one
is
operating
leverage,
as
Vidhya
was
mentioning
and
fiscal
discipline
on
the
expenses,
in
fact,
even

the
marketing
expenses,
we
have
done
ahead
planning
for
this
season,
which
has
also
helped
us
in
looking
at
a
unit
benefit.
Model
mix
has
helped.
VA/VE
has
kicked
in.
So
overall,
it's

been

well

executed

profitability .

Chandramouli

Muthiah:

Got

it.

That's

helpful.

My

second

question

is

just

on

the

capacity

expansion

that

was

announced.

If

you

could

help

us

understand

what

part

of

this

would

be
focused
on
the
350cc
and
sub-350cc
portfolio,
which
is
where
we've
seen
a
meaningful
pickup
in
demand
over
the
past
12
to
18
months.
And
what
part
is
sort
of
the
350cc

plus
portfolio?
And
also,
I
think
as
you've
mentioned
that
this
is
going
to
be
capacity
expansion
over
an
8-quarter
period.
So
is
it
going
to
be
sort
of
linear
through
that
period?

Or
do
you
expect
it
to
be
concentrated
in
certain
points
during
that
period?
B.
Govindarajan:
So
Chandramouli,
first
and
foremost
is,
I
think
you
are
right,
the
350cc
demand
has
gone
up

post
the
GST,
thanks
to
the
reduction.
And
the
450cc
and
650cc
have
slightly
come
down,
but
the
rate
of
recovery
is
better .
We
are
happy
about
that.
So
for
450cc
and
650cc,

there

is

a

capacity

which

is

built,

which

is

good

enough

because

currently ,

the

utilization

is

slightly

lower .

With

the

debottlenecking

and

a

bit

of

automations,

we

can

cater

to

the

coming

year's

growth.

And

350cc,

obviously ,

because

during

the

festive

time

itself

compared

to

last

year,

we

grew

almost

50%

with

the

higher

base

itself.

So

there

is

a

demand

for

the

350cc,

which

is

continuing.

And

back

of

it,

today ,

we

actually

presented

to

the

Board

about

the

capex

requirement,

which

is

there.

The

positive

sign

is

Cheyyar ,

which

is

an

already

existing

place

for

us.

So that's why it is a brownfield project. If you recall the last quarter when we were discussing, we also have gone ahead with one module for about INR 100-odd crores, which we

have

invested

to

come

out

with

some

capacity

additional

requirement

for

the

Q1

itself.

So

that

is

going

to

kick

in

now.

And

this

investment

which

we

are

doing

in

modules

will

start
kicking
in,
in
various
stages
depending
upon
the
lead
time,
but
it's
all
mapped
to
the
peak
requirement,
which
is
required
for
the
festive
season.
And
to
that
extent,
all
the
other

periods,
the
availability
will
be
better .
So
over
the
period
of
time,
though
we
have
given
almost
about
8
quarters'
time,
it
will
be
slightly
ahead,
we
will
build
the
overall
capacity
to

almost 2 million motorcycles.

Chandramouli Muthiah: Got it. That's helpful. And just lastly , if you could give us some color around

the
EU
trade
deal
and
U.S.
trade
deal.
These
have
in
the
past
been
important
markets
for
the
450cc
and
the
650cc
portfolio.
So
if
you
could
just
give
us
some
color
on

how
you're
looking
at
these
trade
deals
and
what
that
represents
for
your
business
plan
going
forward?
B.
Govindarajan:
So
let's
go
one
by
one.
The
first
is
about
the
U.S.A.,
which
you

asked.

Currently ,

it's

almost

about

50%

plus

there

was

some

speculation

of

higher

taxations

and

this

and

that.

With

the

latest

trade

deal,

which

has

been

done,

the

rate

is

18%.

However ,

there

is

a

steel

and

aluminum

tariff,

that,

there

is

no

clarity

as

of

now.

We

are

waiting

for

a

bit

more

clarity

on

that.

With

that,

the

weighted

average

tariff

is

almost

about

41%
to
42%
currently .

If
that
goes
off,
mostly
it
will
go
off.
That's
what
we
are
expecting
in
the
fine
print,
then
it
will
become
an
18%
for
us,
which
is
a

good

sign.

It

will

open

up

the

market

for

us.

But

the

steel

tariff,

which

is

there,

is

common

for

everybody .

So

whoever

is

importing

into

the

U.S.

So

it's

a

common

denominator

for all. As far as EMEA is concerned, currently , we are at almost about 6% duty structure. Once again, clarity is being sought.

Mostly that will also go off. It will help

us

to

be

accessible

even

in

the

European

market.

So

that

way,

we

are

even

waiting

for

the

fine

prints

to

be

available

with

us

to

get

the

full

clarity .

We

are

assuming

directionally ,
as
I
mentioned,
U.S.
at
18%,
EMEA
knocking
off
6%.
That
will
be
the
scenario
of
the
whole.
Moderator:
The
next
question
is
from
the
line
of
Kapil
Singh
from
Nomura.
Kapil

Singh:

Congratulations

on

a

very

strong

performance.

I

just

wanted

your

view

on

the

industry

growth,

especially

for

the

premium

industry ,

how

are

you

thinking

for

Q4

and

next

year?

And

do

you

expect
growth
in
the
more
than
350cc
portfolio
also
when
you
are
looking
at
next
year?
Or
do
you
need
to
take
some
actions
there
to
come
with
lower
engine
CC
options
to

drive growth in that segment? So just some thoughts there.

B. Govindarajan: Yes. So in Q4, I'm expecting the growth momentum to continue. Inquiries are better . Conversions are better , bookings are good. So

there
is
a
positive
trend
which
is
continuing.
So
Q4
also,
we
are
positive
that
we
will
be
growing
more.

Coming
to
the
next
year
question,
which
you
are
talking
about,
I
think

the whole industry is looking at high single digit, that's sort of the growth. And the premium segment will grow . We will continue to outgrow the market. That's our ambition.

And with

all

the

products

which

are

getting

lined

up

and

on

top

of

it,

this

is

the

125th

year

of

our

brand,

and

there

is

going

to

be

a

mother

brand

marketing

campaign,

which

will

actually

take

our

brand

to

a

different

level.

And

we

also

have

products

lined

up

for

the

coming

year.

So

with

that,

we

are

very,

very

optimistic

that

our

growth

will

continue.

Kapil Singh: On the more than 350cc portfolio, any comments?

B. Govindarajan: More than 350cc, I mean, honestly , post the GST,

there
is
a
huge
drop.
Just
pre-GST
between
August
15
to
September
22,
there
is
a
lot
of
pre-buy ,
which
has
taken
place.
So
the
numbers
may
be
slightly
skewing.
But
at
pre-buy ,

post that, there was a huge drop. We have passed on whatever the GST rates, which are there, we just went into the market as it is at about 40%. So the growth

was
dipping.
It
went
as
good
as
almost
about
40%,
but
the
rate
of
recovery
of
650
cc
started
showing
a
positive
sign
within
about
a
month's
time
and
450
cc
has
started

showing
the
rate
of
recovery
now.
So
with
the
Classic
650,
which
we
launched,
Bullet
650,
which
we
have
launched,
now
the
inquiries
for
Classic
650
and
Bullet
650
is
also
healthier .
So

that

is

also

going

to

grow .

We

just

finished

the

GT

Cup

racing

across

about

8

cities,

which

has

really

helped

us

to

create

a

sort

of

an

interest

across.

We

launched

the

Mana Black in the 450cc on the Himalayan platform. That has also kindled the interest in the product.

So overall, there is a positivism which I'm seeing in the inquiry level. Conversions are

also

coming

up.

That's

why

I

said

the

rate

of

recovery

is

better .

Have

we

come

to

the

same

level

as

the

earlier

time

pre-GST

level?

No.

But

are

we

seeing

the

traction

that
we
are
reaching
there?
Yes.
650
is
faster
and
450
is
following
that.
Kapil
Singh:
Okay .
Great.
And
sir,
one
question
was
on
the
gross
margin.
Just
trying
to
understand
what
drove

the

improvement.

If

you

could

give

some

color

on

the

commodity

price

movement

for

3Q?

And

what

is

the

outlook

you

are

seeing

for

4Q

and

the

same

for

pricing

as

well?

B.

Govindarajan:

Do

you

want

to

add?

Vidhya

Srinivasan:

Yes.

So

as

far

as

gross

margin

is

concerned,

if

I

take

the

period

from

this

quarter

versus

the

previous

year

same

quarter ,

we've

had

an
increase
in
costs,
overall
improvement
in
GC
due
to
domestic
model
mix
is
about
0.6%.
We've
got
100
basis
points
on
account
of
increase
in
cost
due
to
OBD2B
norms.

We've

also had a 70 basis points, which is a net impact of commodity inflation, which is offset by around 20 basis points, which is on account of value engineering, etc. So the cost

increase
largely
is
driven
by
the
increase
in
precious
metals,
which
we've
had
aluminum
as
well
as
copper .

Then
we've
also
had
about
40
basis
points,
which
is
the
impact
of
model,
variant,

geography

mix,

etc.

But

all

of

this

has

been

offset

by

about

140

basis

points,

which

is

on

account

of

price

increases

that

we've

taken

in

April

as

well

as

July

on

select

models
case-by-case
basis.
Yeah
B.
Govindarajan:
It's
as
Vidhya
was
mentioning,
there
is
a
price
increase
which
we
have
taken,
in
April,
one
tranche,
then
in
July,
one
tranche.
Then
commodity
inflation
offset

to some extent through the pricing increase, model mix, and that's what has actually driven the GC.

Vidhya Srinivasan: Yeah.

Kapil Singh: Sir, any outlook for next quarter on commodities?

B. Govindarajan: Look, to the extent of commodities, it is not cooling off. Equally , I must say it is not also heating up.

So

it

is

some

weeks,

it's

neutral,

some

weeks,

it's

certainly

shooting

up.

But

there

will

be

a

bit

of

a

pressure

on

the

commodity

for

some

more

time.

That's

for

sure.

But

we

also

have

a

value

engineering

pipeline,

which

is

kicking

in

continuously .

Kapil

Singh:

Okay .

I

assume

no

pricing

changes

have

happened,

right?

Vidhya

Srinivasan:

I

think

January ,

we've

already

taken

some

select

models.

So

we

are

slowly

looking

at

our

entire

portfolio.

And

obviously ,

as

we've

talked

about

it

in

the

past

also,

we're

not

taking

aggressive

price

increases

and

focus

continues

to

be

on

growth.
But
wherever
we
are
finding
significant
sharp
commodity
movement,
we
are
taking
on
a
case-to-case
basis.
So
yes,
that
we
have
taken
a
bit
in
January
as
well.
B.
Govindarajan:
Price
increase,

the
discussions
all
as
we
have
been
always
saying,
we
are
adding
value
back
to
the
product.
And
that's
why
value
for
money ,
perceived
value
for
money
has
to
be
good
for
Royal

Enfield
products.
Everybody
should
desire
to
own
one
at
an
accessible
price
point.
We
are
very
cautious
of
it.
So
we
will
go
accordingly
at
what
is
right
at
that
point
of
time

in the price increases. But yes, in January also, we took a price increase on select models.

Kapil Singh: 0k. Thank you so much and best wishes sir.

B. Govindarajan: Thank you.

Moderator:

The next question is from the line of Gunjan from Bank of America. Please go ahead.

Gunjan: Thanks for taking up my question. Just a quick follow-up to just on Kapil's question on

the
pricing
hike.
Is
it
possible
for
you
to
quantify
what
sort
of
increase
we
have
taken?
And
also
on
the
value
engineering,
do
you
mentioned
20
basis
point
Y-on-Y
improvement
that
you've

seen

on

that

front?

If

you

can

just

give

us

a

little

bit

more

outlook

on,

how

do

we

think

about

value

engineering?

Is

there

a

number

that

you

can

put

that

this

is
the
sort
of
benefit
that
can
come
through
with
the
scale
that
we
are
seeing
on
350cc
platform?
Vidhya
Srinivasan:
Yeah.
So
as
far
as
January
price
increase
is
concerned,
I
think

I
would
say
a
blended
model
price
increase
of
about
0.5%.
And
as
far
as
value
engineering
is
concerned,
as
we
said,
we've
talked
about
0.2%.
It's
very
difficult
to
quantify
exactly
how

it's

going

to

pan

out

in

the

following

quarters

because

it

really

depends

on

what

is

going

to

get

implemented

in

each

quarter .

So

I

won't

necessarily

be

able

to

guide

to

that
extent.
And
in
terms
of
what
price
increases
we've
taken
last
year,
which
is
April
and
July,
as
I
said,
we've
talked
about
140
basis
points
that
you
see
both
across
models,

yeah.

Gunjan: Got it. And this value engineering, I understand no quantification, but directionally , can you share some qualitative thoughts around

what

is

it?

Is

it

the

scale

benefits?

Is

the

sourcing

benefits

that

you're

seeing

from

the

suppliers?

Or

is

it

modular

platforms?

Some

qualitative

color

will

help

in

terms

of

directionally

thinking

that
there
is
more
cost
levers
to
play
out
over
the
next
few
quarters?
B.
Govindarajan:
So
yes,
Gunjan,
one
is
the
scale,
which
is
a
straight-line
equation.
And
when
the
scale
comes

in,

we

do

get

something.

The

second

is

we

also

have

identified

low-cost

country

sourcing,

different

places.

In

some

of

the

electrical

items

along

with

Stark,

we

are

also

trying

to

see

which

country is better , why it is better . So we are also looking at that.

The third element of the value engineering is as because the platforms, the J platform, K platform, T platform

are

all

very

well

matured

now

in

all

the

products

with

the

bullet

being

the

last

product

for

changeover .

Now

the

value

engineering,

we

can

be

a

bit

more

aggressive

in

terms

of

weight reductions, in terms of optimization and in terms of the precious metal usage in the catalytic converters. All those are different projects which are done. The funnel is very healthy , and it

all

is

under

testing.

So

value

engineering

will

keep

kicking

in

at

different

point

of

time,

but

we'll

be

cautious

in

implementing

it

because

when

you're

doing

a

higher

volume,

we

don't

want

to

have

anything

at

the

front

end

having

2

different

kind

of

a

vehicle.

So

we

have

to

be

careful

about

it.

So

we

will

time

it

accordingly ,

but

the

value

engineering

exercise

is

aggressively

on.

Gunjan:

Got

it.

And

if

I

can

just

ask

the

last

question

on

this

call.

There

used

to

be

a

huge

intensity

of

precious

metals

after

COVID,

right?

And

you

all

were

working

to

optimize

the

intensity ,

reduce

where

possible.

Is

it

possible

to

share

how

much

is

precious

as

a

percentage

of

either

the

total

RM

or

net

sales,

whatever

way

you
can
give
us
some
sense?
B.
Govindarajan:
We'll
probably
send
it
to
you,
Gunjan.
I
may
not
be
having
it
immediately
now,
but
I
can
tell
you
one
thing
is
precious
metal.

We
mapped
it
for
next
almost
4
quarters,
how
it
will
be
based
on
what
prebuy
which
we
can
do,
how
much
we
can
do
as
a
hedging
away .
So
all
those
activities

have
started
because
we
are
expecting
that
to
go
slightly
higher ,
but
we
are
protecting
so
that
it
is
not
hitting
us
as
a
headwind.
Gunjan:
Got
it.
And
just
shifting
to
exports,

if

you

can

--

if

I

look

at

the

last

few

months

of

trends,

as

the

base

has

caught

up,

we

have

clearly

seen

the

growth

also

temper

down

a

bit.

Directionally ,

how

should

we

think

about

export

growth?

Now

you've

of

course,

pointed

out

in

the

past

that

there

is

end

market

weakness

in

some

of

the

mature

markets.

But

how

do

we

think

about

growth?

I

know

the

FTAs

will

kick

in,

but

that's

still

some

time

away ,

right?

But

more

from

the

next

1

year

perspective,

what

sort

of

growth

we

should

think

through

for

this

business?

B. Govindarajan: As I always mentioned, the international market for Royal Enfield has to be seen from country by country . It can't be that one outside India, what is the business. If

I have to tell you some of the markets, which are developed markets, let's take the U.S.A. with all the confusion which is

getting
sorted
out,
probably
once
the
tariff
is
coming
to
18%,
yes,
we
will
see
some
growth,
which
is
happening.

The
product
like
Bear
650,
Super
Meteor
650,
and
now

the

new

products

which

are

lined

up

and

the

Himalayan,

it

has

a

very

good

reception

in

the

United

States

as

a

whole

because

everybody

are

looking

at

only

for

these

sort

of

motorcycles,

which

are

very

accessible

at

a

sweet

price

point

at

the

best

quality .

So

the

Royal

Enfield

cap

is

there.

So

there

is

a

possibility

for

us

to

grow

in

that

market

once

the

market

stabilizes.

Let's

talk

about

Europe

and

the

U.K.

and

especially ,

I

must

tell

you,

it's

internally ,

we

call

it

a

market

adjustment

year.

Probably

I

will

call

it

as

a

calibration
year.
Fundamentally
because
OBD2B,
the
entire
vehicles
which
were
available,
which
I
also
cast
in
the
last
meeting
also
our
last
call,
is
that
there
will
be
huge
pre-buy
and
pre-
registrations,

which
will
be
there,
which
will
all
be
available
at
the
discounting,
which
we
haven't
done.

But
we
are
competing
in
a
market
which
has
a
very
huge
discount
because
of
the

pre-registration

vehicles.

That's

why

I'm

saying

it's

a

year

of

calibration.

We

are

consciously

looking

at

how

do

we

grow

in

that

market.

Italy

is

doing

well

for

us.

So

there

is

a

focus
on
Hunter
hoods
and
all
those
things
in
Italy.
And
as
far
as
the
other
markets
are
about,
LATAM,
Argentina
and
Colombia,
the
growth
is
continuing.
Brazil
is
a
North
Star.
In

fact,

at

Brazil,

our

Guerilla

got

the

Motorcycle

of

the

Year,

Himalayan

won

the

Trial

Bike

of

the

Year.

And

we

are

Number

2

position

in

the

middle

weight

as

of

now.

So

we

have

been

consistently

growing.

And

I

do

see

that's

one

such

market,

which

is

going

to

really ,

really

garner

volume

for

us.

We

are

going

to

have

our

own

CKD

with

the

crew assemblers, which we are doing, now we are consolidating. We will have our own CKD facility there soon. So Brazil is one such big market, and we are investing heavily in that market. APAC, it is so, so because Thailand last year, which had its own issues. Now we are seeing some amount of growth, which is there.

SAARC is another own area. The

terrain

is

very

good.

That's

why

first,

the

basics

have

to

be

set

right

in

that

area,

especially

Bangladesh

and

Nepal.

We

have

signed

up

with

the

distributors.

We

have

identified

the

dealer

locations,

spare

parts,

CKD

facilities.

All

those

things

are

done,

dusted

and

now

the

team

is

in

place,

but

we

are

cautiously

moving

in

our

marketing

campaign

depending

upon

the

political

situations

and

the unrest which are taking place. We don't want to be overtly there. So we will go cautious about those areas, but that's another market.

So in the international market, as I have

been

always

maintaining,

we

are

cautiously

optimistic.

Market

by

market,

there

will

be

a

growth,

but

we

have

to

continue

to

be

focusing

on

the

brand

buil
ding,

which

we

will

use

the

overarching 125th year celebration. So we are going into some markets like Brazil. We are going to be there in Sao Paulo and Rio.

There,

we

will

do

the

market

activations

with

maybe

Hunter ,

Himalayan.

And

that's

how

we

feel

that

we

can

be

in

the

market

and

grow

the

market.

So

maybe

in

the coming year, as I mentioned, calibration and grow . That's what is for the international market. Gunjan: Got it . This is really helpful. Thank you so much and best wishes. B. Govindarajan:

Thank

you

Gunjan

Moderator:

The

next

question

is

from

the

line

of

Amyn

Pirani

from

JPMor gan.

Please

go

ahead.

Amyn

Pirani:

Hi,

Good

evening

and

Thanks

for

the

opportunity .

Most

of

the

questions

have

been

answered.

So

just

a

few

clarifications

on

the

capacity

expansion

plan.

So

first

of

all,

the

1.45

million

capacity

that

you

have

mentioned,

which

is

currently ,

is

it

the

capacity

like

which has just been reached right now? Or this is something that we always had because we are going to do some debottlenecking at the existing lines?

B. Govindarajan: So Amyn, just a

clarity ,

1.2

million

is

a

declared

capacity ,

if

you

all

know .

We

have

been

saying

1.2

million.

And

about

INR100

crores,

which

was

actually

cleared

by

the

Board

about

2

months

back,

which

we
said
was
the
first
quarter ,
which
will
start
kicking
in.
So
that
will
be
another
about
1
to
1.5
months'
time.
That's
where
the
build
capacity
goes
to
almost
14.5
lakh
--

sorry ,

1.45

million.

But

we

are

seeing

the

growth

momentum

continuing.

That's

why

we

are

not

waiting

for

the

actual

SBP

cycle

and

all.

Today ,

in

the

Board,

we

presented

about

the

capex

requirement

for

further

taking

it

to

2

million.

So

we

are

kickstarting

that

starting

today .

The

board

has

cleared

the

investment

of

about

INR958

crores.

We

have

planned

all

those

things

for

the

expansion.

So

that's

going

to

be

a

brownfield,

but

it

will

be

in

module,

which

is

required

for

every

month

growth

at

what

point

of

time,

what

is

the

bottleneck,

and

that

has

to

be

focused

and

brought

in.

So

we

have

a

principal

clearance

for

about

another

taking

it

to

2

million

motorcycles.

It

will

all

start

this

activity .

That's

why

we

said

in

8

quarters,
it
will
keep
coming
in
because
it's
not
going
to
come
in
1
quarter .
That's
also
not
required.
So
it
has
to
come
in
over
the
period
of
time,
especially
for
the

festive
peak
seasons
and
all.
So
that
will
start
kicking
in
quarter -by-quarter .
Amyn
Pirani:
Okay .
Okay .
And
basically ,
the
whole
2
million
capacity
will
be
available
to
us
in
the
beginning
of
fiscal

year
'29.
Is
that
the
correct
understanding?
B.
Govindarajan:
Yeah.
Your
take,
yes,
Amyn.
Amyn
Pirani:
Yeah.
Yeah.
Okay .
And
just
as
we
go
from
1.45
million
to
2
million,
I
just
want

to
get
your
sense
as
to,
do
you
have
any
broad
targets
or
plan
as
to
how
much
of
that
could
be
domestic
or
exports?
And
the
reason
I'm
asking
that
question
is

that
for
you
as
well
as
for
a
lot
of
your
peers
from
India.
It
appears
that
a
lot
of
the
export
growth
will
also
happ
en
through
investments
that
one
will
have

to do in all of these markets, like some CKDs in some markets, some other facilities in

some other markets. So

just
wanted
to
get
a
sense
as
to
do
we
see
the
export
share
based
on
this
capacity
expansion
also
going
higher
over
the
next
3,
4
years?
B.
Govindarajan:
First
and
foremost,

Amyn,

the

CKD

has

to

go

from

India.

So

the

base

capacity

has

to

be

generated

in

India

because

the

amount

of

work

content

which

we

will

be

doing

outside

India,

it

will

make

no

sense

because

the

cost

will

be

higher .

So

it

has

to

go

from

India,

that's

how

the

cost

advantage,

which

is

there.

So

the

fundamental

base

capacity ,

which

is

required

to

take
it
to
2
million,
majority
will
be
in
India
only
and
in
Cheyyar
because
that
is
where
the
brownfield
opportunity
is
there
for
us.
So
we
have
to
go
faster
for
implementation,

we will be doing it.

As far as the CKD investments are concerned, most of the markets, as I've been saying in the last 2 years, we are setting the base ready

for
the
future
to
-
once
the
market
opens,
we
will
ride
on
it.
One
is
about
Brazil.
We
have
2
assemblers,
but
we
are
consolidating
and
making
it
a
bigger
one.
So

that
is
already
baked
in
those
expenses.
It's
a
cash
flow
for
this
year.
And
APAC
in
Thailand,
we
have.
Argentina,
we
have,
Colombia,
we
have.
Bangladesh,
we
have,
Nepal,
we
have.
And

we

are

also

looking

at

Mexico

and

all

if

it

is

required.

So

in

all

those

areas,

the

playbook

from

us

is

fully,

fully

ready .

But

to

answer

you

in

one

line,

the

base

capacity

enhancement

has

to

take

place

at

Chennai,

India

because

that

is

what

is

going

to

feed

this

plant.

Amyn

Pirani:

That' s

helpful

sir.

Thank

you.I

will

come

back

in

the

queue.

B. Govindarajan: Thank you.

Moderator: The next question is from the line of Pramod Kumar from UBS Securities. Please go ahead.

Pramod Kumar: Yes. Thanks a lot. My first question is on the current

daily

production

--

your

vendors

supply .

Understand

how

the

next

few

months

will

plan

out...

Moderator:

Sorry

to

interrupt

Mr.

Kumar .

We

are

unable

to

hear

you.

Your

voice

is

muffled.

Pramod

Kumar:

Can

you

hear

me

now?

Is

it

better?

Moderator:

Yes,

please

go

ahead.

Pramod

Kumar:

Yes.

So

my

first

question

is

to

Govind,

on

the

current

production

capacity

because

what

we

understand

is

demand

is

way

higher

than

what

you

can

supply ,

and

there

have

been

some

holidays

and

all

that

last

few

months.

But

where

are

we

on

the

daily

production

capacity

run

rate?

And

how

do

you

look

at

February ,

March

production

run

rate,

especially

given

the

very

low

dealer

inventory?

And

any

thoughts

around

working

the

weekends

or

something

like

that

to

kind

of

improve

the supply to the market?

B. Govindarajan: Thanks, Pramod. Yes, the plant is running almost 24/7 now, and it's in full capacity . All the plants, we are looking at wherever there is a possibility , if there is any leave or something like

that, can we work on it with a special permission. Everything is being

looked

at

because

the

demands

are

good.

It's

a

better

situation,

and

we

have

been

growing.

So

to

that

extent,

our

team

is

also

fully

geared

up.

As

far

as

the

vendors

which
are
coming,
we
have
identified
all
the
debottlenecked
areas
which
are
required
to
ramp
up
in
the
vendor
and
investments.
We
are
having
pocket
discussions
with
all
the
vendors.
And
from
2

million

capacity ,

when

do

they

kick

in

and

we

have

given

a

clarity

to

talk

to

their

Board.

In

fact,

today ,

we

shot

a

mail

to

them

to

start

talking

about.

And

we

have

given

a

cadence

of

when

you

have

to

ramp

up

and

all

those

capacities,

it

all

will

get

aligned.

If

I

have

to

tell

you

on

a

daily

level,

I

think

it's

--

if

I

have

to

tell

you,

I'm

sure

you

guys

are

seeing

it,

it's

last

month,

we

have

done

almost

about

110,000

motorcycles.

So

that

is

divided

by

the

number

of

working

days,
Pramod,
yeah.
Pramod
Kumar:
Given
Pongal
holidays,
how
many
working
days
did
you
have
in
January?
B.
Govindarajan:
No,
that's
gone
now,
February
and
March.
We
don't
have
much
of
holidays,
except

the
annual
inventory
which
we
have
to
do.
So
to
that
extent
we
will
--
and
if
I
had
to
tell
you,
we
are
delivering
almost
about
4,300
to
4,400
vehicles
per
day.

Pramod Kumar: Okay , 4,300 to 4,400. Okay . And Govind, any change in the demand context because like we had an issue with demand or accessibility . With post GST, what are the kind of

--
I
don't
know
if
you
answered
this
question,
forgive
me
if
you
already
discussed
this.
But
what
is
the
change
in
the
kind
of
walk-ins
and
the
quality
of
customers
or
the

customer
profile,
which
has
changed
at
what
you're
seeing
at
the
dealership?
And
anything
to
call
out
on
rural
versus
urban?
Are
you
seeing
higher
uptick
in
any
one
of
the
segments?
Or

what

if

you

can

just

provide

some

qualitative

flavor

on

the

kind

of

demand

you're

seeing?

And

because

you're

going

ahead

for

a

big

expansion.

So

I'm

just

trying

to

understand

what

gives

you
that
confidence
that
just
based
on
the
GST
cut,
whether
this
sustains?
I'm
just
trying
to
get
some
confidence
on
the
demand
read
here.
B.
Govindarajan:
Yes.
So
Pramod,
currently ,
the
demand

is

holding

up.

There's

a

good

inquiry .

I

always

mentioned

the

funnel

is

from

the

website

search.

The

search

is

very

good.

It

does

mean

the

interest

in

Royal

Enfield

at

the

overall

level

is

very

good.

That's

a

starting

point

for

that.

Now

when

we

come

back

into

this,

where

is

the

interest

showing?

Is

it

in

urban

market

or

in

the

rural

market

or

in

the

semi-urban

market

during

this

window ,

which

we

have

seen.

And

you

all

know ,

including

the

FMCG,

urban

areas

were

not

growing.

But

now

we

are

seeing

even

the

urban

markets

are

growing. Urban markets are growing, could be -- we are not able to attribute exactly to that, but probably the income tax cut, which has come in, there is a positive sentiment

which
is
therein
spend.

So
to
that
extent,
I'm
seeing
the
urban
market
is
also
growing.
Rural
and
semi-urbans
are
really ,
really
growing.
So
when
there
is
a
growth,
then
the
next
cut

which we are talking about is which product is actually showing a lot of traction. Post GST, if I have to give you some

2026

color ,
all
our
350cc
models
are
equally
growing,
including
Classic.
The
age
profile
because
of
the
accessibility ,
which
has
become
better
post
the
GST
is
for
the
Hunter .
So
the

Hunter age profile has actually dropped further . It has come to almost 40% of the buyers who are buying Hunter . As of now, they are at an age group of almost 23 to

24.

So

that

has

drastically

come

down,

which

used

to

be

only

almost

about

34%,

35%.

There's

a

huge

jump,

5,

6

percentage

jump,

which

I'm

seeing

in

the

Hunter .

So

as

in

Classic,

walk-ins

are

increasing.

And

that's

why

I

said

when

the

interest

is

better ,

walk-ins

are

increasing,

all

the

products

are

actually

having

the

traction.

Bullet

350,

last

year's

phenomenon

had

been

--
earlier
to
that
when
we
launched,
it
was
only
in
the
Bastian
market.
Last
year,
we
went
in
for
pan-India.
Now
pan-India,
where
the
Bullet
was
not
really
accepted,
also
the
markets

where

the

Bullets

are

having

a

very

high

traction

now.

So

our

Hunter

is

growing,

Bullet

is

growing,

Classic

is

growing.

Now

we

have

come

here

with

the

Meteor ,

on

the

350cc

even

with

the

Sundowner .

So

the

Meteor

is

actually

growing

because

we

completely

did

a

refresh

of

the

Meteor .

It

was

showing

a

dip

once

again

with

the

GST

and

with

the

new

colorways,

it
is
actually
going
up
in
this.
As
I
mentioned,
more
than
350cc,
there
was
a
sharp
decline
post
the
GST
tax
increase.
But
as
I
mentioned,
the
rate
of
recovery
of
that

is

better .

650

has

shown

the

recovery

much

higher

than

the

450.

450cc,

it

is

showing

a

recovery ,

but

it

is

slightly

slower .

For

that

market,

we

have

to

do

activation

a

bit

more.
So
we
are
starting
with
what
is
called
the
Gymkhana
for
the
450cc,
where
we
are
doing
rider
training
so
that
you
can
be
a
better
training
--
trained
riding
personality
and

use
the
motorcycle
to
see
how
best
the
motorcycle
is.

We
launched
Mana
Black,
which
is
also
showing
Himalayan
is
having
some
traction
in
this.
The
Hunter
Hood
as
a
function,
which

we

have

been

doing

now

across

small

towns.

Last

year,

we

did

only

3.

In

the

coming

year,

we'll

be

seeing

it

in

more

places

where

inquiries

are

better ,

and

young

audiences

are

looking
for
something
to
celebrate.
So
we
are
taking
the
street
culture
onto
a
platform
called
Hunter
Hood.
So
with
all
the
activities,
plus
the
125th
year,
as
the
mother
brand
campaign,
which

we are going to do, that is what is actually giving us the confidence that, yes, the growth is continuing and the momentum will continue.

Inquiries are better . Our dealer principals discussions which we had, all of them are very upbeat about the overall market. The middle size market itself is also growing. That's a good thing. I mean if I have to talk about 2

years

back,

we

discussed,

will

the

middle

weight

be

grown.

At

some

point

of

time,

we

also

said

it

rested

on

the

leaders

who

have

been

having

the

highest

market

share.

But

now

I'm

seeing

the

overall

middleweight

segment

is

growing.

That's

a

good

sign.

Thereby ,

with

the

overall

volume

going

up,

there

is

a

space

for

us

to

grow

with

all

the

activities

which

we are doing. That's the confidence. And with that background only, we requested the Board

for the clearance of the capex,

which
the
Board
has
consented
to
go
ahead
with
that
investment.
And
that's
what
we
are
going
ahead
with
for
fulfilment,
Pramod.
Pramod
Kumar:
Thanks
a
lot
Govind.
That' s
very
very
helpful
and

best of luck.

B. Govindarajan: Thank you.

Moderator: The next question is from the line of Pramod Amthe from InCred Capital. Please go ahead Pramod

Amthe: Hi, thanks for taking my question.The first

question

with

regard

to

the

capex

amount

and

the

way

you

are

calling

it

brownfield.

You

already

announced

a

20%

rise

in

the

capacity

to

1.8

to

1.4.

Now

we

are

talking

about

1.4

million

to

almost

2

million?

B.

Govindarajan:

Sorry .

Excuse

me,

Pramod,

your

audio

is

not

clear

to

us,

please.

Pramod

Amthe:

Can

you

hear

me

now?

B.

Govindarajan:

Slightly

better .

Go

ahead,

please. Pramod Amthe: I was saying when you're calling it brownfield, it's the capacity is moving up almost like 60%, 70% if I have to take it from 1.2 million to 2 million.

And the extent of capex is also much; much leaner as compared to a gross block. What are you doing differently as compared to a typical manufacturing setup to expand the capacity to get

such

efficiency

in

capex

spending?

B.

Govindarajan:

Two

things.

I

think

one

has

to

be

looking

at,

with

the

cafe

norms

coming

in,

how

efficient

and

how

fungible

it

is.

So

any

of

the

investments

which

we

are

doing,

we

have

to

have

that

fungibility

in

mind.

Second

is

that

more

and

more

automations

have

to

come

in,

in

these

areas,

which

will

actually

help

us

to

get

the

cost

advantages

also

because

you

can't

be

looking

at

the

labor

arbitrage

always.

So

we

have

to

be

looking

at

an

IoT

base,

which

--

that's

what

is

the

focus. Whatever the learning which we had from our existing plants like Orgadam and Vallam because we are all in one place and the team is the same. So we have funneled out

what

improvements

we

can

do

at

the

manufacturing

facility .

Thereby ,

we

will

give

a

differentiated

product,

flexibility ,

which

has

to

be

built

in.

And

it

has

to

also

be

there

tomorrow ,

when

the

450 goes up, what does it mean? How do we get the fungibility into this? Those are all the contours with which we are building this newer capacity .

Pramod Amthe: And the follow-up

--

yes,

sorry

go

ahead.

B.

Govindarajan:

Go

ahead,

please.

Go

ahead.

Pramod

Amthe:

And

also

in

terms

of

product

profile,

you

feel

the

existing

CC

range

will

fulfill

this

such

a

large

expansion or you would be looking at downsizing? Or how would you be looking at the product profile to fill this entire 2 million?

2026

B. Govindarajan: Our focus has always been the middleweight 250cc to 750cc. Currently , we are at about 350cc, 450cc and 650cc. You will see the adjacencies which are there, but

the

demand

as

of

now

is

350cc.

So

here

and

now,

the

task

in

hand

is

how

do

I

fulfill

that

demand

and

the

capacity

built

has

to

go

around

that

immediately .

But

there
are
enough
projects
which
are
going
on.
Pramod
Amthe:
Sure.
And
the
last
question
is
with
regard
to
VECV .
What
is
--
considering
that
the
recovery
this
time
seems
to
be
driven

by ICV, where I think Eicher has a very dominant market share position. How are you positioned in terms of capacity? And what is the plan for capacity buildup there? And second, in

terms
of
do
you
need
to
launch
new
products
there
to
maintain
the
leadership
because
some
of
the
competitors
are
trying
to
enter
this
segment
or
increase
the
competitive
intensity?
Vinod
Aggarwal:
As

far
as
the
capacity
is
concerned,
we
have
now
2
truck
plants.
One
is
in
Pithampur
and
the
other
is
in
Bhopal.
So
for
the
current
volumes,
we
are
very
well
industrialized.
So

there

is

no

concern

as

far

as

the

capacity

is

concerned

for

the

current

year.

But

of

course,

next

year,

if

the

industry

continues

to

grow .

Then

of

course,

we

might

have

to

increase
the
capacity
in
Bhopal
and
for
which
we
are
thinking
over
it.
And
--
but
that
will
not
be
a
very
major
capex
so
we
will
take
steps
next
year.
If
at

peak
level,
some
monthly
requirement
is
high,
then
we
will
take
those
steps
next
year.
Pramod
Amthe:
Sir,
you
might
be
working
at
85%,
90%
utilization
now?
Vinod
Aggarwal:
Yes.
Currently ,
we
are

producing 10,000 vehicles per month, 10,000 plus. So we are almost at 80%, 90%.

Moderator: The next question is from the line of Yash Agarwal from Nirmal Bang Securities Private Limited.

Yash Agarwal:

My question is for the VECV bus segment. As we have seen, bus volumes have moderated in Q3 and also for year-to-date FY '26, accompanied by 110 bps decline in market share. So

could
you
elaborate
on
key
factors
contributing
to
the
slowdown
and
steps
to
stabilize
and
regain
market
share?
Vinod
Aggarwal:
First
of
all,
as
far
as
the
bus
industry
is
concerned,
this
year,

the growth has not been that high as we had experienced in the previous years because the base was very high. So therefore, the growth rates have been moderate. And the second, the reason

for

our

lower

numbers

is

also

due

to

some

lower

orders

from

institutional

sales.

Last

year,

we

had

very

large

institutional

sale

orders

from

UPSR TC.

This

year,

of

course,

we

still

don't

have very large orders, whereas the competition has got larger orders. So therefore, our overall numbers are down a little bit.

Yash Agarwal: And my second question is on export, which has been very strong this year. So could you share insights on key geographies driving this growth? And what will be the export momentum expected for Q4 and beyond?

Vinod Aggarwal: We are right now having very good traction in the Middle East. We are now exporting almost 100-plus vehicles there every month, largely buses

and
LHD
trucks.
Then,
of
course,
the
numbers
are
also
better
for
us
in
Bangladesh
and
Nepal.
Sri
Lanka
market
also
has
opened
up
again.
But
there,
of
course,
still
the
numbers
are

very
small.
And
of
course,
the
numbers
in
African
markets
are
also
respectable.
So
therefore,
all
this
has
contributed
to
our
high
growth
in
export
numbers.
And
going
forward,
Q4
also
is
likely

to
be
better
as
far
as
exports
are
concerned.
Yash
Agarwal:
Okay .
And
my
last
question
is
for
the
Enfield
Electric
portfolio.
Could
you
share
more
color
on
the
launch
roadmap
target
customer

segment and how these products fit in Royal Enfield product portfolio like Flying Flea and others?

B. Govindarajan: So Flying Flea is our endorsed brand of Royal Enfield for the city, city plus

electric
mobility .
We
have
2
products,
which
we
unveiled,
one
is
called
C6,
which
is
a
Classic
style
one,
another
one
is
an
S6,
which
is
a
Scrambler
version.
C6
is
almost
ready

for
production.
You
will
see
it
in
the
market
soon,
but
we
will
be
doing
a
cautious
approach
of
not
going
around
and
then
saying
here
is
a
product.
We'll
build
because
a

category

has

to

be

built,

and

we

will

build

it

slowly

and

steadily .

That

you

will

see

it

in

the

next

quarter

time

window .

And

S6

will

come

during

the

course

of

the

year
around
the
EICMA
time.
That's
the
tentative
plan
as
of
now.
Moderator:
Ladies
and
gentlemen,
we
will
take
that
as
the
last
question
for
today .
I
now
hand
the
conference
over
to

the
management
for
closing
comments.
B.
Govindarajan:
Well,
thank
you
very
much
to
everyone
for
attending
this
conference
call,
and
see
you
all
soon.
Moderator:
Thank
you
very
much.
On
behalf
of
HDFC

Securities Limited, that concludes this conference. Thank you all for joining us today . And you may now disconnect your lines.

Call: May 2026

May 26, 2026 Online intimation/submission The Secretary BSE Limited Phiroze Jeejeebhoy Towers Dalal Street Mumbai-400 001 Security Code: 505200 The Secretary National Stock Exchange of India Ltd
Exchange

Plaza,

5th

Floor,

Plot

No.C/1,

G Block, Bandra Kurla Complex, Bandra (E) Mumbai-400 051 Symbol: EICHERMOT
Ref: Disclosure under Regulation 30 of SEBI (LODR) Regulations, 2015 - Transcript of conference call Dear Sir/Madam,
Further to our letter dated May 18, 2026 intimating the schedule of the conference call held on
Friday,

May

22,

2026,

please

find

attached

transcript

of

the

aforesaid

conference

call,

held

i n t e r - a l i a

to

discuss

financial

results

for

the

fourth

quarter

and

financial year ended March 31, 2026, pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015. The same is also available on the website of the Company www.eichermotors.com. The conference call started after the conclusion of the Board meeting of the Company. You are requested to take the same on your records.

Thanking you, For Eicher Motors Limited Atul Sharma Company Secretary Encl.: As above

Eicher Motors Limited Corporate Office: #96, Sector

–

32

Gurugram

–

122001

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+91

124

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Floor ,

Ashoka

Estate

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Delhi-1 10

001,

India

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+91-1 1-41095173

Email:

info@eichermotors.com

“Eicher Motors Limited Q4 & FY26 Earnings Conference Call”

May 22, 2026

MANAGEMENT:

MR. SIDDHAR THA LAL – EXECUTIVE CHAIRMAN – E

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C
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NDIA

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY '26 Earnings Conference Call of Eicher Motors Limited, hosted by

PhillipCapital India. As a reminder , all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance

during

the

conference

call,

please

signal

an

operator

by

pressing

star

and

then

zero

on

your

touchtone

phone.

I

now

hand

the

conference

over

to

Mr.

Amit

Hiranandani

from

PhillipCapital

India.

Thank

you

and
over
to
you,
Mr.
Hiranandani.
Amit
Hiranandani:
Yes.
Good
evening,
everyone.
On
behalf
of
PhillipCapital
India,
I
welcome
you
all
to
Eicher
Motors'
Q4
and
FY
'26
Earnings
Conference
Call.
I
take

this

opportunity

to

welcome

the

management

team

from

Eicher

Motors

Limited.

Today ,

we

have

with

us

Mr.

Siddhartha

Lal,

Executive

Chairman,

Eicher

Motors

Limited;

Mr.

Vinod

Aggarwal,

Vice

Chairman,

EML

and

Chairman,

VECV , Mr. B. Govindarajan, MD of EML and CEO Royal Enfield; Mr. B. Srinivas, MD and CEO, VECV ; and Ms. Vidhya Srinivasan, CFO.

Now I hand it over to the management for the opening remarks. Thank you, and over to you, sir.

Siddhartha Lal: Yes. Hello, everyone. This is Siddhartha Lal here, and thank you very much for joining the Eicher Motors Limited earnings call for the quarter and financial year ended March 31, 2026.

We've had an absolutely stellar year this year at Eicher Motors with solid growth overall. Both at Royal Enfield and VECV , we've delivered record-setting performances, while Royal Enfield achieved over 1.2 million motorcycle sales, VECV , for the first time, delivered a record 100,000 units, 1 lakh unit sales for the year. This -- the combined revenue of EML and VECV actually crossed INR50,000 crores last year for the first time.

And on the back of this landmark year and a continued commitment to shareholder returns, the Board of Directors

has
recommended
a
final
dividend
of
INR82
per
share
for
the
fiscal
year.
This
year
is
also
very
special
for
Royal
Enfield,
as
we
celebrate
125
years
of
pure
motorcycling,
a
philosophy
that's

held
consistent
across
generations.
And
even
though
--
we're
the
oldest
motorcycle
manufacturer
in
continuous
production,
it
feels
like
we're
just
getting
started.

Making
this
year
even
more
incredible
was
our
entry

into the electric space with the Flying Flea, which is a City Plus electric mobility brand. In the first week of April 2026, we launched the Flying Flea, C6 in Bangalore and the

initial
response
has
been
very
exciting.

Even
as
we
go
from
strength
to
strength,
marking
new
milestones
in
business
and
in
financial
performance,
we
remain
focused
on
long-term
growth.
Recently ,
we
announced
Royal

Enfield's capacity expansion at our plant in Cheyyar , Tamil Nadu. And from a longer -term perspective, we have also recently decided on plans for a greenfield facility in Andhra Pradesh.

Eicher Motors Limited May 22, 2026

Today , I would also like to welcome very warmly B. Srinivas to the call. B. Srinivas, who's in March 2026, he has assumed the role of

Managing

Director

and

CEO

of

VECV .

He

succeeds

Vinod,

Vinod

Aggarwal,

who

was

leading

VECV

for

over

15

years,

and

Vinod

has

now

taken

over

as

the

Chairman

of

VECV

and

of

course,

he's
also
the
Vice
Chairman
of
EML.

And
as
we
step
into
this
new
year,
we
have
also
made
a
significant
new
announcement
yesterday
from
an
EML
perspective.
Expanding
on
our
highly
successful

18-year partnership with Volvo Group, we now intend to set up a new joint venture with Volvo to enter into the vehicle financing business in India.

And I'm going to hand over

now to Mr. Vinod Aggarwal for more details on this new proposed joint venture in vehicle financing with Volvo. Thank you very much, and over to you, Vinod.

Vinod Aggarwal: Thank you, Siddhartha.

Good

evening,

everyone.

Basically ,

our

intent

is

to

set

up

a

50-50

joint

venture

for

financing,

leasing

and

other

financial

services

business.

And

our

investment

in

this

will

be

up

to

INR750

crores

for the 50% stake in this Volvo Financial Services India. Volvo Financial Services India is in operation here in India for last more than 10 years, and they have assets under management of

INR1,806
crores.

And
they
will
issue
fresh
equity
stake
from
the
company .
So
this
money
will
be
put
into
the
company
into
VFS
India.
And
this
JV
combines
Volvo's
global
financial
services
expertise

and
Eicher
global
knowledge
and
network.

This
JV
will
serve
Eicher ,
Volvo
and
Royal
Enfield
customers
in
India,
and
it
presents
an
opportunity
for
EML
to
operate
in
an
important
segment
of

the value chain using financing as a lever for a supplier customer experience -- for a superior customer experience. The proposed JV will be the captive financing arm for VECV , EML and Volvo

Group products in India.

The JV will combine VFS strength and understanding in the financial services with Eicher's extensive product portfolio, network and deep market understanding to capture new business in a more aligned and efficient manner . The proposed JV will also deepen integration to accelerate decision-making and help customers in easily accessing financing solutions.

Now I hand over back to Govind for briefing on

Royal
Enfield.
B.
Govindarajan:
Thank
you,
Vinod.
Good
evening,
everyone.
Let
me
just
talk
to
you
about
the
Eicher
Motors
Limited
financials
and
performance.
It's
been
another
strong
year
for
Eicher
Motors
and

a
particularly
special
one
for
Royal
Enfield
as
we
celebrate
the
125
years
of
pure
motorcycling.
Our
results
have
been
reflective
of
the
strategic
actions
we
took.
We
are
by
no
means
resting

on
these
achievements.
In
fact,
we
are
gearing
up
to
the
next
phase
of
growth
as
you
have
seen
through
some
of
our
recent
announcements.

Now
let
me
start
with
the
numbers
for

the
fourth
quarter .
Eicher
Motors
Limited
posted
a

record
performance
with
a
consolidated
revenue
at
INR6,080
crores
and
EBITDA
at
about
INR1,514
crores.
Profit
after
tax
stood
at
about
INR1,520
crores.
Not

just the past quarter , as stated earlier , we maintained a solid growth momentum through the full financial year as well

with revenue growing

to INR23,408 crores with an EBITDA of INR5,785 crores. PAT for the period stood at INR5,515 crores.

Coming to some of the key updates from Royal Enfield. This has been our strongest year yet and what makes it even more special is we achieved many important milestones in Royal Enfield's 125th year. We continue to consolidate our leadership in the midsized motorcycle segment as our motorcycles continue to perform well through the fourth quarter and across the financial year.

For the full financial year, we recorded our highest ever annual sales performance with 12.27 lakh motorcycles sold, making

this
our
second
consecutive
year
of
crossing
1
million
motorcycles.
Domestic
sales
grew
23%
to
1.1
million
units,
while
international
volumes
also
grew
20%
to
120,634
units,
reflecting
the
growing
strength
of
our

international business, too.

We're also witnessing the strongest festive season in our history as the second year with the sales growing in the last festive time at 26% over the last year.

And happy to share that at 125 years today , 1 out of every 3 customers of Royal Enfield is below the age of 25.

Now on the product front, this year was marked

by
thoughtful
upgrades
across
our
portfolio
shared
by
our
community .
We
introduced
the
2026
Guerrilla
450
Apex,
a
sharper
and
more
focused
version
of
an
already
existing
motorcycle
on
the
Guerrilla
platform,
which

has
received
a
tremendous
response.
The
2025
Hunter
350,
Meteor
350,
Goan
Classic
350
and
Himalayan
Mana
Black,
which
all
got
launched
also
saw
meaningful
upgrades
and
have
brought
overall
volume
gain
for

us.

Some of our key motorcycles also achieved important milestone during this year. The Meteor 350 crossed the 6 lakh sales mark since its launch in 2020 on a cumulative basis. The

Himalayan
450
recorded
its
strongest
registering
a
53%
growth
to
achieve
over
38,000
retails
across
the
global.
To
make
our
entire
350
range
more
accessible,
we
also
announced
partnership
with
Flipkart
and
Amazon

in

India.

We

are

working

on

it

further .

We

ended

the

year

by

starting

a

new

journey

with

the

launch

of

Flying

Flea

C6,

as

was

mentioned,

alongside

the

opening

of

our

first

Flying Flea store in Bangalore in April 2026. The feedback on the FF C6 has been incredible, and we are taking a deliberate city-by-city approach. And beyond India, we continue to deepen our global footprint in Latin America, Brazil led the way with about 71% growth during the year. Brazil is now our largest and the fastest-growing international market, second only to India, in our overall global footprint.

Closer to home, in SAARC, Nepal outperformed with the spectacular growth this year, driven by new launches such as Classic 350 and Hunter 350. Our allied businesses had a very strong year across board. Our apparel business continued to grow and saw a 21% growth compared to the previous year with the launch of new collections like

Conscious Collections, Get In-Streets and Royal

Enfield VALLON Moto Aviators. We also expanded our collectibles portfolio.

Genuine Motorcycle Accessories has seen an exponential growth with the global revenue growing by 32% over the previous year, while our spare parts business also recorded a robust 18% year-on-year growth. Beyond motorcycles, our community grew stronger than ever during this year.

Motoverse 2025 concluded

in

Goa

with

another

unfor gettable

edition

with

30%

higher

footfalls,

brought

together

riders,

creators,

musicians,

artists

and

explorers

from

around

the

world

in

a

celebration

for

pure

motorcycling.

We

introduced

2

new

community-centric

properties,

HunterHood

and

The

Nights

across

multiple

cities

that

helped

us

connect

with

the

younger

and

a

more

diverse

set

of

riders.

The

14th

edition

of

One

Ride

brought

together

more

than

about

40,000

riders

across

66

countries,

reflecting

the

strength

of

global

Royal

Enfield

community .

During

this

quarter ,

we

also

got

J.D.

Power

ranked

as

highest

in

the

overall

2-wheeler

initial

quality ,

a

direct

reflection

of our focus on the customer satisfaction. And we have secured the number 1 position in Federation of Automobile Dealers Association, FADA, Dealer Satisfaction Survey , and we ranked number 3 in the world's strongest automobile brand in the Brand Finance Automotive Industry 2026 report. And on the sustainability , our Oragadam facility was recognized as Sustainable Factory of the Year by Frost & Sullivan, an affirmation that

our
commitment
to
the
responsible
manufacturing.
The
second
addition
of
Journey
Across
the
Himalayas
brought
together
over
11,000-plus
visitors,
a
reflection
of
how
our
social
mission
is
growing.
On
manufacturing
and
back-end
and

future
readiness,
in
February ,
we
announced
INR
958
crores
brownfield
expansion
at
our
Cheyyar
facility
in
Tamil
Nadu
to
further
strengthen
our
manufacturing
capacity .
This
will
take
us
our
annual
capacity
to
almost

2 million units and cases.

In addition, earlier this week, we have also announced our strategic expansion plan in Andhra Pradesh, which will help us to build future-ready capacity and support our long-term growth. So as you heard, we have exciting updates and action across board, and we are geared for a growth-led FY27. With this, now I'll hand it over to B. Srinivas to walk us through the VECV performance. Over to you, Srinivas.

B. Srinivas: Thank you, BGR, and good evening, everyone. The year FY26 was a landmark year for VEC. We delivered a record 1,03,404 units, growing almost 15% over last year. Importantly , this performance was broad-based and reflected the increasing strength of our business across all verticals.

In Eicher brand heavy-duty trucks, we delivered 25,155 units during the year, registering 14.1% growth and improving market share to 9.1%. In LMD trucks, we strengthened our

leadership with 46,195 units while reminding ourselves that market leadership must always be accompanied by profitable growth. Our entry into the new SUV segment has done well with 2,452 Pro X trucks delivered, including 726 EVs, opening up an

important
new
avenue
for
growth.
Eicher
buses
delivered
18,651
units.
Our
Volvo
buses
reached
a
record
712
units
and
Volvo
trucks
closed
the
year
at
1,712
units.
Exports
grew
strongly
by
33.9%
to

6,933 units despite a challenging external environment. Our spare parts sales grew 13.9% to INR3,045.5 crores. These numbers show that VECV's growth story is not limited to one segment or one business line.

Let me begin with the fourth quarter performance. VECV posted a record performance with consolidated revenue at INR 8,280.6 crores, EBITDA at INR 921.5 crores. Profit after tax stood at INR 595.8

crores. Beyond this quarter , we sustained a steady growth trajectory across the full year. Revenue growing to INR 27,076.6 crores with EBITDA of INR 2,562.6 crores. PAT for the year stood at INR

1,471 crores.

At VECV , we continue to develop our sustainability and inclusion journey throughout the year FY26. Beyond the numbers, the newly launched Eicher Pro X is assembled on all women line, the

CV industry first in India. We strengthened renewable energy adoption through a 4.5 megawatt rooftop solar project, which is expected to reduce emissions by 25%.

We also cycled 52 million liters of

water
at
Bhopal
plant
through
an
artificial
lake
that
supports
local
birds
and
fish.
Our
carbon
offset
efforts
continued
with
plantation
of
66,000
trees,
which
is
expected
to
offset
about
660
tons
of

carbon emissions.

VECV continue to get good recognitions at 17th Apollo CV Awards, VECV was recognized as CV Maker of the Year and Transport Solution Provider of the Year. Our newest offer, Eicher

Pro X was honored as Debutant of the Year. These recognitions reinforce our commitment to lead our vision to drive modernization in commercial transport. VECV is entering this new financial year from a position

of

strength.

As

we

look

ahead,

the

environment

around

us

remains

dynamic,

global

uncertainties,

geopolitical

developments

and

supply

chain

volatility

will

continue

to

test

our

ability .

But

India's

long-term

growth

drivers

remain

strong. Infrastructure creation, logistics modernization, growing e-commerce and the push towards cleaner and more efficient mobility continue to create meaningful opportunities for us.

B. Govindarajan: Thank you, Srinivas. It has indeed been an excellent FY26 for Eicher Motors Limited, and we are happy to have started FY27 on a very strong note with a good momentum in April 2026 with a growth of 51%. The resilience of our growth over the past 8 quarters makes us confident that our strategies are steering us in the right direction and over the medium term, we expect the trajectory to be upwards.

In line with this projected growth, we are preparing to be

future-ready with strategic manufacturing expansions and market relevant products planning, both at Royal Enfield and at

VECV level. Finally , as Sid mentioned earlier , we are getting into a new business vertical with a proven trusted partner and expect this sound investment to create

value
in
the
long
term.
Thank
you
all
for
being
with
us
on
this
call
today .
Now
we
can
move
to
question
and
answers.
Moderator:
Thank
you
very
much.
We
will
now
begin

with
the
question-and-answer
session.
Your
first
question
comes
from
the
line
of
Pramod
Kumar
with
UBS.
Please
go
ahead.
Pramod
Kumar:
Yes.
Thanks
a
lot
for
the
opportunity .
Am
I
audible?
Moderator:
Yes,

sir.
You
are
audible.
Please
go
ahead.
B.
Govindarajan
Yes.
Pramod
Kumar:
Congratulations
to
the
team
for
a
great
performance
and
congratulations
to
Vinod
ji
for
leading
the
growth
of
VECV
for
almost

a
decade
now
as
the
leader .
And
congratulation,
Mr.
Srinivas
as
well
for
the
new
role
and
look
forward
to
interacting
with
you
soon,
sir.
So
moving
on
to
the
questions,
Govind
need

your

help

on

the

--

on

your

take

on

the

demand

for

the

premium

motorcycles

in

India.

One

of

your

peers

actually

called

out

premium

motorcycle

as

probably

the

strongest

segment

right

now

in
terms
of
growth,
despite
the
geopolitics
and
the
macro,
what
you
are
seeing.
So,
if
you
could
just
share
your
broad
thoughts
as
to
given
where
demand
is
and
given
where
inventory

levels
are
in
the
industry ,
how
do
you
expect
the
retail
growth
to
pan
out
in
FY
2027
for
the
premium
motorcycle
category?
And
also
then
share
your
plans
on
the
capacity
expansion,

what
you're
talking
about.
Because
what
we
understand
looking
at
Vahan
and
also
talking
to
dealers
is
that
you're
literally
running
on
with
thin
inventories,
right?
So,
if
you
can
just
help
us

understand

the

growth

outlook

for

the

category

and

your

plans

for

the

capacity

to

begin

with?

B.

Govindarajan:

Yes,

Pramod.

So

three

questions

which

you

have

asked.

First

is

about

the

premium

category

growth.

Financial

year

'26,

we

sold

most

about

1.11

million

motorcycles

in

India.

And

there

was

a

solid

growth

of

about

23%

over

the

last

financial

year.

In

the

month

of

April

2026,

we
sold
about
1.04
lakh
motorcycles,
which
is
actually
a
57%
growth
over
the
last
year.
And
structurally ,
I'm
seeing
the
demand
is
continuing.
Inquiry
levels
are
growing
almost
about
23%
compared
to

the

previous

years

and

the

months.

So

there

is

no

structural

correction

which

is

taking

place

in

the

demand.

That's

continuing.

Inquiries

are

very

good.

Booking

rates

are

very

good.

As

you

rightly

mentioned,

currently ,

Royal

Enfield,

the

inventory

levels

are

almost

about

7,

8

days,

primarily

because

in

the

month

of

May,

you

know

there

are

issues

on

the

manpower

availability

due

to

elections

and

LPG shortages.

And those are all the issues which were there. Those are temporary about a week to 10 days phenomenon. And

that
is
now
back
on
track
and
the
deliveries
are
starting
now.
So
you
will
see
the
growth
continuing
on
the
overall
level.
As
far
as
the
capacity
is
concerned,
we
mentioned
our

capacity

is

about

1.4

million

with

about

500

module,

which

we

explained

to

you

people

in

the

last

call

also,

that's

going

to

kick

in

from

June

and

July.

It

does

mean

the

overall
capacity
will
go
up
to
almost
about
1.6
million
plus.
And
the
INR958
crores
capex,
which
we
also
got
it
cleared,
that
will
kick
in
for
the
overall
capacity
of
2
million.

This
all
will
happen,
as
Siddhartha
also
mentioned
and
as
I
was
explaining,
at
our
Cheyyar
facility
where
we
have
land.
So
that's
a
brownfield
expansion.
That's
about
2
million
capacity ,
which
will

be

there

by

Q2

of

FY28.

Beyond

because

we

are

bullish

about

the

growth,

as

you

also

mentioned,

the

premium

category

segment

is

growing.

And

we

have

all

our

products

which

are

doing

outstandingly

well,

including

the

Guerrilla

Apex,

which

we

have

launched

now.

So

we

have

also

signed

up

with

Andhra

Pradesh

government

for

the

greenfield

project

that's

kicking

in

over

about

2

million

capacity .

That's where our capacity planning is being done now.

Pramod Kumar: So Govind, I think to quantify the growth possibility for the premium segment, motorcycles, is it fair to assume given the

commentary
that
there
could
be
strong
double-digit
growth
for
the
premium
category
for
FY27?
B.
Govindarajan:
Premiumization
in
India
is
continuing
as
a
spree
So,
and
of
all
the
motorcycles
total,
only
the

premium

segment

is

growing.

And

that's

why

I

said

inquiries

are

continuing

the

trend

of

premium

motorcycles

will

grow .

If

I

have

to

give

you

some

references,

Pramod,

the

entire

premium

motorcycle

in

2022,

'23,

the

market

size

was

only

almost

70,000,

now

it

has

gone

to

almost

about

1.1

lakh

per

month.

And

in

that

time

till

now

in

the

1.1

lakh,

we

are

almost

about
90,000
plus.
So
the
entire
premium
motorcycle
segment
grew
and
Royal
Enfield
outgrew
that.
So
that
momentum
is
continuing
as
of
now.
That's
why
I
said
structurally ,
we
don't
see
any
changes

in
the
whole
premiumization
and
the
premium
motorcycle
growth.
Pramod
Kumar:
And
the
inventory
of
one
week
is
including
transit
inventory ,
right?
B.
Govindarajan:
No,
it
is
a
dealer
inventory
and
the
depot

inventory .

Hence

it

is...

Pramod

Kumar:

Depot

inventory .

But

depot

inventory

sits

on

your

books,

right,

not

with

dealers?

B.

Govindarajan:

Yes.

Pramod

Kumar:

Okay .

Okay .

So

dealer

inventory

will

be

even

lower

than 7 days effectively?

B. Govindarajan: That's right. That's right.

Pramod Kumar: Yes. So -- and can I squeeze in a question on margins? Is it possible or?

B. Govindarajan: Go ahead.

Pramod Kumar: Yes. So the next big debate is the margins or the cost when your margin execution this quarter has been pretty good.

I
think
you
managed
commodity
inflation
very
well.
If
you
can
just
help
us
understand
between
you
Vidhya
as
to
how
much
of
the
commodity
impact
in
4Q,
how
much
of
that
you

could pass on to the consumers in 4Q and what the pricing taken up in 1Q, if any? And how should one look at commodity as a headwind to your margin profile? If

you
can
just
help
us
understand
--
explain
your
pricing
position
and
all
the
activities
you're
taking
to
kind
of
--
just
help
us
understand
that,
please?
B.
Govindarajan:
Vidhya,
maybe
you
can

cover
the
Q4.
Vidhya
Srinivasan:
Yes.
I'll
talk
about
Q4.
So
I
think
as
we
said,
we've
been
able
to
largely
mitigate
the
margin
impact
as
far
as
Q4
is
concerned.
Overall,
because

of

the

increase

in

commodity

costs,

we've

had

a

total

of

about

90

basis

points

in

the

quarter .

We

were

--

we

took

a

price

increase

in

January

and

the

blended

price

increase

was
about
70
basis
points.
And
remaining
20
basis
points,
we
were
able
to
address
it
through
value
driven
cost
reduction
as
well
as
model
price
variance
mix.
So
that's
how
Q4
panned

out. And then I'll hand it over to BGR to talk about the larger direction.

B. Govindarajan: So you all know the operating environment as of now, the entire auto industry is a

bit
complex
because
of
the
war
situation.
One
is
about
the
inflation
increase,
which
is
taking
place.
The
second
is
also
availability
itself
is
becoming
a
bit
of
a
problem.
So
we
are

all
trying
to
do
it
on
a
wall
footing
basis
type
of
how
do
we
run
the
continuity
in
production.
As
far
as
the
commodity
is
concerned,
yes,
there
is
a
huge
headwind.

If

I

have

to

give

you

some

number ,

it

is

almost

about

3

to

3.5

percentage

on

the

material

cost

level

impact

is

expected.

And

what

we

have

done

anticipating

this

and

started

working

on

first

is

before

the

price

increase,

we

intensified

our

value

engineering.

We

intensified

our

cost

reduction

exercises,

some

of

the

austerity

measures

because

it's

a

war

situation,

we

also

have

to

be
prepared
for
it.
And
we
also
did
a
pricing
increase
of
about
1.75%
in
the
month
of
April.
So
we
are
at
it.
We
know
it
is
not
that
the
entire
commodity

inflation

has

actually

covered

up.

But

how

do

we

minimize,

how

do

we

mitigate

this?

We

may

have

to

navigate

the

entire

situation

carefully ,

but

we

are

on

top

of

it.

And

we

are confident that we will mitigate it to a maximum extent.

Pramod Kumar: And Govind, just to clarify this 350 bps is incremental or this includes the 90 bps of what happened in

4Q?

B. Govindarajan: It is incremental in Q1.

Pramod Kumar: And you have taken a price increase of 1.75, so under recovery

is
1.75
or
thereabout?
B.
Govindarajan:
Under
recovery
is,
yes,
if
we
have
to
give
a
slight
equation,
3%
to
3.5%
level,
yes
50%
is
actually
recovered.
Remaining
50%
is
what
I
have

mentioned.

A,

we

have

to

do

some

austerity

measures,

which

are

required

here

and

now.

B,

the

value

engineering

in

and

kick

in

slightly

ahead,

we

would

have

planned

some

projects

which

will

be

kicking

in

by

July,

August.

That

has

to

happen.

So

the

front

ending

of

cost

reduction

has

to

take

place.

And

we

also

have

done

some

prebuy ,

which

is

also

helping

us.

So
the
residual
inventories,
which
will
also
be
used.
So
all
the
levers
of
the
supply
chains
are
being
pulled
because
it's
a
tighter
situation,
which
we
have
to
navigate,
and
we
are

on
top
of
it.
Pramod
Kumar:
And
operating
leverage
benefits
will
be...
Moderator:
Sorry
to
interrupt,
Mr.
Kumar .
We
request
you
to...
Pramod
Kumar:
Just
a
clarification
on
operating
leverage.
Just
operating
leverage

benefits

will

be

over

and

above

that's

right?

What

are

mitigating

factors

from

operating

leverage?

B.

Govindarajan:

Yes.

Pramod

Kumar:

Yes.

That

puts

you

in

a

much

better

position

Govind

as

a

company .

Thanks a lot. I will fall back in the queue.

B. Govindarajan: Thank you.

Moderator: Thank you. Your next question comes from the line of Kapil Singh with Nomura. Please go ahead.

Kapil

Singh: Yes, good evening, sir. Congratulations on a strong performance. Just on the demand follow-up. Any outlook you would like to share for FY27, what range you are expecting growth for the industry

or

for

Royal

Enfield?

Any

thoughts

there?

And

also

similarly

for

the

export

market?

B.

Govindarajan:

So

Kapil,

we

don't

normally

talk

about

the

forward

guidance

in

numbers.

Currently ,

as

I

mentioned,

in

the
month
of
April,
we
actually
grew
by
almost
31%.
And
as
I
also
mentioned
that
the
demand
is
very
strong.
In
fact,
the
demand
growth,
which
I'm
seeing
is
almost
about
23%

plus

level.

Booking

is

continuing.

The

interest

on

product

from

Royal

Enfield

is

very

good.

All

our

launches

have

done

outstandingly

well.

Very

recently ,

we

launched

our

Guerrilla

APEX

variant.

That

has

really

given us a good amount of an inquiry and booking. If I have to tell you on an overall level, there is no structurally any changes which is taking place.

We are working on fulfilling the demand. And because we had some setbacks because of the elections, manpower availability , LPG availability , commodity availability , power issues. So

those
are
all
the
areas
which
we
are
working
on
it
on
top
of
it,
and
we
are
now
working
on
demand
fulfilment.
That's
about
the
overall
demand
situation,
Kapil.
Kapil
Singh:
Sir,

about the international market sir?

B. Govindarajan: International market, Brazil is doing outstandingly well. In fact, last year, we grew by almost 71% compared to the previous year. And in Brazil, we have become

the

number

2

in

the

middleweight

and

our

product,

Guerrilla

450

has

won

the

motorcycle

of

the

year.

Himalayan

450

won

the

style

Bike

of

the

year,

Bear

650

launched

in

Libra

in

the

month

of

March.

Overall,

in

the

Latin

America

and

Brazil,

we

have

been

doing

outstandingly

well.

And

that's

--

in

fact,

we

are

now

focusing

Brazil

as

a

next

big

market

to

India.

Currently ,

what

is

happening

in

the

macro,

most

of

the

markets,

especially

United

States,

you

all

know ,

and

there

are

tariff

issues,

confusions,

which

are

all

getting

settled,

but

that's

only

about

3%

of

the

total

market

for

us.

Europe

continued

to

degrow .

In

a

degrowing

market,

we

are

maintaining

our

market

share.

But

I

must

tell

you,

in

Europe,

I

call

it

as

market
adjustment
year.
There
are
degrowth,
which
is
taking
place,
preregistered
vehicle
of
OBD2B,
which
was
there.
So
still
because
of
the
degrowth,
those
preregistered
vehicles
are
not
cleared
off
from
the
floor .

As
a
result,
fresh
billing
is
taking
time.
So
international
market
is
--
we
are
cautiously
optimistic
as
of
that
now.
Kapil
Singh:
Okay .
And
sir,
on
the
financing
JV
that
we
have

done

what

should

be

the

primary

benefit

we

should

expect

from

that?

Will

it

--

do

you

think

it

has

market

share

implications

for

VECV

and

Royal

Enfield

or

will

it

be

more

about

tapping

the

profit

tool

in

that

segment?

Vinod

Aggarwal:

Fundamentally ,

financing

is

important

part

of

the

value

chain.

So

therefore,

apart

from

being

the

important

sales

tool

in

some

of

the

markets

where

financing

may

not

be

available,

this

is

a

separate

business

altogether .

This

will

be

run

absolutely

independently

and

all

the

decisions

will

be

taken

based

on

their

risk

profile

and

based

on

the
actual
financing
model.
So
--
but
at
the
same
time,
you
asked
that
whether
the
market
shares
will
go
up.
Yes,
it
will
definitely
help
in
getting
better
financing
like
it
will

also

help

in

getting

more

innovative

products

because

Volvo

Financial

Solutions

they

are

a

very

large

financing

arm

of

Volvo

Group,

and

they

have

a

lot

of

innovative

ideas,

how

do

we

create

more

customer

satisfaction.

So,

I

think

they

will

bring

in

all

those

products

internationally .

And

the

other

good

thing

is

that

the

VFS,

they

do

only

captive

financing.

So,

they

will

do

only

the VECV or Volvo products or Royal Enfield at a later date. So th erefore, I think it's a good business opportunity and at the same time also as a sales aid.

Moderator:

Your next question comes from the line of Raghunandhan NL with Nuvama Research.

Raghunandhan NL: Congratulations, sir, on stellar numbers. Firstly , in last

EICMA show many products were showcased, can you talk a bit about the upcoming products? I think Bullet 650, Flying Flea S6. Some thoughts on where you're focusing on and if possible, some timelines?

B.

Govindarajan:

Well,

new

products

have

to

be

open

when

the

new

products

is

really

coming

on

to

the

market,

Raghu.

But

all

these

products

will

--

whatever

we

have

talked

about

or

what

we

have

showed

in

EICMA,

from

the

project

timeline

perspective,

whatever

we

intend

to

bring

it

to

the

market,

it

is

on

track.

There's

no

delay .

But

I'm

happy

to

share

with

you

one

thing,

as

you

all

have

seen,

our

electric

mobility

products,

which

is

Flying

Flea

during

this

quarter ,

we

actually

launched

and

it's

a

City,

City

Plus

motorcycle,

which

won

the

Red
Dot
Award
even
before
it
was
even
launched,
we
have
launched
the
product.
Now
booking
has
just
started.
We
had
gone
into
Bangalore
only
in
one
store,
slowly ,
we
are
building
up

because

we

know

we

are

not

in

a

rush,

but

because

it's

a

product

which

everybody

loves

now.

And

we

did

a

media

ride

and

all

the

journalists

really ,

really

love

the

motorcycle.

There

is

a

very

good

review

we

got.

So,

we

are

building

that

category .

So

that

product

has

already

come

in

the

market.

And

you

will

see

S6

which

was

shown

in

EICMA

that

will

also

come

in.

A

bullet

650

is

on

the

cards.

It's

just

going

to

come

because

that

I

can

share

it

with

you

because

the

dispatch

is

already

started.

Remaining

products,

you
will
see
one
by
one,
which
will
come
into
the
market.
Raghunandhan
NL:
Noted
sir.
Wishing
all
the
best.
One
clarification.
You
said
capacity
near-term
June,
July
will
increase
to
1.6
million

and
all
the
production
or
supply
constrained
labor
shortage,
all
that
is
behind.
Is
that
understanding
correct,
sir?
B.
Govindarajan:
That's
right,
Raghu.
So,
our
capacity
declared
was
about
1.4
million,
and
we

said
with
the
500
module,
which
we
started
off
anticipating
the
growth,
that's
going
to
kick
in
from
July
because
we
had
to
be
prepared
for
festive
season.
So,
with
that,
our
capacity

will

go

to

almost

about

1.6

million.

And

the

investment

which

was

also

clear

INR958

crores

in

April,

that

has

started,

and

that

will

take

us

the

overall

capacity

in

phases

to

2

million
for
future
because
the
growth
momentum
is
continuing.
For
future,
we
also
have
to
secure
land.
That's
why
we
signed
up
our
Greenfield
project
at
Andhra
Pradesh.
Raghunandhan
NL:
That's
very
helpful,

sir.

Just

a

last

question.

welcoming

Mr.

Srinivas

and

best

wishes.

Sir,

can

you

talk

about

MHCV

industry

growth,

how

are

you

seeing

for

FY27.

And

also,

if

you

can

indicate

your

thoughts

on
the
commodity
pressures
for
Q1?
B.
Srinivas:
Start
from
the
latest
one.
I
think
the
commodity
pressure
is
exactly
same
as
what
Govind
has
mentioned.
I
think
we
are
sailing
the
same

boat.
So,
which
is
expected
to
be
in
the
range
of
3%
to
3.5%
and
that's
in
the
first
quarter .
So
that
continue
to
be
in
the
similar
lines
for
the
year.
As

far as demand is concerned, I think there is no forecast expected at this moment. But however , right now, the traction in the market is quite good.

Limited
May
22,
2026

Raghunandhan
NL:
Noted.
Thank
you
sir
Moderator:
Next
question
comes
from
the
line
of
Arvind
Sharma
from
Citi.
Arvind
Sharma:
Good
evening
sir.
First
on
the
model
pipeline,

you
have
a
broader
segment,
and
you've
shared
about
Bullet
650.
Is
it
possible
to
share
if
there
are
plans
right
now
or
once
the
capacity
expands
to
go
below
the
350-cc
segment?

B.

Govindarajan:

So,

Arvind,

as

a

company ,

we

always

say

less

is

more

and

our

focus

has

been

always

250

cc

to

750

cc.

That's

the

middleweight,

that's

where

we

will

play.

And

currently ,

we

have

our

J-Series,

which

is

a

350

cc,

we

have

Sherpa

platform,

which

is

a

450

cc

and

650

cc.

So,

these

are

all

the

platforms

which

are

established.

And

we

have

products

on

the

350

cc,

which

are

Bullet,

Classic,

Hunter ,

Meteor ,

Goan

Classic.

And

in

the

450

cc,

we

have

Himalayan,

Guerrilla

and

Scram

and

now

the

Apex

variant,

which

also

got

launched.

And

in

650cc,

we

have

Continental

GT,

Interceptor ,

Super

Meteor ,

Shotgun,

Bear,

Classic

650

and

the

Bullet

650,

which

is

going

to

come.

So,

we

have

a

product

pipeline

in

a

very

good
level.
Every
product
of
ours,
which
we
have
launched
is
with
the
purpose
which
we
have
always
built
and
the
consumers
were
really
enjoying
it.
We
always
look
at
for
adjacencies,
what

sort

of

an

experience

which

we

can

give

it

to

the

customers.

But

our

belief

is

the

platform

which

we

have

already

launched,

350,

450

and

650

cc

itself

has

a

very

good

potential
to
grow .
Our
focus
will
be
more
on
that.
But
as
we
mentioned
as
an
organization,
our
focus
is
on
the
middleweight
between
250
cc
to
750
cc.
Arvind
Sharma:
Thank
you

so

much

for

this.

Sir

staying

on

the

model

with

the

Flying

Flea,

you

said

it's

very,

very

early ,

but

are

there

any

aspirational

monthly

numbers

or

any

sort

of

a

figure

that

you believe you've pencilled in for the year?

B. Govindarajan: Look, I think it's a very different product. People are really liking it. Anyone who looked at the product and tested the product, they

really

said

that

Royal

Enfield

way

of

doing

an

electric,

which

is

a

Flying

Flea

endorsed

by

us

and

that's

got

accepted

as

a

product.

It's

a

new

category .

We

have

to

develop

not

in

an

urgency

of

doing

that.

That's

why

we

have

chosen

city-by-city

approach.

We

have

gone

to

only

one

store

at

this

level.

If

I

have

to

tell

you

in

one

store,

how

is

it?

Test

ride

inquiries

are

very

good.

We

are

very

happy

about

that.

And

we'll

actually

go

city-by-city

slowly ,

and

we

will

build

this.

Arvind

Sharma:

Got

it,

sir.

Just

one
clarification.
I'm
sorry ,
it's
been
asked
twice
already ,
but
from
1.4
million
to
1.6
million,
you
said
something
about
a
500
module.
Could
you
clarify ,
sir,
what
exactly
it
is?
B.
Govindarajan:

That's per day module of all the manufacturing facilities. Maybe you should have clarified, it's about a per day module, yes.

Arvind Sharma: Okay . Per day module, okay .

So 1.4 million to 1.6

million is more of a Brownfield debottlenecking sort of a thing?

B. Govindarajan: That's right.

Arvind Sharma: All right. Thank you so

much
for
clarifying.
Thank
you
so
much.
That' s
all
from
my
side.
Moderator:
Thank
you.
Your
next
question
comes
from
the
line
of
Pramod
Amthe
with
InCred.
Please
go
ahead.
Pramod
Amthe:
Yes.

Hi,

thanks

for

taking

my

question.

So

this

is

with

regard

to

the

vehicle

finance

JV.

I

wanted

to

know

in

the

past

also

you

might

have

evaluated

to

enter

this

segment

what

prevented

them

and

now

do

you

see

with

your

portfolio

getting

expanded

into

EVs

and

much

wider ,

you

feel

the

need

for

vehicle

finance

or

you

feel

the

environment

is

now

better

with

digitization. What is the reason to enter now versus historically which was evaluated?

Vinod Aggarwal: I think earlier we had never seriously evaluated entering this business. So this is the first time. And,

of
course,
this
is
in
collaboration
with
Volvo
Group,
where
we
have
already
very,
very
successful
partnership.
So
looking
at
their
success
in
this
financing
business
worldwide,
I
think
that
was
one
factor

that

if

we

are

able

to

collaborate

in

this

area,

this

could

be

another

good

opportunity

for

creating

a

very

successful

joint

venture.

So

that

is

the

objective.

And

then,

of

course,

it's

also

a

good

way

of

business

--

new

business

line.

And

at

the

same

time,

it

will

help

us

also

to

increase

our

sales

or

provide

more

products

for

our

sales

teams.

Pramod

Amthe:

Thanks,

sir.

And

what's

the

medium-term

capital

infusion

plan?

Initially ,

you

said

you

will

invest

X

amount,

but

if

you

are

to

look

at

it's

a

capital

hungry

business

3

years

to

5 years?

Vinod Aggarwal: I agree, but if you look at the current profile of funds there, we are now going to put up to INR750 crores into the balance sheet and they

already
have
net
worth
of
around
INR500
crores
and
their
current
debt
equity
is
only
around
3.
So
with
INR750
crores
--
up
to
INR750
crores
additional
and
existing
net
worth
and
in

the

finance

companies,

if

you

can

go

up

to

debt

equity

of

5

is

to

1.

I

think

we

are

adequately

capitalized

for

the

medium

term.

And

then,

of

course,

we

are

not

in

a

hurry

to

grow

the

business

very

fast.

We

will

adopt

a

very

slow

and

steady

step-by-step

approach.

We

have

to

make

sure

that

we

have

proper

systems

in

place,

proper

risk

management mechanisms in place.

And, of course, there is no hurry that we have to bring it up to a very fast pace so that we have to keep on putting in more

and

more

money .

We

have

to

I

think

bring

it

up

to

speed

like

current

assets

under

management

are

only

around

INR

1,800

crores.

And

with

up

to

INR

750

crores

plus

another

INR
500
crores
will
be
net
worth.
So
if
you
say
around
INR
1,200
crores,
INR
1,250
crores,
and
we
can
go
up
to
5x
more
or
6x
more
and
then
profits
over

next

3,

4

years.

I

think

there

will

be

opportunity

to

grow

the

assets

under

management

with

the

current

infusion

of

m
oney ,

maybe

up

to

INR

9,000

crores,

INR

10,000

crores

over

a
period
of
next
5
years.
So
I
think
if
we
are
able
to
do
that,
that
will
be
a
good
beginning.
So
therefore,
we
don't
think
that
we
will
be
required
to

put in any additional money at least for the next 5 years.

Pramod Amthe: Sure, sir. Thanks and all the best.

Moderator: Thank

you. The next question comes from the line of Ritesh with BNP Paribas. Please go ahead. Kumar Rakesh: Hi, thank you for taking my question. This is Kumar Rakesh from BNP Paribas. My

first
question
was
around
clarification
for
the
Greenfield
plant,
which
we
are
starting
to
work
on.
Any
timeline
on
that
and
what
kind
of
capacity
is
going
to
come
up
because
1.6
million

capacity ,

assuming

that

you

grew

at

double

digit

for

the

next

couple

of

years

will

start

getting

exhausted

by

fiscal

'28

and

a

plant

typically

takes

about

18

months

to

ramp

up

at

least, so it should have already gotten started and some timeline on that would be helpful for us to get some comfort around FY '29 capacity situation?

B. Govindarajan: So, I think you

stopped at 1.6 million capacity addition because that is only with the 500 module per day, which I was just clarifying. But the additional INR958 crores, which we are putting in as a

capital
or
taking
the
capacity
from
1.6
million
to
almost
2
million
at
our
Cheyyar
facility ,
which
is
a
Brownfield
expansion,
that
we
are
looking
at
Q2
FY28.

As
you
said,
if

the

growth

continues,

then

we

need

for

future.

So

for

future,

as

I

think

we

evaluate

it,

where

do

we

have

the

further

expansion,

which

way

it

will

be

logistically

better .

And

that's

why we narrowed down on AP and we got about 261 acres of land, where we will actually be looking at further expansions. That's for the future, beyond 2 million capacity .

Kumar Rakesh:

All
right.
And
we
haven't
shared
any
timeline
of
that
Greenfield
capacity
and
what
the
first
phase
capacity
would
be?
B.
Govindarajan:
No,
look,
we're
just
in
the
--
we
just
signed
last

week
on
acquiring
the
land.
The
land
has
to
come
into
our
side.
I
mean,
there
is
a
business
case
which
we
have
to
make.
But
why
is
it
like
this,
we
know

we

are

a

growing

organization.

We

have

to

be

prepared

for

growth.

That's

why

we

have

been

strengthening

the

investments

and

going

in

the

capacity

expansions.

The

longest

lead

time

is

always

of

having
a
land
parcel
in
hand.
And
at
some
point
of
time,
that
may
become
a
major
bottleneck.
That's
what
is
the
first
thing
which
we
have
to
secure.
That's
why
today ,
in

the
Brownfield
project
at
Cheyyar
that
we
are
doing
because
we
had
about
65
acres
in
our
hands.
That's
why
we
could
able
to
come
up
to
the
GST
period
increases
and
certainly

what

decision

which

we

can

take

and

where

do

we

invest.

Similarly ,

now

we

have

to

have

a

land

parcel.

That's

why

we

have

signed

up

with

Andhra

Pradesh

government

to

have

a

261

acres

for

our

future

growth.

Just

into

the

sign

of

MoU,

we

will

have

the

land.

Typically ,

it

will

be

somewhere

around

24

to

30

months

window ,

that's

where

we

will

come

out with a new plant fully operational. Kumar Rakesh: Thanks a lot. So that's quite reassuring on the

capacity planning side. If you could similarly give some reassurance on the product planning

side
that
you
see
there
is
any
particular
white
space
or
sub-segment
where
a
product
can
significantly
increase
volume
and
hence
justify
the

kind

of

capacity

addition

that

we

are

looking

at

or

do

you

think

that

the

incremental

increase

on

the

existing

platform

or

the

existing

products

variants

can

keep

on

driving

outperformance

over

the

industry
volume
growth?
So
essentially ,
what
I'm
trying
to
understand
is
that
do
you
see
there
is
a
large
white
space
still
left
in
which
you
can
launch
a
model
and
expand
your

volume

or

this

is

going

to

be

more

incremental

just

tweaking

the

existing

portfolio?

B.

Govindarajan:

We

have

a

really

diverse

yet

very

focused

differentiated

experience

products

and

that

is

what

is

our

350
cc,
450
cc
and
650
cc
platforms.
Just
to
give
you
an
example
how
things
have
changed.
Hunter
350
when
we
launched,
we
wanted
that
it
should
give
us
an
incremental
volume

that

should

give

us

a

growth.

And

we

launched

it

and

there

was

--

it

was

actually

adding

volume

to

us.

Once

that

has

come

to

a

particular

level,

we

thought

now

urban

is

fine.

Now

we

have

to

go

into

the

rural

area.

So

we

opened

it

in

the

rural

area

that

gave

us

volume.

But

now

next

phase

is,

it

still

has

a

lot

of

potential

to

grow

at

a

very

accessible

price

point,

including

the

GST

impact,

which

has

helped

us

for

our

Hunter .

So

we

have

created

a

platform

called

HunterHood,

where

we

celebrate

the

street

culture.

And

thereby ,

we

are

actually

getting

the

young

audience

into

this,

to

the

platform.

Similarly ,

for

the

Guerrilla,

Guerrilla

Knights

which

we

are

doing

it,

it

is

actually

helping.

And

this

is

the

125th

year

celebration

of

Royal

Enfield.

You

will

see

a

lot

more

activities

which

we

will

be

doing

on

the

brand

building

and

the

mother

brand

level.

So

with

all

our

products

and

the

products

which

are

there

in

the

pipeline,

we

strongly

believe

the

growth

momentum

will

continue

because

premiumization

is

continuing,

premium

motorcycle

as

a

segment

is

continuing.

And

we

have

largest

looking

products

with

a

diverse

product

lineup,

which

are

there.

And

that's

the

confidence

we

have

that

it

will

continue.

But

we'll

always

be

looking

at,

as

I

mentioned,

in

the

middleweight,

is
there
a
white
space
which
comes
up.
In
that
area,
what
is
it
we
have
to
do
because
we
constantly
ride
with
the
community
and
we
get
what
exactly
the
community
wants.

Is

there

a

white

space

emer ging

out

of

that,

that

we

will

work

on.

But

we

do

see

our

Flying

Flea

also

will

create

quite

a

good

volume

for

us.

And

but

we

are

not

taking

that

route

of

just

opening

more

and

more

because

we

have

to

build

it

up

slowly .

That's

what

we

are

doing

in

the

electric

space.

Kumar

Rakesh:

Thanks

a

lot

for answering my questions.

Moderator: Thank you. Your next question comes from the line of Yash Agarwal with Nirmal Bang Securities. Please go ahead.

Yash Agarwal: Hi. Thank you for the opportunity . Could

you

provide

an

update

on

VECV's

positioning

in

the

electric

bus

segment

and

current

market

share,

and

how

do

you

see

the

op
portunity

evolving

over

the

next

3

to

5

years?

B.

Srinivas:

VECV

is

actually

preparing

for

the

EV

space,

particularly

in

buses.

We

are

there

in

9

meter ,

we

are

there

12

meter ,

we

are

there

in

13.5

meter

buses.

It

covers

a

large

spectrum of buses

which are required, both public and the private demand. And we go by the current order book, our current demand,

but

we

have

a

reasonably

good

order

book

business

right

now.

And

we

are

strengthening

our

portfolio

further .

I'm

very

confident

and

we

have

been

competing

for

various

orders

which

are

emer ging

in

this

space

that

will

further

strengthen

our

position

in

electric

vehicles.

Yash

Agarwal:

Thank

you.

And

the

next

question

is

for

Royal

Enfield

basically .

How

do

you

see

demand

mix

evolving

between

urban and rural market in FY27? And additionally , it could a below normal monsoon impact rural sentiment and demand growth for this year?

B. Govindarajan: As I mentioned, our growth momentum is stronger .

In

fact,

in

the

month

of

April,

we

grew

by

almost

about

37%.

That's

what

I

mentioned.

And

if

I

have

to

tell

you

about

top

10

cities,

in

top

10

cities,

we

have
grown
almost
about
24%
plus.
And
even
in
the
rural
market,
the
growth
is
continuing.
I
don't
think
now
urban
or
rural
is
there
a
shift
which
is
taking
place.
Even
with

the

income

tax

saving,

which

came

up,

urban

market,

which

has

not

been

growing

for

quite

some

time

and

urban

market

also

started

showing

growth.

So

rural

market

growth

is

the

story

of

India, that's continuing, and we are also growing in that.

Yash Agarwal: And also, what's the role the replacement demand has played over the year? And is current demand momentum more driven by the first-time buyers or replacement demand?

B. Govindarajan: First-time buyers are going up. In fact, as I mentioned, 30% of our consumers are below the age group of 25. So the first-time buyer percentage

is

also

going

up.

Thanks

to

all

the

GST,

the

price

reduction,

which

has

also

helped

in

getting

a

lot

more

people

who

are

aspiring

to

own

a

Royal

Enfield

to

take

a
decision
of
converting
us
our
customers.
On
the
replacement
cycle,
as
I
mentioned,
it
is
yet
to
kick
in.
But
in
the
last
year,
if
I
have
to
tell
you,
we
have

gone

to

almost

about

400

cities,

about

710

dealerships.

We

have

created

a

digital

platform,

the

traction

is

slightly

better .

If

I

had

to

tell

you

in

terms

of

growth,

it's

in

double

digit,
but
it
is
still
the
base
is
lower .
So
we
need
to
wait
for
some
more
time.
This
actual
replacement
cycle
to
kick
in.
Yash
Agarwal:
Okay
sir.
That
was
very
helpful

that’s all from my side.

Moderator: Thank you. Your next question comes from the line of Sridhar Kalyani with Antique stock Result. Please go ahead.

Sridhar Kalyani: Thank you for the opportunity . So my

query

is

on

the

MHCV ,

you

did

mention

that

3%,

3.5%

commodity

inflation

is

seen

in

the

commercial

vehicle.

If

you

could

just

help

us

understand

what

are

the

cost

mitigating

factors

that we have taken in terms of pricing or cost control and value engineering in this space?

And also, if you could help

us

understand

with

the

recent

price

hike

in

fuel

and

also

there

is

expectations

for

further

fuel

hikes,

fuel

price

hikes

might

take

place

in

the

industry ,

so

how

much

the

demand

scenario

pan out? Is there a possibility of incremental demand slowing in the second-hand market rather than the primary market? Just if you could share thoughts on the same. Thank you.

B. Srinivas: First

is

the

commodity

price

increase.

We

also

announced

appropriate

price

increases

for

that,

which

is

to

tune

of

2%

various

vehicles.

So

that

has

been

announced

from

1st

April.

And

we

also

work

on
a
lot
of
initiatives
of
cost
reduction,
whether
it
is
value
engineering,
whether
it
is
optimizing
the
commodity
use
and
also
improving
the
transaction
prices
in
the
market.
So
all
these
areas,

we

are

focusing

and

we'll

work

on

that

and

that

work

is

already

on.

And

second,

as

far

as

the

diesel

price

increase

is

concerned,

I

think

most

of

the

transporters

have

price

indexing
with
their
customers.
So
we
believe
that
will
help
them
maybe
with
a
tie
up
with
bit
of
a
time
lag,
definitely ,
they
will
get
these
increases
addressed
them.
Sridhar
Kalyani:
Would

you
share
on,
because
there
might
be
a
vicious
cycle
of
inflation
going
ahead.
So
anything
on
the
demand
side
flowing
to
the
secondary
market
rather
than
the
primary
market.
So
there
might

be

some

impact

on

the

primary

market

demand

if

you

could

just

share

thoughts

based

on

past

experience?

B.

Srinivas:

So

it

may

not

be

because

most

of

the

agreements

with

their

customers

are
also
with
time-bound
agreements.
So
the
efficiency
of
the
goods
reaching
on
time
is
also
equally
important.
So
hence,
the
primary
market
is
driven
by
the
segments
where
there
are,
there
is

an expectation in terms of the turnaround times and the efficiency of the logistics. So the impact on this market will be relatively lower . So we don't expect any immediate change happening in the primary market.

Vinod Aggarwal: I am Vinod Aggarwal if I may add in this how the CV market is likely to behave because of these increases. I think the fundamental thing will

be

the

economy

that

how

the

Indian

economy

is

going

to

behave.

If

the

Indian

economy

continues

to

grow ,

if

we

suppose

government

is

able

to

continue

to

make

infrastructure

investments

and

the

economy grows, then there is no reason why the CV industry will not grow . Whatever diesel price increase or as Srinivas mentioned, I think the transporters will have to pass on. And if

the
goods
have
to
be
moved
in
the
country ,
you
see
if
there
is
a
GDP
growth
and
the
goods
and
services
have
to
move.
Then
of
course,
there
will
be
no
choice

with
the
consumer ,
but
to
pay
the
hikes.
And
then
the
CV
industry
also
will
grow .
But
of
course,
if
the
economy
gets
impacted
because
of
all
the
sectors,
then
there
may
be

some

impact

on

the

demand.

And

the

second

thing

is

the

sentimen
t.

As

of

now,

the

consumer

sentiments

continue

to

be

good.

And

April,

if

you

look

at

the

sales

figures

for

April,

I

think

in

April

the

demand

or

the

industry

has

done

extremely

well.

And

May,

of

course,

we

will

still

know

if

we

still

to

go

for

May.

But

as

of

now,

I think we should remain optimistic.

Sridhar Kalyani: Thank you for the feedback. Lastly , anything on labour and skilled labour shortages in the

entire
industry
that
we
are
getting
to
hear
a
lot.
How
do
you
see
any,
do
you
see
any
impact
going
ahead
in
both
Royal
Enfield
and
Eicher
and
in
the
commercial
vehicle

space
because
of
labour
shortages.
And
any
like
any
kind
of
actions
to
mitigate
such
shortages
if
you
can
help
us
understand?
B.
Govindarajan:
Two
things
I
think
in
both
the
businesses,
we

are
also
hearing
more
from
that
is
because
of
the
election
there
is
migrated
workmen
movement
from
here
and
there.
That
has
caused
a
disturbance
and
LPG
availability
was
causing
an
issue.
Things

are

settling

down.

As

I

mentioned,

it

was

almost

about

2,

3

weeks

disturbance

were

in

both

the

businesses.

It's

all

settling

in

down

along

to

us

even

at

the

supplier

end..

In

the

last

2,

3

days,

I'm

seeing

the

production

numbers

are

back

and

supply

situation

is

also

becoming

slightly

better .

We

have

to

wait

and

see

for

some

more

time

how

things

are

panning out.

Sridhar Kalyani: Thank you so much. Thank you for the patient answers. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take this as a last question for today . I now hand the conference over to the management for closing comments.

B. Govindarajan: Thank you very much. Wonderful speaking to all of you guys. Look forward to speak to you next quarter . Bye.

Thank you.

Vinod Aggarwal: Thank you.

Siddhartha Lal: Thank you all. Bye bye.

Moderator: Thank you. On behalf of PhillipCapital India, that concludes this conference. Thank you, everyone, for joining us, and you may now disconnect your lines. Thank you.